

The Stock Exchange of Hong Kong Limited and the Securities and Futures Commission take no responsibility for the contents of this Application Proof, make no representation as to its accuracy or completeness and expressly disclaim any liability whatsoever for any loss howsoever arising from or in reliance upon the whole or any part of the contents of this Application Proof.

Application Proof of
YUANJIE SEMICONDUCTOR TECHNOLOGY CO., LTD.
陝西源杰半導體科技股份有限公司

(the “Company”)

(A joint stock company incorporated in the People’s Republic of China with limited liability)

WARNING

The publication of this Application Proof is required by The Stock Exchange of Hong Kong Limited (the “**Stock Exchange**”) and the Securities and Futures Commission (the “**SFC**”) solely for the purpose of providing information to the public in Hong Kong.

This Application Proof is in draft form. The information contained in it is incomplete and is subject to change which can be material. By viewing this document, you acknowledge, accept and agree with our Company, its joint sponsors, overall coordinators, joint global coordinators, advisors or members of the underwriting syndicate that:

- (a) this document is only for the purpose of providing information about our Company to the public in Hong Kong and not for any other purposes. No investment decision should be based on the information contained in this document;
- (b) the publication of this document or supplemental, revised or replacement pages on the Stock Exchange’s website does not give rise to any obligation of our Company, joint sponsors, overall coordinators, joint global coordinators, advisors or members of the underwriting syndicate to proceed with an offering in Hong Kong or any other jurisdiction. There is no assurance that our Company will proceed with the offering;
- (c) the contents of this document or supplemental, revised or replacement pages may or may not be replicated in full or in part in the actual final listing document;
- (d) the Application Proof is not the final listing document and may be updated or revised by our Company from time to time in accordance with The Rules Governing the Listing of Securities on The Stock Exchange of Hong Kong Limited;
- (e) this document does not constitute a prospectus, offering circular, notice, circular, brochure or advertisement offering to sell any securities to the public in any jurisdiction, nor is it an invitation to the public to make offers to subscribe for or purchase any securities, nor is it calculated to invite offers by the public to subscribe for or purchase any securities;
- (f) this document must not be regarded as an inducement to subscribe for or purchase any securities, and no such inducement is intended;
- (g) neither our Company nor any of its affiliates, advisors or underwriters is offering, or is soliciting offers to buy, any securities in any jurisdiction through the publication of this document;
- (h) no application for the securities mentioned in this document should be made by any person nor would such application be accepted;
- (i) our Company has not and will not register the securities referred to in this document under the United States Securities Act of 1933, as amended, or any state securities laws of the United States;
- (j) as there may be legal restrictions on the distribution of this document or dissemination of any information contained in this document, you agree to inform yourself about and observe any such restrictions applicable to you; and
- (k) the application to which this document relates has not been approved for listing and the Stock Exchange and the SFC may accept, return or reject the application for the subject public offering and/or listing.

If an offer or an invitation is made to the public in Hong Kong in due course, prospective investors are reminded to make their investment decisions solely based on our Company’s prospectus registered with the Registrar of Companies in Hong Kong, copies of which will be made available to the public during the offer period.

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

IMPORTANT

IMPORTANT: If you are in any doubt about any of the contents of this document, you should obtain independent professional advice.

YUANJIE SEMICONDUCTOR TECHNOLOGY CO., LTD.

陝西源杰半導體科技股份有限公司

(a joint stock company incorporated in the People's Republic of China with limited liability)

[REDACTED]

Number of [REDACTED] in the [REDACTED] : [REDACTED] H Shares (subject to the [REDACTED])

Number of [REDACTED] : [REDACTED] H Shares (subject to [REDACTED])

Number of [REDACTED] : [REDACTED] H Shares (subject to [REDACTED] and the [REDACTED])

Maximum [REDACTED] : HK\$[REDACTED] per H Share, plus brokerage of 1.0%, SFC transaction levy of 0.0027%, AFRC transaction levy of 0.00015% and Stock Exchange trading fee of 0.00565% (payable in full on application in Hong Kong dollars and subject to refund)

Nominal Value : RMB1.00 per H Share

[REDACTED] : [REDACTED]

Joint Sponsors and [REDACTED]



國泰海通
GUOTAI HAITONG

國泰君安國際
GUOTAI JUNAN INTERNATIONAL



Hong Kong Exchanges and Clearing Limited, The Stock Exchange of Hong Kong Limited and Hong Kong Securities Clearing Company Limited take no responsibility for the contents of this document, make no representation as to its accuracy or completeness, and expressly disclaim any liability whatsoever for any loss howsoever arising from or in reliance upon the whole or any part of the contents of this document.

A copy of this document, having attached thereto the documents specified in “Appendix V — Documents Delivered to the Registrar of Companies and Available on Display” to this document, has been registered by the Registrar of Companies in Hong Kong as required by section 342C of the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Chapter 32 of the Laws of Hong Kong). The Securities and Futures Commission of Hong Kong and the Registrar of Companies in Hong Kong take no responsibility as to the contents of this document or any other document referred to above.

The [REDACTED] is expected to be fixed by agreement between the [REDACTED] (each for itself and on behalf of the [REDACTED]) and us on the [REDACTED]. The [REDACTED] is expected to be on or before [REDACTED] and, in any event, not later than 12:00 noon on [REDACTED]. The [REDACTED] will be no more than HK\$[REDACTED] and is currently expected to be not less than HK\$[REDACTED]. Applicants for [REDACTED] are required to pay, on application, the maximum [REDACTED] of HK\$[REDACTED] for each [REDACTED] together with brokerage of 1.0%, SFC transaction levy of 0.0027%, AFRC transaction levy of 0.00015% and Stock Exchange trading fee of 0.00565%, subject to refund if the [REDACTED] should be lower than HK\$[REDACTED]. If, for any reason, the [REDACTED] (each for itself and on behalf of the [REDACTED]) and us are unable to reach an agreement on the [REDACTED], the [REDACTED] will not proceed and will lapse.

The [REDACTED] (each for itself and on behalf of the [REDACTED], and with our consent) may, where considered appropriate and with our consent, reduce the number of [REDACTED] and/or the indicative [REDACTED] range that stated in this document at any time prior to the morning of the last day for lodging applications under the [REDACTED]. In such a case, notices of the reduction in the number of [REDACTED] and/or the indicative [REDACTED] range will be published on the websites of the Stock Exchange at www.hkexnews.hk and our Company at www.yj-semitech.com as soon as practicable following the decision to make such reduction, and in any event not later than the morning of the last day for lodging applications under the [REDACTED]. For more details, see the sections headed “Structure of the [REDACTED]” and “How to Apply for [REDACTED]” in this document.

Prior to making an [REDACTED] decision, prospective [REDACTED] should carefully consider all of the information set out in this document, including but not limited to the risk factors set out in the section headed “Risk Factors” in this document.

The obligations of the [REDACTED] under the [REDACTED] to [REDACTED], and to procure applicants for the [REDACTED], the [REDACTED], are subject to termination by the [REDACTED] (each for itself and on behalf of the [REDACTED]) if certain grounds arise prior to 8:00 a.m. on the [REDACTED]. Such grounds are set out in the section headed “[REDACTED] — [REDACTED] Arrangements and Expenses — [REDACTED] — Grounds for Termination” in this document.

[REDACTED]

[REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

IMPORTANT

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

IMPORTANT

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

EXPECTED TIMETABLE

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

EXPECTED TIMETABLE

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

EXPECTED TIMETABLE

[REDACTED]

CONTENTS

IMPORTANT NOTICE TO [REDACTED]

This document is issued by us solely in connection with the [REDACTED] and the [REDACTED] and does not constitute an [REDACTED] to sell or a solicitation of an [REDACTED] to buy any security other than the [REDACTED] by this document pursuant to the [REDACTED]. This document may not be used for the purpose of, and does not constitute, an [REDACTED] or a solicitation of an [REDACTED] to [REDACTED], any security in any other jurisdiction or in any other circumstances. No action has been taken to permit a [REDACTED] of the [REDACTED] or the distribution in any jurisdiction other than Hong Kong. The distribution of this document and the [REDACTED] and sale of the [REDACTED] in other jurisdictions are subject to restrictions and may not be made except as permitted under the applicable securities laws of such jurisdictions pursuant to registration with or authorization by the relevant securities regulatory authorities or an exemption therefrom.

You should rely only on the information contained in this document to make your [REDACTED] decision. We have not authorized anyone to provide you with information that is different from what is contained in this document. Any information or representation not made in this document must not be relied on by you as having been authorized by us, the Joint Sponsors, [REDACTED], any of our or their respective directors, officers or representatives, or any other person or party involved in the [REDACTED].

EXPECTED TIMETABLE	iii
CONTENTS	vi
SUMMARY	1
DEFINITIONS	19
GLOSSARY OF TECHNICAL TERMS	28
FORWARD-LOOKING STATEMENTS	32
RISK FACTORS	34
WAIVERS AND EXEMPTION	64
INFORMATION ABOUT THIS DOCUMENT AND THE [REDACTED]	72
DIRECTORS AND PARTIES INVOLVED IN THE [REDACTED]	76
CORPORATE INFORMATION	80
INDUSTRY OVERVIEW	82
REGULATORY OVERVIEW	102
HISTORY, DEVELOPMENT AND CORPORATE STRUCTURE	113
BUSINESS	120
CONNECTED TRANSACTION	176
SHARE CAPITAL	177

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

CONTENTS

RELATIONSHIP WITH OUR SINGLE LARGEST GROUP OF SHAREHOLDERS	180
SUBSTANTIAL SHAREHOLDERS	185
DIRECTORS AND SENIOR MANAGEMENT	186
FINANCIAL INFORMATION	198
FUTURE PLANS AND [REDACTED]	235
[REDACTED]	238
STRUCTURE OF THE [REDACTED]	248
HOW TO APPLY FOR [REDACTED]	255
APPENDIX I — ACCOUNTANTS’ REPORT	I-1
APPENDIX II — UNAUDITED [REDACTED] FINANCIAL INFORMATION	II-1
APPENDIX III — SUMMARY OF ARTICLES OF ASSOCIATION	III-1
APPENDIX IV — STATUTORY AND GENERAL INFORMATION	IV-1
APPENDIX V — DOCUMENTS DELIVERED TO THE REGISTRAR OF COMPANIES AND AVAILABLE ON DISPLAY	V-1

SUMMARY

This summary aims to give you an overview of the information contained in this document. As this is a summary, it does not contain all the information that may be important to you. You should read this document in its entirety before you decide to [REDACTED] in the [REDACTED].

There are risks associated with any [REDACTED]. Some of the particular risks in [REDACTED] in the [REDACTED] are set out in “Risk Factors.” You should read that section carefully before you decide to [REDACTED] in the [REDACTED].

OVERVIEW

Who We Are

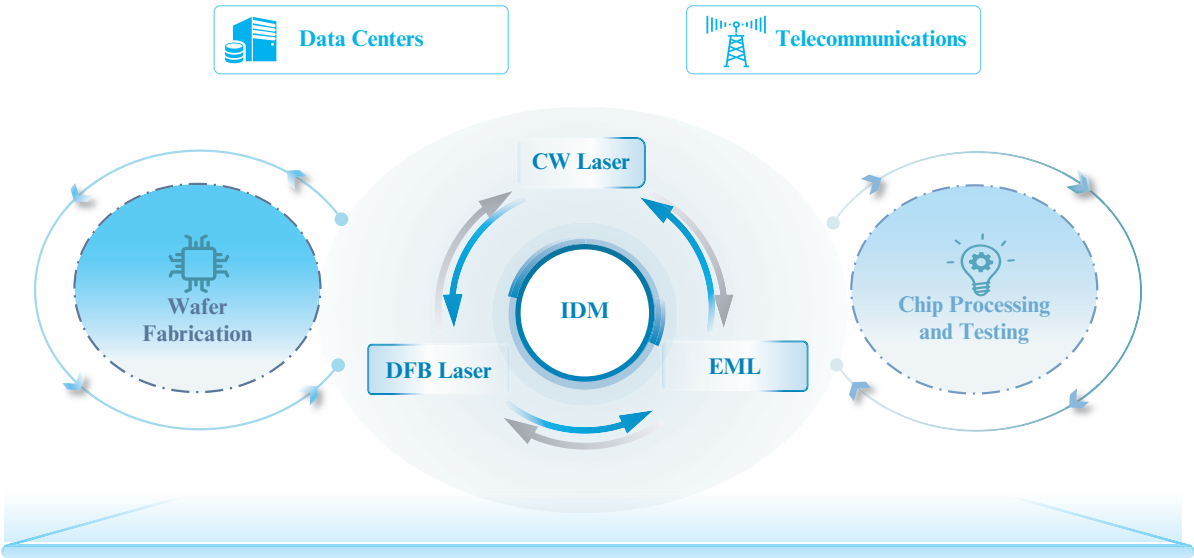
We are a leading global provider of laser chips. Leveraging our deep expertise in optoelectronic semiconductor design and manufacturing, we provide high-reliability, high-speed laser chips at scale with consistent quality to enable advanced data interconnectivity. Our core product portfolio, including continuous wave (“CW”) lasers, electro-absorption modulated lasers (“EML”) and distributed feedback (“DFB”) lasers, serves critical applications across AI data centers, 5G infrastructure and fiber access networks. According to CIC, measured by revenue from external sales in 2025, we ranked as the sixth largest laser chip provider globally and the second largest provider of laser chips for silicon photonics (“SiPh”)-based high-speed optical interconnect products globally. We are one of the few companies worldwide capable of delivering CW lasers at a ten-million-unit scale, which underscores our unique position and reliability in the global supply chain.

Rapid advancements in AI models and applications are driving a massive increase in demand for computing power, which has in turn driven the need for high-speed, low-latency data transmission capabilities. To meet the new-generation AI data center requirements for large-scale, high-speed and high-reliable interconnection, optical interconnects have emerged as a critical solution, offering advantages like higher bandwidth potential, lower transmission loss and effective immunity to electromagnetic interference. At the core of optical interconnect systems, laser chips play a pivotal role by converting electrical signals into optical signals for transmission, directly influencing key performance metrics of optical transmission, such as quality, stability and bandwidth. This has driven strong and sustainable demand for EMLs and CW lasers used in data center applications, particularly high-performance laser chips, which are well suited to support the growing needs of AI data centers. Similarly, the telecommunications market continues to demand laser chips at low-to-mid data rates, while also generating demand for advanced laser chips to support high-speed applications.

We have deep expertise and extensive experience in the research, development and manufacturing of laser chips, and our forward-looking strategy enables us to capture opportunities in this high-growth market. Operating under an integrated device manufacturer (“IDM”) model, we cover the entire value chain, including R&D, wafer fabrication, chip processing, testing and packaging. This full integration ensures consistent product quality, reliable supply, and scalable manufacturing capacity while allowing us to rapidly develop new products and accelerate product iteration in an AI-driven world. We currently offer a comprehensive portfolio of laser chips across various types to serve two critical applications: data centers and telecommunications. By

SUMMARY

maintaining strict control over production, we meet the stringent requirements of our customers and remain at the forefront of the optical interconnect value chain. The following diagram illustrates our simplified business model, our offerings and their key applications:



Over time, we have translated our capabilities into notable achievements, including breakthroughs in product development, successful customer certifications, large-scale manufacturing expansion and effective commercialization. The following diagram illustrates our key achievements:



Notes:

(1) As measured by revenue from external sales in 2025, according to CIC.

SUMMARY

- (2) As measured by the global sales volume of optical transceivers in 2025, according to CIC.
- (3) According to CIC.
- (4) As measured by sales volume in 2025, according to CIC.
- (5) From 2023 to 2025.

Our Products

We provide a comprehensive portfolio of laser chips designed to meet a wide range of data rates, performance requirements and applications, showcasing our broad spectrum coverage across the industry. Our product portfolio is divided into two key product lines:

- **Data center laser chips.** We deliver DFB lasers, EMLs, and CW lasers that support 400G/800G and above optical transceivers and next-generation optical interconnect solutions, enabling high bandwidth, high-speed, low-latency data transmission for rapidly growing data center demands.
- **Telecommunications laser chips.** We offer a full range of FP lasers, DFB lasers and EMLs tailored for fiber access as well as 4G/5G front-haul and mid-haul deployments, addressing the evolving needs of high-speed telecommunications networks.

We are one of the few companies globally whose CW lasers, EMLs and DFB lasers have passed rigorous certifications from leading industry players and achieved large-scale commercialization. This broad product offering underscores our ability to serve diverse market segments with cutting-edge laser chip solutions.

In today’s data center market, optical interconnect solutions are primarily implemented through optical transceivers. These transceivers follow two major technology approaches: the earlier-developed EML design, which relies on high-performance EMLs for advanced data rates like EMLs for 400G and 800G optical transceivers, and the more integrated SiPh architecture, which requires CW lasers to support its high integration. Each approach presents distinct technical requirements for laser chips, making companies with more comprehensive technological capabilities critical to meeting evolving market demands. We are uniquely positioned to capture growth opportunities across both technology routes because of our comprehensive product portfolio. Our ability to deliver high-performance, reliable laser chips tailored to both EMLs and SiPh architectures enables us to address the diverse demands of the AI-driven data center era, solidifying our leadership in the rapidly advancing optical interconnect landscape. In addition, in the telecommunications market, DFB lasers and EMLs are more widely used.

We continue to expand and upgrade our product portfolio in response to evolving market demand. In the near term, we are focused on further scaling shipments of CW lasers and advancing the commercialization of 100G/200G EMLs. Over the medium to long term, we plan to continue advancing higher-end CW lasers toward commercialization and driving the evolution of EMLs toward higher speeds, thereby reinforcing our market leadership and supporting next-generation optical interconnect solutions.

Our Growth Opportunities

The rapid advancement of AI and evolving connectivity demands are creating substantial growth opportunities for high-performance laser chips. AI technologies are driving strong demand for computing power, storage and high-speed connectivity, prompting major global cloud service providers to expand infrastructure investment to support next-generation AI workloads. As large-scale AI computing clusters and high-performance computing hardware continue to expand,

SUMMARY

interconnect performance has become a critical bottleneck, driving demand for higher bandwidth, higher data-rate capacity and low-latency optical interconnects. According to CIC, the global data center optical interconnects market is projected to grow from US\$13.7 billion in 2024 to US\$144.4 billion in 2030, representing a CAGR of 48.1%.

At the same time, SiPh is gaining traction as an innovative optical transceiver design technology due to its high integration, energy efficiency and cost advantages. SiPh supports a broad range of interconnect solutions, from pluggable designs to advanced integration technologies such as near-packaged optics (“NPO”) and co-packaged optics (“CPO”), and is expected to be one of the fastest-growing segments in data center optical interconnects. This trend is further underscoring the strategic importance of CW lasers as essential enablers for next-generation optical interconnects. Beyond the data center market, demand for higher bandwidth and stronger processing capability in the telecommunications market is also driving the adoption of 25G/50G PON technologies.

We are strategically positioned to capitalize on these opportunities through our forward-looking R&D, global integration and robust production capacity. By identifying the potential of SiPh at an early stage and through continuous innovation, we have established a leading position in CW lasers. In addition, supported by our comprehensive product portfolio of CW lasers and high-speed EMLs, we are well positioned to capture growing demand driven by the explosive growth of AI computing and applications. With a global operational footprint and integration into the supply chains of leading technology companies, we support customers worldwide and ensure a stable supply of high-quality products.

Our Results

Founded in 2013 in Shaanxi Province, China, we have upheld a forward-thinking industrial vision combined with a pragmatic approach centered on process optimization, steady growth, and continuous improvement. Our focus remains on meeting the core customer requirements of stable mass production and high-quality laser chips. In 2022, we completed our initial public offering and listed on the SSE STAR Market, enabling us to accelerate the execution of our strategy with greater speed and scale.

During the Track Record Period, we proactively captured the trends of global AI-driven computing upgrades. We expanded our product portfolio from 2.5G, 10G and 25G DFB lasers and EMLs to high-end offerings, including 25G, 50G and 100G EMLs and 50mW, 70mW and 100mW CW lasers. In 2025, driven by surging AI computing demand, revenue from our data center laser chips exceeded that from our telecommunications laser chips, becoming our primary growth driver. As a result, our revenue increased from RMB144.4 million in 2023 to RMB601.4 million in 2025, representing a CAGR of 104.1%. Meanwhile, our gross profit increased from RMB41.5 million in 2023 to RMB334.8 million in 2025, representing a CAGR of 184.0%.

TECHNOLOGY AND R&D

After years of dedicated R&D and industrialization, we have established a comprehensive laser chip technology system covering the epitaxial growth, wafer fabrication, chip design, monolithic integration, and high-frequency packaging and testing of laser chips. Our core proprietary technologies can be categorized into six major technology platforms to address the growing demand of the data center markets, telecommunications and next-generation optical interconnects for high speed, high power efficiency, cost optimization, and extreme reliability. These six technology platforms include: (i) advanced epitaxial and wafer fabrication platforms, (ii) high-speed modulation and monolithic integration platforms, (iii) high-power optical amplifier integration

SUMMARY

technologies, (iv) chip-level optical path optimization and system adaptation technologies, (v) reliability engineering technologies for multi-scenario adaptation, and (vi) high-frequency micro-assembly & packaging testing technologies.

As a high-tech enterprise specializing in the laser chip sector, we have been dedicated to R&D since our inception, accumulating a portfolio of core technologies through sustained investment. To bolster our capabilities, we are continuously increasing our R&D spending to upgrade our laboratories, including our materials science facilities, while optimizing our research environment through the acquisition of advanced production and testing equipment. Our strategy is market-oriented and we actively adjust our product iteration and technical pre-research to align with industry trends, ensuring our solutions remain competitive. Furthermore, we have established a multi-tiered R&D architecture supported by a robust incentive mechanism that rewards contributions to product innovation, parameter improvement, and patent applications. By cultivating a team of skilled engineering talent and actively recruiting high-quality experts, we are constantly enhancing our independent innovation capabilities and technical proficiency.

Our R&D activities are driven by industry developments, application requirements and R&D projects. The new product development process is managed under the R&D Department’s “Design and Development Control Procedure.” Our R&D process typically goes through six stages in sequence, including project initiation, project design and development, engineering verification test, design verification test, R&D-to-production, and production verification test. A project may proceed to the next stage only after the requirements of the current stage are met.

MANUFACTURING

Operating under an IDM model, we have mastered the core technologies of laser chip manufacturing, with in-house capabilities spanning chip design, wafer fabrication, chip processing and testing. Such IDM model allows us to shorten product development cycles, achieve independent and controllable laser chip manufacturing, respond quickly to customer requirements and efficiently provide corresponding solutions, thereby enabling us to react rapidly to dynamic market demand. As of the Latest Practicable Date, we had two production bases in operation, both located in Shaanxi Province with an aggregated gross floor area of over 28,000 sq.m. In addition, one of these production bases is currently undergoing production expansion to accommodate additional production facilities in response to the growing demand.

Our production activities are driven by market demand. The Production and Operations Department formulates production plans by coordinating with relevant departments based on customer orders. In accordance with our annual sales strategy, we conduct capacity assessments and maintain appropriate inventory to cope with demand peaks and alleviate production pressure. In addition, we have a highly qualified manufacturing team. As of December 31, 2025, 535 employees were in manufacturing positions.

In the future, we will also focus on enhancing our reliability engineering and pre-shipment testing capabilities. We plan to refine our accelerated aging tests, lifetime evaluations, and failure analysis to ensure long-term product stability in client applications. We will expand and upgrade our testing facilities, enhance our ability to assess chip performance, reliability, and visual quality during pre-shipment inspections. Additionally, we are increasing the scale and capabilities of our materials testing labs to conduct comprehensive composition and performance tests, ensuring the highest product quality from incoming materials to finished products.

SUMMARY

SALES AND MARKETING

As laser chips are key to optical modules, customers typically require suppliers to provide more direct and in-depth support in product performance, qualification and technical collaboration. Accordingly, we primarily adopt a direct sales model. This approach enables us to maintain and deepen strategic relationships with key customers, ensuring close collaboration and a better understanding of their evolving needs. Meanwhile, we also engage in sales through distribution to expand our customer reach, especially for the sales of our telecommunications laser chips, in an efficient manner. We have a dedicated sales and marketing team responsible for customer development, product promotion, and customer relationship management. This experienced and highly trained sales and marketing team proactively identifies market opportunities and designs sales strategies.

SUPPLIERS AND CUSTOMERS

During the Track Record Period, our suppliers primarily consisted of suppliers of raw materials, equipment and packaging services. We have established a wide network of suppliers in China, Europe and Japan. While using imported raw materials to produce high-quality chips, we have also proactively established relationships with domestic suppliers and continues to maintain a diversified supply chain. In 2023, 2024 and 2025, our purchases from our five largest suppliers in each year in aggregate amounted to RMB32.4 million, RMB54.9 million and RMB83.1 million, respectively, representing 51.9%, 56.9% and 48.1% of our total purchases in the corresponding years. In 2023, 2024 and 2025, our purchases from our largest supplier in each year amounted to RMB10.7 million, RMB18.0 million and RMB20.7 million, respectively, representing 17.2%, 18.7% and 12.0% of our total purchases in the corresponding years.

In addition, our customers primarily consist of optical component and optical transceiver manufacturers as well as our distributors. In 2023, 2024 and 2025, our revenue generated from sales to our five largest customers in each year in aggregate amounted to RMB80.2 million, RMB148.9 million and RMB431.9 million, respectively, representing 55.6%, 59.1% and 71.8% of our total revenue in the corresponding years. In 2023, 2024 and 2025, our revenue generated from sales to our largest customer in each year amounted to RMB27.5 million, RMB41.3 million and RMB320.8 million, respectively, representing 19.0%, 16.4% and 53.4% of our total revenue in the corresponding years.

During the Track Record Period, certain of our major suppliers also acted as our customer and *vice versa*, resulting in an overlap between our customer and supplier relationships in certain cases. For details, see “Business — Customers — Overlapping of Customers and Suppliers.”

COMPETITIVE STRENGTHS

We believe the following competitive strengths have contributed to our success and differentiated us from our competitors:

- Leading laser chip provider with a broad and advanced portfolio for high-speed optical interconnects;
- Comprehensive technological capabilities built on advanced design, manufacturing expertise and rigorous quality control;
- Strong delivery capabilities enabled by our IDM model, end-to-end autonomy and scalable manufacturing capabilities;
- Blue-chip customer base and deep strategic collaborations providing unique market insight; and
- Visionary leadership with a global perspective, supported by a strong R&D and manufacturing team.

SUMMARY

GROWTH STRATEGIES

We plan to implement the following strategies to achieve our vision and mission:

- Advance product and process innovation through sustained R&D investment;
- Build a resilient and efficient global operations network with strategic capacity expansion;
- Accelerate integration into the global AI ecosystem while strengthening customer relationships;
- Attract and cultivate global talents to fuel growth and advance strategic goals; and
- Pursue strategic acquisitions to diversify product portfolio and unlock synergies.

COMPETITION

We operate in a competitive industry. The laser chip market is characterized by intense competition from both established international players and emerging domestic manufacturers. We face direct competition both in China and globally across our products over the laser chips industry. The competition is expected to be further intensified as new domestic entrants are currently seeking to enter into the market. Competition is expected to intensify as certain optical transceiver manufacturers increasingly develop in-house chip capabilities, to build a collaborative, full-industry-chain system that spans optical transceivers, laser chips and optical network terminals.

Moreover, technological evolution is reshaping the competitive landscape. The industry is transitioning toward laser chips with higher data rates, higher output power, and longer transmission distances. Companies with stronger R&D capabilities and faster product iteration cycles are gaining competitive advantages. For details, see “Industry Overview.”

SUMMARY OF HISTORICAL AND FINANCIAL INFORMATION

The tables below present our summary consolidated financial data derived from our consolidated statements of profit or loss and consolidated cash flow statements during the Track Record Period and our consolidated statements of financial position as of December 31, 2023, 2024 and 2025 included in the Accountants’ Report in Appendix I to this document. The following data and discussion should be read in conjunction with our consolidated financial statements and related notes and the section headed “Financial Information.”

SUMMARY

Summary of Consolidated Statements of Profit or Loss

	For the year ended December 31,					
	2023		2024		2025	
	RMB'000	%	RMB'000	%	RMB'000	%
Revenue	144,404	100.0	252,173	100.0	601,435	100.0
Cost of sales	(102,906)	(71.3)	(193,270)	(76.6)	(266,613)	(44.3)
Gross profit	41,498	28.7	58,903	23.4	334,822	55.7
Other income	14,054	9.7	2,182	0.9	12,041	2.0
Other gains or losses, net	9,104	6.3	3,593	1.4	(3,719)	(0.6)
Selling and marketing expenses	(8,355)	(5.8)	(18,532)	(7.3)	(23,784)	(4.0)
General and administrative expenses	(25,937)	(18.0)	(26,053)	(10.3)	(45,135)	(7.5)
Research and development expenses	(30,946)	(21.4)	(54,518)	(21.6)	(80,843)	(13.4)
Impairment losses on financial assets, net of reversal	(2,856)	(2.0)	2,829	1.1	(6,524)	(1.1)
Finance income, net	21,590	15.0	17,973	7.1	12,883	2.1
Share of results of associate	2	0.1	(1,689)	(0.7)	14,031	2.3
Profit/(Loss) before tax	18,154	12.6	(15,312)	(6.0)	213,772	35.5
Income tax (expense)/credit	1,326	0.9	9,179	3.6	(22,848)	(3.8)
Profit/(Loss) for the year	19,480	13.5	(6,133)	(2.4)	190,924	31.7

Non-IFRS Measure

To supplement our consolidated financial statements that are presented in accordance with IFRS, we also use adjusted net profit/(loss) (non-IFRS measure) as an additional financial measure, which is not required by, or presented in accordance with, IFRS. We define adjusted net profit/(loss) (non-IFRS measure) as profit/(loss) for the year adjusted for share-based payment expenses, which are non-cash in nature arising from the grant of share awards to employees.

We believe that this non-IFRS measure facilitates comparisons of operating performance from year to year and company to company by eliminating potential impacts of certain items and provides useful information to investors and others in understanding and evaluating our results of operations in the same manner as it helps our management. However, our presentation of adjusted net profit/(loss) (non-IFRS measure) may not be comparable to similarly titled measures presented by other companies. The use of such non-IFRS measure has limitations as an analytical tool, and you should not consider it in isolation from, or as a substitute for analysis of, our results of operations or financial condition as reported under IFRS.

The following table sets forth a reconciliation of our adjusted net profit/(loss) (non-IFRS measure) to the nearest measure prepared in accordance with IFRS, which is profit/(loss) for the year:

	For the year ended December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Profit/(Loss) for the year	19,480	(6,133)	190,924
Add:			
Share-based payment expenses	3,549	3,662	32,162
Adjusted net profit/(loss) (non-IFRS measure)	23,029	(2,471)	223,086

SUMMARY

Revenue

During the Track Record Period, we generated revenue primarily from the sales of data center laser chips and telecommunications laser chips. We also, to a much lesser extent, generated revenue from our provision of technical services and others, primarily in relation to our customized development for certain types of laser chips and contract manufacturing services. We recognize revenue from product sales upon delivery and acceptance by customers, and revenue from technical services is recognized over time based on the progress of service delivery and acceptance. The following table sets forth a breakdown of our revenue by product line, both in absolute amount and as a percentage of our total revenue, for the years indicated:

	For the year ended December 31,					
	2023		2024		2025	
	RMB'000	%	RMB'000	%	RMB'000	%
Data center laser chips	4,614	3.2	48,013	19.0	393,258	65.4
Telecommunications laser chips	133,054	92.1	202,304	80.2	206,470	34.3
Technical services and others ⁽¹⁾	6,736	4.7	1,856	0.8	1,707	0.3
Total	144,404	100.0	252,173	100.0	601,435	100.0

Note:

- (1) Technical services and others primarily comprise customized development for certain type of laser chips and contract manufacturing services.

In 2023 and 2024, we derived the majority of our revenue from the sales of telecommunications laser chips, with a smaller portion generated from the sales of data center laser chips. Notwithstanding the above, revenue from the sales of data center laser chips experienced rapid growth during the Track Record Period. In 2025, revenue derived from the sales of data center laser chips surpassed that from the sales of telecommunications laser chips and accounted for 65.4% of our total revenue for the year. This shift was primarily driven by our expanded sales volume of data center laser chips, attributable to the accelerated deployment of AI computing centers and the increasing adoption of high-speed optical interconnects and SiPh applications, coupled with our deepened customer relationships in these markets. In response to these industry trends, we are continuing to enhance our data center laser chip offerings and increase our presence in this product line. In addition, our revenue from technical services and others decreased from RMB6.7 million in 2023 to RMB1.9 million in 2024, and further to RMB1.7 million in 2025. The decrease was primarily because our technical services and others mainly consist of customized development projects, which are generally project-based.

SUMMARY

Revenue from sales of our laser chips is primarily driven by sales volume and average selling prices. The following table sets forth a breakdown of the sales volumes and average selling prices of our laser chips by product line for the years indicated:

	For the year ended December 31,					
	2023		2024		2025	
	Sales Volume	Average Selling Price ⁽¹⁾	Sales Volume	Average Selling Price ⁽¹⁾	Sales Volume	Average Selling Price ⁽¹⁾
	'000 units	RMB per unit	'000 units	RMB per unit	'000 units	RMB per unit
Data center laser chips	225	20.5	2,285	21.0	17,721	22.2
Telecommunications laser chips	28,029	4.7	49,915	4.1	35,711	5.8

Note:

- (1) Average selling price is calculated by dividing the revenue by the sale volume of such product line for a certain year.

The sales volume of our data center laser chips increased significantly from 0.2 million units in 2023 to 2.3 million units in 2024, and further to 17.7 million units in 2025, with the average selling price remaining relatively stable at approximately RMB20.5, RMB21.0, and RMB22.2 per unit in 2023, 2024 and 2025. The sales volume of our telecommunications laser chips experienced a fluctuation of 28.0 million units in 2023, 49.9 million units in 2024 and 35.7 million units in 2025, with average selling prices of RMB4.7, RMB4.1 and RMB5.8 per unit over the same periods.

The overall growth in sales volume of our laser chips from 2023 to 2024 was primarily driven by the recovery of demand from the telecommunications market. The overall sales volume of our laser chips remained stable between 2024 and 2025. The divergence in the sales volume between the two product lines was primarily because we proactively optimized our product portfolio and reallocated our resources to prioritize higher-value products, including our data center laser chips and our high-end telecommunications laser chips.

During the Track Record Period, we primarily marketed our laser chips through a direct sales model, supplemented by a group of distributors. Our revenue generated from sales via the distribution model increased significantly from RMB26.6 million in 2023 to RMB74.8 million in 2024, primarily due to the recovery of demand from the telecommunications market as the distribution model is mostly applied in the sales of telecommunications laser chips. Our revenue generated from distribution decreased by 14.4% from RMB74.8 million in 2024 to RMB64.0 million in 2025, primarily due to the successful market expansion of our CW lasers, which were sold to customers mostly through direct sales. The table below sets out a breakdown of our revenue in both absolute amount and percentage of our total revenue by sales channel for the years indicated:

	For the year ended December 31,					
	2023		2024		2025	
	RMB'000	%	RMB'000	%	RMB'000	%
Direct Sales	117,756	81.5	177,334	70.3	537,405	89.4
Distribution	26,648	18.5	74,839	29.7	64,030	10.6
Total	144,404	100.0	252,173	100.0	601,435	100.0

SUMMARY

Cost of Sales

Our cost of sales primarily consists of (i) manufacturing costs, primarily including packaging fees for our laser chips and depreciation of production-related property, plant and equipment and right-of-use assets, (ii) labor costs, mainly relating to employees involved in production, (iii) raw material costs, (iv) taxes and surcharges, and (v) inventory impairment. The following table sets forth a breakdown of our cost of sales by nature, both in absolute amount and as a percentage of the total cost of sales, for the years indicated:

	For the year ended December 31,					
	2023		2024		2025	
	<i>RMB'000</i>	%	<i>RMB'000</i>	%	<i>RMB'000</i>	%
Manufacturing costs	57,774	56.1	120,507	62.4	139,880	52.5
Labor costs	16,588	16.1	36,838	19.1	70,953	26.6
Raw material costs	10,067	9.8	22,562	11.7	51,767	19.4
Taxes and surcharges	2,826	2.7	2,836	1.5	4,687	1.8
Inventory impairment	15,651	15.3	10,527	5.3	(674)	(0.3)
Total	102,906	100.0	193,270	100.0	266,613	100.0

Gross Profit and Gross Profit Margin

Our gross profit represents revenue less cost of sales, and our gross profit margin represents our gross profit as a percentage of revenue. The following table sets forth a breakdown of our gross profit and gross profit margin by product line, for the years indicated:

	For the year ended December 31,					
	2023		2024		2025	
	Gross profit <i>RMB'000</i>	Gross profit margin %	Gross profit <i>RMB'000</i>	Gross profit margin %	Gross profit <i>RMB'000</i>	Gross profit margin %
Data center laser chips	1,165	25.2	29,796	62.1	280,228	71.3
Telecommunications laser chips	35,556	26.7	29,020	14.3	53,470	25.9
Technical services and others	4,777	70.9	87	4.7	1,124	65.8
Total	41,498	28.7	58,903	23.4	334,822	55.7

Our gross profit derived from data center laser chips increased significantly from RMB1.2 million in 2023 to RMB29.8 million in 2024, and further to RMB280.2 million in 2025, primarily driven by the continued growth in the sales volume of data center laser chips in response to increasing demand resulting from the expansion of data center infrastructure and the growing adoption of high-speed optical interconnect solutions. The gross profit margin of our data center laser chips increased from 25.2% in 2023 to 62.1% in 2024 and further to 71.3% in 2025, primarily reflecting the continued optimization of our product portfolio in this product line as we progressively launched and commenced volume shipments of higher-performance EMLs and CW lasers.

Our gross profit derived from telecommunications laser chips decreased from RMB35.6 million in 2023 to RMB29.0 million in 2024, primarily due to pricing pressure under prevailing market conditions, despite an increase in sales volume. Our gross profit derived from telecommunications laser chips increased from RMB29.0 million in 2024 to RMB53.5 million in 2025, primarily due to

SUMMARY

our increased sales of higher-end telecommunications laser chips. For the same reasons discussed above, the gross profit margin of the telecommunications laser chips line decreased from 26.7% in 2023 to 14.3% in 2024, and then increased to 25.9% in 2025.

The gross profit and gross profit margin of our technical services and other business fluctuated during the Track Record Period, primarily because the timing, scale, complexity, resource requirements and pricing of our technical services and others varied from project to project. In 2023, 2024 and 2025, our gross profit derived from the technical services and others line was RMB4.8 million, RMB87 thousand and RMB1.1 million, respectively, with a gross profit margin of 70.9%, 4.7% and 65.8%, respectively.

Profit/(Loss) for the Year

We recorded a net profit of RMB19.5 million in 2023, a net loss of RMB6.1 million in 2024 and a net profit of RMB190.9 million in 2025. In 2024, we recorded net loss of RMB6.1 million, primarily due to (i) a decrease in the overall gross profit margin of our telecommunications laser chip segment, because of the downward pricing pressure on certain products within this segment as a result of intensified market competition, and (ii) an increase in our research and development expenses and selling and marketing expenses to support our ongoing R&D activities and market expansion. In 2025, we recorded a net profit of RMB190.9 million, primarily because of a significant increase in our revenue and gross profit, as we actively optimized our product portfolio and increased sales volume for our data center laser chips and high-end telecommunications laser chips, which generally have a higher average selling price.

Summary of Consolidated Statements of Financial Position

The following table sets forth selected information from our consolidated statements of financial position as of the dates indicated:

	As of December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Total non-current assets	605,837	736,328	1,315,311
Total current assets	1,630,846	1,411,218	1,269,939
Total assets	2,236,683	2,147,546	2,585,250
Total current liabilities	95,269	53,949	178,703
Total non-current liabilities	24,726	20,830	74,262
Total liabilities	119,995	74,779	252,965
Net current assets	1,535,577	1,357,269	1,091,236
Net Assets	2,116,688	2,072,767	2,332,285
Total equity	2,116,688	2,072,767	2,332,285

SUMMARY

Our net current assets decreased from RMB1,535.6 million as of December 31, 2023 to RMB1,357.3 million as of December 31, 2024, primarily due to (i) a decrease of RMB262.4 million in cash and cash equivalents, primarily reflecting cash outflows to support business expansion in response to growing market demand, including capital expenditures for capacity expansion and equity investments, and (ii) a decrease in inventories of RMB18.1 million, primarily attributable to improved sales in line with market recovery and an increase in write-downs of inventories, partially offset by a decrease in other payables and accruals of RMB37.9 million, primarily attributable to the timing of the final settlement for the construction of a company building.

Our net current assets further decreased from RMB1,357.3 million as of December 31, 2024 to RMB1,091.2 million as of December 31, 2025, primarily due to (i) a decrease of RMB285.2 million in cash and cash equivalents, primarily reflecting cash outflows to support business expansion in response to growing market demand, including capital expenditures for capacity expansion and equity investments, and (ii) an increase of RMB69.8 million in other payables and accruals, primarily attributable to the increased equipment procurement, partially offset by an increase of RMB143.5 million in trade receivables, primarily due to our business growth.

We recorded total equity of RMB2,116.7 million as of December 31, 2023. Our total equity decreased to RMB2,072.8 million as of December 31, 2024, primarily due to (i) repurchase of shares of RMB55.4 million, (ii) dividend of RMB8.5 million, and (iii) our loss for the year of RMB6.1 million, partially offset by an increase of RMB22.5 million from the issue of new shares upon the exercise of share options. As of December 31, 2025, our total equity increased to RMB2,332.3 million, primarily attributable to (i) our profit for the year of RMB190.9 million, (ii) tax impact of share-based payment of RMB58.4 million, and (iii) an increase of RMB32.2 million in capital reserve from share-based payment expenses, partially offset by dividends of RMB42.7 million and other comprehensive expenses of RMB10.3 million.

Summary of Consolidated Statements of Cash Flows

The following table sets forth a summary of our cash flows for the years indicated:

	For the year ended December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Net cash (used in)/from operating activities	(17,399)	18,960	150,236
Net cash used in investing activities	(37,777)	(231,663)	(403,923)
Net cash used in financing activities	(27,020)	(42,600)	(16,767)
Net decrease in cash and cash equivalents	(82,196)	(255,303)	(270,454)
Effect of exchange rate changes	(70)	128	(11,125)
Cash and cash equivalents at beginning of the year	1,414,916	1,332,650	1,077,475
Cash and cash equivalents at the end of the year	1,332,650	1,077,475	795,896

SUMMARY

Our primary uses of cash during the Track Record Period were to fund our operation, capital expenditure and general working capital needs. Historically, we had financed our operations and other capital requirements primarily through equity financing and cash generated from our business operations. Our anticipated cash needs primarily include costs associated with R&D activities, manufacturing activities, production capacity expansion and daily operations. We expect to fund our future working capital and other cash requirements with cash generated from our operations, the [REDACTED] from [REDACTED] and, when necessary, bank and other borrowings.

In 2023, we recorded net cash used in operating activities of RMB17.4 million. In 2024 and 2025, we recorded net cash from operating activities of RMB19.0 million and RMB150.2 million, respectively. In 2023, 2024 and 2025, we recorded net cash used in investing activities of RMB37.8 million, RMB231.7 million and RMB403.9 million, respectively; and we recorded net cash used in financing activities of RMB27.0 million, RMB42.6 million and RMB16.8 million, respectively.

KEY FINANCIAL RATIOS

The following table sets forth our key financial ratios as of and for the period indicated:

	As of/for the year ended December 31,		
	2023	2024	2025
Gross profit margin	28.7%	23.4%	55.7%
Revenue growth rate ⁽¹⁾	N/A	74.6%	138.5%
Current ratio ⁽²⁾	17.1	26.2	7.1
Quick ratio ⁽³⁾	15.6	23.9	6.4
Liability-to-asset ratio ⁽⁴⁾	5.4%	3.5%	9.8%
Net profit/(loss) margin	13.5%	(2.4%)	31.7%
Adjusted net profit/(loss) margin (non-IFRS measure) ⁽⁵⁾	15.9%	(1.0%)	37.1%

Notes:

- (1) Revenue growth rate is calculated as the year-on-year growth rate of revenue.
- (2) Current ratio equals current assets divided by current liabilities as of the relevant year end.
- (3) Quick ratio equals current assets excluding inventories divided by current liabilities as of the relevant year end.
- (4) Liability-to-asset ratio was calculated by dividing total liabilities by total assets.
- (5) Adjusted net profit/(loss) margin (non-IFRS measure) represents adjusted net profit/(loss) for the year (non-IFRS measure) divided by revenue for the same year and multiplied by 100%.

For details, see “Financial Information — Key Financial Ratios.”

RISK FACTORS

Our business and the [REDACTED] involve certain risks as set out in “Risk Factors” in this document. You should read that section in its entirety carefully before you decide to [REDACTED] our H Shares. We believe the most significant risks we face include but are not limited to the following:

- Our historical results may not be indicative of our future performance, and we may not be successful in expanding our operations or managing our growth.

SUMMARY

- The industry in which we operate is highly competitive. If we are not able to compete successfully, our business, results of operations and growth prospects may be harmed.
- Our failure to keep pace with technological advancement and evolving industry standards in the semiconductor industry could weaken our market position and adversely affect our business, results of operations and prospects.
- Our performance is subject to demands from our downstream industries that adopt our products. A slowdown in the growth of these downstream industries could adversely affect our business, financial condition and results of operations.
- Our IDM business model requires significant capital expenditures and entails high fixed costs, and any decline in capacity utilization or mismatch between capacity expansion and market demand may materially and adversely affect our profitability.
- Any disruption to the operation of our production plants, failure to successfully execute capacity expansion plans, or inability to manufacture and deliver high-quality products on schedule and on a large scale could restrict our business operations.
- We may not be able to fully maintain quality control over our products, and undetected defects, failures or reliability issues in our products could reduce the market adoption of our products, damage our reputation or expose us to product liability, warranty and other claims.

For details, see “Risk Factors.”

[REDACTED]

We estimate that we will receive [REDACTED] from the [REDACTED] of approximately HK\$[REDACTED], after deducting [REDACTED], fees and estimated expenses payable by us in connection with the [REDACTED], and based on an [REDACTED] of HK\$[REDACTED] per Share, being the mid-point of the indicative [REDACTED] range stated in this document, assuming that the [REDACTED] is not exercised. We intend to apply such [REDACTED] from the [REDACTED] for the following purposes:

- Approximately [REDACTED]% of the [REDACTED], or approximately HK\$[REDACTED], will be used to strengthen our R&D and testing capabilities and to expand our production capacity of laser chips;
- Approximately [REDACTED]% of the [REDACTED], or approximately HK\$[REDACTED], will be used for strategic investments and business synergy initiatives to fully leverage the growth potential of our customer base;
- Approximately [REDACTED]% of the [REDACTED], or approximately HK\$[REDACTED], will be used to expand our sales and service network and support our marketing activities; and
- Approximately [REDACTED]% of the [REDACTED], or approximately HK\$[REDACTED], will be used for our working capital and other general corporate purposes.

SUMMARY

[REDACTED]

DIVIDENDS

During the Track Record Period, we paid dividends of RMB39.4 million, RMB8.5 million and RMB42.7 million in 2023, 2024 and 2025, respectively.

Pursuant to our Articles of Association and in accordance with the PRC Company Law and the No. 3 Guideline for the Supervision of Listed Companies — Cash Dividend Distribution of Listed Companies (2025 Revision) (上市公司監管指引第3號 — 上市公司現金分紅(2025年修訂)), we have adopted a general annual dividend policy, according to which we may declare dividend by way of cash dividends, stock dividends, or a combination of cash and stock dividends. We prioritize cash dividends. Where specific conditions are met, we shall distribute cash dividends over the past three years in an amount not less than 30% of the average annual distributable profit we realized over the same periods after making the required appropriations to statutory reserves. The aforementioned specific conditions include: (i) we have realized positive distributable profits for the relevant year; (ii) our cumulative distributable profits as of such year remain positive; (iii) our auditors are able to issue an unconditioned opinion on our financial statements for the relevant year; (iv) we have sufficient capital resources, profitability and cash flow to support our ongoing and long-term operations; (v) we do not anticipate any material investment plans or capital expenditures in the next twelve months (excluding investment of raised funds); and (vi) there are no other material circumstances that would cause our shareholders’ meeting to approve a resolution not to distribute cash dividends. However, any proposed distribution of dividends is subject to the discretion of our Board and the approval at our Shareholders’ meetings. Our Board may recommend a distribution of

SUMMARY

dividends in the future after taking into account our results of operations, financial condition, operating requirements, capital requirements, shareholders’ interests and any other conditions that our Board may deem relevant.

[REDACTED]

[REDACTED] represent professional fees, [REDACTED], and other fees incurred in connection with the [REDACTED]. We estimate that our [REDACTED] will be approximately HK\$[REDACTED] (assuming an [REDACTED] of HK\$[REDACTED] per Share, being the mid-point of the indicative [REDACTED] range of HK\$[REDACTED] to HK\$[REDACTED] per Share), representing approximately [REDACTED]% of the estimated [REDACTED] from the [REDACTED] assuming no Shares are issued pursuant to the [REDACTED]. The [REDACTED] consist of (i) [REDACTED]-related expenses, including [REDACTED], of approximately HK\$[REDACTED], and (ii) non-[REDACTED]-related expenses of approximately HK\$[REDACTED], comprising (a) fees and expenses of legal advisors and reporting accountants of approximately HK\$[REDACTED], and (b) other fees and expenses of approximately HK\$[REDACTED]. Approximately HK\$[REDACTED] (equivalent to approximately RMB[REDACTED]) of the estimated [REDACTED] is directly attributable to the [REDACTED] and will be accounted for as a deduction from equity upon completion of the [REDACTED]. Approximately HK\$[REDACTED] (equivalent to approximately RMB[REDACTED]) is expected to be charged in profit or loss before or upon completion of the [REDACTED]. We do not believe any of the above fees or expenses are material or are unusually high for our Group. The [REDACTED] above are the latest practicable estimate for reference only, and the actual amount may differ from this estimate.

OUR SINGLE LARGEST GROUP OF SHAREHOLDERS

As of the Latest Practicable Date, (i) Dr. Zhang directly held 10,575,438 A Shares and controlled the voting rights attaching to 1,260,000 A Shares held by Xinxin Juyuan, our incentive platform, by serving as its the general partner; (ii) Mr. QIN Weixing, a non-executive Director, directly held 4,478,859 A Shares; (iii) Mr. QIN Yansheng, the brother of Mr. QIN Weixing, directly held 4,604,859 A Shares; and (iv) Ms. Zhang, the sister of Dr. Zhang and a non-executive Director, directly held 2,944,053 A Shares. Pursuant to the Concert Party Agreement, Ms. Zhang, Mr. QIN Weixing, and Mr. QIN Yansheng have agreed to align their votes with Dr. Zhang at our Shareholders’ meetings. As a result, Dr. Zhang, together with Ms. Zhang, Mr. QIN Weixing, Mr. QIN Yansheng and Xinxin Juyuan, constituted the Single Largest Group of Shareholders of our Company, who were entitled to exercise, or control the exercise of, the voting rights attaching to approximately 27.85% of our total issued shares as of the Latest Practicable Date (excluding the 275,169 A Shares held by our Company as treasury Shares as of the Latest Practicable Date).

Immediately following completion of the [REDACTED] and assuming the [REDACTED] is not exercised and there are no changes in our share capital from the Latest Practicable Date to the [REDACTED], Dr. Zhang, Ms. Zhang, Mr. QIN Weixing, Mr. QIN Yansheng and Xinxin Juyuan will collectively control approximately [REDACTED]% of voting rights in our Company (excluding the 275,169 A Shares held by our Company as treasury Shares as of the Latest Practicable Date). Therefore, Dr. ZHANG, Ms. Zhang, Mr. QIN Weixing, Mr. QIN Yansheng and Xinxin Juyuan will continue being our Single Largest Group of Shareholders upon the [REDACTED].

INCENTIVE SCHEMES

As of the Latest Practicable Date, we had adopted the Incentive Schemes, under which, 884,030 Restricted Shares had been granted to aggregate of 326 grantees (including three Directors and three senior management members) and remained outstanding and 126,900 Restricted Shares remained reserved for further grant which will be completed or lapsed before [REDACTED]. If (i) the reserved grant is completed before [REDACTED] and restricted Shares thereunder fully vest and are satisfied by issuance of A Shares; (ii) all outstanding Restricted Shares granted but not yet vested under the Incentive Schemes fully vest and are satisfied by issuance of A Shares, our share capital following the

SUMMARY

[REDACTED] will be diluted by approximately [REDACTED]%. The dilutive effect on our earnings per Share will be approximately [REDACTED]% (assuming (i) the [REDACTED] is not exercised and (ii) there are no changes to our share capital between the Latest Practicable Date and the [REDACTED]).

OUR LISTING ON THE SSE STAR MARKET AND REASONS FOR THE [REDACTED] ON THE HONG KONG STOCK EXCHANGE

Since December 2022, the A Shares of our Company have been listed on the SSE STAR Market. Our Directors confirmed that, during the Track Record Period and up to the Latest Practicable Date, we had no instances of material non-compliance with the SSE STAR Market Listing Rules and other applicable securities laws and regulations of the PRC in any material respects, and, to the best knowledge of our Directors having made all reasonable enquiries, there was no material matter that should be brought to the investors’ attention in relation to our compliance record on the SSE STAR Market.

We are applying for the [REDACTED] under Rule 8.05(3) of the Listing Rules and satisfy the market capitalization/revenue test. Our Company seeks for the [REDACTED] on the Hong Kong Stock Exchange to further advance our internationalization strategy and global layout, establish an international capital operation platform, strengthen our offshore financing capabilities, and further enhance our capital strength and comprehensive competitiveness. See “Business — Growth Strategies” and “Future Plans and [REDACTED]” in this document for more details.

RECENT DEVELOPMENT AND NO MATERIAL ADVERSE CHANGE

Since the beginning of 2026, we have focused on expanding production capacity, increasing production investment and enhancing automation levels to achieve simultaneous improvements in both capacity and efficiency. In this period, our sales have maintained steady growth. At the same time, we have continued to advance the R&D of laser chips.

On March 23, 2026, our Board approved a profit distribution and capital reserve capitalization plan (the “**2025 Profit Distribution Plan**”). Pursuant to the 2025 Profit Distribution Plan, our Company will (i) declare a cash dividend of RMB7.0 (inclusive of tax) for every 10 existing A Shares, and (ii) issue 4.5 new A Shares for every 10 existing A Shares by way of capitalization of our capital reserves. The 275,169 A Shares currently held by our Company as treasury Shares will be excluded for the purpose of the 2025 Profit Distribution Plan. The 2025 Profit Distribution Plan is subject to approval by the Shareholders at the annual general meeting, which is expected to be held in the first half of 2026. Assuming there are no other changes in our share capital, upon completion of the Capitalization Plan, our total issued share capital (including A Shares held as treasury Shares) will increase from 85,947,726 A Shares to 124,500,377 A Shares.

Our Directors confirm that, up to the date of this document, there has been no material adverse change in our financial or trading position or prospects since December 31, 2025, being the latest balance sheet date of our consolidated financial statements as set out in the Accountants’ Report in Appendix I to this document.

DEFINITIONS

In this document, unless the context otherwise requires, the following terms and expressions shall have the meanings set out below. Certain technical terms are explained in “Glossary of Technical Terms.”

“2024 Restricted Share Incentive Scheme”	the restricted share incentive scheme adopted by our Company at the Shareholders’ meeting on September 18, 2024
“2025 Restricted Share Incentive Scheme”	the restricted share incentive scheme adopted by our Company at the Shareholders’ meeting on September 15, 2025
“A Share(s)”	the domestic share(s) of our Company, with a nominal value of RMB1.00 each, which is/are listed on the SSE STAR Market and traded in Renminbi
“Accountants’ Report”	the accountants’ report prepared by BDO Limited, the text of which is set out in Appendix I to this document
“affiliate”	with respect to any specified person, any other person, directly or indirectly, controlling or controlled by or under direct or indirect common control with such specified person
“AFRC”	the Accounting and Financial Reporting Council of Hong Kong
“Articles of Association” or “Articles”	the articles of association of our Company adopted on March 23, 2026 which will become effective upon the [REDACTED] and as amended from time to time, a summary of which is set out in Appendix III to this document
“associate(s)”	has the meaning ascribed thereto under the Listing Rules
“Audit Committee”	the audit committee of our Board
“Board” or “Board of Directors”	the board of Directors of our Company
“Business Day” or “business day”	any day (other than a Saturday, Sunday or public holiday in Hong Kong and any day on which tropical cyclone warning no. 8 or above or a black rainstorm warning signal is hoisted in Hong Kong) on which banks in Hong Kong are generally open for normal banking business
[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]
“China” or “PRC”	the People’s Republic of China, but for the purpose of this document and for geographical reference only and except where the context requires otherwise, references in this document to “China” and the “PRC” do not include Hong Kong Special Administrative Region of the PRC, Macau Special Administrative Region of the PRC and Taiwan, China

DEFINITIONS

“CIC” or “Industry Consultant”	China Insights Industry Consultancy Limited, a market research and consulting company and an Independent Third Party, which prepared the CIC Report
“CIC Report”	an independent market research report commissioned by our Company and prepared by CIC for the purpose of this document
“close associate(s)”	has the meaning ascribed thereto under the Listing Rules
“Companies Ordinance”	the Companies Ordinance (Chapter 622 of the Laws of Hong Kong), as amended, supplemented or otherwise modified from time to time
“Companies (Winding Up and Miscellaneous Provisions) Ordinance”	the Companies (Winding Up and Miscellaneous Provisions) Ordinance (Chapter 32 of the Laws of Hong Kong), as amended, supplemented or otherwise modified from time to time
“Company” or “our Company”	Yuanjie Semiconductor Technology Co., Ltd. (陝西源杰半導體科技股份有限公司), a joint stock company with limited liability established on January 28, 2013, the A Shares of which are listed on the SSE STAR Market (stock code: 688498)
“Company Law” or “PRC Company Law”	the Company Law of the PRC (《中華人民共和國公司法》), as amended, supplemented or otherwise modified from time to time
“Compliance Advisor”	Maxa Capital Limited
“Concert Party Agreement”	the concert party agreement entered into among Dr. Zhang, Ms. Zhang, Mr. QIN Weixing and Mr. QIN Yansheng on January 8, 2021, details of which are set out in “History, Development and Corporate Structure — Concert Party Agreement”
“connected person(s)”	has the meaning ascribed thereto under the Listing Rules
“connected transaction(s)”	has the meaning ascribed thereto under the Listing Rules
“core connected person(s)”	has the meaning ascribed thereto under the Listing Rules
“CSRC”	China Securities Regulatory Commission (中國證券監督管理委員會), a regulatory body responsible for the supervision and regulation of the PRC national securities markets
“Director(s)” or “our Director(s)”	the director(s) of our Company, including all executive directors, non-executive directors and independent non-executive directors
“Dr. Zhang”	Dr. ZHANG XINGANG, the brother of Ms. Zhang, chairperson of our Board, executive Director, our general manager and a member of our Single Largest Group of Shareholders
“EIT”	enterprise income tax
“EIT Law”	the Enterprise Income Tax Law of the PRC (《中華人民共和國企業所得稅法》), as amended, supplemented or otherwise modified from time to time

DEFINITIONS

“EU”	European Union
“Extreme Conditions”	extreme conditions caused by a super typhoon as announced by the government of Hong Kong
[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]
“Group,” “our Group,” “our,” “we” or “us”	our Company and all of our subsidiaries or, where the context so requires, in respect of the period before our Company became the holding company of its present subsidiaries, the businesses operated by such subsidiaries or their predecessors (as the case may be)
“Guide for New Listing Applicants”	the Guide for New Listing Applicants as published by the Stock Exchange in December 2023 and amended from time to time
[REDACTED]	[REDACTED]
“H Share(s)”	overseas listed foreign share(s) in our ordinary share capital, with nominal value of RMB1.00 each in the share capital of our Company, which are to be [REDACTED] in HK dollars, and for which an application has been made for [REDACTED] and permission to [REDACTED] on the Stock Exchange
[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

DEFINITIONS

“Hong Kong” or “HK”	the Hong Kong Special Administrative Region of the PRC
“Hong Kong dollars,” “HK dollars” or “HK\$”	Hong Kong dollars, the lawful currency of Hong Kong
[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]
“IASB”	International Accounting Standards Board
“IFRS”	the International Financial Reporting Standards as issued by the IASB, which comprise the IFRS Accounting Standards, International Accounting Standards, Interpretations developed by the IFRS Interpretations Committee or its predecessor body, the Standing Interpretations Committee
“Incentive Schemes”	2024 Restricted Share Incentive Scheme and 2025 Restricted Share Incentive Scheme
“Independent Third Party(ies)”	an individual or a company which, to the best of our Directors’ knowledge, information and belief, having made all reasonable enquiries, is not a connected person of our Company within the meaning of the Listing Rules
[REDACTED]	[REDACTED]

DEFINITIONS

[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]
“Joint Sponsors”	the joint sponsors as named in the section headed “Directors and Parties Involved in the [REDACTED]” in this document
“Latest Practicable Date”	March 16, 2026, being the latest practicable date for the purpose of ascertaining certain information in this document prior to its publication
[REDACTED]	[REDACTED]
“Listing Committee”	the Listing Committee of the Stock Exchange
[REDACTED]	[REDACTED]
“Listing Rules”	the Rules Governing the Listing of Securities on The Stock Exchange of Hong Kong Limited, as amended, supplemented or otherwise modified from time to time
“Main Board”	the stock exchange (excluding the option market) operated by the Stock Exchange, which is independent from and operated in parallel with the GEM of the Stock Exchange
“MOFCOM” or “Ministry of Commerce”	the Ministry of Commerce of the PRC (中華人民共和國商務部) (formerly known as the Ministry of Foreign Trade and Economic Cooperation of the PRC (中華人民共和國對外經濟貿易部))

DEFINITIONS

“Mr. QIN Weixing”	Mr. QIN Weixing (秦衛星), the brother of Mr. QIN Yansheng, a non-executive Director and a member of our Single Largest Group of Shareholders
“Mr. QIN Yansheng”	Mr. QIN Yansheng (秦燕生), the brother of Mr. QIN Weixing, a member of our Single Largest Group of Shareholders
“Ms. Zhang”	Ms. ZHANG Xinying (張欣穎), the sister of Dr. Zhang, a non-executive Director and a member of our Single Largest Group of Shareholders
“NDRC”	the National Development and Reform Commission (中華人民共和國國家發展和改革委員會)
“Nomination Committee”	the nomination committee of our Board
“NPC”	the National People’s Congress of the PRC (中華人民共和國全國人民代表大會)
[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]
“Overseas Listing Trial Measures”	Trial Administrative Measures of Overseas Securities Offering and Listing by Domestic Companies (《境內企業境外發行證券和上市管理試行辦法》) released by the CSRC on February 17, 2023 and took effect on March 31, 2023
“PBOC”	the People’s Bank of China (中國人民銀行), the central bank of the PRC
“PRC GAAP”	generally accepted accounting principles in the PRC
“PRC Legal Advisors”	King & Wood, the legal advisors to our Company as to the laws of the PRC

DEFINITIONS

“PRC Securities Law”	the Securities Law of the PRC (《中華人民共和國證券法》), as enacted by the 6th meeting of the 9th Standing Committee of the NPC on December 29, 1998, and became effective on July 1, 1999, as amended, supplemented or otherwise modified from time to time
[REDACTED]	[REDACTED]
“document”	this document being issued in connection with the [REDACTED]
“QIB”	a qualified institutional buyer within the meaning of Rule 144A
“R&D”	research and development
“Regulation S”	Regulation S under the U.S. Securities Act
“Remuneration and Appraisal Committee”	the remuneration and appraisal committee of our Board
“Restricted Share(s)”	the restricted share(s) under the Incentive Schemes
“RMB” or “Renminbi”	Renminbi, the lawful currency of the PRC
“Rule 144A”	Rule 144A under the U.S. Securities Act
“SAFE”	the State Administration of Foreign Exchange of the PRC (中華人民共和國國家外匯管理局)
“SAMR”	State Administration for Market Regulation of the PRC (中華人民共和國國家市場監督管理總局)
“Securities and Futures Ordinance” or “SFO”	the Securities and Futures Ordinance (Chapter 571 of the Laws of Hong Kong), as amended, supplemented or otherwise modified from time to time
“SFC”	the Securities and Futures Commission of Hong Kong
“Shanghai-Hong Kong Stock Connect”	a securities trading and clearing links program developed by the Hong Kong Stock Exchange, Shanghai Stock Exchange, HKSCC and China Securities Depository and Clearing Corporation Limited for mutual market access between Hong Kong and Shanghai
“Share(s)”	ordinary share(s) in the capital of our Company with a nominal value of RMB1.00 each, comprising A Shares and H Shares
“Shareholder(s)”	holder(s) of our Share(s)
“Single Largest Group of Shareholders”	refers to Dr. Zhang, Ms. Zhang, Mr. QIN Weixing, Mr. QIN Yansheng and Xinxin Juyuan
“SSE STAR Market”	the Shanghai Stock Exchange Science and Technology Innovation Board (上海證券交易所科創板)

DEFINITIONS

“SSE STAR Market Listing Rules”	the Rules Governing the Listing of Stock on the Science and Technology Innovation Board of Shanghai Stock Exchange (《上海證券交易所科創板股票上市規則》), as amended, supplemented or otherwise modified from time to time
“STA”	State Taxation Administration (中華人民共和國國家稅務總局)
[REDACTED]	[REDACTED]
“State Council”	the State Council of the PRC (中華人民共和國國務院)
“Stock Exchange” or “Hong Kong Stock Exchange”	The Stock Exchange of Hong Kong Limited, a wholly owned subsidiary of Hong Kong Exchanges and Clearing Limited
“Strategy and ESG Committee”	the strategy and environmental, social and governance committee of the Board
“subsidiary(ies)”	has the meaning ascribed thereto in section 15 of the Companies Ordinance
“substantial shareholder(s)”	has the meaning ascribed thereto under the Listing Rules
“Takeovers Code”	the Codes on Takeovers and Mergers and Share Buy-backs issued by the SFC, as amended, supplemented or otherwise modified from time to time
“Track Record Period”	the three years ended December 31, 2023, 2024 and 2025
“U.S. dollars,” “US\$” or “USD”	United States dollars, the lawful currency of the United States
“U.S. Securities Act”	the United States Securities Act of 1933, as amended and supplemented or otherwise modified from time to time, and the rules and regulations promulgated thereunder
[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]
“United States,” “USA” or “U.S.”	the United States of America, its territories, its possessions and all areas subject to its jurisdiction
“VAT”	value added tax
[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]

DEFINITIONS

“Xinxin Juyuan”	Shaanxi Xinxin Juyuan Management Consulting Partnership (Limited Partnership) (陝西欣芯聚源管理諮詢合夥企業(有限合夥)), a limited partnership established in the PRC on September 23, 2020, one of our Single Largest Group of Shareholders and our incentive platform
“%”	per cent

For the purpose of this document, references to “provinces” of China include provinces, municipalities under direct administration of the central government and provincial-level autonomous regions.

In this document the terms “associate(s),” “close associate(s),” “connected person(s),” “core connected person(s),” “connected transaction(s),” and “substantial shareholder(s)” shall have the meanings given to such terms in the Listing Rules, unless the context otherwise requires.

For ease of reference, the names of PRC laws and regulations, governmental authorities, institutions, natural persons or other entities (including certain of our subsidiaries) have been included in this document in both the Chinese and English languages and in the event of any inconsistency, the Chinese versions shall prevail. English translations of company names and other terms from the Chinese language are provided for identification purposes only.

GLOSSARY OF TECHNICAL TERMS

This glossary contains explanations of certain technical terms used in this document. As such, these terms and their meanings may not correspond to standard industry meanings or usage of these terms.

“AI”	artificial intelligence
“BH”	buried heterostructure, a semiconductor laser design where the narrow-bandgap active region is completely surrounded on all sides by higher-bandgap cladding material
“CAGR”	compound annual growth rate
“CAPEX”	capital expenditure
“cell”	a coverage area in a mobile communication network that is served by a base station
“CMOS”	complementary metal-oxide-semiconductor, semiconductor fabrication process technology widely used for high-volume integrated circuit manufacturing
“CPO”	co-packaged optics, an integration approach where optical components are co-packaged with switching or computing chips to improve bandwidth and energy efficiency
“CW”	continuous wave, an electromagnetic wave of constant amplitude and frequency
“CWDM4”	Coarse Wavelength Division Multiplexing 4-lane, a 4-lane optical transmission standard that uses coarse wavelength division multiplexing
“data rate”	maximum error-free signal transmission rate that the optical components or optical interconnect products could support
“DFB”	distributed feedback
“DSP”	digital signal processor, dedicated processor for digital signal processing, including equalization, modulation and error correction in high-speed communication systems
“EIC”	electronic integrated circuit, a semiconductor chip that handles electrical signal processing, control, and interfacing functions in an optical system, mainly includes transimpedance amplifiers, drivers and digital signal processors
“EML”	electro-absorption modulated laser, integrating a laser diode with an electro-absorption modulator (EAM) in a single chip
“EPON”	ethernet passive optical network, a PON technology based on IEEE standards, used to provide broadband internet access over optical fiber
“ESG”	environment, social and governance
“FP”	Fabry-Pérot, a basic laser that emits multiple wavelengths for short-reach, low-data-rate applications

GLOSSARY OF TECHNICAL TERMS

“front-haul”	network segment connecting radio units to centralized or distributed baseband units
“GFA”	gross floor area
“GPON”	gigabit passive optical network, a PON technology based on ITU-T standards, capable of delivering gigabit-level internet access over optical fiber
“GPU”	Graphics Processing Unit
“high-speed optical interconnects”	optical interconnects solutions with data rate of 400G and above
“IDM”	integrated device manufacturer, a company that takes charge of design, manufacturing, packaging, testing and subsequent sales of the finished products
“IEEE”	the Institute of Electrical and Electronics Engineers, the world’s largest technical professional organization dedicated to advancing technology
“ITU”	the International Telecommunication Union, the United Nations specialized agency for information and communication technologies; and “ITU-T” refers to ITU Telecommunication Standardization Sector
“laser chip”	a semiconductor device, typically fabricated from compound materials such as indium phosphide or gallium arsenide, that performs electrical-to-optical conversion by generating coherent light through stimulated emission
“LWDM”	LAN Wavelength Division Multiplexing, a WDM technology using multiple wavelengths to boost bandwidth and efficiency in local area networks and data centers
“mechanical parts”	the fundamental physical elements that do not actively participate in the conversion or processing of photoelectric signals, while providing essential mechanical support, environmental sealing and electromagnetic interference shielding for the internal core components
“MOCVD”	metal-organic chemical vapor deposition, a key technology used for depositing ultra-thin layers of compound semiconductor material onto a semiconductor wafer
“mW”	milliwatts
“MWDM”	Mid-Wavelength Division Multiplexing, an optical transmission technology that increases the capacity of a single fiber pair by transmitting multiple optical signals simultaneously, each on a slightly different wavelength (color) of light within a specific band of the spectrum
“nm”	nanometer
“NPO”	near-packaged optics, an optical integration approach where optical components are placed close to but not within the same package as electronic chips

GLOSSARY OF TECHNICAL TERMS

“OLT”	optical line terminal
“ONU”	optical network unit, a device that converts optical signals to electrical signals in a fiber-optic network
“optical transceiver(s)”	pluggable module converting electrical signals to optical signals and converting optical signals back to electrical signals
“PAM4”	Pulse Amplitude Modulation 4-Level, a signal modulation technique that uses four distinct amplitude levels to encode two bits per symbol, doubling data rate without increasing bandwidth
“passive optical components”	optical components are optical devices that do not require electrical power to operate and do not actively amplify, generate, or convert optical signals
“PCB”	printed circuit board, for electrical interconnection and signal routing
“PON”	passive optical network, a telecommunications technology that uses fiber-optic cables to deliver internet services
“R&D”	research and development
“RWG”	ridge waveguide, a semiconductor laser waveguide structure
“SiPh”	silicon photonics, photonic integration technology using silicon-based processes to integrate optical components on a chip
“scale-across”	refers to the long-haul, high density and high-speed connection between switches across different data centers, supporting scenarios
“scale-out”	refers to the high-bandwidth connections between switches within a data center, which enables the high-speed data exchange between computer nodes
“scale-up”	refers to the short-reach connections from servers or chips to the ToR switch
“SOA”	semiconductor optical amplifier
“sq.m.”	square meter
“SSC”	spot size converter, an optical component that enables efficient light coupling between optical fibers and waveguides in photonic integrated circuits
“telecommunications”	telecommunications, communication networks and systems for carrier-grade communications
“TOSA”	transmit optical sub-assembly, an optical component which converts electrical signals to optical signals
“ToR”	a network switch installed at the top of a server rack to interconnect servers within the rack and link them to the broader data center network

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

GLOSSARY OF TECHNICAL TERMS

“ultra-HD”	ultra-high-definition, a system for showing extremely clear pictures on a television or computer screen
“VR”	virtual reality
“WDM”	a technology which multiplexes a number of optical carrier signals onto a single optical fiber by using different wavelengths (i.e., colors) of laser light

FORWARD-LOOKING STATEMENTS

We have included in this document forward-looking statements. Statements that are not historical facts, including statements about our intentions, beliefs, expectations or predictions for the future, are forward-looking statements.

This document contains certain forward-looking statements and information relating to us and our subsidiaries that are based on the beliefs of our management as well as assumptions made by and information currently available to our management. When used in this document, the words “aim,” “anticipate,” “believe,” “could,” “estimate,” “expect,” “going forward,” “intend,” “may,” “might,” “ought to,” “plan,” “potential,” “predict,” “project,” “seek,” “should,” “will,” “would” and the negative of these words and other similar expressions, as they relate to us or our management, are intended to identify forward-looking statements. Such statements reflect the current views of our management with respect to future events, operations, liquidity and capital resources, some of which may not materialize or may change.

These statements are subject to certain risks, uncertainties and assumptions, including the other risk factors as described in this document. You are strongly cautioned that reliance on any forward-looking statements involves known and unknown risks and uncertainties. The risks and uncertainties facing our Company which could affect the accuracy of forward-looking statements include, but are not limited to, the following:

- the market opportunities of our products;
- our ability to attract and retain senior management and key employees;
- our operations and business prospects;
- our business strategies and plans to achieve these strategies;
- industry trends and competition;
- general economic, political and business conditions in the industries and markets in which we operate;
- relevant government policies and regulations relating to our industry, business and corporate structure;
- our ability to maintain good relationships with business partners;
- our ability to control costs and expenses;
- our ability to defend our intellectual rights and protect confidentiality;
- our dividend policy;
- changes or volatility in interest rates, foreign exchange rates, equity prices, trading volumes, commodity prices and overall market trends;
- capital market developments;
- the actions and developments of our competitors;
- changes to regulatory and operating conditions in the industry and markets in which we operate;
- all other risks and uncertainties described in the section headed “Risk Factors” in this document; and

FORWARD-LOOKING STATEMENTS

- other statements in this document that are not historical facts.

Subject to the requirements of applicable laws, rules and regulations, we do not have any and undertake no obligation to update or otherwise revise the forward-looking statements in this document, whether as a result of new information, future events or otherwise. As a result of these and other risks, uncertainties and assumptions, the forward-looking events and circumstances discussed in this document might not occur in the way we expect or at all. Accordingly, the forward-looking statements are not a guarantee of future performance and you should not place undue reliance on any forward-looking information. Moreover, the inclusion of forward-looking statements should not be regarded as representations by us that our plans and objectives will be achieved or realized. All forward-looking statements in this document are qualified by reference to the cautionary statements in this section.

In this document, statements of or references to our intentions or those of the Directors are made as of the date of this document. Any such information may change in light of future developments.

RISK FACTORS

You should carefully consider all of the information in this document, including the risks and uncertainties described below, before making an [REDACTED] in our H Shares. The following is a description of what we consider to be our material risks. Any of the following risks could have a material adverse effect on our business, financial condition and results of operations. In any such case, the market price of our H shares could decline, and you may lose all or part of your [REDACTED].

These factors are contingencies that may or may not occur, and we are not in a position to express a view on the likelihood of any such contingency occurring. The information given is as of the Latest Practicable Date unless otherwise stated, will not be updated after the date hereof and is subject to the cautionary statements in the section headed “Forward-Looking Statements.”

RISKS RELATING TO OUR INDUSTRY AND BUSINESS

Our historical results may not be indicative of our future performance, and we may not be successful in expanding our operations or managing our growth.

During the Track Record Period, we experienced rapid revenue growth and generated revenue of RMB144.4 million, RMB252.2 million and RMB601.4 million in 2023, 2024 and 2025, respectively. In 2025, we recorded a net profit of RMB190.9 million. However, there can be no assurance that we will be able to maintain our historical growth rates in future periods. We may encounter risks and difficulties frequently experienced by rapidly growing companies in constantly evolving industries, such as (i) providing competitive products catering to constantly changing market demands, (ii) maintaining product quality and reliability while scaling up production; (iii) managing growing operations effectively; (iv) balancing production capacity with market demand to avoid over- or under-utilization; (v) intense capital commitment in upgrading manufacturing facility and equipment; (vi) attracting and retaining experienced employees in a competitive job market; and (vii) navigating complex and evolving regulations across targeted markets and jurisdictions. In light of these risks and challenges, our past performance and achievements should not be regarded as an indication of our future results, and we cannot assure you that we will be able to sustain our historical growth rates or replicate our past levels of success.

Managing our growth may place significant demands on our managerial, operational and financial resources. Our efforts to grow our business may be more costly than we expect, and we may not be able to increase our revenue enough to offset our increased operating expenses. We may incur significant losses in the future for a number of reasons, including the other risks described herein, and unforeseen expenses, difficulties, complications and delays, and other unknown events. If we are unable to achieve and sustain profitability, our business may be harmed. In addition, if we fail to achieve the necessary level of efficiency as we grow, our growth rate may decline, investors’ perceptions of our business and prospects may be adversely affected and the market price of our H Shares could decline.

RISK FACTORS

The industry in which we operate is highly competitive. If we are not able to compete successfully, our business, results of operations and growth prospects may be harmed.

The semiconductor industry is characterized by rapidly changing technologies and continuous advancements, which may lead to technological obsolescence. Significant technological advancements in optical interconnect solutions could render our existing or future products uncompetitive, obsolete or otherwise unmarketable, and may materially and adversely affect our business and prospects in ways we cannot currently anticipate. Competition among providers of different laser chip products may increase substantially in the future. We not only compete with other laser chip manufacturers but also face competition from some of our downstream customers. Certain optical component and optical transceiver manufacturers have been actively developing their own in-house laser chip capabilities driven by cost control, supply chain security and vertical integration considerations. If these customers successfully develop competitive laser chip products, we may face reduced orders and intensified competition.

In addition, some of our direct and indirect competitors may have greater resources and certain advantages, including longer operating history, stronger financing capabilities, more mature technologies and intellectual properties, more efficient sales and marketing and stronger customer relations. If we are unable to develop new or enhanced products or technologies in response to the changing market demand, or the significant technological advancements in optical interconnect solution, we may experience a decline in market share and sales volume, and may need to reduce prices or make other commercial concessions, which could have a material adverse effect on our profitability, business, financial condition and growth prospects.

Compared with large international optical interconnect companies, we operate on a relatively small scale, with a more concentrated product portfolio and customer base. As a result, our ability to diversify risks and absorb the impact of adverse changes in macroeconomic conditions, industry cycles, technological trends, customer structure and competitive dynamics is more limited. We may have less flexibility in reallocating resources across different product lines, markets or customer segments, and may be less resilient in responding to sudden changes in demand, pricing or technology. If we were to experience, over a short period of time, a combination of intensified competition, a significant decline in demand in our key downstream application markets and accelerated technological shifts that render some of our existing products less competitive or obsolete, our revenue and profitability could be more severely and more rapidly affected than those of larger industry peers, and there is no assurance that we will be able to avoid incurring losses in one or more periods, which could have a material adverse effect on our business, financial condition and results of operations.

Our failure to keep pace with technological advancement and evolving industry standards in the semiconductor industry could weaken our market position and adversely affect our business, results of operations and prospects.

The semiconductor industry is characterized by rapid technological evolution and continuous advancements. As new materials and innovative processes emerge, the competitive landscape and operational norms may shift. Keeping up with technological innovation requires substantial

RISK FACTORS

investment in R&D and continuous adaptation to emerging trends. If we fail to anticipate or keep pace with these emerging technologies in a timely manner, our products may become less competitive or obsolete.

In addition, our product portfolio is centered on laser chips. In order to operate effectively within relevant product ecosystems, our products are required to comply with various industry standards and technical specifications issued or adopted by regulatory bodies or industry participants. Such industry standards and technical specifications are subject to changes and may evolve over time. Our customers may also impose additional specifications when introducing new or enhanced products and solutions, which may require us to modify or redesign our products to remain compatible. New industry standards and technical specifications could render our products incompatible with other suppliers’ offerings or fail to meet customer requirements. As a result, we could be required to invest significant time and effort and to incur significant expenses to redesign our products to ensure compliance with relevant standards and specifications. If our products are not in compliance with prevailing industry standards and technical specifications for a significant period of time, we could miss opportunities of our business and operations.

Consequently, if we fail to keep up with these technological advancement and evolving industry standards, our business operations, financial performance and future prospects might be materially and adversely affected.

Our performance is subject to demands from our downstream industries that adopt our products. A slowdown in the growth of these downstream industries could adversely affect our business, financial condition and results of operations.

Our performance is subject to the fluctuations in demands from downstream industries. Our laser chips are positioned upstream in the optical interconnect industry value chain, supplying midstream optical component and optical transceiver manufacturers whose transceivers are ultimately deployed by data center service providers and telecommunications operators. If demand from these markets declines, fails to maintain robust growth, or is adversely affected by fierce competitions, demand for our laser chips and our business may be adversely affected. The factors that may impact the growth of downstream markets includes but are not limited to: (i) deterioration in macroeconomic conditions or downstream demand, resulting in reduced orders, excess inventory or pricing pressure; (ii) regulatory restrictions, trade disputes, tariffs or other measures limiting PRC exports; (iii) our customers’ failure to successfully develop, commercialize or achieve market acceptance of their end products, including due to product obsolescence, design flaws, inability to meet industry standards or ineffective resource allocation; (iv) deterioration in our customers’ financial condition or disruptions to their operations arising from supply chain, natural disasters or other catastrophic events.

If downstream demand in either the data center or telecommunications markets is weaker than expected, or if these markets experience significant demand reductions or prolonged downturns, our revenue and profitability could fluctuate materially. In particular, our sales of data center laser chips could be materially and adversely affected if, among others, (i) the development of the data center market is slower than currently anticipated, (ii) the pace of product iteration and technological upgrades in the data center field accelerates beyond our R&D and commercialization capabilities, or (iii) competition in data center-related laser chips further intensifies, leading to loss of market share

RISK FACTORS

or pricing pressure. Any of these factors, individually or in combination, could result in lower-than-expected sales, increased inventory or research and development expenses, and greater volatility in our future operating results, which may have a material adverse effect on our business, financial condition and results of operations.

If we fail to develop new products that address customer preferences and achieve market acceptance in a timely and cost-effective manner, our results of operations could be adversely affected.

Our future success depends on the successful expansion of our laser chips product portfolio and customer base. As our customers are constantly seeking new products with higher efficiency and better performance, and in order to gain market share and keep up with the technological advancements in the semiconductor industry, we must constantly introduce new products and respond to new and evolving customer demands. The success of a new product depends on a variety of specific implementation factors, including: (i) timely development of new technologies and adaption to changes in existing technologies; (ii) timely and cost-effective processing and mass production, while ensuring functionality, performance and reliability; (iii) effective marketing and sustained market demand.

Product development is a complex, costly process with no assurance of return. In 2023, 2024 and 2025, our research and development expenses amounted to RMB30.9 million, RMB54.5 million, and RMB80.8 million, respectively. Meanwhile, the laser chip industry is highly competitive, characterized by rapidly changing technologies and technological obsolescence. We may invest significant resources in R&D activities and incur significant research and development expenses in the future to achieve technological breakthroughs, as well as maintain our technological leadership and the competitiveness of our products and solutions. There can be no assurance that we will be able to develop and introduce new and enhanced products in a timely or efficient manner. Failure to timely develop new technologies or to react quickly to changes in existing technologies could materially delay our development of new and enhanced products, which could result in product obsolescence, decreased revenue, and/or a loss of market share to competitors. Our investments in R&D activities may not generate sufficient returns to offset liabilities assumed and expenses associated with these investments.

In addition, we may not be able to optimize our production processes and the ability to mass produce in a cost-effective manner. We may also encounter lower manufacturing yields and longer delivery schedules in commencing mass production of new products that we introduce, which could increase our costs and disrupt our supply of such products. Further, if initial sales volumes for new or enhanced products do not reach anticipated levels within the time periods we expect, we may be required to engage in additional marketing efforts to promote such products and the costs of developing and commercializing such products may be higher than we predict. To the extent that we fail to timely develop new products or to quickly achieve market acceptance in a cost-effective manner, our results of operations could be materially and adversely affected.

RISK FACTORS

Our IDM business model requires significant capital expenditures and entails high fixed costs, and any decline in capacity utilization or mismatch between capacity expansion and market demand may materially and adversely affect our profitability.

We operate under an integrated device manufacturer (“IDM”) business model, under which we have established and operate our own wafer fabrication, packaging and testing facilities, requiring us to incur ongoing and significant capital expenditures to maintain and expand our production facilities and equipment. This results in a cost structure with a relatively high proportion of fixed costs, including depreciation, utilities, maintenance and personnel costs. Under such a cost structure, our unit production costs and overall profitability are highly sensitive to changes in capacity utilization. If our capacity utilization declines, our fixed costs would be spread over a smaller production base, leading to higher unit costs, lower gross profit margins and weaker profitability. In addition, our IDM model may limit our flexibility to quickly reduce manufacturing-related costs in response to adverse market conditions, compared with a fabless model that relies more heavily on outsourcing.

Furthermore, our decisions to expand production capacity involve long lead times and substantial upfront capital commitments. If we expand our capacity based on overly optimistic expectations of market growth or customer demand that do not materialize as anticipated, we may experience under-utilization of our newly built or expanded facilities, resulting in idle capacity, lower returns on investment and increased depreciation and amortization expenses. Conversely, if we are too conservative in our capacity expansion, we may be unable to meet customer demand in a timely manner, potentially losing business opportunities and market share.

Any significant decline in capacity utilization, material mismatch between our capacity expansion and actual market demand, or prolonged periods of idle or under-utilized capacity could lead to higher unit costs, impairment or accelerated depreciation of equipment, reduced profitability and greater volatility in our results of operations, and may have a material adverse effect on our business, financial condition and results of operations.

Any disruption to the operation of our production plants, failure to successfully execute capacity expansion plans, or inability to manufacture and deliver high-quality products on schedule and on a large scale could restrict our business operations.

Our business model requires continuous manufacturing operations and reliable delivery of high-quality products on time and at the required scale. Failures in either could materially and adversely affect our business, financial condition and results of operations.

The operation of our production bases may be disrupted by damage from fires, floods, earthquakes, typhoons, power outages, mechanical breakdowns, telecommunications failures, loss of licenses, certifications and permits, changes in governmental planning for the underlying land, and the regulatory development, many of which are beyond our control. Our operations involve inherently risky and hazardous activities, including the use of special equipment and management of special gases. Therefore, we are subject to risks associated with these activities, including gas leakages, equipment failures, industrial accidents, fires and explosions. These risks can result in personal injuries and fatalities, damage to or destruction of properties or production facilities, and pollution and other environmental damages. Any of these consequences, if significant, could disrupt the operation of our production bases and result in business interruption and legal liability.

RISK FACTORS

Our ability to compete effectively also depends on manufacturing high-quality laser chips at scale and delivering them to customers on schedule. If any of our production facilities experiences interruptions, delays or disruptions in supplying products, our ability to deliver products to customers would be impeded. Failure to fulfill customers’ requirements and quality control problems that occur in the manufacturing process could prevent us from meeting the stipulated delivery deadline. We may also experience delays in shipments caused by our third-party logistic service providers. Furthermore, our production capacity expansion may require specific regulatory approvals, and any delay or failure to obtain the relevant approvals, permits, licenses and certificates for our expansion plan could restrict our ability to scale up manufacturing to meet growing customer demand. These delays, regulatory hurdles, or product quality issues could have a material adverse effect on our ability to fulfill orders and damage our reputation and brand, affecting our business, results of operations and financial condition.

If we are unable to implement the upgrade or expansion plan to meet the needs of our customers, our business and profitability may be adversely affected. Implementing our expansion plans involves significant capital and is subject to risks regarding funding availability, construction delays, equipment shortages, and installation difficulties. We cannot guarantee that our expansion will be substantiated by sufficient market demand. If we fail to secure sufficient orders, we may be subject to low utilization rates and may not be able to recoup costs incurred. Furthermore, any failure to fulfill related expansion commitments could subject us to penalties, which may materially and adversely affect our business and results of operations.

We may not be able to fully maintain quality control over our products, and undetected defects, failures or reliability issues in our products could reduce the market adoption of our products, damage our reputation or expose us to product liability, warranty and other claims.

Our customers generally have stringent specifications for quality, performance and reliability that our products must meet. Due to the complex product design and production process, our products may contain undetected defects or failures when first introduced or after the commercial mass production, which might require product replacement or recall. Further, changes of raw material used in the production processes may cause our products to fail. If defects and failures occur in our products, we could experience lost revenue, increased costs, including warranty expenses and costs associated with after-sales services, cancellations or rescheduling of orders or shipments, and product returns or discounts, any of which would harm our operating results.

Further, the production of our laser chips involves highly complex processes, and each step requires precise control of process parameters, cleanroom environments, and specialized equipment. These defects can degrade the optical and electrical performance of our chips, including reducing conversion efficiency, increasing signal loss, or causing premature device failure. Such problems may be difficult to detect at an early stage and time-consuming to correct, and may result in claims against us by our customers or others, and subject us to liabilities and damages. Our reputation or brand may be damaged as a result of these problems and customers may be reluctant to buy our products, which could adversely affect our ability to retain existing customers and attract new customers and could adversely affect our business, financial condition and results of operations.

RISK FACTORS

Any failure to offer high-quality support services for our customers or end customers may harm our relationships with them and, consequently, our business.

We have developed a standard product return or exchange procedure according to our customer complaint handling procedure. As we expand our business, we need to be able to continue to provide efficient customer support at scale. We may not be able to recruit or retain customer support personnel with sufficient experience in customer support service or to enhance our infrastructure to efficiently process and respond to our customers’ requests. As a result, we may not be able to respond to our customers’ request for return, exchange, or continuously track customer needs in a timely manner.

Our ability to attract new customers is highly dependent on our business reputation and on positive referrals from our existing customers. If we are unable to provide efficient customer support services to the satisfaction of our customers, our reputation and business may be harmed. In addition, our distributors provide customer service to our end customers. Although we require our distributors to follow relevant standards and protocols established by us, we may not be able to continuously monitor or control the quality of customer service provided by our distributors. If our distributors fail to provide satisfactory services in relation to our products, our reputation and business may be adversely affected.

If the quality of our products deteriorates, we will incur higher costs associated with returns and exchanges. We may also be required by law to adopt new or amend existing return, exchange and warranty policies from time to time. These policies may subject us to additional costs and expenses that may not be offset by increased revenue. If we revise these policies to reduce our costs and expenses, our customers may be dissatisfied. Customer dissatisfaction may result in loss of existing customers or failure to acquire new users, which may materially and adversely affect our business and results of operations.

An increase in prices of raw materials or shortage in supply may disrupt our supply chain, increase our production costs and delay deliveries of our products to customers.

We depend on third-party suppliers to provide a variety of materials necessary for the manufacturing of our laser chips, including substrates, gold targets, specialty gases, trimethylindium, photoresists, packaging materials, and other materials. Our raw material costs allocated to cost of sales amounted to RMB10.1 million, RMB22.6 million, and RMB51.8 million, respectively, in 2023, 2024 and 2025, representing 9.8%, 11.7%, and 19.4% of our total cost of sales for the corresponding periods. Our production volume and production costs depend on our ability to source key raw materials at competitive prices. However, the raw materials we use are subject to price volatility caused by external factors, such as commodity price fluctuations, changes in supply and demand, logistics and processing costs, our bargaining power with suppliers, inflation and governmental regulations and policies.

Any shortages or price increases in the supply of our raw materials could cause delays in our production and delivery to customers. We may in the future experience price fluctuations and supply shortages of certain raw materials, and the predictability of the availability and pricing of these materials may be limited. If we are unable to keep up with demand for our products because of

RISK FACTORS

failing to obtain the materials needed to successfully manufacture and deliver our products in a timely manner, our business could be materially impaired, and market acceptance for our products could be adversely affected.

We are subject to rapid fluctuations in the semiconductor industry.

Our performance is subject to the macrocondition of the semiconductor industry. According to CIC, the semiconductor industry has historically experienced rapid fluctuations, including cyclical downturns due to constant and rapid technological changes, short product life cycles, and fluctuations in product supply and demand. Downturns in the semiconductor industry are characterized by reduced demand, price erosion, lower capacity utilization rates, higher inventory levels and lower inventory valuation. We may not be able to adjust our inventory level to the decline in demand and the price of our products may be adversely affected. If we cannot anticipate market changes or adjust to unforeseen fluctuations, our business, financial condition and results of operation may be adversely affected.

We are exposed to concentration risk of reliance on our major customers and suppliers.

During the Track Record Period, a large portion of our revenue was derived from our major customers. Revenue generated from our five largest customers in each year during the Track Record Period accounted for 55.6%, 59.1% and 71.8% of our total revenue for the respective years. Meanwhile, we also relied on a number of key suppliers to secure supplies necessary for our operations. Purchases from our five largest suppliers in each year during the Track Record Period accounted for 51.9%, 56.9% and 48.1% of our total purchases for the respective years.

Our reliance on these major customers and suppliers subjects us to the concentration and counterparty risk from these customers and suppliers. We cannot assure you that we will be able to maintain our relationships with them, or that our major customers or suppliers will not have a change of business scope or business model or will continue to maintain their market position and reputation. If our major customers cease to purchase, or if supply is disrupted, we may be unable to find comparable replacements on commercial terms in a timely manner. Any material adverse change to the operation, financial performance or financial condition of our major customers and suppliers may result in material adverse impact on their business with us.

Our brand is integral to our success. If we fail to effectively maintain, promote and enhance our brand, our business and competitive advantage may be harmed.

We believe that maintaining and enhancing our well-recognized brand is crucial to the success of our business and sustaining our market position. Our ability to maintain and enhance our brand image depends on a number of factors, including our ability to consistently deliver high-quality products and services, provide reliable and responsive customer service, protect customers’ data and privacy, and promptly address and remediate any product defects, service interruptions, quality issues or customer complaints. Any actual or perceived failure in these respects, including negative customer experiences, product recalls or poor after-sales service, could damage our reputation and erode customer confidence in our brand.

RISK FACTORS

Moreover, adverse publicity or negative comments about us, our products, our management, our business practices or our industry, whether accurate or not, could be rapidly amplified through traditional media, online platforms and social media and harm our brand image. Our competitors, counterparties or other third parties may also make statements or take actions that negatively affect our brand. If we are unable to effectively manage public relations issues, respond to negative publicity or mitigate reputational damage in a timely manner, our brand and our competitive position may be materially and adversely affected.

In addition, the successful promotion of our brand will depend on the effectiveness of our marketing efforts and word-of-mouth referrals we receive from satisfied customers. We expect to continue to invest in and incur extra expenses in brand promotion. But we cannot guarantee that our marketing efforts will be successful, or that they will yield significant benefits that justify the costs. Any such failure may result in our declining market recognition and position, and materially and adversely affect our business, financial condition and results of operations.

We face potential operational and safety risks in our production.

We face various potential operational and safety risks in our production, including but not limited to: (i) social and labor unrest, environmental incidents or public health emergencies, (ii) natural disasters, (iii) disruption of utility supplies such as water, electricity, gas and signals for telecommunications, or (iv) production accidents or interruptions due to operational errors, equipment breakdowns or improper management. Such risks may result in damages to, or destruction of, manufacturing facilities, personal injury or death, environmental damages, economic loss and legal liabilities. The occurrence of any of these events could result in the interruption of our operations and cause us to suffer substantial losses or incur significant liabilities. Any interruption to our operations may result in our inability to design and manufacture products as required by our customers and our inability to fulfill customers’ orders in a timely manner or at all. This may result in financial loss and damages to our reputation, which will adversely affect our business, results of operations, and financial condition.

We need third-party service providers and business partners to provide products and services to us and our customers.

We work with a broad range of third-party service providers and business partners, including logistic service providers and construction service providers. These third parties are subject to operational, legal, and regulatory risks, and may fail to fulfill their commitments in a timely manner and in accordance with the terms agreed upon or applicable laws. In addition, while we have procedures in place for assessing risks along with selecting, managing and monitoring our relationships with third-party service providers, suppliers and business partners, we do not have control over their business operations or governance and compliance systems, practices and procedures which may increase our financial, legal, operational and reputational risk. If we are unable to effectively manage our relationships with third-party service providers, suppliers and business partners, or for any reason our third-party service providers, suppliers or business partners fail to satisfactorily fulfill their commitments and responsibilities, our business, results of operations and financial condition could suffer. Upon expiry of existing contracts with third parties, we may not be able to renew such contracts at terms commercially favorable to us, if at all, or find an appropriate substitute in a timely manner, in which case our business may be adversely affected.

RISK FACTORS

We are subject to risks associated with outsourced production, including risks inherent in managing manufacturing process and timelines.

A portion of our laser chips are packaged through outsourced processing before sale. We are subject to risks associated with outsourced production, including risks inherent in managing manufacturing process and timelines. There is no assurance that we will be able to monitor the performance of these third-party manufacturers as directly and efficiently as with our own staff. We are exposed to quality risks related to the products manufactured by these third-party manufacturers. Their quality control systems may be inadequate, leading to hidden defects difficult to detect upon receipt. Any failure in maintaining product quality could subject us to product liability claims, delays in delivery, and potential claims from our customers. We may also need to source substitutes on a delayed basis or at a higher replacement cost than anticipated. This could tarnish our reputation and materially affect our business and results of operations.

Even if we are able to identify any hidden defects, the process of returning and re-supplying a new batch of products can be time-consuming, leading to delays in delivery and potential claims of contractual liabilities from our customers. In the event of disputes regarding the quality of products supplied by these third-party manufacturers, we may need to resort to legal recourses, which can be both time-consuming and costly. Product defects could also tarnish our brand’s reputation, negatively impacting our sales performance and financial results. Such circumstances could have a material and adverse effect on our reputation, business prospects and results of operations. Moreover, we may be affected by fluctuations in the production costs of these third-party manufacturers. The production costs of these third-party manufacturers may rise if the price of key raw materials rises, which in turn may affect our cost.

We have limited control over the operations of our distributors. Our business may be negatively affected due to risks relating to the acts of our distributors and their potential breach of distribution agreements.

We engage third-party professional distributors for marketing, branding and sales of our products. There can be no assurance that we will be successful in detecting any non-compliance of our distributors with the provisions of their distribution agreements. Non-compliance by our distributors could negatively affect our brand reputation and disrupt our sales. Furthermore, we may be exposed to the risks of fraud or other misconduct committed by our distributors. Our distributors may engage in fraud or other misconduct, including misrepresentation, intellectual property infringement, and bribery. In any such event, we could, as a result, incur liability to our customers, and subject us to costly litigation and impose a significant strain on our financial resources and attention of management personnel regardless of whether the claims have merit, any of which could result in complaints from our customers, regulatory and legal liabilities, as well as serious harm to our reputation.

We may be the subject of unfair competition, harassing, or other detrimental conduct by third parties, including complaints to regulatory authorities, negative social media postings, and the public dissemination of malicious assessments of our business that could harm our reputation and cause us to lose market share, customers and revenue.

We may be the subject of unfair competition, harassing, or other detrimental conduct by third parties. Such conduct includes complaints, anonymous or otherwise, to regulatory authorities. We may be subject to government or regulatory investigation as a result of such third-party conduct and

RISK FACTORS

may be required to expend significant time and incur substantial costs to address such third-party conduct, and there is no assurance that we will be able to conclusively refute each of the allegations within a reasonable period of time, or at all. Additionally, inaccurate or malicious information about us may be posted online on an anonymous basis and spread rapidly through social media, often without filters or opportunity for correction. Our reputation may be negatively affected as a result of the public dissemination of anonymous allegations or malicious statements about our business, which in turn may cause us to lose market share, customers and revenue.

Our business depends on our ability to protect our intellectual property rights, and we may be subject to intellectual property infringement and other claims by third parties in the PRC or other jurisdictions, which, if successful, could cause us to pay significant damages and incur other costs.

We rely primarily on a combination of our patents, trade secrets, trademarks, the confidentiality agreements signed by the employees, and confidentiality agreements signed with third parties to protect our intellectual property rights. There is no assurance that we will be able to successfully apply and be granted new intellectual property rights in a timely and cost-effective manner in the future, as such applications are expensive and time-consuming. Unauthorized parties may be able to obtain and use information that we regard as proprietary. We may initiate legal proceedings against parties who we believe are infringing our intellectual property rights, which can be costly, divert management attention, and involve additional risks if pursued outside Chinese mainland.

Our success is also subject to our ability to use, develop and protect our technology and trade secrets without infringing the intellectual property rights of third parties. Third parties may hold patents or other intellectual property rights that conflict with our products or technologies and may bring suits alleging infringement or urge us to obtain licenses. We may also be subject to liability due to the misconduct of our employees in relation to third party intellectual property rights. If we are found to have infringed upon a third party’s intellectual property rights, we may be required to cease to sell affected products, pay damages to the rights holders, redesign our products, or adopt alternative branding for our products. Intellectual property infringement or other claims by third parties in the PRC or other jurisdictions, if successful, may invalidate our patents, subject us to pay damages to third parties, require us to seek licenses from third parties, pay ongoing royalties, redesign our products, and subject us to injunctions prohibiting the manufacture and sale of our products or the use of our technologies. Any of the above could materially and adversely affect our business, financial condition and results of operations.

Our business depends substantially on the efforts of our management and highly skilled employees, including R&D personnel, and our operations may be severely disrupted if we lost their service.

Our future performance depends on the service and contribution of our management to oversee and execute our business plans. Any loss of service of our management can significantly delay or prevent us from achieving our strategic business objectives, and adversely affect our business, financial condition and operating results. Hiring suitable replacements and integrating them into our existing teams require a significant amount of time, training and resources, and may impact our existing corporate culture. Additionally, competition for highly skilled personnel is often intense, and we may incur significant costs to attract and retain highly skilled personnel in our R&D team. We may not be successful in attracting, integrating, or retaining qualified personnel to fulfill our

RISK FACTORS

current or future needs. In addition, if the estimated value of our equity or equity awards declines, it may adversely affect our ability to retain highly skilled employees. If we fail to attract new personnel or fail to retain and motivate our current personnel, our business and prospects could be adversely affected.

We are subject to risks relating to lawsuits, claims, disputes, regulatory investigations or administrative proceedings, which could adversely affect our business, financial condition, results of operations and prospects.

We may from time to time become a party to litigation, legal disputes, claims, administrative proceedings or other administrative measures in connection with contractual disputes, labor or employment-related matters, allegations of intellectual property infringement or misappropriation, product quality or safety issues, data protection and privacy, anti-corruption or compliance matters, or disputes involving alleged misconduct or negligence of our employees, agents or other representatives. Such disputes and claims may evolve into lengthy and costly litigations and could damage our reputation, thereby adversely affecting our customer base and our relationships with business partners and other stakeholders. We cannot guarantee that we will not be subject to legal proceedings in the ordinary course of business or that we will always be able to resolve such matters on commercially acceptable terms.

Litigation and other legal or regulatory proceedings are distractive and expensive as they may cause us to incur significant legal fees, allocate our resources, divert the attention of our management team, and damage our reputation, any of which could adversely affect our business. In addition, we may from time to time become subject to investigations, inquiries, inspections or enforcement actions by regulatory or governmental authorities, which may also require substantial time and resources, result in the imposition of fines, penalties, sanctions, remedial measures or other restrictions, and may give rise to follow-on civil claims by third parties. Any adverse judgment or settlement could require significant payments, and unfavorable outcomes or even the announcement of such proceedings could damage our reputation, reduce customer and investor confidence, and restrict our business activities, any of which could adversely affect our business, financial condition and results of operations.

Our business, financial condition and results of operations may be materially and adversely affected by international trade policies, international export controls laws and regulations and economic sanctions.

As we are a leading global provider of laser chips incorporated in the PRC, we are subject to the impact of evolving international trade policies, export control regimes and economic sanctions that apply to China-based entities and to the broader semiconductor and laser chip industries. Governments and supranational organizations, including the United States and other countries, have in recent years imposed, and may further impose or expand, laws, regulations and policies relating to export controls, investment restrictions, tariffs, import and export licensing, supply chain security, data and cybersecurity, foreign ownership or participation in strategic sectors, and sanctions on certain countries, regions, entities and individuals. Many of these measures specifically target or affect semiconductor and related technologies, and may directly or indirectly affect our access to overseas markets, customers, suppliers, technologies, equipment and capital.

RISK FACTORS

Our products, technologies and certain of our raw materials and equipment may be, now or in the future, subject to export controls or licensing requirements under the laws and regulations of jurisdictions such as the United States, the EU or other countries. Changes in export control classifications, the addition of new items, technologies, software or entities to control lists, the imposition of new end-use or end-user restrictions, or the adoption or expansion of sanctions programs could restrict or delay our ability or the ability of our business partners to, among other things, (i) obtain, import or use certain advanced production equipment, software, materials or components necessary for our R&D and manufacturing; (ii) export or re-export our products or technologies to certain customers, regions or applications; or (iii) provide services, technology transfer or technical assistance to certain counterparties. If we or any of our subsidiaries, customers, suppliers or other business partners become subject to sanctions, export restrictions, import bans, additional licensing requirements or other restrictive measures, our operations, supply chain, sales and business development activities could be significantly disrupted.

In addition, changes in international policies or geopolitical tensions, including those involving China and other countries, may result in retaliatory measures, such as reciprocal sanctions, “unreliable entity” designations, enhanced national security reviews, restrictions on cross-border investment or technology cooperation, or heightened scrutiny on products and services with potential dual-use or strategic applications. These developments may (i) limit or delay our ability to expand into or maintain our presence in certain overseas markets; (ii) cause certain foreign customers or suppliers to reduce, suspend or terminate their cooperation with us due to compliance concerns or perceived political or regulatory risks; (iii) require us to adjust our product specifications, technology roadmap, supply chain structure or customer mix in ways that are suboptimal or more costly; and (iv) increase our compliance and operational costs, including for legal, consulting and internal control resources.

We may be required to modify our business practices, product offerings or contractual arrangements, change our sourcing strategies, localize certain parts of our supply chain or manufacturing processes, or seek alternative suppliers, technologies or markets in response to changes in international policies, export controls and sanctions. There can be no assurance that we will be able to implement such adjustments in a timely, cost-effective or commercially feasible manner, or at all. Any inability to secure alternative supply arrangements or to maintain access to key markets and technologies on acceptable terms could result in supply disruptions, delays in product development or delivery, reduced product performance or competitiveness, or loss of existing and potential customers.

Moreover, the interpretation and enforcement of export control laws and sanctions are complex, constantly evolving and may involve significant uncertainties. Even unintentional or perceived non-compliance, or association with entities or individuals that are or become sanctioned or subject to export controls, may expose us to investigations, fines, penalties, debarment, restrictions on our ability to engage in certain transactions, reputational damage and other adverse consequences. Any of the foregoing events, individually or in the aggregate, could have a material adverse effect on our business, financial condition and results of operations, as well as our prospects and our ability to execute our growth strategy.

RISK FACTORS

On October 28, 2024, the U.S. Department of the Treasury (the “**Treasury**”) issued a final rule titled Provisions Pertaining to U.S. Investments in Certain National Security Technologies and Products in Countries of Concern (the “**Outbound Investment Rule**”) to implement Presidential Executive Order 14105, issued on August 9, 2023. The Outbound Investment Rule took effect on January 2, 2025. It imposed certain investment prohibition and notification requirements, additional diligence responsibilities, and record-keeping requirements on U.S. persons and their controlled foreign entities involving new investments in entities associated with China (including Hong Kong and Macau) that are engaged in activities involving certain sectors (“**Covered Foreign Persons**”). U.S. persons subject to the Outbound Investment Rule are prohibited from making or are required to report certain investments in Covered Foreign Persons, which are defined as “covered transactions.” Covered transactions may include, among other things, acquisitions of equity interests, certain debt financing transactions, the formation of certain joint ventures, and certain investments as a limited partner in a non-U.S. person pooled investment fund.

We believe that our business should neither be classified as a prohibited transaction nor constitute a notifiable transaction as our products do not fall within the scope of integrated circuits and we are not engaging in the design, fabrication, or packaging of any integrated circuit. However, we are unable to assure that the Treasury will not reach a different conclusion, which could implicate the notification requirements under the Outbound Investment Rule. In addition, we cannot predict how the Outbound Investment Rule will be enforced, and neither can we guarantee that there will not be an expansion to the scope of the Outbound Investment Rule, a change in interpretation to broaden its application, or an enactment of similar laws or regulations that impinge upon our business activities in the future.

The expansion into overseas markets may expose us to operational, financial and regulatory risks.

While our products have been historically sold primarily to customers based in the PRC, expanding our global footprint and growing overseas sales is an important part of our future growth. However, our efforts to increase overseas sales may not be successful. Overseas operations are subject to a number of risks, including: (i) foreign exchange controls and rate fluctuations; (ii) increased costs of establishing local market presence, and difficulties in staffing, managing operations and providing after-sales support; (iii) compliance with different legal and commercial requirements across jurisdictions, failure to obtain or maintain necessary permits, and inability to protect intellectual property rights; (iv) trade barriers such as tariffs and export requirements, stringent product compliance regulations, and unanticipated changes in economic conditions or regulatory requirements, and (v) compliance with the legal procedures required by relevant laws and regulations for overseas investments, including, but not limited to, obtaining necessary licenses, approvals, filings, and registrations from competent authorities. The occurrence of any of these risks could negatively impact our overseas expansion and consequently our business, financial condition and results of operating.

We may pursue strategic investments, partnerships or acquisitions, and our business could be adversely affected if we fail to successfully identify, evaluate and integrate the target businesses.

We may from time to time seek to grow our business through strategic investments, partnerships or acquisitions. However, the execution and success of any such transactions depend on various factors, including market conditions, regulatory developments, competition for attractive

RISK FACTORS

targets and the availability of internal and external resources. We may not be able to identify suitable targets or partners on acceptable terms, within the desired timeframe, or at all. Even if we are able to do so, we may, upon further due diligence or negotiation, determine that the proposed transaction is not commercially or strategically viable and decide not to proceed. In addition, any strategic investment, partnership or acquisition that we pursue may involve uncertainties and risks, such as difficulties in integrating acquired businesses, technologies, products, systems or personnel; challenges in realizing expected synergies, cost savings or growth opportunities; and potential conflicts of interest or disagreements with partners. If we are unable to effectively manage these risks, the relevant transactions may fail to achieve their intended benefits or may even negatively affect our existing operations.

These initiatives, if any, could potentially result in our invested capital not yielding the anticipated returns, or exposure to impairment charges, contractual disputes, indemnity claims or other obligations to counterparties or third parties, thereby adversely affecting our financial condition, results of operations and prospects.

Downturns or volatility in global economic conditions could have a material adverse effect on our business, financial condition, results of operations and liquidity.

Our sales and profitability depend significantly on global economic conditions and the demand for the end products in the markets in which our customers compete. Weaknesses in the economy and financial markets can lead to lower demand in our target product groups. Economic uncertainty affects businesses such as ours in a number of ways, making it difficult to accurately forecast and plan our future business activities. A decline in end-user demand can affect the demand of customers for our products, and the tightening of credit in financial markets may lead consumers and businesses to postpone spending, either of which may cause our customers to cancel, decrease or delay their existing and future orders with us.

We may not accurately assess the impact of changing market and economic conditions on our business and operations. In addition, financial difficulties experienced by our suppliers could result in product delays, increased accounts receivable defaults and inventory challenges. All these factors related to global economic conditions, which are beyond our control, could adversely impact our business, financial condition, results of operations and liquidity.

Our information technology networks and systems may encounter malfunction, unexpected system failure, interruption, insufficiency or security breaches.

We rely on certain third-party information technology systems and infrastructure to support our operations and facilitate communications among our employees and with suppliers, customers and other business partners. These information technology systems may be susceptible to damage, disruption, malfunction or shutdown due to a variety of factors, including failures during maintenance or upgrades, power outages, hardware or software failures, human error, cyberattacks, telecommunications failures, as well as natural disasters or other catastrophic events.

RISK FACTORS

If our information technology systems, or those of our third-party providers, suffer damage, disruption or shutdown, we may incur substantial costs in repairing, restoring or replacing these systems and in implementing additional safeguards. If we do not effectively identify, prevent or resolve such issues in a timely manner, or if backup, redundancy and disaster recovery plans are insufficient or fail to function as intended, our operations could be interrupted or delayed. In addition, if our information technology systems fail to meet the performance, capacity, scalability or security requirements associated with our business expansion and increasing transaction volumes, our future growth and our ability to implement our business strategy may be adversely affected.

Misconduct or other improper activities by our employees or other third parties could cause significant liability for us, harm our reputation or otherwise result in other consequences that may have a material adverse effect on our business, financial condition and results of operations.

Misconduct could include violations of anti-corruption and anti-bribery, fair competition and antitrust, sanctions and import-export controls, data protection and cybersecurity, insider dealing, and any other applicable laws or regulations, as well as misappropriation of assets, unauthorized disclosure or misuse of confidential information, intellectual property infringement, falsification of records or reports, or other unethical or unlawful behavior. Our internal controls and compliance measures may not prevent all misconduct, and as a result, we could face unknown risks or losses. Such misconduct or improper activities may be difficult to detect or deter, and may be committed by individuals acting outside the scope of, or in violation of, our policies, sometimes in collusion with third parties.

Any resulting non-compliance could damage our reputation and subject us to fines and penalties, restitution or other damages, disgorgement of profits, revocation or suspension of licenses or loss of customer contracts. Allegations of misconduct, even if unsubstantiated, could divert management attention and negatively affect the confidence of our customers and other stakeholders, any of which could adversely affect our business, financial condition and results of operations.

We may not have sufficient insurance coverage to cover our potential liability or losses and, as a result, our business, financial condition, results of operations and prospects may be materially and adversely affected should any such liability or losses arise.

We face various risks in connection with our business and may lack adequate insurance coverage or have no relevant insurance coverage. As of the Latest Practicable Date, we obtained and maintained insurance policies that we believe are customary for businesses of our size and type and in line with standard commercial practice, and we had not maintained product liability insurance or any business interruption or litigation insurance. We cannot guarantee we will be able to purchase product liability insurance or other related insurance on acceptable terms. If we were to incur substantial losses or liabilities due to fire, explosions, floods or other natural disasters, disruption in our network infrastructure, production facilities or business operations, or any material litigation, our results of operations could be materially and adversely affected. Our current insurance coverage may not be sufficient to prevent us from suffering any loss and there is no certainty that we will be able to successfully claim our losses under our current insurance policy on a timely basis, or at all. If we were held liable for uninsured losses or amounts and claims for insured losses exceeding the limits of our insurance coverage, our business, financial condition, results of operations and prospects may be materially and adversely affected.

RISK FACTORS

Expectations relating to environmental, social and governance considerations and related reporting obligations expose us to potential liabilities, increased costs, reputational harm, and other adverse effects on our business.

To identify, manage, and mitigate ESG risks, we may incur additional costs and expenses which could impact our financial performance. We monitor a wide range of indicators such as power consumption, emission of greenhouse gas, and waste generation to manage our environmental and climate-related risks arising from our operations and are committed to providing adequate support to our employees to nurture a friendly and inspirational corporate culture. This commitment may entail incurring substantial additional costs and would potentially impact our profitability.

In addition, the increasing ESG-related regulatory requirements, including various ESG disclosure mandates in the jurisdictions where we operate, may lead to rising compliance costs and sales cost may rise. For details of the risks in relation to compliance with the environmental, safety and occupational health laws and regulations, see “— We are subject to various environmental, safety and occupational health laws and regulations in the areas we operate. Compliance with these present or future requirements may result in increased compliance costs, which may have a material adverse effect on our business, financial condition and results of operations.” Failure to adapt to new regulations or meet evolving industry expectations and standards could result in consumers choosing products from other companies, which may materially and adversely affect our results of operations and financial conditions.

We are subject to potential adverse effects in respect to defects in our existing properties leased in China.

As of the Latest Practicable Date, we leased three properties primarily used or intended to be used as production premises for our business operations, with a total gross floor area of over 3,500 square meters in Chinese mainland. As of the Latest Practicable Date, we had not completed the registration of lease filing for all the leased properties with the relevant competent authorities in accordance with applicable laws and regulations in China. As advised by our PRC Legal Advisors, the lack of registration of lease filing does not affect their validity of lease agreements, or result in us being required to vacate from these leased properties, but we may be ordered by relevant competent authorities to complete the registration within a designated time period, and may be subject to fines from RMB1,000 to RMB10,000 for each lease agreement that we fail to register within the time period. There can be no assurance that the relevant government authorities would not impose administrative penalties on us as a result of the non-registration of some of our lease agreements.

As of the Latest Practicable Date, the landlord of our leased properties had only provided us with the certificate of the right to use land for construction, but had not provided with the property ownership certificates of the factory buildings. If the lease agreements of the abovementioned leased properties are deemed invalid, or if we need to vacate the abovementioned leased properties, there is no assurance that we could timely relocate to alternative premises or enter into lease agreements on comparable commercial terms.

RISK FACTORS

We face risks related to natural disasters, health epidemics and other outbreaks, which could significantly disrupt our operations.

Our business could be materially and adversely affected by natural disasters, outbreaks of a widespread health epidemic or pandemic, or other events such as wars, acts of terrorism, environmental accidents, power outages or communication interruptions. Such events may also significantly affect our industry and may even cause a temporary closure of the facilities we or our business partners use for our operations, which would severely disrupt our operations and have a material adverse effect on our business, financial condition and results of operations. Our operations could be disrupted if any of our employees or employees of our business partners were suspected of having any of the epidemic or pandemic illnesses, since this could require us or them to quarantine some or all of such employees or disinfect the facilities used for our operations. In addition, our revenue and profitability could be materially reduced to the extent that a natural disaster, health epidemic or pandemic or other outbreaks harm the global or PRC economy in general.

RISK FACTORS RELATING TO FINANCIAL, ACCOUNTING AND TAX MATTERS

We have been and intend to continue investing significantly in R&D activities, which may adversely affect our profitability and operating cash flow and may not generate the results we expect to achieve.

We invest in R&D activities to develop and introduce new and enhanced products. In 2023, 2024 and 2025, our research and development expenses amounted to RMB30.9 million, RMB54.5 million, and RMB80.8 million, respectively. The industry in which we operate is subject to rapid technological innovations. To expand our product and solution portfolio and to remain competitive in the industry, we need to continue investing significant resources in R&D activities. As a result, we may continue to incur significant research and development expenses in the future.

However, we cannot guarantee that our efforts will be successful or deliver the effects, functions or benefits we expect. We may not be able to obtain sufficient resources, including qualified R&D personnel and R&D equipment to support the R&D of new or enhanced products. We may also encounter practical difficulties in commercializing our R&D outcomes, and new technologies could render our products obsolete, in which case we may not be able to recover related R&D costs. Even if our R&D efforts successfully result in the development and commercialization of new products, these efforts may not contribute to our future results of operations within our expected timeframe, or at all. The success and profitability of our new products are subject to various factors such as market demand, macroeconomic conditions or the pace of technological advancement, which are beyond our control. Therefore, the contributions from our R&D efforts may not meet our expectations or even cover the costs of such efforts, which would materially and adversely affect our business, results of operations, financial condition and competitive position.

We have historically incurred net losses and net operating cash outflows, and we may continue to incur net losses and net operating cash outflows in the future.

In 2023, we recorded net operating cash outflows of RMB17.4 million. In addition, in 2024, we recorded net losses of RMB6.1 million. While we recorded a net profit in 2023 and 2025, there is no assurance that we will be able to sustain such profitability in the future. Meanwhile, while we recorded net operating cash inflow of RMB19.0 million in 2024 and RMB150.2 million in 2025, there

RISK FACTORS

is no assurance that we will not experience periods of net operating cash outflow in the future. If we continue to record net operating cash outflow in the future, our working capital may be constrained which may adversely affect our business and financial condition.

Our expansion of our product offerings may not be consistently successful and may incur losses if the revenue from the sales of our laser chips fails to offset our costs, which may materially and adversely affect our financial condition, results of operations and prospects. In addition, Our future profitability will depend on a variety of factors, including the expansion and performances of our existing business, competitive landscape, customer preference and macroeconomic and regulatory environment. Our revenues may not grow at the rate we expect, and it may not increase sufficiently to offset the increase in our costs and expenses. Consequently, we may incur losses in the future and we cannot assure you that we will eventually achieve our intended profitability. We may still record negative cash flow in the future and need to seek external financing to support our operations, such as available equity financing or bank facilities.

We may be exposed to credit risk arising from our trade receivables. Failure to collect our trade receivables in a timely manner or at all could have a material and adverse impact on our business, financial condition, liquidity and prospects.

Our trade receivables represent balances due from our customers for sales of our products. As of December 31, 2023, 2024 and 2025, our trade receivables amounted to RMB99.7 million, RMB121.0 million, and RMB264.5 million, respectively. Our customers may encounter unexpected financial difficulties, liquidity constraints, changes in their own business operations, or other adverse developments, which may in turn affect their ability or willingness to settle amounts due to us. As a result, we may not be able to recover all or any of our trade receivables, or within the expected credit terms, and may be exposed to increased credit risk, higher impairment provisions and bad debt write-offs, which could have a material and adverse effect on our business, financial condition, results of operations and liquidity.

Our future capital expenditure on property, plant and equipment may result in an increase in our depreciation expenses and may affect our profitability.

Our depreciation expenses for our property, plant and equipment amounted to approximately RMB39.7 million, RMB47.5 million, and RMB58.2 million for the year ended December 31, 2023, 2024 and 2025, respectively. As part of our business strategies to expand our production capacity, we plan to build certain new properties and purchase production equipment under our production capacity expansion plan. See “Business — Our Strategies” and “Future Plans and [REDACTED]”. As soon as the properties and equipment are put into operation, they will result in additional annual depreciation charges. The increase in depreciation will adversely affect our financial condition and results of operations.

If we fail to maintain adequate inventory, or if we mismanage our inventory, we could lose sales or incur high inventory-related expenses, which could negatively affect our financial condition and results of operations.

Operating under an IDM model in the laser chip industry, we carry inventories at multiple stages of the value chain, including raw materials, work-in-progress, finished goods and goods in transit. As of December 31, 2023, 2024 and 2025, we had inventories of RMB140.8 million,

RISK FACTORS

RMB122.7 million and RMB133.7 million, respectively. Our production and procurement plans are based on internal demand forecasts, customer orders and market expectations. However, demand for our data center laser chips and telecommunications laser chips can be highly volatile and is influenced by factors such as downstream capital expenditure cycles, customers’ product roadmaps, technological changes, pricing and competitive dynamics, many of which are beyond our control. Some of our key materials have long lead times, may require advance commitments or prepayments, and may not be cancellable or returnable, which further increases our inventory risk if demand falls short of expectations.

Our inventories are carried at the lower of cost and net realizable value, and as of December 31, 2023, 2024 and 2025, we recorded inventory write-downs of RMB16.7 million, RMB27.2 million and RMB19.8 million, respectively. If we overestimate demand, experience yield issues, or accelerated product and technology iteration in the telecommunications or data center markets, we may face increasing levels of slow-moving, excess or obsolete inventories, leading to higher storage and handling costs, additional write-downs or write-offs, and reduced profitability. Conversely, if we underestimate demand, are unable to ramp up our internal capacity in a timely manner, or encounter disruptions in our supply of critical materials or outsourced processes, we may experience inventory shortages or extended lead times, which could result in delayed deliveries, the loss of customers, or reduced share of customers’ new projects or platforms. We may experience fluctuations in inventory turnover days reflecting these dynamics in the future.

We cannot guarantee that our inventory levels, production planning and capacity allocation will always match market and customer demand. Any failure to effectively manage our inventories as an IDM laser chip company, whether due to excess, obsolete or insufficient inventories, could materially and adversely affect our working capital, business, financial condition, results of operations and prospects.

We have granted, and may continue to grant, certain awards under our share incentive schemes, which may result in increased share-based compensation expenses, affect our financial condition and results of operations, and potentially dilute the shareholding of our existing shareholders.

We adopted share incentive schemes, including share-based compensation, to incentivize and reward the eligible persons who have contributed to our success. In 2023, 2024 and 2025, we incurred share-based payments of RMB3.5 million, RMB3.7 million, and RMB32.2 million, respectively. Nevertheless, share-based compensation expenses would potentially dilute the shareholding of existing shareholders. We may continue to grant share-based compensation awards to employees in the future. As a result, our expenses associated with share-based compensation may increase, which may affect our financial condition and results of operations. We may re-evaluate the vesting schedules, lock-up period, or other key terms applicable to the grants under the share incentive scheme from time to time. If we choose to do so, we may experience a substantial change in our share-based compensation expenses in the reporting periods following [REDACTED].

RISK FACTORS

We may need to raise additional capital in the future in order to execute our business plan, which may not be available on acceptable terms, or at all.

We may need additional capital in the future to fund our continued operations, and we may be unable to raise additional funds, whether through equity or debt financing, when needed on favorable terms, or at all. If we do raise additional capital through public or private equity offerings, the ownership interest of our existing shareholders, including [REDACTED], will be diluted, and the terms of these securities may include liquidation or other preferences that adversely affect our shareholders’ rights. If we raise additional capital through debt financing, we may be subject to covenants limiting or restricting our ability to take specific actions, such as incurring additional debt, making capital expenditures or declaring dividends. Any failure to raise capital as and when needed could have a negative impact on our financial condition and on our ability to pursue our business plans and strategies.

Failure to fulfill our contractual obligations could adversely affect our liquidity and financial condition.

Our contract liabilities primarily arise from advance payments made by our customers to us before we fulfill our performance obligations. Our contract liabilities were RMB2.1 million, RMB1.5 million, and RMB1.9 million as of December 31, 2023, 2024 and 2025, respectively. There is no assurance that we will be able to fulfill our obligations in respect of contract liabilities as the fulfillment of our performance obligations is subject to various factors that are beyond our control. If we are not able to fulfill our obligations with respect to our contract liabilities, the amount of contract liabilities will not be recognized as revenue and we may have to refund the advance payment made by our customers. As a result, our liquidity and financial condition may be adversely affected.

Fluctuations in exchange rates could result in foreign currency exchange losses.

The value of the Renminbi against the Hong Kong dollar, the U.S. dollar, and other foreign currencies fluctuates and is affected by changes in international political and economic conditions, as well as market supply and demand. There is no assurance that, under a certain exchange rate, we will have sufficient foreign exchange to meet our foreign exchange requirements. It is difficult to predict how market forces or government policies may impact the exchange rate between Renminbi and the Hong Kong dollar, U.S. dollar or other currencies in the future.

The [REDACTED] from the [REDACTED] will be received in Hong Kong dollars. As a result, any appreciation of Renminbi against the U.S. dollar, Hong Kong dollar or any other foreign currency may result in a decrease in the value of our [REDACTED] from the [REDACTED]. Conversely, any depreciation of the Renminbi may adversely affect the value of, and any dividends payable on, our H Shares in foreign currency. In addition, there are limited instruments available for us to reduce our foreign currency risk exposure at reasonable costs. Any of these factors could materially and adversely affect our business, financial condition, results of operations and prospects, and could reduce the value of, and dividends payable on, our Shares in foreign currency terms.

RISK FACTORS

RISKS RELATING TO OUR BUSINESS AND INDUSTRY IN THE PRINCIPAL PLACE OF OUR BUSINESS

Changes in global economic, political or social conditions or government policies in the countries and regions where we operate could have a material and adverse effect on our business and operations.

The global economic, political and social conditions are evolving rapidly and are subject to uncertainties. Geopolitical tension and conflicts, energy crisis, inflation risk, interest rate increases, instability in the financial system, and the tightening of monetary policy by the U.S. Federal Reserve impose new challenges and uncertainties on the global economy. Furthermore, sanctions and export control measures imposed by the U.S. or other jurisdictions may affect Chinese companies, and we could be required to incur additional costs to comply with these complicated regulations and measures and could face penalties for any violation, even if inadvertent.

Our business, financial condition, results of operations and prospects may be influenced by policy, economic and social conditions in China, as substantially all of our operations are located in China. Any economic downturn in our geographic markets or any other market in which we may operate could affect our business, financial condition and results of operations.

Holders of our H Shares may be subject to PRC income tax on dividends from us or on any gain realized on the transfer of our H Shares.

As is customary with all major economies, China has tax treaties or similar arrangements with jurisdictions across the world. Under the EIT Law and its implementation rules and Notice on the Issues concerning Withholding the Enterprise Income Tax on the Dividends Paid by Chinese Resident Enterprises to H-share Holders Which Are Overseas Non-resident Enterprises (《關於中國居民企業向境外H股非居民企業股東派發股息代扣代繳企業所得稅有關問題的通知》) (Guo Shui Han [2008] No. 897) (國稅函[2008]897號), a 10% withholding tax is normally applicable to dividends paid to non-PRC resident enterprise holders of H Shares, and any gains from the transfer of H Shares by such holders may also be subject to 10% PRC income tax.

Under the Individual Income Tax Law of the PRC (《中華人民共和國個人所得稅法》) and its implementation rules, and Circular on Questions Concerning the Collection of Individual Income Tax Following the Repeal of Guo Shui Fa [1993] No. 045 (《關於國稅發[1993]045號文件廢止後有關個人所得稅徵管問題的通知》) (Guo Shui Han [2011] No. 348) (國稅函[2011]348號), dividends paid to non-PRC resident individual holders are generally subject to a 10% withholding tax, or 20% for holders in jurisdictions without a tax treaty with the PRC. However, pursuant to the Circular Declaring that Individual Income Tax Continues to be Exempted over Income of Individuals from Transfer of Shares (《關於個人轉讓股票所得繼續暫免徵收個人所得稅的通知》) (Cai Shui [1998] No. 61) (財稅[1998]61號), gains of individuals from the transfer of listed shares may be exempt from individual income tax, and as of the Latest Practicable Date, no provision has expressly required the collection of individual income tax from non-PRC resident individuals on the sale of shares of PRC resident enterprises listed on overseas stock exchanges.

RISK FACTORS

If any PRC income tax is collected from the transfer of our H Shares or on dividends paid to our non-PRC resident investors, the value of your [REDACTED] in our H Shares may be affected. Furthermore, our Shareholders whose jurisdictions of residence have tax treaties or arrangements with the PRC may not qualify for benefits under such tax treaties or arrangements.

Our offshore subsidiaries may be treated as a resident enterprise for tax purposes in Chinese mainland.

Under the EIT Law and the Regulation on the Implementation of the Enterprise Income Tax Law of the PRC (《中華人民共和國企業所得稅法實施條例》), enterprises established under the laws of jurisdictions outside of Chinese mainland with “de facto management bodies” located in Chinese mainland may be considered PRC resident enterprises for tax purposes and may be subject to the PRC EIT at the rate of 25% on their global income. In addition, the Notice Regarding the Determination of Chinese-Controlled Offshore Incorporated Enterprises as PRC Resident Enterprises on the Basis of De Facto Management Bodies (《國家稅務總局關於境外註冊中資控股企業依據實際管理機構標準認定為居民企業有關問題的通知》) (Guo Shui Fa [2009] No. 82) (the “Circular 82”), specifies that certain Chinese-controlled offshore incorporated enterprises will be classified as resident enterprises if all of the following conditions are met: (i) senior management personnel and departments that are responsible for daily production, operation and management are located mainly within Chinese mainland; (ii) financial and personnel decisions are subject to determination or approval by bodies or persons in Chinese mainland; (iii) primary properties, accounting books, company seal, and minutes of board meetings and shareholders’ meetings are located or kept within Chinese mainland; and (iv) at least half of the directors with voting rights or senior management reside within Chinese mainland.

If our offshore subsidiaries are deemed PRC resident enterprises, the competent regulatory authorities may request EIT at 25% on such our offshore subsidiaries’ global income, except that the dividends they receive from our Chinese mainland subsidiaries, if any, may be exempt from the EIT to the extent such dividend income constitutes “dividends received by a PRC resident enterprise from its directly invested entity that is also a PRC resident enterprise.” The EIT on our subsidiaries’ global income could significantly increase our tax burden and affect our cash flows and profitability.

You may experience difficulties in effecting service of legal process and enforcing judgments against us and our management.

We are a company incorporated under the laws of the PRC and substantially all of our business, assets and operations are located in China. In addition, the majority of our Directors and executive officers reside in China, and substantially all of the assets of such Directors and executive officers are located in China. As a result, it may not be possible to effect service of process upon most of our Directors and senior management in China. Moreover, the PRC does not have treaties providing for reciprocal recognition and enforcement of court judgments in the U.S., the United Kingdom, Japan or most other countries. In addition, Hong Kong has no arrangement for the reciprocal enforcement of judgments with the U.S. As a result, in Chinese mainland or Hong Kong, recognition and enforcement of court judgments from the jurisdictions mentioned above may be difficult or impossible. Although we will be subject to the Listing Rules and the Takeover Codes, the holders of H Shares will not be able to bring actions on the basis of violations of the Listing Rules and must rely on the Stock Exchange to enforce its rules. The Listing Rules and the Takeover Codes do not have the force of law in Hong Kong.

RISK FACTORS

Uncertainties embedded in the legal systems of certain geographic markets where we operate could affect our business, financial condition and results of operations.

The legal systems and regulatory environments in our operating markets vary significantly, and laws and regulations in certain jurisdictions may be evolving, inconsistently interpreted or unpredictably enforced. As a result, the scope and application of legal requirements, as well as the outcome of administrative or court proceedings, may be difficult to assess. In some jurisdictions, government policies or regulatory interpretations may change with limited notice and, in certain cases, may have retroactive effect. In addition, proceedings may be lengthy and costly, and may divert significant management time and resources. These factors may increase our compliance burden and legal exposure, limit our ability to enforce contractual rights (including the enforcement of foreign judgments or arbitral awards), and require additional resources to address regulatory developments. Any of the foregoing could and adversely affect our business, results of operations and financial condition.

In addition, we have benefited, and may continue to benefit, from various government incentives, subsidies, and grants. These preferential policies are subject to review and renewal and may be adjusted, suspended or terminated. If we cease to qualify for any preferential tax treatment, or if applicable laws, regulations or policies are amended, tightened or repealed, these preferential policies could be cancelled, which would adversely affect our financial condition and results of operations. We cannot assure you that we will continue to receive government grants or other similar support in the future, or at all. Any decrease, delay, cancellation or claw-back of such incentives, grants or preferential treatments could have a material adverse effect on our business, financial condition and results of operations.

During the Track Record Period, there may have been differences between our understanding and application of the contribution base for social insurance and housing provident fund contributions and the interpretation adopted by the relevant regulatory authorities. As advised by our PRC Legal Advisors, if our contribution base is deemed non-compliant with applicable PRC laws and regulations by the relevant authorities, we may be subject to orders to make up the shortfalls, late payment fees and administrative penalties. Any such liabilities, enforcement actions or penalties could adversely affect our business, financial condition and results of operations. The relevant regulatory authority has issued a written certificate confirming that no administrative penalty was imposed on us during the Track Record Period.

The foreign exchange regulations may limit our business and results of operations and our ability to remit dividends.

Conversion and remittance of foreign currencies are subject to the foreign exchange regulations. It cannot be guaranteed that under a certain exchange rate, we shall have sufficient foreign exchange to meet our foreign exchange needs. For example, under the Chinese current foreign exchange control system, foreign exchange transactions under the current account conducted by us, including the payment of dividends, do not require advance approval from the SAFE, but we are required to present relevant documentary evidence of such transactions and conduct such transactions at designated foreign exchange banks within the PRC that have the licenses to carry out foreign exchange business. Foreign exchange transactions under the capital account, however, normally need to be approved by or registered with the SAFE or its local branch unless otherwise

RISK FACTORS

permitted by law. If we fail to obtain such approvals or registrations, our potential offshore capital expenditure plans and even our business may be materially and adversely affected and could subject us to administrative penalties and fines.

We are subject to various environmental, safety and occupational health laws and regulations in the areas we operate. Compliance with these present or future requirements may result in increased compliance costs, which may have a material adverse effect on our business, financial condition and results of operations.

Our business is subject to certain laws and regulations relating to environmental, safety and occupational health matters. Our production process produces pollutants such as wastewater, solid waste, liquid waste and hazardous waste, the discharge of which may give rise to environmental liabilities and remediation costs. In addition, we are subject to various ESG rules and regulations by governing bodies, including the Stock Exchange, the SFC, as well as regulatory authorities in the Chinese mainland. We must also adapt to new and evolving regulatory measures under applicable laws and changing social trends concerning ESG risks. Compliance with these requirements may result in increased costs and diversion of management attention, which may adversely affect our business, financial condition and results of operations.

We are subject to various regulations regarding the registration requirements for employee share incentive plans. Compliance with these regulations may result in increased compliance costs, which may have a material adverse effect on our business, financial condition and results of operations.

According to the Notices on Issues Concerning the Foreign Exchange Administration for Domestic Individuals Participating in Stock Incentive Plan of Overseas Publicly Listed Company (《關於境內個人參與境外上市公司股權激勵計劃外匯管理有關問題的通知》), upon completion of the [REDACTED], we, our executive officers and employees who are PRC citizens or who reside in China for a continuous period of not less than one year and have been granted H share options will be required to register with SAFE and retain an overseas-entrusted institution to handle matters in connection with the exercise or sale of such options. Maintaining such registrations and retaining qualified overseas-entrusted institutions may result in increased administrative burden and compliance costs for us and the relevant participants. In light of the above, we cannot assure you that we will continuously adopt additional H shares incentive plans for our directors, executive officers and employees under PRC law. In addition, our employees working in China who exercise share options or are granted restricted shares will be subject to PRC individual income tax. We have obligations to file documents related to employee share options or restricted shares with relevant tax authorities and to withhold individual income taxes of those employees who exercise their share options. If our employees fail to pay or we fail to withhold their income taxes according to relevant laws and regulations, we may face sanctions imposed by the tax authorities.

Our business is subject to a variety of laws, rules, policies and other obligations regarding data protection domestically and abroad. Any losses or unauthorized access to or unauthorized releases of confidential information and personal data could subject us to significant reputational, financial, legal and operational consequences.

Our business involves the utilization and storage of confidential information, including but not limited to personal information with respect to our employees. We are subject to laws relating to the collection, use, retention, protection and transfer of personal information domestically and abroad.

RISK FACTORS

In many cases, these laws apply not only to third-party transactions, but also may restrict transfers of personal information between us and our overseas subsidiaries. Several jurisdictions have passed laws in this area, and other jurisdictions are considering imposing additional restrictions. These laws continue to develop and may vary from jurisdiction to jurisdiction. Complying with emerging and changing overseas requirements may cause us to incur substantial costs. Failure to comply could result in regulatory proceedings, significant penalties and reputational damage. In addition, our security measures may not be sufficient for all eventualities and may be vulnerable to hacking, employee error, malfeasance, system error, faulty password management or other non-compliant incidents.

Our operations are subject to, and may be affected by, changes in tax laws and regulations in the countries and regions where we operate.

Some of our subsidiaries are entitled to preferential tax treatment under PRC law, and any changes to such treatment or increases in our effective tax rate could increase our tax liability. The PRC government may also amend regulations on income, withholding, value-added and other taxes, and non-compliance could result in penalties or fines. In addition, our overseas operations expose us to complex and varying tax regimes across jurisdictions, and changes in overseas tax policies may require us to divert additional managerial and financial resources. Any of the foregoing could adversely affect our business, financial condition and results of operations.

RISKS RELATING TO THE [REDACTED]

We will be concurrently subject to listing and regulatory requirements of Chinese mainland and Hong Kong.

As we are listed on the SSE STAR Market and will be [REDACTED] on the Main Board of the Stock Exchange, we will be required to comply with the listing rules (where applicable) and other regulatory regimes of both jurisdictions, unless otherwise agreed by the relevant regulators. Accordingly, we may incur additional costs and resources in complying with the requirements of both jurisdictions.

There has been no prior [REDACTED] for our H Shares, and we cannot assure you that an active [REDACTED] for our H Shares will develop or be sustained.

There was no [REDACTED] for our H Shares prior to the [REDACTED]. There can be no guarantee that a [REDACTED] for our H Shares with adequate liquidity and [REDACTED] will develop and be sustained following the completion of the [REDACTED]. In addition, the [REDACTED] of our H Shares is expected to be fixed by agreement between the Joint Sponsors and [REDACTED] (for themselves and on behalf of the [REDACTED]) and us, which may not be indicative of the [REDACTED] of our H Shares following the completion of the [REDACTED]. If an active [REDACTED] for our H Shares does not develop following the completion of the [REDACTED], the [REDACTED] of our H Shares may be materially and adversely affected.

RISK FACTORS

Our A Shares are listed on the SSE STAR Market, and the characteristics of the A Share and H Share markets may differ.

Our A Shares are listed on the SSE STAR Market. Following the [REDACTED], our A Shares will continue to be traded on the SSE STAR Market and our H Shares will be [REDACTED] the Stock Exchange. Under current PRC laws and regulations, without the approval from the relevant regulatory authorities, our H Shares and A Shares are neither interchangeable nor fungible. With different [REDACTED] characteristics, the H Share and A Share markets have divergent [REDACTED], [REDACTED], as well as different levels of retail and institutional [REDACTED] participation. As a result, the trading performance of our H Shares and A Shares may not be comparable. Nonetheless, fluctuations in the price of our A Shares may adversely affect the price of our H Shares, and vice versa. Furthermore, due to the different characteristics of the H Share and A Share markets, the historical prices of our A Shares may not be indicative of the performance of our H Shares. You should therefore not place undue reliance on the trading history of our A Shares when evaluating the [REDACTED] in our H Shares.

Our Single Largest Group of Shareholders has substantial influence over our Group and its interests may not be aligned with the interests of our other Shareholders.

Our Single Largest Group of Shareholders has significant influence in determining the outcome of any corporate transaction or other matter submitted to the Shareholders for approval, including but not limited to mergers, privatizations, consolidations and the sale of all, or substantially all, of our assets, election of directors, and other significant corporate actions. Immediately following the completion of the [REDACTED] (assuming that the [REDACTED] is not exercised), the Single Largest Group of Shareholders will be together entitled to control the exercise of approximately [REDACTED]% of the voting rights in our Company (excluding the 275,169 A Shares held by our Company as treasury Shares as of the Latest Practicable Date). The interests of our Single Largest Group of Shareholders might differ from the interests of our other Shareholders. In the event that our Single Largest Group of Shareholders causes us to pursue strategic objectives that conflict with the interests of our other Shareholders, our other Shareholders could be disadvantaged, and their interests could be damaged. Any conflict of interest between our Single Largest Group of Shareholders and our other Shareholders may also materially and adversely affect the aspects such as the decision and implementation of our business plans, which may in turn affect our operations and prospects.

The [REDACTED] our H Shares following the [REDACTED] may be volatile, which could result in substantial losses to [REDACTED].

The price at which our H Shares will [REDACTED] after the [REDACTED] will be determined by the [REDACTED], which may be affected by various factors beyond our control, including: (i) our financial performance and development prospects, including assessments by securities analysts or independent research; (ii) the valuation of comparable publicly traded companies and general market sentiment towards our industry; (iii) changes in PRC laws and regulations or broader political, economic and social conditions; and (iv) our actual or perceived competitive position in the market. In addition, the Hong Kong Stock Exchange has from time to time experienced significant volatility in trading prices and volumes that have affected the market prices of securities of

RISK FACTORS

companies quoted on the Hong Kong Stock Exchange. As a result, [REDACTED] in our H Shares may experience volatility in the [REDACTED] of their H Shares and a decrease in the value of their H Shares regardless of our operating performance or prospects.

Future sales or perceived sales of our H Shares in the [REDACTED] could have a material adverse effect on the [REDACTED] of our H Shares and our ability to raise additional capital in the future, or may result in dilution of your shareholding.

The [REDACTED] of our H Shares and our ability to raise equity capital in the future at a time and price that we deem appropriate could be negatively impacted as a result of future sales of our H Shares or other securities relating to our H Shares in the [REDACTED] by our Shareholders, or the issuance of new shares or other securities, or the perception that such sales or issuances may occur. In addition, our Shareholders may experience dilution in their holdings if we issue more securities in the future. Furthermore, we may issue shares pursuant to any existing or future share option incentive schemes, which would further dilute our Shareholders’ interests in our Company. New shares or equity-linked securities issued by us may also confer rights and privileges that take priority over those conferred by the H Shares. [REDACTED] of Shares by such Shareholders and the availability of these Shares for future [REDACTED] may have a negative impact on the [REDACTED] of our H Shares.

In addition, while [REDACTED] shares in the [REDACTED] are not subject to any restrictions on the [REDACTED] of the H Shares they [REDACTED], they may have existing arrangements or agreement to dispose part or all of the H Shares they hold immediately or within certain period upon completion of the [REDACTED] for legal and regulatory, business and market, or other reasons. Such disposal may occur within a short period or any time or period after the [REDACTED]. Any sale of the H Shares [REDACTED] by such [REDACTED] pursuant to such arrangement or agreement could adversely affect the [REDACTED] of our H Shares and any sizeable sale could have a material and adverse effect on the [REDACTED] of our H Shares and could cause substantial volatility in the [REDACTED] of our H Shares.

We cannot assure you when, whether and in what form or size we will pay dividends in the future.

Distributions of dividends shall be decided by our Board of Directors at their discretion and will be subject to the approval of the general meeting. A decision to declare or to pay dividends and the amount thereof depend on various factors, including but not limited to our results of operations, cash flows and financial position, operating and capital expenditure requirements, distributable profits as determined under PRC GAAP or IFRSs (whichever is lower), our Articles of Association and other constitutional documents, the PRC Company Law and any other applicable laws and regulations in China, market conditions, our strategy and projection for our business, contractual restrictions and obligations, taxation, regulatory restrictions and any other factors from time to time deemed by our Board of Directors as relevant to the declaration or suspension of dividends. As a result, there can be no assurance whether, when and in what form we will pay dividends in the future. Subject to any of the above constraints, we may not be able to pay dividends in accordance with our dividend policy.

RISK FACTORS

Should the [REDACTED] be higher than the net tangible book value per Share, subject to pricing, you may experience an immediate dilution in the book value of the [REDACTED] you purchased in the [REDACTED] and may experience further dilution if we issue additional Shares in the future.

The [REDACTED] of the [REDACTED] may be higher than the net tangible book value per Share immediately prior to the [REDACTED]. As a result, you and other [REDACTED] of the [REDACTED] in the [REDACTED] may experience an immediate dilution in [REDACTED] net tangible asset value. In order to expand our business, we may consider offering and issuing additional Shares in the future. Purchasers of the [REDACTED] may experience dilution in the net tangible asset value per share of their Shares if we issue additional Shares in the future at a price which is lower than the net tangible asset value per Share at that time. Furthermore, we may issue Shares pursuant to share incentive schemes, which would further dilute Shareholders’ interests in our Company.

Certain facts, forecast and statistics contained in this document obtained from publicly available sources have not been independently verified and may not be reliable.

Certain facts, forecast and other statistics in this document are derived from various official sources and public information. However, our Directors cannot guarantee the reliability of such source materials. We believe that the sources of the said information are appropriate sources for such information and have taken reasonable care in extracting and presenting such information. We have no reason to believe that such information is false or misleading or that any fact has been omitted that would render such information false or misleading. Nevertheless, information from government and official sources have not been independently verified by us, the Joint Sponsors, [REDACTED] or any of their respective affiliates or advisors and, therefore, we make no representation as to the accuracy of such facts and statistics. Further, we cannot assure our [REDACTED] that they are stated or compiled on the same basis or with the same degree of accuracy as similar statistics presented elsewhere. In all cases, our [REDACTED] should consider carefully how much weight or importance should be attached to or placed on such facts or statistics.

Forward-looking statements contained in this document are subject to risks and uncertainties.

This document contains certain statements and information that are forward-looking and uses forward-looking terminology such as “believe,” “expect,” “estimate,” “predict,” “aim,” “intend,” “will,” “may,” “plan,” “consider,” “anticipate,” “seek,” “should,” “could,” “would,” “continue,” and other similar expressions. You are cautioned that reliance on any forward-looking statement involves risks and uncertainties and that any or all of those assumptions could prove to be inaccurate and, as a result, the forward-looking statements based on those assumptions could also be incorrect. In light of these and other risks and uncertainties, the inclusion of forward-looking statements in this document should not be regarded as representations or warranties by us that our plans and objectives will be achieved and these forward-looking statements should be considered in light of various important factors, including those set forth in this section. Subject to the requirements of the Listing Rules, we do not intend publicly to update or otherwise revise the forward-looking

RISK FACTORS

statements in this document, whether as a result of new information, future events or otherwise. Accordingly, you should not place undue reliance on any forward-looking information. All forward-looking statements in this document are qualified by reference to this cautionary statement.

You should not place reliance on any information released by us in connection with the listing of our A Shares on the SSE STAR Market.

As our A Shares are listed on the SSE STAR Market, we have been subject to periodic reporting and other information disclosure requirements in the PRC. As a result, from time to time we publicly release information relating to ourselves on the SSE STAR Market or other media outlets designated by the CSRC. However, the information announced by us in connection with our A Shares is based on the regulatory requirements of the securities authorities and market practices in the PRC which are different from those applicable to our H Shares. Such information does not and will not form a part of this document. As a result, prospective [REDACTED] in our H Shares are reminded that, in making their [REDACTED] as to whether to purchase our H Shares, they should rely only on the financial, operating and other information included in this document. By applying to purchase our H Shares in the [REDACTED], you will be deemed to have agreed that you will not rely on any information other than that contained in this document and any formal announcements made by us in Hong Kong with respect to the [REDACTED].

You should read the entire document carefully and only rely on the information included in this document to make your [REDACTED], and we strongly caution you not to rely on any information contained in press articles or other media coverage relating to us, our H Shares or the [REDACTED].

There has been, prior to the publication of this document, and there may be, subsequent to the date of this document but prior to the completion of the [REDACTED], press and media coverage regarding us and the [REDACTED]. We have not authorized the disclosure of any information concerning the [REDACTED] in the press or media. We do not accept any responsibility for the accuracy or completeness of any information reported by the press or other media, nor the fairness or appropriateness of any forecasts, views or opinions expressed by the press or other media regarding our H Shares, the [REDACTED] or us. We make no representation as to the appropriateness, accuracy, completeness or reliability of any of the projections, valuations or other forward-looking information about us. To the extent such statements are inconsistent with, or conflict with, the information contained in this document, we disclaim responsibility for them. You should rely solely upon the information contained in this document, the [REDACTED] and any formal announcements made by us in Hong Kong in making your [REDACTED] decision regarding our H Shares. By applying to [REDACTED] our H Shares in the [REDACTED], you will be deemed to have agreed that you will not rely on any information other than that contained in this document and any formal announcements made by us in Hong Kong with respect to the [REDACTED].

WAIVERS AND EXEMPTION

In preparation for the [REDACTED], we have sought the following waivers from strict compliance with the Listing Rules and certificates of exemption from strict compliance with the relevant provisions of the Companies (Winding Up and Miscellaneous Provisions) Ordinance.

WAIVER IN RESPECT OF MANAGEMENT PRESENCE IN HONG KONG

Pursuant to Rules 8.12 and 19A.15 of the Listing Rules, an issuer must have sufficient management presence in Hong Kong. This will normally mean that at least two of its executive directors must be ordinarily resident in Hong Kong. We do not have sufficient management presence in Hong Kong for the purposes of Rule 8.12 and Rule 19A.15 of the Listing Rules.

Our Group’s management headquarters, senior management, business operations and assets are primarily based outside Hong Kong. The Directors consider that the appointment of executive directors who will be ordinarily resident in Hong Kong would not be beneficial to, or appropriate for, our Group and therefore would not be in the best interests of our Company or the Shareholders as a whole. Therefore, our Company does not, and does not contemplate in the foreseeable future that we will, have sufficient management presence in Hong Kong for the purpose of satisfying the requirements under the Listing Rules.

Accordingly, we have applied for, and the Stock Exchange [has granted], a waiver from strict compliance with Rules 8.12 and 19A.15 of the Listing Rules. We will ensure that there is an effective channel of communication between the Stock Exchange and us by way of the following arrangements:

- (i) **Authorized representatives:** both of our Company’s authorized representatives, Mr. CHENG Shuo (程碩) (“**Mr. Cheng**”) and Ms. CHAN Ching Nga (“**Ms. Chan**”), will act as our Company’s principal channels of communication with the Stock Exchange. Accordingly, the authorized representatives of our Company will be able to meet with the relevant members of the Stock Exchange on reasonable notice and will be readily contactable by telephone, facsimile and/or email.

Each of the authorized representatives of our Company has means of contacting all Directors (including our independent non-executive Directors) promptly at all times as and when the Stock Exchange proposes to contact a Director with respect to any matter;

- (ii) **Directors:** each Director has provided his or her mobile phone number, office phone number, fax number, if any, and e-mail address to the authorized representatives of our Company and the Stock Exchange, and in the event that any Director expects to travel or otherwise be out of the office, they will provide the phone number of the place of their accommodation to the authorized representatives.

Each of our Directors not ordinarily residing in Hong Kong possesses or can apply for valid travel documents to visit Hong Kong and will be able to meet with the relevant members of the Stock Exchange within a reasonable period of time;

- (iii) **Compliance advisor:** we have appointed Maxa Capital Limited as our Compliance Advisor, in compliance with Rule 3A.19 of the Listing Rules, who will, among other things and in addition to the authorized representatives and our Directors, also act as an additional channel of communication with the Stock Exchange from the [REDACTED] to the date when our Company complies with Rule 13.46 of the Listing Rules in respect of its financial results for the first full financial year immediately following the [REDACTED]. Pursuant to the Note of Rule 3A.23, the Compliance Advisor will have access at all times to our authorized representatives, our Directors and other officers. We shall also ensure that our authorized representatives, Directors and other officers will promptly provide

WAIVERS AND EXEMPTION

such information and assistance as the Compliance Advisor may need or may reasonably require in connection with the performance of the Compliance Advisor’s duties as set forth in Chapter 3A of the Listing Rules. We shall ensure that there are adequate and efficient means of communication among our Company, our authorized representatives, our Directors, other officers and the Compliance Advisor, and will keep the Compliance Advisor fully informed of all communications and dealings between the Stock Exchange and us.

Any meeting between the Stock Exchange and our Directors will be arranged through the authorized representatives or the Compliance Advisor or directly with our Directors within a reasonable time frame. We will inform the Stock Exchange promptly in respect of any changes in our authorized representatives and/or our Compliance Advisor; and

- (iv) **Legal advisors:** we will also retain legal advisors to advise on on-going compliance requirements as well as other issues arising under the Listing Rules and other applicable laws and regulations of Hong Kong after the [REDACTED].

WAIVER IN RESPECT OF JOINT COMPANY SECRETARIES

Pursuant to Rules 3.28 and 8.17 of the Listing Rules, the company secretary must be an individual who, by virtue of his or her academic or professional qualifications or relevant experience, is, in the opinion of the Stock Exchange, capable of discharging the functions of the company secretary.

Pursuant to Note 1 to Rule 3.28 of the Listing Rules, the Stock Exchange considers the following academic or professional qualifications to be acceptable:

- (i) a member of The Hong Kong Chartered Governance Institute;
- (ii) a solicitor or barrister as defined in the Legal Practitioners Ordinance (Chapter 159 of the Laws of Hong Kong); and
- (iii) a certified public accountant as defined in the Professional Accountants Ordinance (Chapter 50 of the Laws of Hong Kong).

Pursuant to Note 2 to Rule 3.28 of the Listing Rules, in assessing the “relevant experience,” the Stock Exchange will consider the individual’s:

- (i) length of employment with the issuer and other issuers and the roles he or she played;
- (ii) familiarity with the Listing Rules and other relevant laws and regulations including the Securities and Futures Ordinance, the Companies Ordinance, the CWUMPO and the Takeovers Code;
- (iii) relevant training taken and/or to be taken in addition to the minimum requirement under Rule 3.29 of the Listing Rules; and
- (iv) professional qualifications in other jurisdictions.

We have appointed Mr. Cheng as one of our joint company secretaries with effect from the [REDACTED]. Our Group’s key operations and principal business activities are conducted outside of Hong Kong. We believe that the company secretary role requires a person to be deeply familiar with our operations and the specific industry context, and to be able to cultivate strong relationships with both the Board and the management of our Company. It would be in the best interests of our Company and our corporate governance to have as its joint company secretary a person such as Mr. Cheng who has been with our Company since December 2020. As the executive Director, deputy

WAIVERS AND EXEMPTION

general manager and Board secretary of our Company, Mr. Cheng is deeply familiar with our operations and is able to cultivate strong relationships with both the Board and the management of our Company. Our Directors believe that Mr. Cheng’s intimate knowledge of our Company and operations is essential for the performance of company secretary duties in the most effective and efficient manner. For biographical details, see “Directors and Senior Management.”

Since Mr. Cheng does not possess the qualifications stipulated in Rule 3.28 of the Listing Rules, he is not able to solely fulfill the requirements as a company secretary of a [REDACTED] stipulated under the Listing Rules. To support Mr. Cheng in performing the duties of company secretary, we have appointed Ms. Chan, who is a member of both The Hong Kong Chartered Governance Institute (HKCGI) and The Chartered Governance Institute in the United Kingdom and meets the requirements under Rule 3.28 of the Listing Rules, as a joint company secretary to provide assistance for a three-year period from the [REDACTED] so as to enable Mr. Cheng to acquire the relevant experience as required under Note 2 to Rule 3.28 of the Listing Rules to duly discharge his duties.

Accordingly, our Company has applied for, and the Stock Exchange [has granted] us, a waiver from strict compliance with the requirements under Rules 3.28 and 8.17 of the Listing Rules in relation to the appointment of Mr. Cheng as our joint company secretary. Pursuant to Chapter 3.10 of the Listing Guide, such waiver [has been] granted on the conditions that: (i) Ms. Chan is appointed as a joint company secretary to assist Mr. Cheng in discharging his functions as a company secretary and gaining the relevant experience under Rule 3.28 of the Listing Rules; (ii) this waiver will be revoked immediately if and when Ms. Chan ceases to provide such assistance during the three-year period; and (iii) this waiver is subject to revocation in the event of any material breaches of the Listing Rules by our Company.

In addition, Mr. Cheng will comply with the annual professional training requirements under Rule 3.29 of the Listing Rules and enhance his understanding of the Listing Rules during the three-year period from the [REDACTED]. Our Company will further ensure that Mr. Cheng has access to the relevant training and support to familiarize himself with the Listing Rules and the duties of a company secretary of [REDACTED] on the Stock Exchange. Prior to the expiration of the three-year period, our Company will further evaluate the qualifications and experience of Mr. Cheng to determine whether he has satisfied the requirements as stipulated under the Listing Rules and whether he needs further assistance. We will liaise with and assist the Stock Exchange in assessing whether Mr. Cheng, having benefited from the assistance of Ms. Chan for three years, has acquired the skills necessary to carry out the duties of a company secretary and the relevant experience within the meaning of Note 2 to Rule 3.28 of the Listing Rules so that a further waiver will not be necessary.

DISCLOSURE REQUIREMENTS IN RESPECT OF OUTSTANDING RESTRICTED SHARES

The Listing Rules and the Companies (Winding Up and Miscellaneous Provisions) Ordinance prescribe certain disclosure requirements in relation to the incentives granted by the listed issuers (the “**ESOP Disclosure Requirements**”):

- (a) Rule 17.02(1)(b) of the Listing Rules requires that all material terms of a share scheme must be clearly set out in the listing document. The new applicant must also disclose in the document full details of all outstanding options and awards and their potential dilution effect on the shareholdings upon listing as well as the impact on the earnings per share arising from the issue of shares in respect of such outstanding options or awards;

WAIVERS AND EXEMPTION

- (b) paragraph 27 of Appendix D1A to the Listing Rules requires issuer to set out particulars of any capital of any member of the group which is under option, or agreed conditionally or unconditionally to be put under option, including the consideration for which the option was or will be granted and the price and duration of the option, and the name and address of the grantee; and
- (c) paragraph 10 of the Third Schedule to the Companies (Winding Up and Miscellaneous Provisions) Ordinance (the “**Third Schedule**”) requires that the issuer shall disclose the number, description and amount of any shares in or debentures of the company which any person has, or is entitled to be given, an option to subscribe for, that is to say, (a) the period during which it is exercisable; (b) the price to be paid for shares or debentures subscribed for under it; (c) the consideration (if any) given or to be given for it or for the right to it; and (d) the names and addresses of the persons to whom it or the right to it was given or, if given to existing shareholders or debenture holders as such, the relevant shares or debentures.

Paragraph 6 of Chapter 3.6 of the Listing Guide provides that in general, the Stock Exchange would grant waivers from disclosing the names and addresses of certain grantees in the listing document.

Paragraph 7 of Chapter 3.6 of the Listing Guide further provides that a waiver from the ESOP Disclosure Requirements is at least subject to the following conditions (the “**Waiver Conditions**”):

- (a) demonstrating that the disclosure required under the relevant Listing Rules would be irrelevant or unduly burdensome;
- (b) disclosing the following in the listing document:
 - (i) for each of the grantees who is (1) a director, (2) a member of the senior management, or (3) a connected person, all the particulars required under the ESOP Disclosure Requirements;
 - (ii) for the remaining grantees, on an aggregate basis, (1) the aggregate number of grantees and the number of shares underlying the options; (2) the exercise period of each option; (3) the consideration paid for the options; and (4) the exercise price of the options; and
 - (iii) (1) the aggregate number of underlying shares required to be issued to satisfy the options; (2) the percentage of such aggregate number of underlying shares to the applicant’s issued share capital; and (3) the dilution effect and impact on earnings per share upon full exercise of the options.
- (c) making available for public inspection a full list of all grantees with all the particulars required under ESOP Disclosure Requirements.

As of the Latest Practicable Date, the ESOP Disclosure Requirements are applicable to the Incentive Schemes, details of which are set forth in “Appendix IV — Statutory and General Information — Incentive Schemes.”

As of the Latest Practicable Date, Restricted Shares representing 1,206,200 A Shares were grantable under the Incentive Schemes, among which, (i) 884,030 Restricted Shares had been granted to aggregate of 326 grantees (including three Directors and three senior management members) and remained outstanding, (ii) 176,980 Restricted Shares had vested, (iii) 18,290 Restricted Shares had lapsed pursuant to the Incentive Schemes and (iv) 126,900 Restricted Shares remained reserved for further grant which will be completed or lapsed before [REDACTED].

WAIVERS AND EXEMPTION

We have applied to: (i) the Stock Exchange for a waiver from strict compliance with the disclosure requirements under Rule 17.02(1)(b) of, and paragraph 27 of Appendix D1A to, the Listing Rules; and (ii) the SFC for a certificate of exemption under section 342A of the Companies (Winding Up and Miscellaneous Provisions) Ordinance, exempting our Company from strict compliance with paragraph 10(d) of the Third Schedule, respectively, on the grounds that strict compliance with the ESOP Disclosure Requirements would be unduly burdensome for our Company and the waiver and exemption would not prejudice the interest of the [REDACTED], taking into account the following reasons:

- (a) given that over 300 grantees (other than three Directors and three senior management members) are involved under the Incentive Schemes, strict compliance with the ESOP Disclosure Requirements in setting out full details of all the grantees under the Incentive Schemes in this document would be costly and unduly burdensome for our Company in light of a significant increase in cost and time for information compilation and document preparation. For example, the disclosure of personal information of each grantee may require the consents from all grantees to comply with personal information privacy laws and principles. Given the number of grantees, obtaining their consents would cause an unnecessary burden on our Company;
- (b) the grant and vest in full of the Restricted Shares under the Incentive Schemes will not cause any material adverse impact to the financial position of our Group;
- (c) there will not be any new H Shares issued under the Incentive Schemes as the underlying Shares under the Incentive Schemes are A Shares;
- (d) not fully compliant with the ESOP Disclosure Requirements would not prevent our Company from providing our potential [REDACTED] with an informed assessment of the activities, assets, liabilities, financial position, management and prospects of our Company; and
- (e) material information relating to the Restricted Shares, including the information required under the Waiver Conditions, has been disclosed in this document to provide prospective [REDACTED] with sufficient information to make an informed decision.

We have applied for, and the Stock Exchange [has granted] us, a waiver from strict compliance with Rule 17.02(1)(b) of, and paragraph 27 of Appendix D1A to the Listing Rules on the conditions that:

- (a) a summary of the latest terms of the Incentive Schemes is disclosed in “Appendix IV — Statutory and General Information — Incentive Schemes” to this document;
- (b) full details as required under the ESOP Disclosure Requirements of the Restricted Shares granted by our Company to three Directors and three senior management members, on an individual basis, has been disclosed in “Appendix IV — Statutory and General Information — Incentive Schemes” to this document;
- (c) with respect to the Restricted Shares granted to the remaining grantees, disclosure is made on an aggregate basis categorized into groups based on the number of Shares underlying the outstanding Restricted Shares, being (i) 1 to 1,000, (ii) 1,001 to 10,000 and (iii) 10,001 to above, and in respect of each group of grantees, the following details are disclosed in this document: (i) the number of grantees, (ii) the number of Shares underlying the outstanding Restricted Shares, (iii) the purchase price of the Restricted Shares and (iv) the vesting schedule;

WAIVERS AND EXEMPTION

- (d) the total number of Shares underlying the outstanding Restricted Shares under the Incentive Schemes and the percentage to our total issued Shares represented by such number of Shares as of the Latest Practicable Date are disclosed in “Appendix IV — Statutory and General Information — Incentive Schemes” to this document;
- (e) the dilutive effect and impact on earnings per share upon the full issue and registration of the Restricted Shares upon completion of the [REDACTED] (assuming (i) the [REDACTED] is not exercised; and (ii) there are no changes to our share capital between the Latest Practicable Date and the [REDACTED]) are disclosed in “Appendix IV — Statutory and General Information — Incentive Schemes” to this document;
- (f) a full list of all the grantees with outstanding Restricted Shares under the Incentive Schemes, containing all the details as required under paragraph 10 of Part I of the Third Schedule be made available for public inspection in accordance with “Appendix V — Documents Delivered to the Registrar of Companies and Available on Display — Documents Available for Inspection” to this document; and
- (g) the grant of a certificate of exemption from the SFC exempting our Company from strict compliance with paragraph 10(d) of the Third Schedule.

We have applied for, and the SFC [has granted] us, a certificate of exemption from strict compliance with paragraph 10(d) of the Third Schedule on the conditions that:

- (a) full details as required under the ESOP Disclosure Requirements of the Restricted Shares granted by our Company to our Directors, senior management and other connected persons (if any), on an individual basis, has been disclosed in “Appendix IV — Statutory and General Information — Incentive Schemes” to this document;
- (b) with respect to the Restricted Shares granted to the remaining grantees, disclosure is made on an aggregate basis categorized into groups based on the number of Shares underlying the outstanding Restricted Shares, being (i) 1 to 1,000, (ii) 1,001 to 10,000 and (iii) 10,001 to above, and in respect of each group of grantees, the following details are disclosed in this document: (i) the number of grantees, (ii) the number of Shares underlying the outstanding Restricted Shares, (iii) the purchase price of the Restricted Shares and (iv) the vesting schedule;
- (c) a full list of all the grantees with outstanding Restricted Shares under the Incentive Schemes, containing all the details as required under paragraph 10 of Part I of the Third Schedule be made available for public inspection in accordance with “Appendix V — Documents Delivered to the Registrar of Companies and Available on Display — Documents Available for Inspection” to this document; and
- (d) the particulars of the exemption have been disclosed in this document which will be issued on or before [REDACTED].

[REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

WAIVERS AND EXEMPTION

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

WAIVERS AND EXEMPTION

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

INFORMATION ABOUT THIS DOCUMENT AND THE [REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

INFORMATION ABOUT THIS DOCUMENT AND THE [REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

INFORMATION ABOUT THIS DOCUMENT AND THE [REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

INFORMATION ABOUT THIS DOCUMENT AND THE [REDACTED]

[REDACTED]

DIRECTORS AND PARTIES INVOLVED IN THE [REDACTED]

DIRECTORS

<u>Name</u>	<u>Address</u>	<u>Nationality</u>
Executive Directors		
Dr. ZHANG XINGANG	No. 1265, Kaiyuan Road Fengxi New City Xixian New Area Shaanxi Province PRC	American
Mr. CHENG Shuo (程碩)	No. 14 Xitaiping Lane Xicheng District Beijing PRC	Chinese
Mr. WANG Yuxi (王昱璽)	East Unit, 5th Floor, Gate 3, Building 2 No. 4 Chezhan North Road Ganting Town Hu County Xi'an Shaanxi Province PRC	Chinese
Non-executive Director		
Ms. ZHANG Xinying (張欣穎)	Single Dormitory Building 5 No. 1 Xihua Road Qindu District Xianyang Shaanxi Province PRC	Chinese
Mr. QIN Weixing (秦衛星)	2nd Floor, Building 1 No. 2 Xihua Road Qindu District Xianyang Shaanxi Province PRC	Chinese

DIRECTORS AND PARTIES INVOLVED IN THE [REDACTED]

Name	Address	Nationality
Independent Non-executive Directors		
Dr. ZHANG Hai (張海)	Unit 2 Building 5, Xueqingyuan Haidian District Beijing PRC	Chinese
Dr. WANG Luping (王魯平)	Dormitory 39 Jiaoda First Village Beilin District Xi'an Shaanxi Province PRC	Chinese
Dr. LI Xiaoming (李曉鳴)	No. 28 Xianning West Road Beilin District Xi'an Shaanxi Province PRC	Chinese
Mr. RUAN Tim (阮添士)	Flat B, 31/F, Blk T1 University Heights 23 Pokfield Road Pok Fu Lam Hong Kong	Chinese

For further details regarding our Directors, please see “Directors and Senior Management.”

PARTIES INVOLVED IN THE [REDACTED]

Joint Sponsors	Guotai Junan Capital Limited 27/F, Low Block Grand Millennium Plaza 181 Queen's Road Central Hong Kong GF Capital (Hong Kong) Limited 27/F, GF Tower 81 Lockhart Road Wan Chai Hong Kong
-----------------------	---

DIRECTORS AND PARTIES INVOLVED IN THE [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

Legal Advisors to our Company

as to Hong Kong and U.S. laws:

Kirkland & Ellis

26/F, Gloucester Tower

The Landmark

15 Queen’s Road Central

Hong Kong

as to PRC law:

King & Wood

East Tower

World Financial Center

No.1 Dongsanhuan Zhonglu

Chaoyang District, Beijing

PRC

DIRECTORS AND PARTIES INVOLVED IN THE [REDACTED]

Legal Advisors to the Joint Sponsors	<i>as to Hong Kong and U.S. laws:</i> Herbert Smith Freehills Kramer 23rd Floor Gloucester Tower 15 Queen’s Road Central Hong Kong <i>as to PRC law:</i> CM Law Firm Room 2805, Plaza 66 Tower 2 1366 Nanjing West Road Jing’an District, Shanghai PRC
Reporting Accountant and Independent Auditor	BDO Limited <i>Certified Public Accountants</i> <i>Registered Public Interest Entity Auditor</i> 25th Floor, Wing On Centre 111 Connaught Road Central Hong Kong
Industry Consultant	China Insights Industry Consultancy Limited 10F, Block B, Jing’an International Center 88 Puji Road Jing’an District Shanghai PRC
Compliance Advisor	Maxa Capital Limited Unit 2602, 26/F Golden Centre 188 Des Voeux Road Central Sheung Wan Hong Kong
[REDACTED]	[REDACTED]

CORPORATE INFORMATION

Registered Office in the PRC	No. 1265 Kaiyuan Road Fengxi New City Xixian New District Shaanxi Province PRC
Head Office and Principal Place of Business in the PRC	No. 1265 Kaiyuan Road Fengxi New City Xixian New District Shaanxi Province PRC
Principal Place of Business in Hong Kong	46/F, Hopewell Centre 183 Queen’s Road East Wan Chai Hong Kong
Company’s Website	<u>www.yj-semitech.com</u> <i>(Information contained in this website does not form part of this document)</i>
Joint Company Secretaries	Mr. CHENG Shuo (程碩) No. 14 Xitaiping Lane Xicheng District Beijing PRC Ms. CHAN Ching Nga (陳靜雅) <i>(Associate of The Hong Kong Chartered Governance Institute and The Chartered Governance Institute in the United Kingdom)</i> 46/F, Hopewell Centre 183 Queen’s Road East Wan Chai Hong Kong
Authorized Representatives	Mr. CHENG Shuo (程碩) No. 14 Xitaiping Lane Xicheng District Beijing PRC Ms. CHAN Ching Nga (陳靜雅) 46/F, Hopewell Centre 183 Queen’s Road East Wan Chai Hong Kong

CORPORATE INFORMATION

Audit Committee	Dr. WANG Luping (王魯平) (<i>Chairperson</i>) Dr. ZHANG Hai (張海) Ms. ZHANG Xinying (張欣穎) Mr. RUAN Tim (阮添士)
Nomination Committee	Dr. ZHANG Hai (張海) (<i>Chairperson</i>) Dr. ZHANG XINGANG Dr. LI Xiaoming (李曉鳴)
Remuneration and Appraisal Committee	Dr. ZHANG Hai (張海) (<i>Chairperson</i>) Dr. WANG Luping (王魯平) Mr. QIN Weixing (秦衛星)
Strategy and ESG Committee	Dr. ZHANG XINGANG (<i>Chairperson</i>) Mr. QIN Weixing (秦衛星) Dr. ZHANG Hai (張海)
[REDACTED]	[REDACTED]
Principal Bank	China Merchants Bank Xianyang Branch No. 108 Qinhuang Road Qindu District Xianyang Shaanxi Province PRC

INDUSTRY OVERVIEW

The information and statistics set out in this section and other sections of this document were extracted from different official government publications, available sources from public, market research and other sources from independent suppliers, and from the independent industry report prepared by CIC. The information from official government sources has not been independently verified by us, the Joint Sponsors, [REDACTED], any of the [REDACTED], any of their respective directors and advisors, or any other persons or parties involved in the [REDACTED], and no representation is given as to its accuracy. Our Directors confirm that, after making reasonable enquiries, there is no adverse change in the market information since the date of the CIC Report that would qualify, contradict or have a material impact on the information in this section.

EXPLOSIVE AI GROWTH DRIVING DEMAND FOR OPTICAL INTERCONNECTS AND ADVANCING LASER CHIP INDUSTRY DEVELOPMENT

Since the beginning of the 21st century, the development of cloud computing has promoted the expansion of data center scale, and the computing market has entered a stage of rapid development. In 2022, the emergence of large language models marked a milestone event, ushering in a new wave of computing revolution driven by AI. The demand for training and inference computing power has increased geometrically, driving the rapid expansion of high-performance, ultra-large-scale computing clusters and leading to explosive growth in AI infrastructure investment. The total global AI capital expenditure (“CAPEX”) is expected to reach an aggregate of US\$4.7 trillion from 2026 to 2030, representing more than five times that of the preceding five years. Such investments are primarily concentrated in AI infrastructure, including computing, transmission and storage scenarios.

In the transmission segment, in order to maximize the performance of computing clusters, the demand for high-speed, low-latency data transmission capabilities continues to increase. Compared with traditional copper-cable-based connections, optical interconnect solutions offer higher bandwidth, lower transmission loss and effective immunity to electromagnetic interference, and have thus become a key technological pathway for supporting computing cluster interconnection and can effectively meet the new-generation AI data center requirements for large-scale, high-speed and high-reliable interconnection. In 2025, the global optical interconnects market accounted for approximately 5% of global AI CAPEX, and such proportion is expected to continue to increase in the future, with the growth rate of the global optical interconnects market exceeding the overall growth rate of AI CAPEX.

Laser chips, as the generators of optical signals, are indispensable components of optical interconnect products. As optical interconnect products continue to iterate and upgrade toward higher data rates, and with the emergence of next-generation optical interconnect products and technologies such as silicon photonics (“SiPh”) and CPO, performance requirements for laser chips in terms of data rate, power and other specifications continue to increase, underscoring the growing importance of laser chips. The laser chip market is currently characterized by overall supply-demand imbalance, which is particularly evident in the laser chips used for high-speed optical interconnect products where only a limited number of manufacturers possess stable supply capabilities.

INDUSTRY OVERVIEW

OVERVIEW OF LASER CHIP INDUSTRY

Definition of Laser Chip

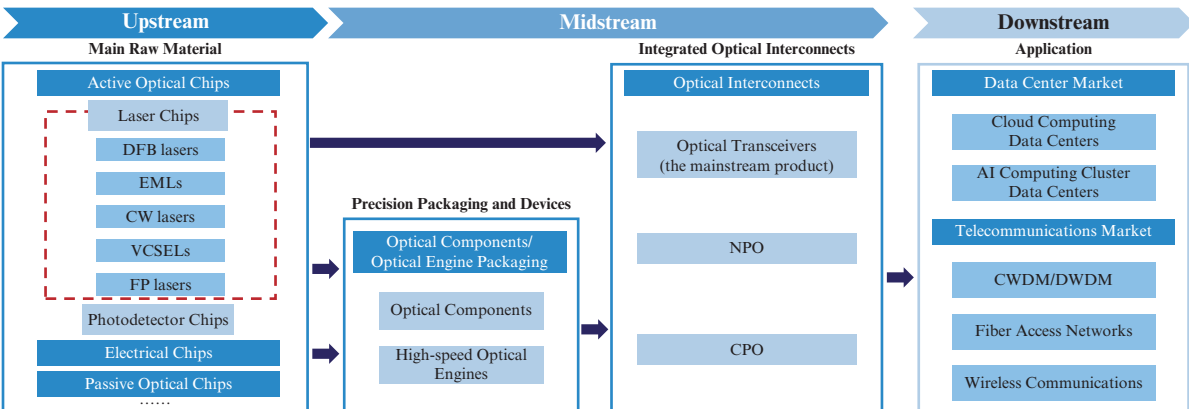
Optical chips are the most critical components for enabling the conversion between optical and electrical energy carriers and are widely applied in optical interconnects. They are primarily categorized into laser chips and photodetector chips. Among them, laser chips are active semiconductor devices that convert electrical energy into high-power, highly monochromatic light beams based on the principle of stimulated radiation. At the transmitting end of optical communications systems, laser chips serve as the critical light sources that carry information, making them indispensable and central to the field of optical chips.

Based on the modulation method, laser chips can be categorized into directly modulated lasers, integrated modulated lasers, and external modulation. From a material system perspective, laser chips are primarily divided into InP and GaAs. Additionally, based on their emission structure, they can be classified into surface-emitting and edge-emitting structures.

Industry Chain Positioning of Laser Chips in the Optical Interconnect Market

Laser chips are positioned at the upstream of the optical interconnect industry chain and represent the important segment with technological barriers and complex manufacturing processes within the entire industry chain. As the “heart” of optical communications systems, the performance of laser chips directly determines the transmission speed and energy efficiency of downstream optical components, optical transceivers and the overall optical communications systems.

Industry Chain Analysis of Optical Interconnect Market



Source: CIC

INDUSTRY OVERVIEW

As the core carrier of optical communications systems, optical interconnect products exhibit materially different hardware cost structures (BOM) depending on the technological pathway adopted. Taking non SiPh-based optical transceivers as an example, their hardware cost structure primarily comprises four major components: optical chips, electrical chips, passive optical components, and PCB and mechanical parts. For SiPh-based optical interconnect products, the BOM structure undergoes structural reconfiguration. Discrete modulators and a substantial number of passive optical components are integrated into a single photonic integrated circuit (PIC), while PCB and mechanical parts are significantly simplified. In such cases, the BOM becomes concentrated on two core elements: the “SiPh chip” and the “laser”. Whether utilizing the earlier-developed EML solutions or the emerging SiPh pathway, laser chips hold a critical position in the value chain, as they directly influence optoelectronic signal conversion and the quality of signal transmission.

Principal Types of Laser Chip Products

Laser chips, as core devices for optoelectronic conversion, are primarily categorized into five major types based on differences in material systems, physical structures and modulation mechanisms, namely DFB, EML, CW, VCSEL and FP, each possessing distinct technological advantages and application scenarios.

Type	Introduction	Major Application Scenarios
DFB <i>Mainstream data rate: 2.5GB/10GB/25GB/ 50GB</i>	Edge-emitting structure based on an InP substrate, incorporating an internal grating to achieve single-mode laser output. It features high wavelength stability, narrow linewidth and excellent extinction ratio. Its cost is higher than that of FP and VCSEL laser chips, and it serves as a core solution for mid- to low-speed long-distance optical communications.	5G fronthaul and midhaul core links, mid- to short-distance (2–10 km) interconnection within data centers, metropolitan area network access and aggregation layers, long-distance 10G links for industrial Ethernet, and as the core light-emitting unit of EMLs, among others.
EML <i>Mainstream data rate: 10GB/25GB/50GB/ 100GB/200GB</i>	Edge-emitting integrated structure based on an InP substrate, integrating a DFB laser (light emission) and an electro-absorption modulator (EAM, modulation) onto a single chip to achieve an integrated “emission + modulation” architecture. It features low chirp, high modulation rates and strong long-distance transmission capabilities. It serves as a core solution for high-speed and middle-to-long distance optical communications.	AI intelligent computing centers for 400G/800G/1.6T and above middle-to-long distance interconnection, east-west cross-campus links within data centers, 5G backhaul and core networks, fiber access networks, and interconnection of supercomputing center clusters, among others

INDUSTRY OVERVIEW

Type	Introduction	Major Application Scenarios
CW <i>Mainstream power: 50mW/70mW/ 100mW</i>	A high-stability single-mode laser based on DFB architecture without an integrated modulation optical transceiver, providing continuous and stable laser output with low noise, high output power and excellent wavelength consistency. Based on an InP substrate, it serves as the core light source for SiPh and CPO external modulation architectures.	AI intelligent computing centers for 400G/800G/1.6T and above SiPh-based optical transceivers, and high-density packaged optical interconnects products such as NPO, CPO, among others.
VCSEL <i>Mainstream data rate: 25GB/50GB</i>	Surface-emitting structure based on a GaAs substrate. It features relatively simple manufacturing processes and low cost. The light emission direction is perpendicular to the chip surface, facilitating array integration. However, it is characterized by relatively short transmission distance, lower output power and limited high-speed modulation capability.	Consumer electronics 3D sensing (mobile phones, AR/VR), in-vehicle short-distance communication and LiDAR applications, as well as data centers, among others.
FP <i>Mainstream data rate: 2.5GB/10GB</i>	Edge-emitting structure based on InP or GaAs substrates. It features a simple structure and very low cost and is categorized as a multimode laser. However, it is characterized by relatively poor wavelength stability and a broad linewidth, with limited high-speed modulation and long-distance transmission capabilities.	Low-end 5G fronthaul links, broadcasting and television fiber-optic networks, broadband access in remote areas, and low-speed optical communications for traditional industrial control applications, among others.

OVERVIEW OF OPTICAL INTERCONNECT MARKET

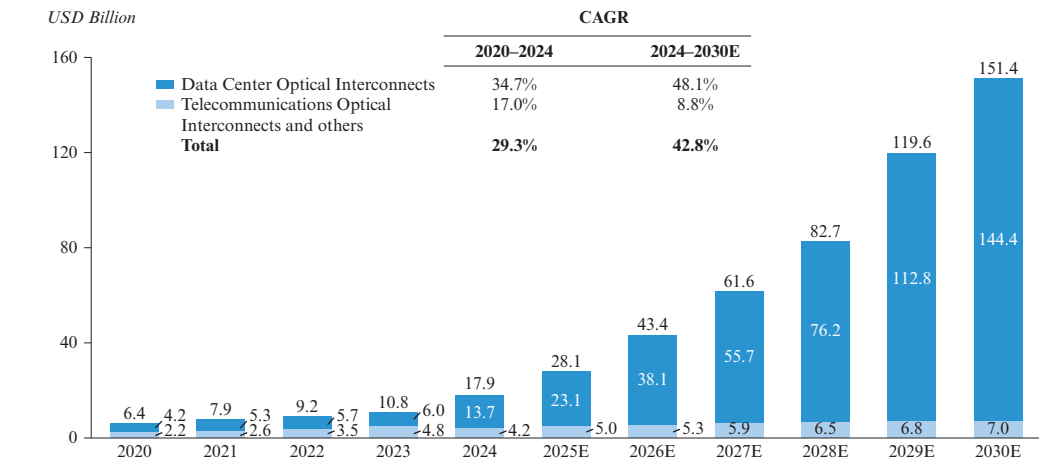
Optical interconnects utilize optical signals as the physical carrier for data transmission, with laser chips serving as the foundational core engine that provides the initial light source. The laser industry is highly correlated with the rapid expansion of the optical interconnect market. Currently, optical transceivers continue to dominate as the mainstream solution in optical interconnects.

Rapid Development of Key Application Scenarios in the Optical Interconnect Market Driving Demand for Laser Chips

The global optical interconnect market reached a market size of US\$17.9 billion in 2024 and is expected to increase to US\$151.4 billion in 2030, representing a CAGR of 42.8%. By application scenario, the optical interconnect market can be primarily categorized into data center optical interconnect market and telecommunications optical interconnect market. Growth in the data center optical interconnect segment represents the primary driving force. The global data center optical interconnect market was approximately US\$13.7 billion in 2024 and is expected to reach US\$144.4 billion in 2030, representing a CAGR of 48.1%.

INDUSTRY OVERVIEW

Global Market Size of Optical Interconnect Industry, by Application Scenario, by Revenue, 2020–2030E



Source: LightCounting, Expert Interviews, CIC

Data Center Optical Interconnect Market — AI-Driven Demand Growth, Accelerated Product Iteration, and Evolving Data Center Network Architectures Driving Increasing Interconnection Density and Sustained Demand

AI-Driven Growth — The demand for the training and inference of AI models is experiencing exponential growth. While the training and inference of AI models rely on highly interconnected clusters, thereby driving the development of the data center optical interconnects market. In addition to serving general-purpose data interconnection scenarios, optical interconnects play a more critical role in enabling increasing channels, high-bandwidth, low-latency data transmission for AI computing tasks, thereby facilitating interconnection across computing clusters and fully unlocking cluster performance potential.

Rapid Product Iteration Cycles — Driven by the rapid growth in traffic and computing power demand, optical interconnect products in the data center market exhibit relatively short iteration cycles in order to meet increasingly diversified and performance-intensive downstream requirements. The iteration cycle of optical interconnect products in the data center market has accelerated significantly in recent years. For example, in the case of optical transceivers, the interval between the mass production of 400G and 800G transceivers was approximately four years. However, the gap between the mass production of 800G and 1.6T transceivers has shortened to less than three years, highlighting the rapid pace of technological advancements in the industry.

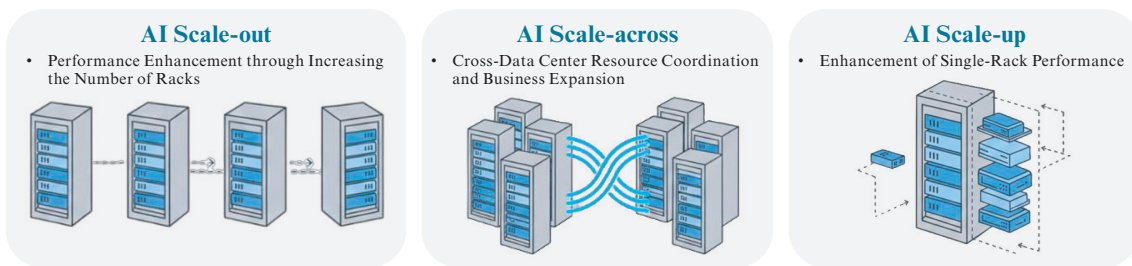
Evolution of Network Architectures — The rapid proliferation of machine learning and AI is fundamentally reshaping data center architectures, substantially increasing demand for optical interconnects across all network layers. The network topology of data centers has evolved from traditional three-tier hierarchical architectures characterized by bandwidth convergence toward high-bandwidth, non-blocking architectures represented by Fat-Tree designs. Such architectures aim to enhance communication efficiency and bandwidth utilization between any two nodes, eliminating

INDUSTRY OVERVIEW

bandwidth bottlenecks across nodes. The adoption of new network topologies has significantly increased the number of connections and overall interconnection density, resulting in exponential growth in demand for optical interconnects.

Evolution of Scalability Demand — In typical AI data center network architectures, optical interconnects are not only widely applied in traditional use cases, such as supporting external wide-area traffic access and transmission and serving as key front-end hubs connecting internet operator networks, metropolitan area networks and geographically distributed data centers, but also extend across multiple hierarchical layers within the data center network including scale-out, scale-across and scale-up.

Illustrative Diagram of Global Data Center Architecture



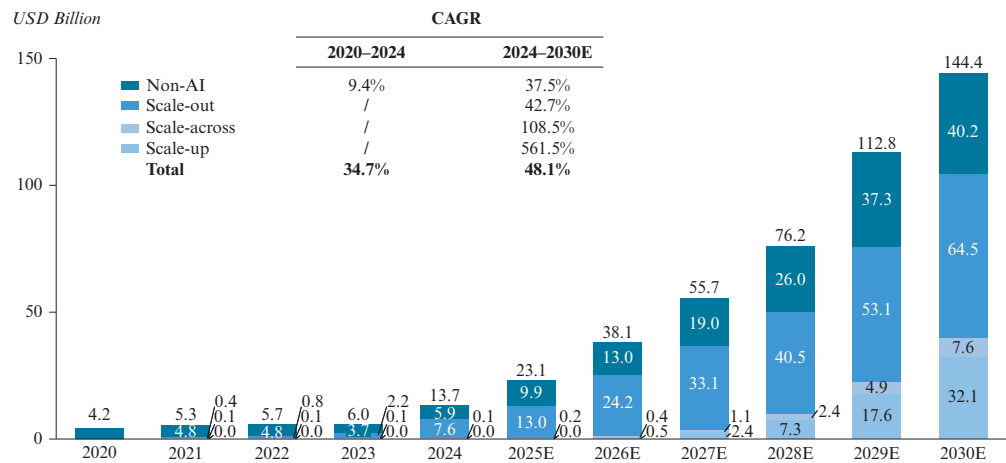
Source: CIC

- **Scale-out** refers to high-bandwidth connections between switches within a data center to enable high-speed data exchange between nodes. The emergence of large language models has led to a surge in computing power demand. Training of large language models generally requires massive computing power to process data concurrently, and the exponential growth in model parameters often exceeds the memory capacity of a single server. As a result, the computing power of a single server is no longer sufficient to independently support parallel training of large language models. With the maturation of distributed training technologies, collaboration among multiple AI servers has become feasible. The requirements for high bandwidth and low-latency data transmission have made intra-cluster optical interconnects (Scale-out) the mainstream approach for capacity expansion in AI data centers.
- **Scale-across** primarily refers to inter-data center interconnection scenarios. As AI enters the stage of globalized industrial application, two core demands have emerged: (i) globally distributed AI research and development teams jointly training ultra-large models; and (ii) global users' demand for low-latency access to AI inference services, which necessitates localized computing power deployment. With the advancement of cross-regional optical communications, remote data synchronization and computing power scheduling technologies, demand for Scale-across optical interconnect solutions that enable high-bandwidth, long-distance and highly reliable interconnection among multiple data centers continues to increase.

INDUSTRY OVERVIEW

- Scale-up** refers to interconnections between servers or between chips within a single node. Enhancement of a single server’s performance represents the most direct method of improving computing capacity. At present, the mainstream interconnection method within a single server remains copper-based electrical. As computing density increases exponentially, demand for data exchange among chips, boards and servers within a single node or rack has grown substantially, especially the scaling of per-lane data rate. The traditional electrical interconnects are increasingly unable to meet such demands, thereby becoming bottlenecks in intra-node computing transmission. Short-distance optical interconnects within a single computing node (Scale-up) are expected to become a key area of development in the future, with the potential to reshape intra-node and intra-rack data interconnection architectures and to constitute a new application scenario generating significant incremental demand for optical interconnects.

Global Market Size of Data Center Optical Interconnect Market, by scaling use case, by Revenue, 2020–2030E



Source: LightCounting, Expert Interviews, CIC

Throughout the evolution of interconnection model requirements, laser chips, as indispensable foundational components of optical interconnects, are expected to benefit from the structural growth opportunities arising from the development of optical interconnect markets across different scaling use cases, thereby securing clear and sustainable growth potential.

Telecommunications Optical Interconnects Market — Demand Growth and Technological Evolution Supporting Stable Expansion of Optical Interconnects

In the telecommunications sector, optical interconnects ensure high-speed interconnection across core networks, access networks and metropolitan area networks, thereby supporting the development of communications infrastructure and emerging services. Driven by network data rates and bandwidth upgrades, the proliferation of edge computing and ongoing technological evolution, the global telecommunications optical interconnects market has maintained steady growth and is expected to increase from US\$4.2 billion in 2024 to US\$7.0 billion in 2030, representing a CAGR of 8.8%.

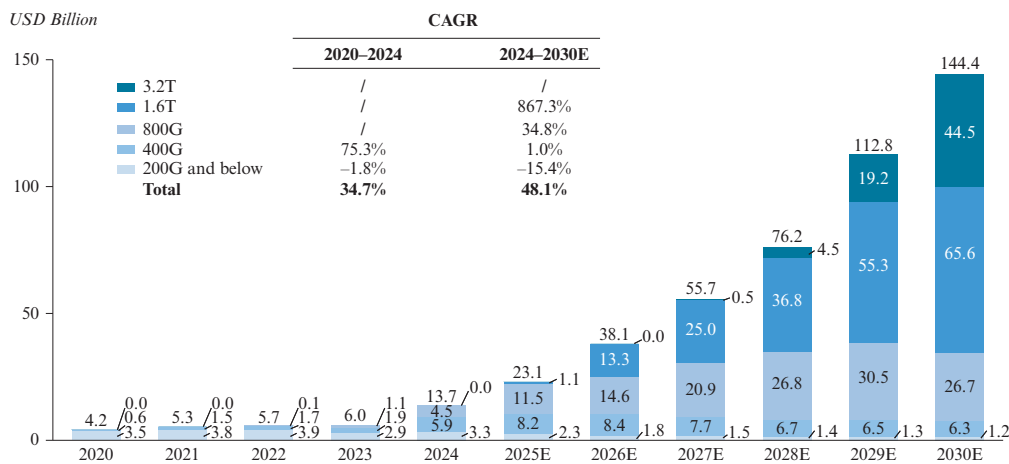
INDUSTRY OVERVIEW

The product iteration cycle of optical interconnects in the telecommunications market is closely aligned with the overall upgrade cycle of the telecommunications sector. The overall cycle is relatively long, typically ranging from approximately seven to ten years. However, it is also characterized by substantial upgrade volumes and continuous enhancement of product specifications, thereby providing laser chip enterprises with stable development opportunities.

Rising Transmission Rates of Optical Interconnects Products Driving New Performance Requirements and Structural Demand Shifts for Laser Chips

Driven by AI computing demand in the data center market, the optical interconnect market continues to undergo transformation, promoting iterative technological upgrades in optical interconnects. Such upgrades are primarily reflected in the continuous increase in transmission rates to meet the growing demand for higher data transmission efficiency. High-speed optical interconnects products with data rates of 400G and above holds a dominant position currently. As of 2025, 400G and 800G optical interconnect products have achieved comprehensive commercial deployment, with their combined sales volumes accounting for approximately 50% of total sales volume. 1.6T optical interconnects products have commenced mass production and shipment, while research and development of 3.2T optical interconnects products is rapidly advancing. It is expected that within the next five years, 1.6T optical interconnects products will become the mainstream specification, and 3.2T optical interconnects products will gradually achieve commercialization, thereby driving a new round of upgrades in optical interconnects transmission rates.

Global Market Size of Data Center Optical Interconnects, by Data Rates, by Revenue, 2020–2030E



Source: LightCounting, Expert Interviews, CIC

As the transmission rates of optical interconnects products continue to iterate and upgrade, both performance requirements and quantity demand for laser chips have increased correspondingly, thereby raising the value contribution of laser chips per unit of optical interconnects product. Taking the EML solution as an example, 400G optical transceiver typically adopt a ‘4-channel × 100G’ architecture, requiring four 100G EMLs per transceiver. As products evolve to the 1.6T generation,

INDUSTRY OVERVIEW

they generally utilize an ‘8-channel × 200G’ configuration, thereby necessitating eight 200G EMLs. Under the SiPh approach, a 400G optical transceiver typically requires only two 50mW or 70mW CW laser, while a 1.6T product requires four 70mW or 100mW CW laser.

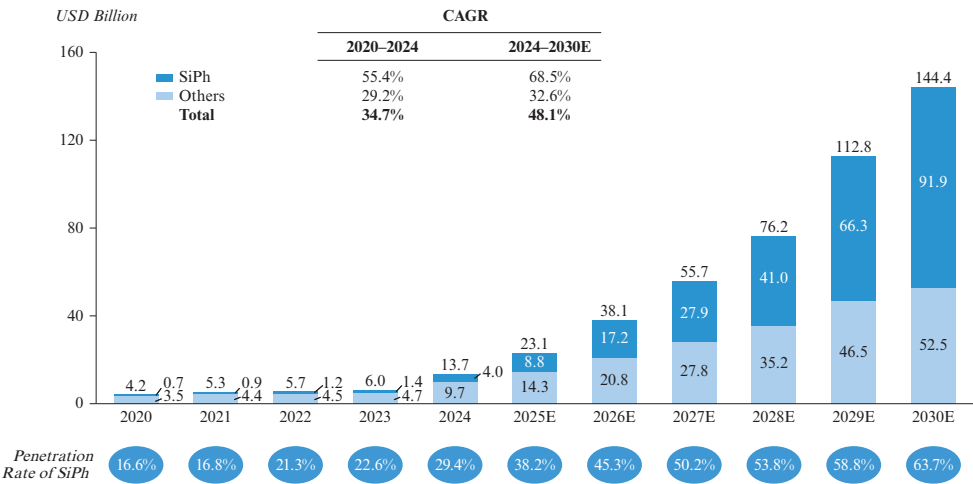
Continuous Innovation in Optical Interconnects Technological Pathways Reinforcing the Importance of Optical Links and Establishing a New Demand Paradigm for Laser Chips

As data center scale and computing interconnection demand continue to increase, market demand for optical interconnect technologies featuring low power consumption, high efficiency, high density, ease of integration and cost-effectiveness continues to rise, thereby driving the development of next-generation optical interconnect solutions, including SiPh technology, coherent optical communication technology, as well as next-generation optical interconnect integration technologies such as NPO and CPO.

SiPh Technology

Under the traditional technological pathway, optical interconnect products predominantly adopt laser chips based on III-V materials. Such materials demonstrate strong performance in light emission and high-speed signal modulation. However, their supply capacity is relatively constrained, making large-scale capacity expansion challenging and significantly increasing costs as transmission rates rise. In contrast, SiPh technology leverages mature silicon semiconductor processes to integrate electronic and photonic devices on a single silicon substrate, enabling optical interconnects products to achieve smaller form factors, lower power consumption and support for higher transmission rates. Currently, SiPh technology is widely adopted in data center optical interconnect market, particularly for high-speed optical interconnect products. In 2024, its penetration rate in the data center market reached 29.4%. Looking forward, with the continued iteration of SiPh technology and the evolution of optical interconnect products toward higher transmission rates, the penetration rate of SiPh technology in optical interconnects products in the data center market is expected to reach 63.7% in 2030.

Global Market Size of Data Center Optical Interconnects, by Technology, by Revenue, 2020–2030E



INDUSTRY OVERVIEW

Source: LightCounting, Expert Interviews, CIC

Unlike products under the traditional technological pathway that rely on EMLs, SiPh-based interconnect products primarily depend on CW laser to provide stable and high-power continuous wave optical sources.

Coherent Optical Communication Technology

Coherent optical communication technology enhances transmission capacity and signal-to-noise ratio by precisely measuring the phase and amplitude of optical waves, enabling a single optical fiber to carry a greater volume of data. With the rapid growth of intra-data center interconnection rates and network scale, coherent optical communication technology is gradually extending from the application in long-distance backbone networks into high-density, high-speed interconnection scenarios over longer distances, including cross-room or cross-cluster interconnection (Scale-across). In the future, coherent optical communication technology is expected to play an important role in high-performance and scalable network architectures.

Next-Generation Optical Interconnect Solutions

At present, optical interconnects products are predominantly in the form of optical transceivers, which feature plug-and-play capability, optical transceiver-level maintenance, a mature ecosystem with strong compatibility, flexible deployment, controllable risk and adaptability to long-distance transmission. However, they also face limitations in terms of functionality, efficiency and bandwidth density. As demand for optical interconnects continues to rise, there is an increasing need for next-generation optical interconnect integration technologies.

Comparative Analysis of Optical Interconnect Solutions

Technological Form	Optical Transceivers	NPO	CPO
Electrical Link Length	150–250 mm	30–100 mm	<15mm
Whether DSP is Integrated	YES	NO	NO
Power Consumption	●	◐	◑
Ease of Maintenance	◐	◑	◒
Signal Latency	◑	◐	◑
Interconnection Density	◐	◑	◒

Note: ◐ → ◑ indicates the relevant parameters from low to high.

Source: CIC

INDUSTRY OVERVIEW

Overall, the core of next-generation optical interconnect solutions lies in achieving enhanced electrical performance through high levels of integration, shortening electrical signal transmission distances, reducing power consumption and improving signal integrity. In this process, the increasing adoption of optical interconnects and the higher requirements for optical transmission efficiency drive rising demand for high-performance laser chips.

OVERVIEW OF LASER CHIP INDUSTRY

Development Background of the Laser Chip Industry

The laser chip industry has experienced significant growth, driven by favorable factors such as the explosive expansion of the optical interconnects market, the rapid adoption of emerging technologies like silicon photonics (SiPh) in optical interconnects, and the increasing demand from end customers for high-performance optical interconnect products. As indispensable core components of optical interconnect solutions, laser chips have directly benefited from these trends, fueling their accelerated development. In 2024, the global laser chip market reached a market size of US\$2.6 billion and is expected to increase to US\$22.9 billion in 2030, representing a CAGR of 44.1%.

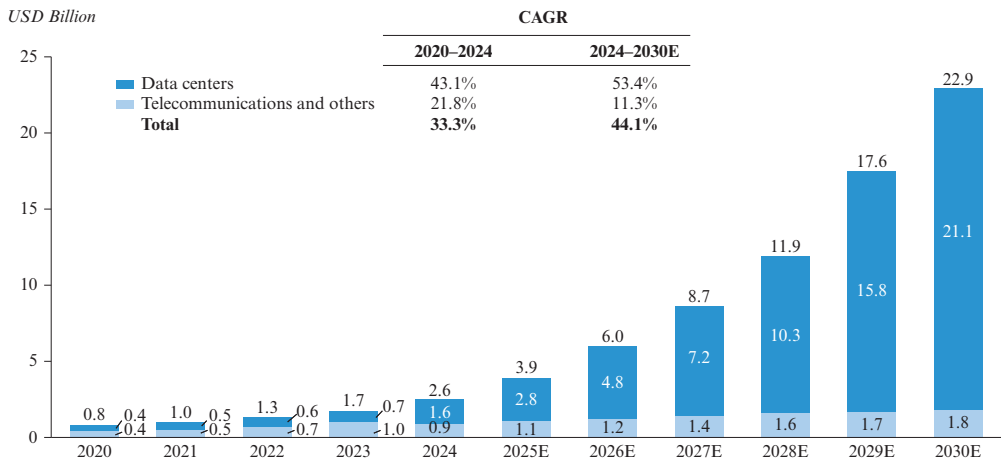
The development of the laser chip industry is subject to objective constraints, including long capacity expansion cycles, high technological barriers and concentration of high-end production capacity, constraints on key materials and equipment in the short to medium term, and imbalances in the supply chain structure. As a result, the industry is unable to fully meet the rapidly growing downstream market demand, and the overall market is characterized by supply-demand imbalance. This imbalance is particularly evident in EMLs and CW lasers used for high-speed optical interconnects.

Major Application Scenarios of Laser Chips

Laser chips are primarily used in optical interconnect products, with their end-use application scenarios closely aligned to those of the optical interconnect solutions they enable. Based on different end-use application scenarios, the laser chip market can be categorized into the data center laser chip market and the telecommunications laser chip market. Among these, the data center laser chip market holds a dominant position, with a market size of US\$1.6 billion in 2024, which is expected to increase to US\$21.1 billion in 2030, representing a CAGR of 53.4%.

INDUSTRY OVERVIEW

Global Market Size of Laser Chip, by Application, by Sales Revenue*, 2020–2030E



Source: LightCounting, Expert Interviews, CIC

Note: *Market size includes laser chips in both the external and internal sales market. The internal supply market refers to optical interconnects manufacturers that possess laser chip production capabilities and use such laser chips for internal consumption. The same definition applies hereinafter.

The data center laser chip and telecommunications laser chip markets exhibit differentiated technological landscapes. The data center laser chip market is characterized by a dual-driven technological landscape comprising EML and CW laser. EML, as an earlier-developed solution, is widely used in optical interconnect products for 400G and above. In recent years, SiPh-based solutions benefiting from the high level of integration and lower costs are emerging as the direction for high-speed evolution, requiring supporting high-power CW laser.

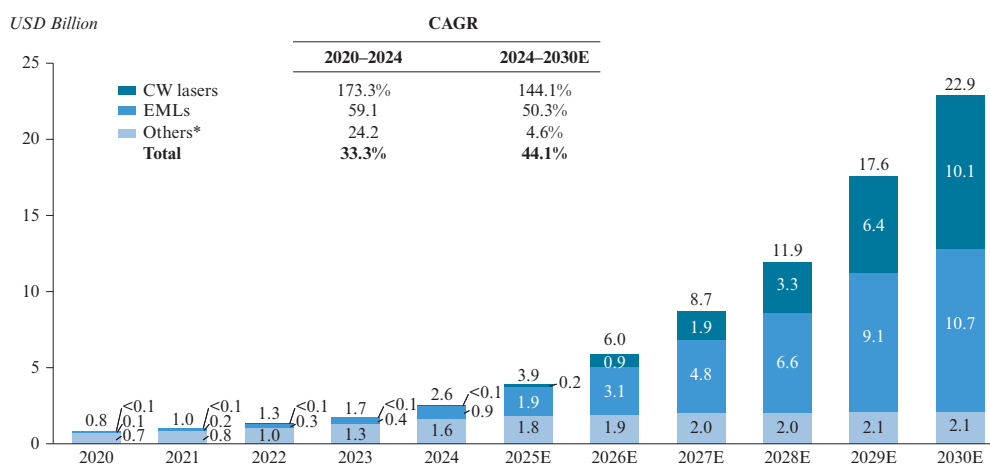
In telecommunications, edge-emitting laser chips continue to dominate, driven by their ability to meet stringent performance requirements. Specifically, DFB lasers are widely deployed in medium-to-short-reach scenarios such as 5G fronthaul and fiber access. Conversely, EMLs overcome chromatic dispersion limitations through their low chirp and high extinction ratio, thereby dominating long-haul, high-speed nodes such as backbone networks and high-speed fiber access.

EML and CW Lasers Dominate Market Share and Gain Increasing Strategic Importance

In 2024, the combined market size of EMLs and CW lasers amounted to US\$970 million, representing approximately 38.1% of the total market. Looking forward, revenue from such products is expected to maintain a high growth rate, with their market share continuing to increase. In 2030, combined revenue is projected to reach US\$20.80 billion, representing a CAGR of 66.6%, with market share expected to rise to 90.9%.

INDUSTRY OVERVIEW

Global Market Size of Laser Chip, by Technology, by Revenue, 2020–2030E



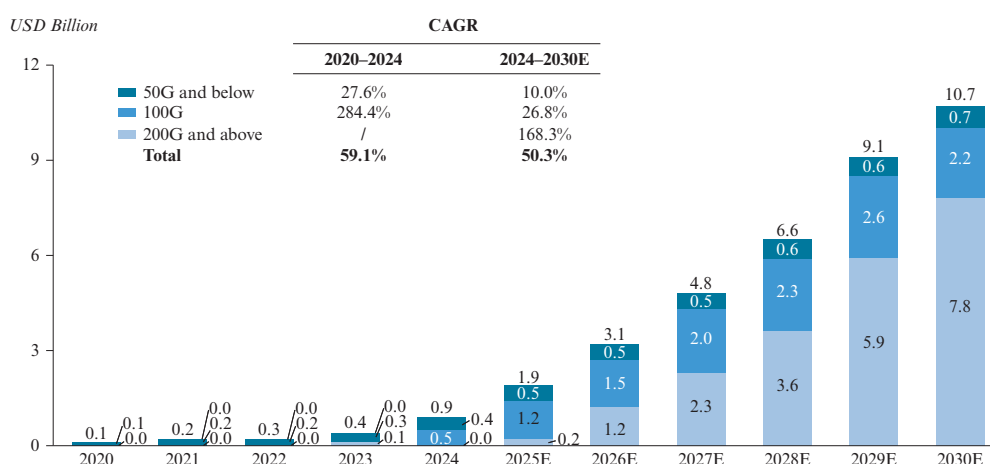
Source: LightCounting, Expert Interviews, CIC

Note: “Others” primarily includes the FP lasers, DFB lasers and VCSELs.

EMLs

EMLs are primarily categorized by data rates from lower to higher specifications, including 50G, 100G and 200G, and are principally adapted for optical interconnect products ranging from 100G to 1.6T. Currently, 100G EMLs dominate as the mainstream products, which are widely applied in high-speed optical interconnect products such as 400G and 800G optical transceivers. As 1.6T and higher-speed optical interconnects products are progressively commercialized, 200G EMLs, as the corresponding laser chip solution, are expected to experience rapid growth.

Global Market Size of EMLs, by Data Rates, by Revenue, 2020–2030E



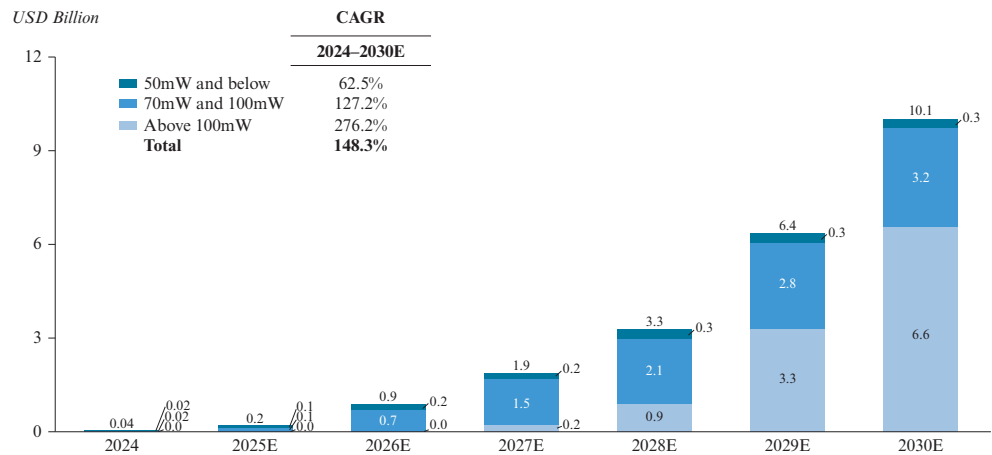
Source: LightCounting, Expert Interviews, CIC

INDUSTRY OVERVIEW

CW lasers

The development of CW laser primarily benefits from the application of SiPh technology. Under SiPh-based solutions, CW laser serve as external or heterogeneously integrated light sources and operate in conjunction with SiPh-based modulators to enable optoelectronic signal conversion and modulation functions in SiPh-based optical interconnects products. In high-speed optical interconnects products, SiPh-based solutions and CW laser are widely adopted by virtue of their superior cost-performance advantages. In current mainstream SiPh-based high-speed optical interconnects products, including 400G, 800G and 1.6T, the principal CW laser adopted include power specifications of 50 mW, 70 mW and 100 mW. In addition, driven by the emerging technologies such as NPO and CPO, higher-power CW lasers, including 150mW, 300mW, and 400mW variant, are progressively being integrated into the commercialization of next-generation optical interconnect products. From 2025 to 2030, demand for CW laser with power specifications of above 100mW is expected to experience explosive growth. By 2030, the market size of CW lasers with power specifications of above 100mW is projected to reach US\$6.6 billion, representing approximately 65.3% of the total market.

Global Market Size of CW Laser, by Power, by Revenue, 2024–2030E



Source: LightCounting, Expert Interviews, CIC

Key Drivers and Future Trends of the Laser Chip Industry

- **Sustained Increase in Demand with High-Speed Growth.** The development of AI training clusters has driven a surge in demand for computing power and high-speed data transmission, resulting in exponential growth in demand for downstream high-speed optical interconnects products. As core components of optical interconnects products, market demand for laser chips has correspondingly increased at a rapid pace.
- **Dual-Engine Growth Driven by EML and CW laser.** On the one hand, EMLs, with advantages in high bandwidth, low dispersion and long-distance transmission, have become the important solution for achieving single-wavelength rates of 100G/200G and are widely applied in high-speed optical transceivers of 400G, 800G and even 1.6T. On the other hand, under the emerging SiPh technological pathway, CW laser paired with SiPh modulators, by virtue of their

INDUSTRY OVERVIEW

high integration level, cost-reduction potential and compatibility with advanced architectures such as CPO, are gradually becoming key core components supporting next-generation optical interconnects products and ultra-high-speed data center networks.

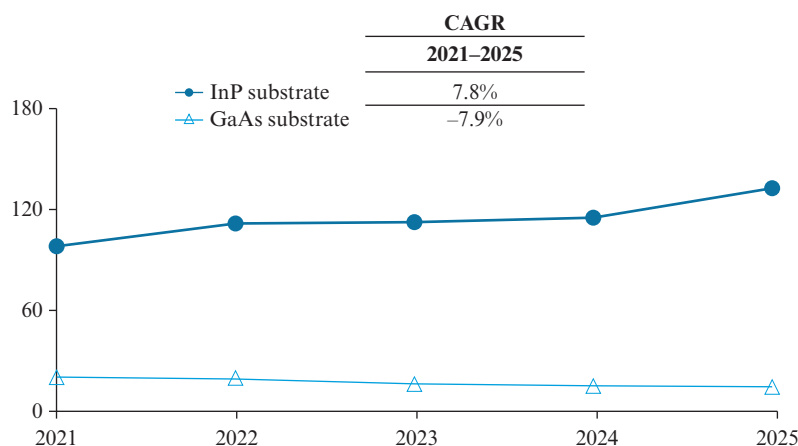
- **Evolution Toward Higher Performance with Continuous Increase in Unit Value.** As optical interconnects products continue to evolve toward higher rates and new integration technologies are explored and adopted, higher performance requirements are imposed on laser chips. Taking the EML solution as an example, higher transmission rates usually require higher performance and quantity of laser chips per optical interconnects product, thereby driving up the value contribution of laser chips per unit of optical interconnects product. Under the SiPh-based solution, although SiPh technology reduces the cost of the modulation component through CMOS processes, in order to drive higher-speed SiPh engines and effectively compensate for complex on-chip optical path losses, transceivers must be equipped with higher-power and higher monochromaticity CW laser as external light sources. In addition, as the industry evolves toward next-generation integration technologies such as NPO and CPO, demand for laser chips is expected to undergo fundamental transformation, and the value contribution of laser chips within overall hardware costs is expected to further increase.
- **Diversification of Supply Chain.** The AI-fueled expansion of global computing infrastructure imposes significant demands on the scale, stability, and timeliness of the supply chain, creating strategic opportunities for high-quality laser chip manufacturers. Crucially, manufacturers possessing advanced technological capabilities, including epitaxial growth, high-precision grating etching and etc., alongside the advantages in operational efficiency and agile responsiveness, can better meet the stringent requirements and join the core international supply chain, forming a diversified global supply networks and capturing significant international market share. In particular, an increasing number of laser chip manufacturers are implementing going-global strategies by locating production bases in proximity to downstream optical interconnects manufacturers or end customers, thereby building more resilient and diversified global supply chain networks.

Cost Structure of Laser Chips

The cost structure of laser chips primarily consists of manufacturing overhead, direct labor, and material costs. Material costs mainly comprise substrates, gold targets, specialty gases, and chemicals, typically contributing 10% to 20% of the total cost based on different products. Currently, the primary substrate materials for laser chips are InP and GaAs. Over the past few years, the price of InP has steadily increased due to rising raw material prices. In contrast, owing to its relatively simpler production process, the price of GaAs has gradually declined alongside process optimization and technological iteration.

INDUSTRY OVERVIEW

Price Index of the Main Raw Material of Laser Chips, 2021–2025



Source: Annual Reports, SMM, CIC

COMPETITIVE LANDSCAPE OF GLOBAL LASER CHIP MARKET

Currently, the laser chip market is largely defined by a supply-demand imbalance. Aside from a small number of manufacturers that produce both laser chips and optical interconnect products — partially fulfilling their laser chip needs through internal supply — the majority of optical interconnect solution providers rely on external suppliers to meet their laser chip requirements.

Ranking of Global Laser Chip Market

In terms of revenue from external sales in 2025, the Company was the sixth-largest provider of laser chips globally and ranked first among PRC players, with a market share of 3.1%.

Ranking	Company	Sales Revenue ⁽¹⁾ (RMB100 million)	Market Share
1	Company A	32.4	16.7%
2	Company B	28.1	14.5%
3	Company C	25.9	13.4%
4	Company D	25.7	13.3%
5	Company E	7.2	3.7%
6	The Company	6.0	3.1%
7	Company F	5.7	2.9%
8	Company G	5.0	2.6%
9	Company H	2.9	1.5%
10	Company I	1.7	0.9%
Total of Top 10		140.7	72.7%
Others		52.8	27.3%
Market Total		193.5	100.0%

Source: Expert Interviews, annual reports, CIC

INDUSTRY OVERVIEW

Note:

- (1) Sales revenue refers to revenue generated from external sales in the external sales market and excludes internal sales revenue in the captive supply market. The same definition applies hereinafter.
- (2) Company A, founded in 2015 and headquartered in USA. It was listed on the NASDAQ Stock Market. It is a global provider of innovative optical and photonic products serving artificial intelligence, cloud and data center networking, telecommunications, industrial and 3D sensing markets.

Company B, founded in 1961 and headquartered in USA. It was listed on the NASDAQ Stock Market. It is a global technology leader that designs, develops and supplies semiconductor and infrastructure software solutions.

Company C, founded in 1921 and headquartered in Japan. It was listed on the Tokyo Stock Exchange. It is a diversified global electrical and electronics manufacturer operating across infrastructure systems, factory automation, building systems and semiconductor devices.

Company D, founded in 1897 and headquartered in Japan. It was listed on the Tokyo Stock Exchange. It operates as a diversified manufacturer of advanced materials and electronic products, covering environment and energy, information and communications, automotive, electronics and industrial materials.

Company E, founded in 1971 and headquartered in USA. It was listed on the New York Stock Exchange. It is a vertically integrated photonics technology platform serving data center, communications, industrial, electronics and instrumentation markets.

Company F, founded in 2004 and headquartered in Guangdong province, China. It is a private company, providing chips, components, transceivers and board-level solutions.

Company G, founded in 1950 and headquartered in USA. It was listed on the NASDAQ Stock Market. It designs and manufactures semiconductor products for RF, microwave, millimeter-wave and optical applications.

Company H, founded in 2018 and headquartered in Hubei province, China. It was quoted on the National Equities Exchange and Quotations (NEEQ). It specializes in the research, development and manufacturing of optical communication chips, including 10G/25G/50G laser and photodetector chips and related packaging products.

Company I, founded in 2016 and headquartered in Hubei province, China. It is a private company engaged in the research, development, manufacturing and sales of semiconductor optoelectronic chips.

INDUSTRY OVERVIEW

Ranking of Global Laser Chip Market for High-Speed Optical Interconnect Products

Laser chips for high-speed optical interconnects products with data rates of 400G and above, include 100G and above EMLs, as well as CW lasers with output power of 50mW or above. In terms of revenue from external sales in 2025, the Company was the sixth-largest provider of laser chips applied in high-speed optical interconnect products globally and ranked first among PRC players, with a market share of 4.3%.

Ranking	Company	Sales Revenue (RMB100 million)	Market share
1	Company A	28.8	33.0%
2	Company D	20.0	23.0%
3	Company B	18.8	21.5%
4	Company C	7.0	8.0%
5	Company E	4.5	5.2%
6	The Company	3.8	4.3%
Total of Top 6		82.9	94.9%
Others		4.4	5.1%
Market total		87.3	100.0%

Source: Expert Interviews, annual reports, CIC

Ranking of Global Laser Chip Market for SiPh-based High-speed Optical Interconnect Products

CW lasers are primarily applied in SiPh-based high-speed optical interconnect products of 400G and above. In terms of revenue from external sales in 2025, the Company was the second-largest provider of laser chips applied in SiPh-based high-speed optical interconnect products globally and ranked first among PRC players, with a market share of 23.6%.

Ranking	Company	Sales Revenue (RMB100 million)	Market share
1	Company D	5.0	31.7%
2	The Company	3.8	23.6%
3	Company B	2.8	17.6%
4	Company A	1.8	11.1%
5	Company C	0.8	5.0%
Total of Top 5		14.2	89.1%
Others		1.7	10.9%
Market total		15.9	100.0%

Source: Expert Interviews, annual reports, CIC

Entry Barriers of Laser Chips Industry

- **Manufacturing Know-How.** The production of laser chips relies heavily on advanced core processes, such as epitaxial growth, high-precision grating etching, as well as complex designs for high-speed modulation. Given the scarcity of foundries equipped with full-process manufacturing capabilities, most laser chip suppliers should operate under an IDM model,

INDUSTRY OVERVIEW

which imposes stringent requirements on their ability to exert absolute control over the entire production cycle and accumulate deep industry know-how. Furthermore, the rapid upgrading and iteration of downstream optical interconnect products drive continuous technological upgrades at the chip level. Consequently, manufacturers shall possess the proprietary know-how to rapidly transition from R&D to mass production, continuously optimize process recipes, and maintain consistently high yield rates to ensure product reliability.

- **Customer Trust and Cooperation.** The optical interconnects market is characterized by exceptionally rigorous, time-consuming qualification processes and high switching costs imposed by top-tier optical interconnect solutions and cloud service providers, creating formidable barriers to entry for new competitors. However, for successfully integrated suppliers, these exact dynamics foster deeply entrenched, rarely altered relationships. By establishing long-term, trusted partnerships with industry leaders, laser chip manufacturers can achieve deep integration into the global supply chain and gain critical early visibility into evolving AI and data center architectures.
- **Research and Development Capabilities.** The optical interconnects industry is characterized by rapid technological iteration, which imposes exceptionally high requirements on the forward-looking strategic planning and systematic research and development capabilities of upstream laser chip manufacturers. Leading enterprises typically deploy early in the research and development of core technologies, to continuously meet the requirement of next-generation downstream products. Laser chip manufacturers possessing such systematic and forward-looking research and development capabilities are able not only to maintain a leading pace of technological advancement, but also to establish technological barriers that are difficult to replicate within the industry, thereby sustaining leadership in product performance and reliability.
- **Supply Chain Management Capabilities.** The dynamic nature of the optical interconnects market places extremely high demands on supply chain management and operational agility. Manufacturers are required to demonstrate the capability to flexibly expand capacity, optimize resource utilization, and meet strict customer delivery schedules. A mature and resilient supply chain system is critical for mitigating risks associated with rapid market iterations and volatile order fluctuations. By building a robust supply network and maintaining capacity stability, laser chip manufacturers can achieve economies of scale, fulfill stringent delivery requirements, and maintain a sustainable cost advantage in a highly competitive global market.

SOURCES AND RELIABILITY

We commissioned CIC to conduct an analysis and report on the global laser chip market. CIC is a market research and consulting firm founded in Hong Kong, engaged in providing professional consulting services across various industries. We have agreed to pay CIC a fee of RMB0.45 million for the preparation of the CIC Report. The data cited in this section, as well as in the “Summary,” “Risk Factors,” “Business,” “Financial Information” and other sections of this document, are provided to enable potential [REDACTED] to gain a more comprehensive understanding of the industries in which we operate. Unless otherwise stated, all data and forecasts contained in this section are derived from the CIC Report. The data collected by CIC have been analyzed, assessed and validated using CIC’s in-house analysis models and techniques. Primary research was conducted

INDUSTRY OVERVIEW

through interviews with key industry experts and leading industry participants. Secondary research involves analyzing data from public data sources. The market forecast in the CIC Report is based on the following key assumptions: (i) during the forecast period, the overall social, economic and political environment in the world and China is expected to remain stable; (ii) during the forecast period, relevant key industry drivers may continue to drive the growth of the global laser chip market, such as increasing downstream demand, technological advancements, policy support, etc.; and (iii) during the forecast period, there will be no extreme force majeure or unforeseen industry regulations that may have a drastic or fundamental impact on the market.

REGULATORY OVERVIEW

REGULATORY ENVIRONMENT IN THE PRC

The following provides an overview of the major PRC laws, regulations, and policies related to the Company’s current daily business operations in the PRC.

Policies Related to Our Business

On November 1, 2021, the Ministry of Industry and Information Technology of the PRC (the “MIIT”) issued the 14th Five-Year Plan for the Development of the Information and Communication Industry. It proposed that by 2025, a new type of digital infrastructure that is high-speed, ubiquitous, integrated, interconnected, intelligent, green, safe and reliable will be basically established. Focusing on the construction of new digital infrastructure and the expansion of the digital space, 26 key development areas and 21 projects have been put forward, aiming to comprehensively improve the development quality of the industry and the ability to empower the digital transformation of the economic society.

On January 22, 2022, the MIIT and the National Development and Reform Commission of the PRC (the “NDRC”) issued the Notice on Promoting Cloud-Network Integration and Accelerating the Construction of Information Infrastructure in Small and Medium-Sized Cities. It proposed that by 2025, the cloud-network infrastructure covering small and medium-sized cities should be basically completed in the eastern region, as well as in most parts of the central, western, and northeastern regions. The construction goals of “Gigabit Connectivity in a Thousand Cities” and “A Thousand Cloud Resource Pools in a Thousand Cities” should be achieved, that is, gigabit access capabilities and cloud resource pools should cover more than 1,000 small and medium-sized cities.

On June 2, 2023, five departments including the MIIT issued the opinions on the Implementation of Reliability Improvement in the Manufacturing Industry. It proposed that in the electronics industry, priority shall be given to improving the reliability of high-end general-purpose CPUs such as SoCs, MCUs, and GPUs for electronic equipment; gallium nitride, silicon carbide, and other wide-band-gap power semiconductor devices; precision optical components; optical communication devices and etc.

On January 18, 2024, seven departments including the MIIT issued the Implementation Opinions on Promoting the Innovative Development of Industries of the Future. It proposed the construction of 5G, computing infrastructure, industrial Internet, Internet of Things, Internet of Vehicles, and Gigabit optical network shall be further promoted and a forward-looking planning shall be made for key technologies such as 6G, satellite Internet, and satellite direct-to-handset connectivity.

On April 22, 2025, the MIIT, the NDRC and the National Data Administration issued the Implementation Plan for the Digital Transformation of the Electronic Information Manufacturing Industry, which includes the chip testing and evaluation technologies for SiPh applications in the key standards development and promotion initiative.

On August 22, 2025, the MIIT and the State Administration of Market Regulation of the PRC issued the Action Plan for the Steady Growth of the Electronic Information Manufacturing Industry for 2025–2026. It proposed that technological breakthroughs shall be advanced in key segments of photonic technologies, and R&D investment shall be increased in high-speed optical chips, optical-electrical co-packaging, and related fields to promote ecosystem-level integration between optical and electronic architectures.

REGULATORY OVERVIEW

Regulations on Corporation

According to the Company Law of the PRC (the “**Company Law**”), promulgated by the Standing Committee of the National People’s Congress (the “**NPCSC**”) on December 29, 1993, lastly amended on December 29, 2023, and came into effect on July 1, 2024, limited liability companies and joint-stock limited companies established within the territory of China are subject to the Company Law. Unless otherwise specified by the laws and regulations on foreign investment, foreign-invested enterprises are also governed by the Company Law.

Regulations Related to Foreign Investment in the PRC

Foreign Investment Regulation

According to the Foreign Investment Law of the PRC (the “**Foreign Investment Law**”), promulgated by the National People’s Congress on March 15, 2019 and came into effect on January 1, 2020, foreign investment refers to investment activities carried out directly or indirectly within the territory of China by foreign natural persons, enterprises, or other organizations (the foreign investors). The Foreign Investment Law further implements the pre-establishment national treatment plus negative list management system for foreign investment.

According to the Regulations for the Implementation of the Foreign Investment Law of the PRC, promulgated by the State Council on December 26, 2019 and came into effect on January 1, 2020, the state encourages and promotes foreign investment, protects the legitimate rights and interests of foreign investors, regulates the management of foreign investment, continuously optimizes the foreign investment environment, and promotes a higher level of opening up.

According to the Special Administrative Measures (Negative List) for the Access of Foreign Investment (2024 Edition), jointly amended by the NDRC and the Ministry of Commerce of the PRC (the “**MOFCOM**”) on September 6, 2024 and became effective on November 1, 2024, which replaces the previous negative list, domestic enterprises engaged in prohibited businesses that intend to issue shares and list on overseas stock exchanges shall obtain the approval of relevant national competent authorities.

Security Review of Foreign Investment

According to the National Security Law of the PRC, promulgated by the NPCSC and came into effect on July 1, 2015, the state shall establish the rules and mechanisms for national security review and supervision system, conduct national security review of foreign investments, particular materials and key technologies, network information technology products and services, construction projects that involve national security matters, and other important matters and activities that impact or are likely to impact the national security of the PRC.

According to the Measures for the Security Review of Foreign Investment, promulgated by the NDRC and the MOFCOM on December 19, 2020 and came into effect on January 18, 2021, foreign investors or relevant parties in China must submit a security review application to the office of the working mechanism before making certain investments.

Regulations Related to Data Security

According to the Data Security Law of the PRC, promulgated by the NPCSC on June 10, 2021 and came into effect September 1, 2021, the state establishes a data classification and graded protection system, implementing data classification and graded protection based on factors such as the importance of data in economic and social development. When conducting data processing

REGULATORY OVERVIEW

activities, entities shall, in accordance with laws and regulations, establish and improve a full-process data security management system, organize data security education and training, and adopt corresponding technical measures and other necessary measures to ensure data security.

According to the Regulations on Security Protection for Critical Information Infrastructure, promulgated by the State Council on July 30, 2021 and came into effect on September 1, 2021, critical information infrastructure means key network facilities and information systems in important industries, and the relevant government authorities are responsible for stipulating rules for the identification of critical information infrastructures. The relevant authorities must also notify operators of the determination as to whether they are categorized as critical information infrastructure operators.

According to the Measures for the Security Assessment of Outbound Data Transfer, promulgated by the Cyberspace Administration of China (“CAC”) on July 7, 2022 and came into effect on September 1, 2022, the data processors shall apply to competent authorities for security assessment when (1) the data processors transferring important data abroad; (2) a critical information infrastructure operator (“CHO”) and personal information processor that has processed personal information of more than one million people, transferring personal information abroad; (3) a data processor who has provided personal information of 100,000 individuals or sensitive personal information of 10,000 individuals to overseas recipients, in each case as calculated cumulatively, since January 1 of the last year, and (4) other circumstances where the security assessment of outbound data transfer is required as prescribed by the CAC.

According to the Administrative Measures for Data Security in the Field of Industry and Information Technology (for Trial Implementation), promulgated by the MIIT on December 8, 2022 and came into effect on January 1, 2023, industrial data means data produced and collected in the course of research and development design, production and manufacturing, operation and management, operation and maintenance, and platform operation, among others, in various sectors and fields of industry, and the industry regulatory authorities shall promote the development and utilization of data and the construction of a system of data security standards in the field of industry and information technology, and organize the formulation, revision, promotion, and application of the relevant standards.

Regulations Related to Intellectual Property

Patent

According to the Patent Law of the PRC, promulgated by the NPCSC on March 12, 1984, lastly amended on October 17, 2020 and came into effect on June 1 2021, and the Implementing Regulations of the Patent Law of the PRC, promulgated by the State Council on June 15, 2001, amended on December 11, 2023 and came into effect on January 20, 2024, and relevant regulations, patents are divided into three categories, namely invention patents, utility model patents and design patents. The validity period of patents for inventions is 20 years, while the validity period of patents for utility models is 10 years, and the validity period of patents for designs is 15 years (applications filed on or after 1 June 2021) or 10 years (applications filed on or before 31 May 2021), all starting from the date of application.

Trademarks

According to the Trademark Law of the PRC, promulgated by the NPCSC on August 23, 1982, lastly amended on April 23, 2019 and came into effect on November 1, 2019, as well as the Implementation Regulation of the PRC Trademark Law, promulgated by the State Council on August 3, 2002, amended on April 29, 2014 and came into effect on May 1, 2014, trademark

REGULATORY OVERVIEW

registrants shall enjoy the right to exclusive use of their trademarks and shall be protected by law. The validity period of a registered trademark is 10 years, calculated from the date of approval for registration. If the trademark registrant needs to continue using the registered trademark after the expiration of its validity period, they shall go through the renewal procedures in accordance with regulations within twelve months before the expiration.

Copyrights

According to the Copyright Law of the PRC, promulgated by the NPCSC on September 7, 1990, lastly amended on November 11, 2020, and came into effect on June 1, 2021, and the Detailed Regulations on the Implementation of the Copyright Law of the PRC, promulgated by the State Council on August 2, 2002, amended on January 30, 2013, and came into effect on March 1, 2013, copyright owners enjoy various personal rights and property rights, including the right of publication, the right of authorship, the right of reproduction, and the right of information network dissemination.

According to the Regulations on the Protection of Computer Software, promulgated by the State Council on June 4, 1991, lastly amended on January 30, 2013, and came into effect on March 1, 2013, and the Measures for the Registration of Computer Software Copyrights, promulgated by the National Copyright Administration on February 20, 2002, and partially amended on July 1, 2004, Chinese citizens, legal persons, or other organizations shall enjoy copyrights for the software they develop, regardless of whether it has been published.

Domain Names

According to the Measures for the Administration of Internet Domain Names, promulgated by the MIIT on August 24, 2017 and came into effect on November 1, 2017, the MIIT shall be responsible for managing internet domain names in the PRC. Domain name registrations are handled through domain name service agencies established under the relevant regulations, and the applicants become domain name holders upon successful registration.

Regulations Related to Land Use

According to the Land Administration Law of the PRC, lastly amended by the NPCSC on August 26, 2019 and came into effect on January 1, 2020, and the Regulations on the Implementation of the Land Administration Law of the PRC, lastly amended by the State Council on July 2, 2021 and came into effect on September 1, 2021, the land in the PRC is either State-owned or collectively-owned. Except for land which is legally owned by the State or has been expropriated as State-owned according to law, all of the land is collectively-owned. The State-owned land use rights may be used by third parties through grant, allocation, lease, capital contribution and other forms. Third parties who have obtained the State-owned land use rights may legally use, profit from and dispose of the State-owned land use rights within the statutory term of use and scope of planned uses.

According to the Provisional Regulations of the PRC on Grant and Transfer of the Right to Use State-Owned Urban Land, lastly amended by the State Council on November 29, 2020 with immediate effect, the grant of land use rights refers to the State as the land owner assigns the land use right to land users within a certain period of time, and the land users pay the State grant fees for obtaining the land use right. The grant contract of the land use right shall be signed. The land user shall develop, use and operate the land in accordance with the grant contract of the land use right and the requirements of the urban planning.

REGULATORY OVERVIEW

Regulations Related to Planning

According to the Urban and Rural Planning Law of the PRC, lastly amended by the NPCSC on April 23, 2019 with immediate effect, if the construction of buildings, structures, roads, pipelines and other projects is carried out in the planned area of a city or a town, the construction entity or individual shall apply to the competent authority of urban and rural planning of the people’s government of the city or county or the people’s government of the town as determined by the people’s government of the province, autonomous region or municipality directly under the central government for a construction project planning permit.

Regulations Related to Construction

According to the Urban and Rural Planning Law of the PRC which was promulgated by the NPCSC and lastly amended with immediate effect on April 23, 2019, the Construction Law of the PRC which was promulgated by the NPCSC and lastly amended with immediate effect on April 23, 2019 and the Regulation on Quality Management of Construction Projects which was promulgated and lastly amended with immediate effect on April 23, 2019, the construction activities carried out in the built-up areas of cities, towns and villages as well as areas that must be under planning control for urban and rural construction and development shall be in compliance with the relevant requirements of the Urban and Rural Planning Law of the PRC.

Regulations Related to Fire Prevention

According to the Fire Prevention Law of the PRC promulgated by the NPCSC on April 29, 1998, lastly amended on April 29, 2021, and came into effect on the same date, together with the Interim Provisions on the Administration of Examination and Acceptance of Fire Prevention Design for Construction Projects promulgated by the Ministry of Housing and Urban-Rural Development on April 1, 2020, lastly amended on August 21, 2023, and came into effect on October 30, 2023, the fire prevention design and construction work of a construction project must conform to the national fire prevention technical standards. Construction projects that are subject to fire prevention acceptance checks in accordance with the laws are prohibited from being put into use if they do not go through or fail the fire prevention acceptance check. Other construction projects that fail the random inspections according to laws shall be suspended from using.

Regulations Related to Environmental Prevention

According to the Environmental Protection Law of the PRC, promulgated by the NPCSC on December 26, 1989, lastly amended on April 24, 2014 and came into effect on January 1, 2015, the Environmental Impact Assessment Law of the PRC, promulgated by the NPCSC on October 28, 2002, lastly amended with immediate effect on December 29, 2018, and the Administrative Regulations on the Environmental Protection of Construction Project promulgated by the State Council on November 29, 1998, lastly amended on July 16, 2017 and came into effect on October 1, 2017, enterprises which plan to construct projects shall engage qualified professionals to provide the assessment reports, assessment form, or registration form on the environmental impact of such projects. The assessment reports, assessment form, or registration form shall be filed with or approved by the relevant environmental protection bureau prior to the commencement of any construction work.

REGULATORY OVERVIEW

Regulations Related to Pollutant Discharge

According to the Regulations on the Administration of Pollutant Discharge Permits promulgated by the State Council on January 24, 2021 and came into effect on March 1, 2021, enterprises, institutions and other producers and operators subject to pollutant discharge permit management should apply for and obtain pollutant discharge permits in accordance with the provisions of the regulations. According to the Classified Management Catalog of Pollutant Discharge Permits for Stationary Sources of Pollution (2019 Edition) promulgated by the Ministry of Ecology and Environment on December 20, 2019 and came into effect on the same date, a pollutant discharge entity subject to registration management is not required to apply for a pollutant discharge permit.

Regulations Related to House Leasing

According to the Law on Administration of Urban Real Estate of the PRC, which was promulgated by the NPCSC on July 5, 1994, lastly amended on August 26, 2019, and came into effect on January 1, 2020, in case of house leasing, the lessor and lessee are required to enter into a written lease contract, containing such provisions as the leasing term, usage, rental and repair liabilities, as well as other rights and obligations of both parties, and go through registration and filing procedures with the real estate administration department.

According to the Administrative Measures for Commodity House Leasing, which was promulgated by the Ministry of Housing and Urban-Rural Development of the PRC on December 1, 2010 and came into effect on February 1, 2011, the lessor and the lessee are required to complete property leasing registration and filing formalities within 30 days from execution of the property lease contract with the development (real estate) authorities of the People’s Government of the special municipality, municipality or county where the leased property is located. If a company fails to complete such procedures, a fine ranging from RMB1,000 to RMB10,000 may be imposed on each lease agreement.

Regulations Related to Product Quality

According to the Product Quality Law of the PRC promulgated by the NPCSC on February 22, 1993 and lastly amended with immediate effect on December 29, 2018, producers and sellers shall establish a sound internal product quality control system and strictly adhere to a job responsibility system in relation to quality standards and quality liabilities together with implementing corresponding examination and inspection measures.

Regulations Related to the Import and Export of Goods and Technologies

According to the Customs Law of the PRC, which was promulgated by the NPCSC on January 22, 1987 and lastly amended with immediate effect on April 29, 2021, unless otherwise stipulated, the declaration of import and export goods and the payment of customs duties may be handled by the consignees or consignors of imported or exported goods or entrusted customs declaration enterprises. The consignee or the consignor of imported or exported goods and the customs declaration enterprise shall go through customs declaration and filing procedures at the relevant customs in accordance with the law.

According to the Provisions on the Administration of Recordation of Customs Declaration Entities of the PRC promulgated by the General Administration of Customs of the PRC on November 19, 2021 and came into effect on January 1, 2022, consignees or consignors of imported and exported goods and customs declaration enterprises applying for recordation shall obtain market entity qualification.

REGULATORY OVERVIEW

According to the Foreign Trade Law of the PRC promulgated by the NPCSC on May 12, 1994, lastly amended on December 27, 2025, and came into effect on March 1, 2026, and the Notice of the Department of Enterprise Management and Inspection on Matters Related to the Record-filing of Consignors and Consignees of Import and Export Goods published by the General Administration of Customs of the PRC with immediate effect on January 3, 2023, if consignors and consignees of import and export goods apply for record-filing, they shall obtain the market entity qualification and are not required to obtain the record-filing of foreign trade business operators. For technologies that fall under the category of free import and export, the contract record-filing and registration formalities shall be handled with the foreign trade department in charge under the State Council or the institutions entrusted by it.

According to the Export Control Law of the PRC, promulgated by the NPCSC on October 17, 2020 and came into effect on December 1, 2020, and relevant laws and administrative regulations, China controls the export of dual-use items, military goods, nuclear and other goods, technologies, services and other items that are relevant to safeguarding the security and interests of China and fulfilling its international obligations in the area of non-proliferation.

Regulations Related to Labor and Employment

Labor Law and Labor Contract Law

According to the Labor Law of the PRC, promulgated by the NPCSC on July 5, 1994, lastly amended with immediate effect on December 29, 2018, and the PRC Labor Contract Law of the PRC (the “**Labor Contract Law**”), promulgated by the NPCSC on June 29, 2007, lastly amended on December 28, 2012 and came into effect on July 1, 2013, employers and workers shall sign written labor contracts when establishing labor relations. Employers shall establish and improve labor rules and regulations in accordance with the law to ensure that workers enjoy labor rights and fulfill labor obligations.

Social Insurance and Housing Provident Funds

According to the Social Insurance Law of the PRC, promulgated by the NPCSC on October 28, 2010, lastly amended with immediate effect on December 29, 2018, and the Provisional Regulations on Collection and Payment of Social Insurance Premiums, promulgated by the State Council on January 22, 1999, lastly amended with immediate effect on March 24, 2019, a social insurance system consisting of a basic pension insurance, basic medical insurance, work injury insurance, unemployment insurance, and maternity insurance has been established. An employer shall, within 30 days from the date of incorporation of the entity, proceed with the business license, registration certificate or entity seal to the local social insurance agency to apply for social insurance registration. An employer shall, within 30 days after taking on labor, proceed to the social insurance agency to apply for social insurance registrations on behalf of the employees.

On July 31, 2025, the PRC Supreme People’s Court promulgated the Interpretation (II) on Several Issues Concerning the Application of Law in Labor Dispute Cases, which became effective on September 1, 2025. It stipulates that if an employer and an employee agree or the employee undertakes to waive social insurance contributions, the People’s Court shall deem such agreement or undertaking invalid. This clarifies that employees are entitled to terminate their labor contracts and receive corresponding economic compensation under the PRC Labor Contract Law if the employer fails to make social insurance contributions in accordance with the law.

REGULATORY OVERVIEW

According to the Regulations on the Management of Housing Provident Fund, promulgated by the State Council on April 3, 1999, lastly amended with immediate effect on March 24, 2019, an employer shall go to the housing provident fund management center to undertake registration of payment and deposit of the housing provident fund and go through the formalities of opening housing provident fund accounts on behalf of its staff.

Regulations Related to Taxation

Enterprise Income Tax

According to the Enterprise Income Tax Law of the PRC (the “EIT Laws”) promulgated by the NPCSC, lastly amended and came into effect on December 29, 2018, and the Regulations on the Implementation of the Enterprise Income Tax Law of the PRC promulgated by the State Council on December 6, 2024 and amended with immediate effect on January 20, 2025, a uniform enterprise income tax rate of 25% is imposed to both foreign invested enterprises and domestic enterprises, but tax incentives are granted to special industries and projects. The enterprise income tax rate is reduced by 20% for qualifying small low-profit enterprises. The Chinese government provides key support to high-tech enterprises, which are subject to a reduced enterprise income tax rate of 15%.

Value-added Tax

According to the Value-Added Tax Law of the PRC, promulgated by the NPCSC on December 25, 2024 and came into effect on January 1, 2026, and the Regulation on the Implementation of the Value-Added Tax Law of the PRC, promulgated by the State Council on December 25, 2025 and came into effect on January 1, 2026, entities and individuals (including individual industrial and commercial proprietors) selling goods, services, intangible assets, real estate and importing goods within the territory of the PRC are taxpayers of VAT and shall pay VAT in accordance with the provisions of the law. Unless stated otherwise, for payers who sell goods, and provide processing, repairs and replacement services and rental services of tangible movable assets as well as import goods, the tax rate shall be 13%, and be, in certain specified circumstances, 9%, 6% and 0%.

According to the Notice of the Additional Value-Added Tax Credit Policy for Advanced Manufacturing Enterprises, promulgated by the Ministry of Finance and the State Taxation Administration on September 3, 2023 and came into effect on January 1, 2023, from January 1, 2023 to December 31, 2027, advanced manufacturing enterprises may claim an additional tax deduction equal to 5% of their current-period deductible input tax.

Dividend Withholding Tax

According to the Individual Income Tax Law of the PRC, promulgated by the NPCSC on September 10, 1980, amended on August 31, 2018 and came into effect on January 1 2019, and the Regulations on the Implementation of the Individual Income Tax Law of the PRC, promulgated by the State Council on January 28, 1994, amended on December 18, 2018 and came into effect on January 1 2019, dividends distributed by Chinese enterprises shall be subject to individual income tax at a unified rate of 20%. For foreign individuals who are non-residents of China and receive dividends from Chinese enterprises, they shall generally be subject to individual income tax at a rate of 20%, unless otherwise stipulated by the financial and taxation authorities of the State Council. According to the EIT Law and the Regulations on the Implementation of the EIT Law, the enterprise income tax rate is 25%. Non-resident enterprises that do not establish institutions or establishments within the territory of China, or that have established institutions or establishments but the income derived therefrom has no actual connection with such institutions or establishments, shall pay enterprise income tax on their income derived from sources within the territory of China at a rate of 10%. For the aforementioned enterprise income tax payable by non-resident enterprises,

REGULATORY OVERVIEW

withholding at source shall be implemented, with the payer serving as the withholding agent. The tax shall be withheld by the withholding agent from the payment or the amount payable when due each time a payment is made or when it becomes due.

According to the Circular on Issues Relating to Withholding of Enterprise Income Tax by PRC Resident Enterprises on Dividends Paid to Overseas Non-PRC Resident Enterprise Shareholders of H Shares, promulgated by the State Taxation Administration with immediate effect on November 6, 2008, when Chinese resident enterprises distribute dividends for the year 2008 and subsequent years to non-resident enterprise shareholders holding H shares outside the territory of China, they shall uniformly withhold and pay enterprise income tax at a rate of 10%.

According to the Arrangement between the Chinese mainland and the Hong Kong Special Administrative Region for the Avoidance of Double Taxation and the Prevention of Fiscal Evasion with respect to Taxes on Income, signed by the State Taxation Administration and the Government of the Hong Kong Special Administrative Region on August 21, 2006 and came into effect on December 8, 2006, the mainland government may impose tax on dividends paid by Chinese resident enterprises to Hong Kong residents (including natural persons and legal entities), but such tax shall not exceed 10% of the gross amount of the dividends payable by the Chinese resident enterprises, unless the relevant Hong Kong resident directly holds 25% or more of the equity in a Chinese resident enterprise, in which case the tax shall not exceed 5% of the gross amount of the dividends payable by the Chinese resident enterprise.

Regulations Related to Foreign Exchange Supervision

The Regulations on the Foreign Exchange Administration of the PRC, promulgated by the State Council on January 29, 1996, lastly amended with immediate effect on August 5, 2008, is applicable to all activities related to the foreign exchange receipts and disbursements and transactions of domestic corporations and individuals and to the said activities of overseas corporations and individuals within the territory of the PRC.

According to the Provisions on Foreign Exchange Administration of Foreign Investors’ Direct Investment in China, promulgated by the State Administration of Foreign Exchange of the PRC (the “SAFE”) on May 10, 2013, lastly amended and became effective on December 30, 2019, the administration of direct investment in China by foreign investors by SAFE or its local branches must be conducted through registration, and banks must handle foreign exchange business related to direct investment in China based on the registration data provided by SAFE and its branches.

According to the Notice of the State Administration of Foreign Exchange on Further Deepening Reform to Promote Cross-border Trade and Investment Facilitation, promulgated and by SAFE and became effective on December 4, 2023, foreign exchange funds raised from overseas listings by domestic enterprises may be directly remitted to capital account settlement accounts, and funds in capital account settlement accounts may be freely converted and used.

According to the Notice by the State Administration of Foreign Exchange of Matters Concerning Deepening Reform of Foreign Exchange Management for Cross-border Investment and Financing, promulgated and by the SAFE with immediate effect on September 12, 2025, under the premise that the special management measures for the entry of foreign investment are not violated and the domestic investment projects are genuine and compliant, the foreign-invested enterprises can use their foreign exchange capital and the RMB funds obtained from foreign exchange settlement to carry out domestic reinvestment.

REGULATORY OVERVIEW

On December 24, 2025, the PBOC and the SAFE promulgated the Notice of Foreign Exchange of Issues Concerning the Administration of Funds Related to Overseas Listings of Domestic Enterprises, which will come into effect on April 1, 2026. It further regulates the administration of funds related to the overseas listings of domestic enterprises.

Regulations Related to Overseas Investment

According to the Administrative Measures for Outbound Investment promulgated by the MOFCOM on September 6, 2014 and came into effect on October 6, 2014, the MOFCOM and provincial competent commerce departments shall carry out administration either by record-filing or by verification and approval depending on the different circumstances of outbound investment by enterprises. Outbound investment by enterprises that involves sensitive countries and regions or sensitive industries shall be subject to administration by verification and approval. Outbound investment that falls under any other circumstances shall be subject to administration by record-filing.

According to the Administrative Measures for Outbound Investment by Enterprises promulgated by the NDRC on December 26, 2017 and came into effect on March 1, 2018, domestic enterprises in the PRC making an outbound investment shall go through verification and approval or record-filing or other procedures applicable to outbound investment projects, report relevant information, and cooperate with the supervision and inspection. Projects involving sensitive countries and regions or sensitive industries are categorized as sensitive projects, which are subject to the management of verification and approval. The NDRC promulgated the Catalogue of Sensitive Sectors for Outbound Investment (2018 Edition), which came into effect on March 1, 2018, to list the sensitive industries for foreign investment in detail.

According to the Notice on Further Simplifying and Improving Policies for the Foreign Exchange Administration of Direct Investment promulgated by the SAFE on February 13, 2015 and came into effect on June 1, 2015, the approval of foreign exchange registration for direct investment is canceled. The SAFE and its branches indirectly supervise the registration of foreign exchange for overseas direct investment through banks.

Regulations Related to Securities and Filing for Overseas Listing

Securities

The Securities Law of the PRC (the “**Securities Law**”), lastly amended by the NPCSC on December 28, 2019 and came into effect on March 1, 2020, comprehensively regulates the activities of the securities market in the PRC, including the issuance and trading of securities, acquisitions of listed companies, disclosure of information, investor protection, stock exchanges, securities companies, securities registration and clearing institutions, securities service agencies, securities associations and securities regulatory authorities.

Overseas Listing

On February 17, 2023, the CSRC promulgated the Trial Administrative Measures of Overseas Securities Offering and Listing by Domestic Companies (the “**Overseas Listing Trial Measures**”) and related guidelines, which came into effect on March 31, 2023. According to the Trial Measures, overseas issuance and listing shall be prohibited under certain circumstances, and where a domestic enterprise in the PRC directly or indirectly issues or lists shares overseas, it shall file a report with the CSRC within three working days after submitting the application documents for issuance and listing overseas.

REGULATORY OVERVIEW

On February 24, 2023, the CSRC and three other relevant government authorities jointly promulgated the Provisions on Strengthening the Confidentiality and Archives Administration Related to the Overseas Securities Offering and Listing by Domestic Enterprises, which came into effect on March 31, 2023. It stipulates that where a domestic enterprise provides or publicly discloses any document or material that involves state secrets and working secrets of state agencies to the relevant securities companies, securities service institutions, overseas regulatory authorities and other entities and individuals, it shall report to the competent department with the examination and approval authority for approval in accordance with the law, and submit to the secrecy administration department of the same level for filing. The working papers formed within the territory of the Chinese mainland by the securities companies and securities service agencies that provide corresponding services for the overseas issuance and listing of domestic enterprises shall be kept within the territory of the Chinese mainland. Cross-border transfer shall go through the examination and approval formalities in accordance with the relevant provisions of the State.

HISTORY, DEVELOPMENT AND CORPORATE STRUCTURE

OVERVIEW

Leveraging our deep expertise in optoelectronic semiconductor design and manufacturing, we provide high-reliability, high-speed laser chips at scale with consistent quality to enable advanced data interconnectivity. Our history dates back to 2013, when our Company was established. Since the early stages of our business, our founder, Dr. Zhang, has been instrumental in driving our corporate strategy and research and development initiatives. For further details of Dr. Zhang’s biographical information, please refer to the section headed “Directors and Senior Management.”

In December 2022, the A Shares of our Company were listed on the SSE STAR Market (stock code: 688498). See “— Corporate Development and Major Shareholding Changes — Conversion into a Joint Stock Limited Liability Company and Listing on the SSE STAR Market” for more details.

KEY CORPORATE AND BUSINESS DEVELOPMENT MILESTONES

The following table sets forth our key corporate and business development milestones:

<u>Year</u>	<u>Milestones</u>
2013	Our Company was established in Shaanxi, the PRC.
2014	We launched our 2.5G 1490nm and 1550nm DFB lasers.
2015	The cumulative sales volume of our DFB lasers reached one million units.
2016	We launched our first 10G DFB lasers.
2017	We achieved breakthroughs in the manufacturing processes required for medium-to-high-speed chips.
2018	The cumulative sales volume of our DFB lasers surpassed the 10-million-unit milestone.
2019	We launched ultra-high-speed lasers for 5G telecommunications and completed the industrial trial production. We introduced 25G DFB CWDM and LWDM products tailored for wireless and data center applications.
2020	Our Company was converted into a joint stock company with limited liability and was then renamed as Yuanjie Semiconductor Technology Co., Ltd. (陝西源杰半導體科技股份有限公司). We introduced high-power CW lasers designed for SiPh applications. We commenced the mass production and shipment of 5G WDM products, with the sales volume of our 25G DFB lasers for 5G front-haul exceeding one million units.
2021	We completed the development of EMLs, successfully addressing technical challenges in long-distance communication scenarios. Our 25G WDM series products were awarded the “Gold Award” at the China International Optoelectronic Exposition (CIOE) Awards (中國光電博覽獎).

HISTORY, DEVELOPMENT AND CORPORATE STRUCTURE

Year	Milestones
2022	The A Shares of our Company were listed on the SSE STAR Market in December 2022 (stock code: 688498).
2023	We introduced 100G PAM4 EMLs.
2024	We achieved mass production of 70mW CW lasers with its sales volume exceeding one million units.
2025	Our CW lasers were recognized as the “2025 Most Influential Product in Optical Communications” (2025年度光通信最具影響力產品獎). Our 50G 1,342nm EMLs with SOA were recognized the “2025 Innovative Product Award in Optical Interconnect” (2025年度光通信創新產品獎).

OUR SUBSIDIARIES

Set out below are the details of our subsidiaries.

No.	Name	Principal business activities	Date and place of establishment
1.	YUANJIE TECHNOLOGY PTE. LTD.	Wholesale trade and holding company	June 9, 2023, Singapore
2.	YST SEMICONDUCTOR TECHNOLOGY CORPORATION	Production and sales of laser chips	March 25, 2024, the United States

Our Company controlled the entire equity interest in the above subsidiaries during the Track Record Period and up to the Latest Practicable Date.

CORPORATE DEVELOPMENT AND MAJOR SHAREHOLDING CHANGES

Establishment and Early Development

In 2013, our Company was established in Shaanxi, the PRC as a limited liability company with an initial registered capital of RMB10 million.

Conversion into a Joint Stock Limited Liability Company

Following several rounds of equity transfers and capital injections, the registered capital of our Company was increased to RMB30,048,345 in December 2020. Subsequently on December 23, 2020, Our Company was converted into a joint stock company with limited liability and was then renamed as Yuanjie Semiconductor Technology Co., Ltd. (陝西源杰半導體科技股份有限公司) with the total share capital being RMB45,000,000.

Listing on the SSE STAR Market

In December 2022, we completed the listing of our A Shares on the SSE STAR Market (stock code: 688498) (the “A-Share Listing”). In the A-Share Listing, we issued an aggregate of 15,000,000 A Shares, accounting for 25% of our Company’s total share capital immediately following the A-Share Listing.

HISTORY, DEVELOPMENT AND CORPORATE STRUCTURE

2023 Capitalization of Capital Reserves

In May 2023, our then A Shareholders approved a capital reserve capitalization plan at the annual general meeting, pursuant to which we issued four new A Shares for every 10 then existing A Shares by way of capitalization of our capital reserves. Upon completion of such capitalization, our total issued share capital increased from 60,599,000 A Shares to 84,838,600 A Shares.

Share Capital Changes Due to Satisfaction of Incentives

In July 2021, we adopted the 2021 share option plan (the “**2021 Share Option Plan**”) to attract, retain and incentivize key personnel and to align their interests with the long-term development of our Group. In addition to 2021 Share Option Plan, we have adopted 2024 Restricted Share Incentive Scheme and 2025 Restricted Share Incentive Scheme, details of which are set out in “Appendix IV — Statutory and General Information — Incentive Schemes.” As of the Latest Practicable Date, all options under the 2021 Share Option Plan had been either fully exercised or lapsed and cancelled and no further options would be granted thereunder.

In March 2023, March 2024 and March 2025, our Company issued 599,000, 623,070 and 486,056 A Shares, respectively, upon the exercise of options granted in accordance with the prescribed vesting and exercise arrangements under the 2021 Share Option Plan. The details of the changes in our share capital immediately before and after each option exercise are set forth below:

Time	Number of A Shares in issue immediately before the option exercise	Number of A Shares issued	Number of A Shares in issue immediately after the option exercise
March 2023	60,000,000	599,000	60,599,000
March 2024	84,838,600	623,070	85,461,670
March 2025	85,461,670	486,056	85,947,726

CONCERT PARTY AGREEMENT

On January 8, 2021, Dr. Zhang, Ms. Zhang, Mr. QIN Yansheng and Mr. QIN Weixing entered the Concert Party Agreement. Pursuant to the Concert Party Agreement, Ms. Zhang, Mr. QIN Weixing and Mr. QIN Yansheng have agreed to align their votes with Dr. Zhang at our Board meetings and/or Shareholders’ meetings. Specifically, they have confirmed that they have historically acted, and will continue acting, in concert with Dr. Zhang regarding our Company’s business decisions.

MAJOR ACQUISITIONS, DISPOSALS AND MERGERS

Our Company did not carry out any major acquisitions, disposals or mergers during the Track Record Period and up to the Latest Practicable Date.

INCENTIVE PLATFORM

To incentivize and retain our key personnel, talents and senior management members and align their interests with the long-term development of our Group, we established Xinxin Juyuan, a limited partnership in the PRC, in September 2020. As of the Latest Practicable Date, Xinxin Juyuan had 27 limited partners, with Dr. Zhang serving as its general partner with 6.21% partnership interests held and controlling the voting rights attaching to the A Shares held by it. In addition, two of the limited partners of Xinxin Juyuan are members of our Directors and/or senior management members, namely Mr. WANG Yuxi (our executive Director, deputy general manager and manager of the chip business unit) holding 7.50% partnership interest and Mr. PAN YEN-TING (our deputy

HISTORY, DEVELOPMENT AND CORPORATE STRUCTURE

general manager) holding 11.00% partnership interest, respectively. Save as disclosed above, immediately upon the [REDACTED], none of the partners of Xinxin Juyuan is a Director, a senior management member, or a connected person of our Company.

OUR LISTING ON THE SSE STAR MARKET AND REASONS FOR THE [REDACTED] ON THE HONG KONG STOCK EXCHANGE

Since December 2022, the A Shares of our Company have been listed on the SSE STAR Market. Our Directors confirmed that, during the Track Record Period and up to the Latest Practicable Date, we had no instances of material non-compliance with the SSE STAR Market Listing Rules and other applicable securities laws and regulations of the PRC in any material respects, and, to the best knowledge of our Directors having made all reasonable enquiries, there was no material matter that should be brought to the investors’ attention in relation to our compliance record on the SSE STAR Market. Based on the information provided by our Company and the Directors, our PRC Legal Advisors are of the view that the confirmation of our Directors above with regard to our compliance records is accurate and reasonable. Based on the independent due diligence conducted by the Joint Sponsors, nothing has come to the Joint Sponsors’ attention which would cast doubt on our Company’s view.

Our Company seeks to [REDACTED] on the Hong Kong Stock Exchange to further advance our internationalization strategy and global layout, establish an international capital operation platform, strengthen our offshore financing capabilities, and further enhance our capital strength and comprehensive competitiveness. See “Business — Growth Strategies” and “Future Plans and [REDACTED]” in this document for more details.

[REDACTED]

Satisfaction of the [REDACTED] Requirement

Rule 19A.13A(2) of for the [REDACTED] the Listing Rules provides that, where a new applicant is a PRC issuer with other listed shares at the time of listing, this will normally mean that the portion of H shares for which listing is sought that are held by the public, at the time of listing, must (a) represent at least 10% of the issuer’s total number of issued shares in the class to which H shares belong (excluding treasury shares); or (b) have an expected market value of not less than HK\$3,000,000,000.

Our A Shares are listed on the SSE STAR Market. Immediately upon completion of the [REDACTED], assuming that (i) [REDACTED] H Shares are [REDACTED] pursuant to the [REDACTED]; (ii) the [REDACTED] is not exercised; and (iii) no other changes are made to the issued share capital of our Company or treasury Shares from the Latest Practicable Date to the [REDACTED], our H Shares to be [REDACTED] in connection with the [REDACTED] will represent [REDACTED]% of our Company’s total issued Shares (excluding 275,169 A Shares held by our Company as treasury Shares) immediately following the [REDACTED] and the expected [REDACTED] of our Company held by [REDACTED] at the time of the [REDACTED] will be HK\$[REDACTED], HK\$[REDACTED] and HK\$[REDACTED], respectively, calculated based on the low-end, mid-point and high-end of the indicative [REDACTED] range as stated in this document. As such, it is expected that the Company will be in compliance with the [REDACTED] requirements set forth under Rule 19A.13A of the Listing Rules.

Satisfaction of the [REDACTED] Requirement

Rule 19A.13C(2) of the Listing Rules provides that, where a new applicant is a PRC issuer with other listed shares at the time of listing, this will normally mean that the portion of H shares for which listing is sought that are held by the public and not subject to any disposal restrictions

HISTORY, DEVELOPMENT AND CORPORATE STRUCTURE

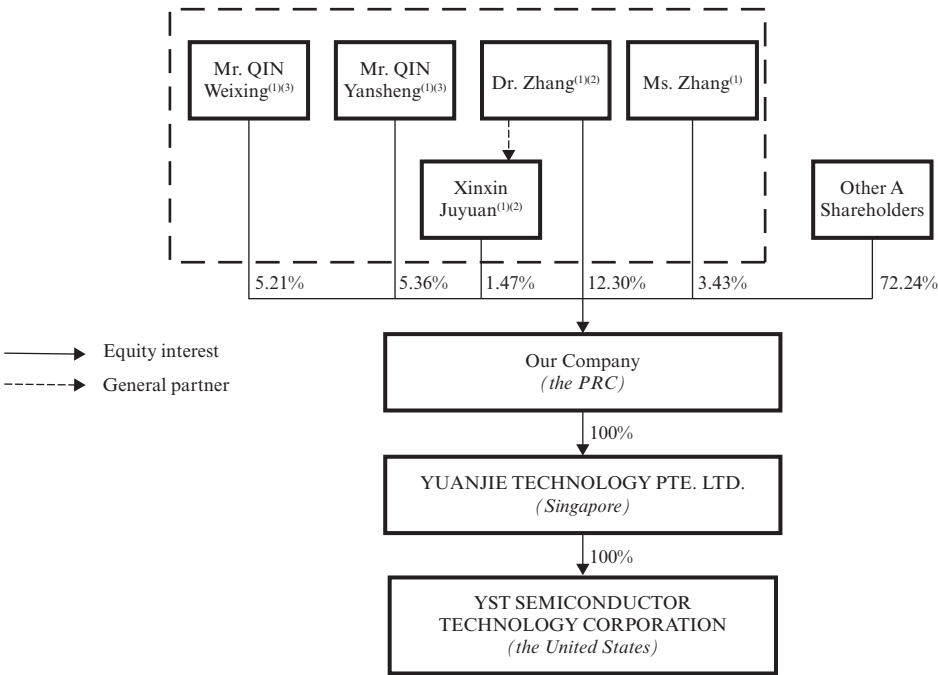
(whether under contract, the Listing Rules, applicable laws or otherwise), at the time of listing, must: (a) represent at least 5% of the total number of issued shares in the class to which H shares belong at the time of listing (excluding treasury shares), with an expected market value at the time of listing of not less than HK\$50,000,000; or (b) have an expected market value at the time of listing of not less than HK\$600,000,000.

Our A Shares are listed on the SSE STAR Market. Immediately upon completion of the [REDACTED], assuming that (i) [REDACTED] H Shares are [REDACTED] pursuant to the [REDACTED]; (ii) the [REDACTED] is not exercised; and (iii) no other changes are made to the issued share capital of our Company or treasury Shares from the Latest Practicable Date to the [REDACTED], our H Shares to be [REDACTED] in connection with the [REDACTED] will represent [REDACTED]% of our Company’s total issued Shares (excluding 275,169 A Shares held by our Company as treasury Shares) immediately following the [REDACTED] and the expected [REDACTED] of our Company held by [REDACTED] and not subject to any disposal restrictions at the time of the [REDACTED] will be HK\$[REDACTED], HK\$[REDACTED] and HK\$[REDACTED], respectively, calculated based on the low-end, mid-point and high-end of the indicative [REDACTED] range as stated in this document. As such, it is expected that the Company will be in compliance with the [REDACTED] requirements set forth under Rule 19A.13C of the Listing Rules.

OUR SHAREHOLDING AND CORPORATE STRUCTURE

Shareholding and Corporate Structure Immediately before the [REDACTED]

The following chart illustrates a simplified shareholding and corporate structure of our Group immediately before the completion of the [REDACTED], assuming that no changes are made to the total issued share capital of our Company since the Latest Practicable Date and up to the [REDACTED]:



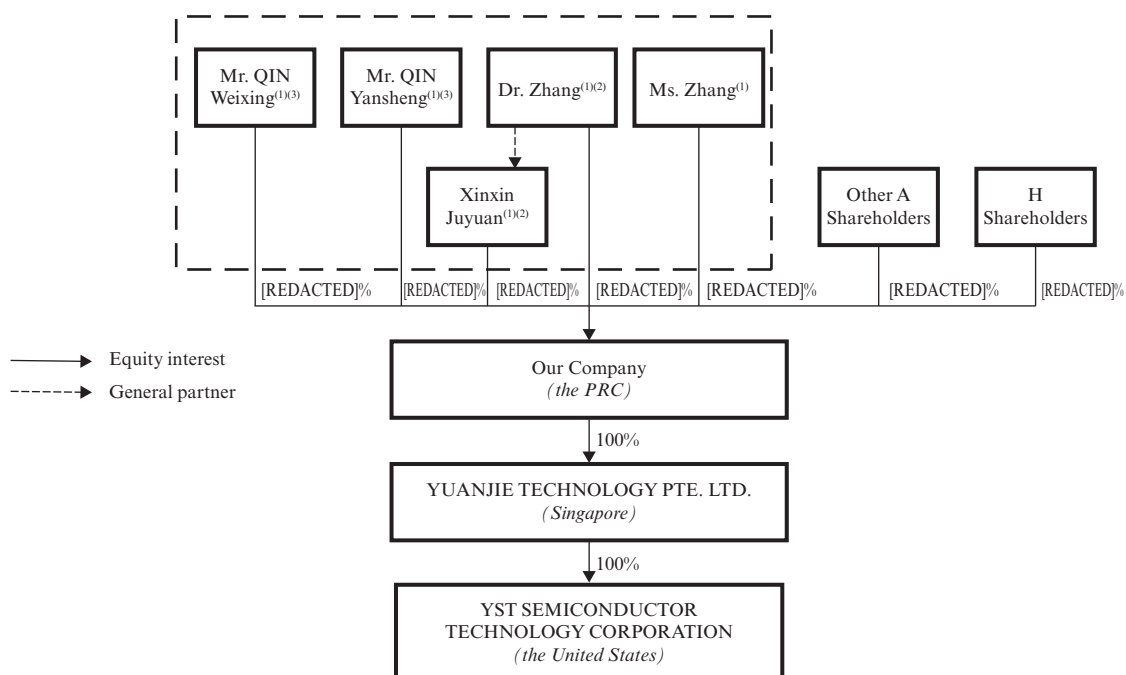
HISTORY, DEVELOPMENT AND CORPORATE STRUCTURE

Notes:

- (1) As of the Latest Practicable Date, Dr. Zhang, Ms. Zhang, Mr. QIN Yansheng, Mr. QIN Weixing and Xinxin Juyuan were our Single Largest Group of Shareholders collectively holding 27.76% of issued share capital of our Company (including 275,169 A Shares held by our Company as treasury Shares). For details, please refer to “Relationship with Our Single Largest Group of Shareholders” and “Substantial Shareholders” of this document.
- (2) As of the Latest Practicable Date, Dr. Zhang served as the general partner of Xinxin Juyuan, our incentive platform, with 6.21% partnership interest held.
- (3) Driven by his long-standing relationship with our founder, Dr. Zhang, and his confidence in the broad prospects of the laser chip industry and our Company’s outstanding growth, Mr. QIN Weixing made an early-stage investment in our Company. Sharing this confidence in Dr. Zhang and our business potential, Mr. QIN Weixing’s brother, Mr. QIN Yansheng, elected to co-invest in our Group. Both Mr. QIN Weixing and Mr. QIN Yansheng are primarily engaged in the manufacturing and sale of automotive rubber components and focus on their own business operations. Consequently, Mr. QIN Weixing serves as a non-executive Director without participating in our day-to-day management, while Mr. QIN Yansheng does not hold any position within our Group.

Shareholding and Corporate Structure upon Completion of the [REDACTED]

The following chart illustrates a simplified shareholding and corporate structure of our Group upon completion of the [REDACTED], assuming that the [REDACTED] is not exercised and no changes are made to the total issued share capital of our Company since the Latest Practicable Date and up to the [REDACTED]:



Notes:

- (1) Immediately after the [REDACTED] and assuming that the [REDACTED] is not exercised and no changes are made to the total issued share capital of our Company since the Latest Practicable Date and up to the [REDACTED], Dr. Zhang, Ms. Zhang, Mr. QIN Yansheng, Mr. QIN Weixing and Xinxin Juyuan are expected to retain as our Single Largest Group of Shareholders collectively holding [REDACTED]% of issued share

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

HISTORY, DEVELOPMENT AND CORPORATE STRUCTURE

capital of our Company (including 275,169 A Shares held by our Company as treasury Shares). For details, please refer to “Relationship with Our Single Largest Group of Shareholders” and “Substantial Shareholders” of this document.

(2)–(3) See notes in “— Shareholding and Corporate Structure Immediately Before the [REDACTED]” above.

BUSINESS

OVERVIEW

Who We Are

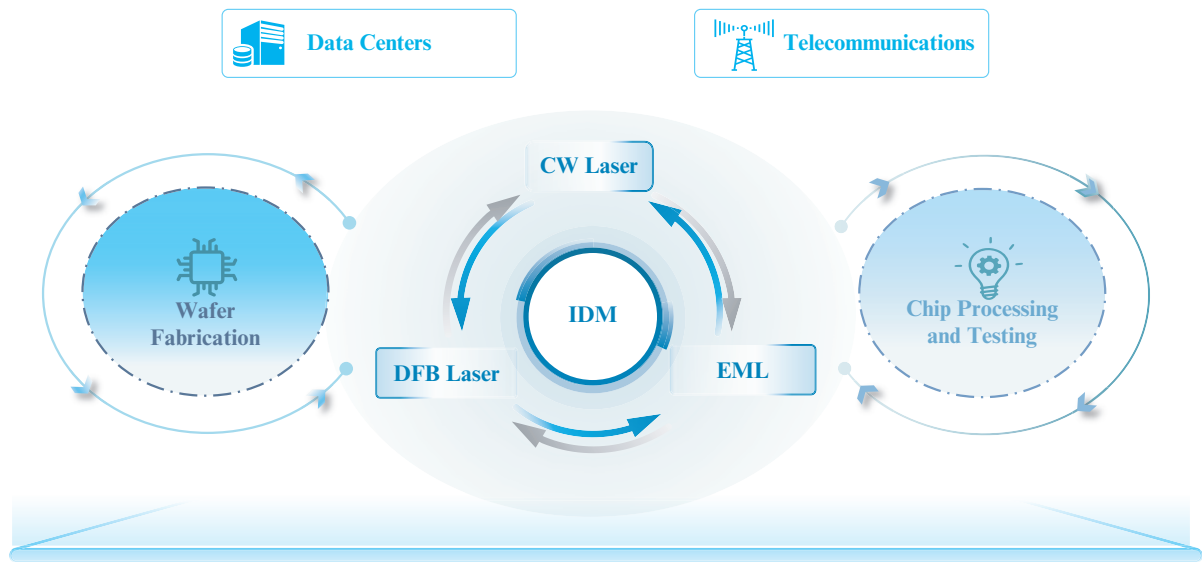
We are a leading global provider of laser chips. Leveraging our deep expertise in optoelectronic semiconductor design and manufacturing, we provide high-reliability, high-speed laser chips at scale with consistent quality to enable advanced data interconnectivity. Our core product portfolio, including continuous wave (“CW”) lasers, electro-absorption modulated lasers (“EML”) and distributed feedback (“DFB”) lasers, serves critical applications across AI data centers, 5G infrastructure and fiber access networks. According to CIC, measured by revenue from external sales in 2025, we ranked as the sixth largest laser chip provider globally and the second largest provider of laser chips for silicon photonics (“SiPh”)-based high-speed optical interconnect products globally. We are one of the few companies worldwide capable of delivering CW lasers at a ten-million-unit scale, which underscores our unique position and reliability in the global supply chain.

Rapid advancements in AI models and applications are driving a massive increase in demand for computing power, which has in turn driven the need for high-speed, low-latency data transmission capabilities. To meet the new-generation AI data center requirements for large-scale, high-speed and high-reliable interconnection, optical interconnects have emerged as a critical solution, offering advantages like higher bandwidth potential, lower transmission loss and effective immunity to electromagnetic interference. At the core of optical interconnect systems, laser chips play a pivotal role by converting electrical signals into optical signals for transmission, directly influencing key performance metrics of optical transmission, such as quality, stability and bandwidth. This has driven strong and sustainable demand for EMLs and CW lasers used in data center applications, particularly high-performance laser chips, which are well suited to support the growing needs of AI data centers. Similarly, the telecommunications market continues to demand laser chips at low-to-mid data rates, while also generating demand for advanced laser chips to support high-speed applications.

We have deep expertise and extensive experience in the research, development and manufacturing of laser chips, and our forward-looking strategy enables us to capture opportunities in this high-growth market. Operating under an integrated device manufacturer (“IDM”) model, we cover the entire value chain, including R&D, wafer fabrication, chip processing, testing and packaging. This full integration ensures consistent product quality, reliable supply, and scalable manufacturing capacity while allowing us to rapidly develop new products and accelerate product iteration in an AI-driven world. We currently offer a comprehensive portfolio of laser chips across various types to serve two critical applications: data centers and telecommunications. By

BUSINESS

maintaining strict control over production, we meet the stringent requirements of our customers and remain at the forefront of the optical interconnect value chain. The following diagram illustrates our simplified business model, our offerings and their key applications:



Over time, we have translated our capabilities into notable achievements, including breakthroughs in product development, successful customer certifications, large-scale manufacturing expansion and effective commercialization. The following diagram illustrates our key achievements:

 Market Position	 Customer Coverage	 R&D Capabilities	 Delivery Capabilities
No. 6 in the global laser chip market⁽¹⁾	Coverage of Top-tier Optical Transceiver Customers whose combined market share accounts for over 80% globally⁽²⁾	Commercialization and Mass Production one of the first globally to commercialize and mass produce CW lasers⁽³⁾	Scalable Production Capacity 10-million-unit CW laser production capacity, ranking among the world's largest provider⁽⁴⁾ committed to continuously expanding capacity to meet growing demand
No. 2 in the global market of laser chips for SiPh-based high-speed optical interconnect products⁽¹⁾	Integration into AI Ecosystem our products are widely used in optical interconnect solutions for AI data centers	Forward-looking Deployment continuous product iteration and portfolio expansion development of high-power lasers for NPO and CPO development of products for optical interconnect solutions of 3.2T and above	Remarkable Growth revenue growth CAGR: 104.1%⁽⁵⁾ revenue growth CAGR for data center laser chips: 824.7%⁽⁵⁾

Notes:

(1) As measured by revenue for external sales in 2025, according to CIC.

BUSINESS

- (2) As measured by the global sales volume of optical transceivers in 2025, according to CIC.
- (3) According to CIC.
- (4) As measured by sales volume in 2025, according to CIC.
- (5) From 2023 to 2025.

Our Products

We provide a comprehensive portfolio of laser chips designed to meet a wide range of data rates, performance requirements and applications, showcasing our broad spectrum coverage across the industry. Our product portfolio is divided into two key product lines:

- **Data center laser chips.** We deliver DFB lasers, EMLs, and CW lasers that support 400G/800G and above optical transceivers and next-generation optical interconnect solutions, enabling high bandwidth, high-speed, low-latency data transmission for rapidly growing data center demands.
- **Telecommunications laser chips.** We offer a full range of FP lasers, DFB lasers and EMLs tailored for fiber access as well as 4G/5G front-haul and mid-haul deployments, addressing the evolving needs of high-speed telecommunications networks.

We are one of the few companies globally whose CW lasers, EMLs and DFB lasers have passed rigorous certifications from leading industry players and achieved large-scale commercialization. This broad product offering underscores our ability to serve diverse market segments with cutting-edge laser chip solutions.

In today’s data center market, optical interconnect solutions are primarily implemented through optical transceivers. These transceivers follow two major technology approaches: the earlier-developed EML design, which relies on high-performance EMLs for advanced data rates like EMLs for 400G and 800G optical transceivers, and the more integrated SiPh architecture, which requires CW lasers to support its high integration. Each approach presents distinct technical requirements for laser chips, making companies with more comprehensive technological capabilities critical to meeting evolving market demands. We are uniquely positioned to capture growth opportunities across both technology routes because of our comprehensive product portfolio. Our ability to deliver high-performance, reliable laser chips tailored to both EMLs and SiPh architectures enables us to address the diverse demands of the AI-driven data center era, solidifying our leadership in the rapidly advancing optical interconnect landscape. In addition, in the telecommunications market, DFB lasers and EMLs are more widely used.

We continue to expand and upgrade our product portfolio in response to evolving market demand. In the near term, we are focused on further scaling shipments of CW lasers and advancing the commercialization of 100G/200G EMLs. Over the medium to long term, we plan to continue advancing higher-end CW lasers toward commercialization and driving the evolution of EMLs toward higher speeds, thereby reinforcing our market leadership and supporting next-generation optical interconnect solutions.

BUSINESS

Our Growth Opportunities

The rapid advancement of AI and evolving connectivity demands are creating substantial growth opportunities for high-performance laser chips. We are strategically positioned to capitalize on these opportunities across both data center and telecommunications markets.

Surging AI Infrastructure Investment

AI technologies are scaling rapidly and driving a transformative increase in productivity across industries, fueling strong demand for computing power, storage and high-speed connectivity. In response, major global cloud service providers are expanding infrastructure investment to support next-generation AI workloads, accelerating the evolution of data center architectures. Therefore, AI capital expenditure (“CAPEX”) is expected to increase significantly. According to CIC, the total global AI CAPEX is expected to total an aggregate of US\$4.7 trillion from 2026 to 2030, more than five times that of the preceding five years.

Rising Demand for High-Speed Optical Interconnects

As large-scale AI computing clusters and high-performance computing hardware continue to expand, interconnect performance has become a critical bottleneck, driving demand for higher bandwidth and data-rate capacity. Scale-out network architectures require higher bandwidth per lane and an increased number of lanes to support the growing data exchange across distributed nodes. Scale-up GPU and accelerator systems demand high-speed, low-latency interconnects to enable efficient communication within and between tightly integrated components. Next-generation optical interconnect integration technologies, such as near-packaged optics (“NPO”) and co-packaged optics (“CPO”), are further driving the transition toward high-performance optical interconnects. With advantages like superior bandwidth, lower latency, interference resistance, and energy efficiency, optical interconnects have become a critical enabling technology for next-generation AI infrastructure. Accordingly, the global data center optical interconnect market is projected to grow from US\$13.7 billion in 2024 to US\$144.4 billion in 2030, representing a CAGR of 48.1% from 2024 to 2030.

Accelerating SiPh Adoption

SiPh has emerged as an innovative optical interconnect solution design technology, offering high integration, energy efficiency, and cost advantages. Leveraging these strengths, SiPh supports a broad range of optical interconnect solutions, from pluggable designs to emerging integration technologies such as NPO and CPO, to enhance interconnect efficiency and meet the accelerating demands of next-generation data centers. According to CIC, the market for SiPh-based optical interconnects for data center applications is expected to be one of the fastest-growing industry segments between 2024 and 2030. In addition, SiPh technology penetration rate in the data center market is projected to rise from 29.4% in 2024 to 63.7% in 2030. This evolution is further underscoring the strategic importance of CW lasers, which offer strong compatibility with these advanced integration technologies and serve as essential enablers for next-generation high-speed optical interconnects in AI data centers.

Rising Technology Demand in Telecommunications

Beyond the data center market, demand for higher bandwidth and stronger processing capability is also increasing in the telecommunications market, driving the emergence of 25G/50G PON. These technologies provide higher bandwidth and lower latency, enabling household

BUSINESS

connectivity scenarios such as smart home ecosystems, ultra-HD content and immersive cloud gaming. By proactively deploying and shipping relevant advanced products, we have successfully established an early-mover advantage in this widening market.

We are strategically positioned to capitalize on the historic growth in optical interconnects through forward-looking R&D, global integration, and robust production capacity. By identifying the potential of SiPh at an early stage and through continuous innovation, we have established a leading position in CW lasers. In addition, supported by our comprehensive product portfolio of CW lasers and high-speed EMLs, we are well positioned to capture growing demand driven by the explosive growth of AI computing and applications. With a global operational footprint and integration into the supply chains of leading technology companies, we support customers worldwide. Our robust production capacity, backed by ongoing investment, ensures a stable supply of high-quality products, reinforcing our competitiveness in next-generation optical interconnects.

Our Results

Founded in 2013 in Shaanxi Province, China, we have upheld a forward-thinking industrial vision combined with a pragmatic approach centered on process optimization, steady growth, and continuous improvement. Our focus remains on meeting the core customer requirements of stable mass production and high-quality laser chips. In 2022, we completed our initial public offering and listed on the SSE STAR Market, enabling us to accelerate the execution of our strategy with greater speed and scale.

During the Track Record Period, we proactively captured the trends of global AI-driven computing upgrades. We expanded our product portfolio from 2.5G, 10G and 25G DFB lasers and EMLs to high-end offerings, including 25G, 50G and 100G EMLs and 50mW, 70mW and 100mW CW lasers. In 2025, driven by surging AI computing demand, revenue from our data center laser chip products exceeded that from our telecommunications laser chip products, becoming our primary growth driver. As a result, our revenue increased from RMB144.4 million in 2023 to RMB601.4 million in 2025, representing a CAGR of 104.1%. Meanwhile, our gross profit increased from RMB41.5 million in 2023 to RMB334.8 million in 2025, representing a CAGR of 184.0%.

COMPETITIVE STRENGTHS

We believe the following competitive strengths have contributed to our success and differentiated us from our competitors:

Leading Laser Chip Provider with a Broad and Advanced Portfolio for High-Speed Optical Interconnects

We are a leading global provider of laser chips with a comprehensive portfolio covering CW lasers, EMLs and DFB lasers. Our diverse offerings are designed to meet the varying needs of customers across the optical interconnect landscape. We provide high-performance EMLs and DFB lasers to support the requirements of mainstream optical transceivers, ensuring reliable, high-speed data transmission. In addition, we offer CW lasers specifically tailored to address the needs of SiPh-based optical interconnects. We are one of the few companies worldwide capable of delivering CW lasers at a ten-million-unit scale, distinguished by our certification from leading players in the optical interconnects industry, which underscores our unique position and reliability in the global supply chain.

BUSINESS

Committed to innovation, we continuously adapt our offerings to meet the evolving demands of customers for advanced optical interconnect solutions, including the demands generated by higher-speed optical transceivers and next-generation optical interconnect integration technologies such as NPO and CPO. Backed by strong technical performance, customer certifications, and large-scale manufacturing capabilities, our high-performance CW lasers and EMLs are well-positioned to address the rapidly growing demand for high-speed optical interconnects driven by AI workloads. As AI adoption accelerates, we leverage our end-to-end process expertise and scalable production capabilities to help customers overcome interconnect bottlenecks and enhance their AI infrastructure, further integrating ourselves into the AI ecosystem.

Our strong growth trajectory has made us one of the fastest-growing companies in the global laser chip market. Our revenue increased from RMB144.4 million in 2023 to RMB601.4 million in 2025 at a CAGR of 104.1%, and our gross profit increased from RMB41.5 million to RMB334.8 million over the same period at a CAGR of 184.0%. In particular, revenue generated from our data center laser chips has experienced explosive growth, increasing from RMB4.6 million in 2023 to RMB48.0 million in 2024 and further to RMB393.3 million in 2025. In 2025, revenue generated from our data center laser chips accounted for 65.4% of our total revenue, serving as the primary engine of our overall growth.

Comprehensive Technological Capabilities Built on Advanced Design, Manufacturing Expertise and Rigorous Quality Control

Our competitive strength is rooted in the comprehensive technological expertise and process know-how we have built across product design, manufacturing and quality management. These capabilities have been developed through years of R&D investment and industrialization, enabling us to consistently deliver high-performance laser chips at scale.

- *Superior design capabilities.* We have established industry-leading design capabilities through sustained R&D investment, extensive project experience and advanced simulation tools. Drawing on more than a decade of experience, we have developed design capabilities that integrate multidisciplinary expertise in high-speed RF circuits and electronics, micro-waveguide optics, semiconductor quantum mechanics and semiconductor materials science. We are proficient in utilizing advanced simulation software to guide the development of laser chip structures, enabling us to accurately simulate the optical and electrical characteristics of the micro- and nanoscale structures of our laser chips. Additionally, we possess strong design-process co-optimization capabilities. With a profound understanding of manufacturing processes, including etching precision and doping distribution, we are able to predict and avoid performance degradation caused by process deviations during the design stage, thereby effectively shortening the development cycle. Leveraging our solid design foundation, extensive project experience and advanced simulation capabilities, we are well positioned to maintain a leading position in the R&D of next-generation products, such as 300 mW and higher-power CW lasers and next-generation 200G EMLs.
- *Industry-leading manufacturing capabilities.* Translating advanced designs into high-performance physical chips is highly challenging. For instance, the production of our CW lasers involves hundreds of process steps, each requiring precise control to ensure final product quality. We are proficient in MOCVD process technologies for epitaxial growth, achieving precision control of quantum well growth, material composition accuracy deviation and quantum-well strain control error. We have also developed in-house expertise in high-precision electron-beam lithography, development and etching

BUSINESS

processes, achieving precise control in grating fabrication. Furthermore, through years of R&D investment and process refinement, we have achieved proficiency in core processes including optical waveguides, spot-size converter fabrication and optical coatings, ensuring high performance and high reliability of our products.

- *Rigorous quality control.* We have established a systematic reliability engineering and quality control framework covering material inspection, in-process monitoring, accelerated aging tests, lifetime evaluation and failure analysis. This framework ensures that our products meet or exceed industry standards, enabling long-term stable operation in customer applications. To further ensure shipment quality, we continuously upgrade our inspection and testing infrastructure. Our advanced testing systems enable precise assessment of optoelectronic parameters, reliability metrics and visual quality. Each chip undergoes comprehensive inspection before delivery, ensuring strict consistency and full traceability across batches. With this rigorous quality control framework, we are able to maintain high product reliability, reinforce customer confidence, and support scalable commercialization of advanced laser technologies.

Strong Delivery Capabilities Enabled by Our IDM Model, End-to-End Autonomy and Scalable Manufacturing Capabilities

Our IDM model serves as the cornerstone of our technological and operational strengths. Through this model, we maintain full control of the entire production flow, from chip design, wafer fabrication to chip processing and testing, enabling independent and stable operations, high product consistency and rapid iteration. Such structure allows us to respond quickly to customer needs and continuously improve quality and performance across product generations. The ability to deliver large quantities of high-precision, high-reliability laser chips in short lead times provides a solid foundation for addressing AI-driven interconnect growth and reinforces our position as a key enabler in the optical interconnect value chain.

By integrating R&D, manufacturing and delivery within a unified IDM framework, we have built comprehensive capabilities across the entire value chain. Owning key equipment such as MOCVD systems and proprietary phase-shift grating processes enables us to maintain supply chain autonomy without relying on external epitaxy or wafer suppliers. This vertical integration allows us to translate advanced research outcomes directly into mass-production processes and ensure stringent quality traceability and consistency.

Building on our IDM foundation, we have established industry-leading mass production capacity. Our accumulated manufacturing know-how, spanning wafer fabrication, chip processing, testing and packaging, supports high yield, stable volume production and flexible delivery. We are also one of the few laser chip manufacturers that have implemented automated production lines. We have introduced advanced production equipment, as well as production management systems and concepts, which have enhanced our level of automation and ensured production stability, consistency and production capacity, laying a solid foundation for rapid delivery. Our CW laser sales volume grew sharply from the million-unit level in 2024 to the ten-million-unit level in 2025, demonstrating the scalability of our production capacity and the ability to capture surging market demand from AI computing infrastructure.

BUSINESS

Blue-Chip Customer Base and Deep Strategic Collaborations Providing Unique Market Insight

The optical interconnects market is characterized by high customer concentration, stringent qualification processes, and a stable supply chain structure. This market comprises a select group of optical transceiver providers and leading cloud service companies that drive technological development and navigate evolving industry trends. Given the critical role of laser chips in determining optical interconnect performance, customers impose exceptionally rigorous qualification processes, including lengthy verification cycles and strict reliability testing. Once a supplier is qualified, relationships are rarely altered, as switching suppliers involves significant costs, time-consuming recertification and instability brought by new suppliers, creating substantial barriers to entry. As one of the few leading players successfully integrated into the global supply chains of major optical interconnect and cloud service providers, we maintain close collaboration with industry leaders.

Leveraging deep, long-term partnerships with leading global customers, we gain first-hand insights into evolving technical requirements across AI computing and data center interconnect applications. Such early visibility enables us to align our product development with next-generation optical interconnect integration technologies and incorporate customer feedback into our design process. Once qualified, these relationships evolve into mutually reinforcing partnerships that promote joint technological advancement. Over time, this creates a virtuous cycle in which close customer collaboration drives innovation, and our sustained technical leadership further consolidates our position as a preferred long-term partner in the global optical interconnect value chain.

Our direct customers comprise the world’s top-tier optical transceiver manufacturers, which collectively accounted for over 80% of global optical transceiver sales volume in 2025, according to CIC. Through their transceivers, our products support the mainstream global cloud and AI service providers. In the telecommunication market, we serve global major equipment manufacturers and operators as end users. This strong market presence allows us to stay closely attuned to evolving market trends and application demands, enabling us to align our R&D efforts and product roadmap with the forefront of industry development amid the rapidly advancing technological transformation of the AI era.

Visionary Leadership with a Global Perspective, Supported by a Strong R&D and Manufacturing Team

Our management and R&D and manufacturing teams have been central to our sustained breakthroughs in the optical interconnects industry. Their deep technical expertise, strategic foresight and comprehensive industry experience underpin our long-term leadership in the laser chip market.

Dr. ZHANG XINGANG, our founder and Chairman, holds a bachelor’s degree from Tsinghua University and a Ph.D. in materials science from the University of Southern California. Before founding our Company, Dr. Zhang held pivotal R&D roles at renowned international optical interconnect firms, including Luminent, LuminentOIC and Source Photonics, where he accumulated the profound industry insights that now inform our strategic trajectory. As a recognized expert in laser chips with over 20 years of R&D and industrialization experience, Dr. Zhang leads us with precise foresight regarding technological trends. Driven by an unwavering commitment to manufacturing excellence, he has spent decades mastering the underlying technologies and fabrication processes of laser chips, developing a profound understanding of the complex interplay between materials, semiconductors and design. Through his strategic framework that integrates technology, products and market needs, Dr. Zhang has successfully led us to bridge the

BUSINESS

gap between core R&D and large-scale commercialization. In addition, members of our senior management have accumulated an average of over ten years of relevant industry experience and complementary expertise. We believe that the combined industry insights, technical prowess and strategic resources of our management team are critical to achieving our strategic objectives, capturing market opportunities and sustaining business growth.

Our development is further supported by a stable R&D and manufacturing team with deep hands-on experience. Their collective expertise spans the entire laser chip lifecycle, from initial design and process development to mass production validation, performance optimization and optical transceiver adaptation. Our team’s practical proficiency has been developed through years of direct engagement with production lines, starting with fundamental tasks such as equipment calibration, technical modifications and efficiency optimization. This ground-up experience has given our team a deep understanding of equipment intricacies and process details, enabling continuous product iteration and technology innovation.

GROWTH STRATEGIES

We aim to become a world-class laser chip provider. We plan proactively for major industry inflection points through systematic execution. By driving continuous product and process innovation, expanding capacity, and aligning strategically with our customers, we build lasting competitive advantages that enable us to maintain and strengthen market leadership. To achieve our goal, we plan to implement the following strategies:

Advance Product and Process Innovation through Sustained R&D Investment

Leveraging our extensive technological expertise and manufacturing know-how, we will capitalize on the transformative opportunities presented by the AI era and continue upgrading laser chip technologies and products to solidify a comprehensive and formidable technological moat.

Building on our existing product portfolio, we will focus on addressing the burgeoning needs of 800G, 1.6T and next-generation optical transceivers, as well as emerging integration technologies such as NPO and CPO. We plan to step up R&D and commercialization efforts for 300mW and above CW lasers and 200G and above EMLs. Furthermore, we remain highly attuned to new application scenarios and evolving customer needs, aiming to pioneer the deployment of laser chip technologies in frontier domains. In addition, we will increase R&D investment in manufacturing technologies to further improve our production yields.

Build a Resilient and Efficient Global Operations Network with Strategic Capacity Expansion

We will continue to strengthen our global operational network and drive digital transformation to enhance coordination and efficiency across our supply chain. Through closer collaboration with international customers and suppliers, we seek to ensure stable partnership, rapid technical support and consistent product quality worldwide. These initiatives will enable us to adapt more effectively to market dynamics, reinforcing our role as a reliable partner to leading players in the global optical interconnect value chain.

BUSINESS

To address the current supply-demand imbalance in the global laser chip market, we will accelerate the expansion and upgrade of our production capacity in Chinese mainland, aligning it closely with the AI-driven surge in demand and reinforcing our leading position. At the same time, we will optimize the deployment of our high-standard manufacturing sites worldwide to enhance the resilience and responsiveness of our global supply chain and strengthen our ability to manage disruptions.

Furthermore, we will increase investment in digital transformation and drive deeper adoption of intelligent manufacturing technologies across the entire production process to achieve end-to-end automation, visualization and intelligent control. By materially improving operational efficiency and shortening delivery lead times with greater precision, we aim to provide our global customers with a stable, efficient, and reliable supply of high-quality products.

Accelerate Integration into the Global AI Ecosystem while Strengthening Customer Relationships

We will closely track advances in AI technologies, maintain continuous visibility into the needs of our key global customers, and respond quickly with solutions that fit their evolving requirements. By embedding ourselves more deeply in the global AI ecosystem, we aim to become a long-term strategic partner to our customers.

We plan to establish deeper strategic collaboration frameworks with leading global customers by engaging earlier in their technology development and product planning cycles. Through high-frequency, responsive technical support and leading product solutions, we will address emerging requirements in high-speed optical interconnect with greater precision. Leveraging ecosystem collaboration across the AI value chain, we will continue to broaden and deepen customer engagements, capture new product opportunities created by successive compute-platform upgrades, and align our roadmap with our core customers over the long term. Additionally, we will accelerate the expansion of our global customer coverage by entering into the supply chains of more top-tier cloud service providers and leading optical transceiver manufacturers worldwide. Our goal is to establish a global portfolio of top-tier customers and foster a customer ecosystem built on deep, strategic, and long-lasting partnerships.

Attract and Cultivate Global Talents to Fuel Growth and Advance Strategic Goals

We will increase investment in recruiting, development and retention to strengthen our talent pipeline and build a workforce with both technical depth and a global mindset.

We aim to strengthen our talent strategy by diversifying recruitment channels and selectively hiring versatile, high-potential professionals. To support sustained growth, we will establish a structured pipeline that develops capabilities across critical functions and all seniority levels, ensuring alignment with our scaling objectives. We will also enhance our incentive and promotion frameworks, building a comprehensive development system that offers market-competitive compensation and transparent, merit-based career progression. By closely linking individual advancement with our long-term strategic goals, we seek to attract, cultivate and retain exceptional talent, thereby reinforcing the organizational strength required to sustain our leadership in the global laser chip industry.

Pursue Strategic Acquisitions to Diversify Product Portfolio and Unlock Synergies

We plan to pursue strategic investments and acquisitions to unlock industrial synergies, solidify our technology leadership and reinforce our global market standing.

BUSINESS

We intend to focus primarily on opportunities along the laser chip value chain and prioritize targets with strong growth potential and meaningful technical differentiation, particularly those that complement our core product lines. We believe this approach can further strengthen our competitiveness in optical interconnect and support sustainable long-term growth.

We will deploy a disciplined integration framework across R&D, manufacturing and commercialization for target companies. In particular, we will leverage our vertically integrated IDM capabilities to support process optimization, capacity coordination and quality management. By combining complementary product portfolios and customer resources, we aim to further unlock the potential for deeper collaboration with core customers, enhancing long-term customer stickiness and loyalty. As of the Latest Practicable Date, we had not identified any potential investment or acquisition targets.

OUR PRODUCTS

Overview

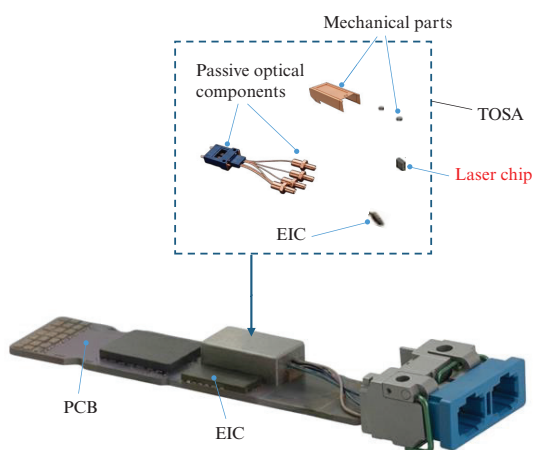
Rapid advances in AI and other data-intensive applications are fueling exponential growth in global data traffic and computing workloads. The expansion of AI training and inference demands clusters of AI accelerators (such as GPUs and other AI computing chips) to exchange ever-increasing volumes of data with low latency and high reliability. As global connectivity and data traffic continue to surge, key performance metrics such as transmission reach, capacity, scalability and power consumption have become the key areas for ongoing improvement. Optical interconnect solutions, which use light as the carrier and optical fiber as the medium, provide significant advantages including lower transmission loss, reduced power consumption, extended reach and higher capacity. These attributes position optical interconnect as the predominant solution for commercial high-speed transmission in data centers and telecommunications networks.

Within optical interconnect solutions, laser chips serve as core semiconductor components on the transmit side, converting electrical signals into modulated optical signals that are then launched into optical fiber. Since laser chips directly determine essential parameters such as optical output power, modulation speed, wavelength and stability, they are a primary factor influencing an optical lane’s transmission rate, reach, energy efficiency and overall reliability. Consequently, laser chip performance is critical to the performance, power consumption and cost-effectiveness of optical interconnect solutions and, in turn, the networks and systems in which they are deployed. With the industry shifting toward higher-speed and higher-density optical interconnects for AI, 5G/5G+ applications and next generation fiber access, there is an increasing demand for high-performance laser chips that can support next-generation data rates and more stringent operating conditions.

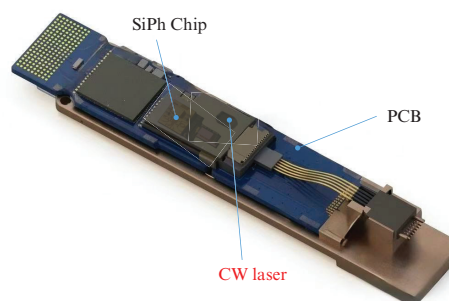
Our business is centered on laser chips that broadly comprise (i) data center laser chips, primarily including 25G to 200G and above, high-speed EMLs, DFB lasers and high-power CW lasers ranging from 50mW to 100 mW, that serve as key enablers for 400G/800G/1.6T and next-generation optical solutions in data centers; and (ii) telecommunication laser chips, including fiber access and mobile networks product lines, we offer a comprehensive portfolio of FP, DFB and EMLs for EPON, GPON, 10G PON and 25G/50G PON, as well as 4G and 5G mobile front-haul and mid-haul applications, covering mainstream wavelength plans and form factors required for next-generation fiber access and mobile networks.

BUSINESS

We primarily sell our products to optical component and optical transceiver manufacturers. These chips are then assembled by our customers into optical transmitting sub-assemblies (“TOSA”) or optical transceivers, which are ultimately integrated into data center infrastructure and telecommunication network equipment. Therefore, the end users of our products primarily include (i) domestic and international internet cloud service providers, and AI computing solution providers in the data center market and (ii) telecommunications equipment suppliers in the telecommunications market. The following graphics illustrate the position of our laser chips within optical transceivers:



Non SiPh-based Optical Transceiver



SiPh-based Optical Transceiver

In both 2023 and 2024, we derived the majority of our revenue from products used in telecommunications applications, with a smaller portion generated from products used in data center applications. Notwithstanding this, our revenue generated from the sales of our data center laser chips recorded rapid growth over the Track Record Period. In 2025, our revenue derived from the sales of data center laser chips surpassed that from the sales of telecommunications laser chips and accounted for 65.4% of our total revenue in that year. In light of the accelerated deployment of AI data centers, the increasing adoption of high-speed optical interconnects and SiPh applications, and our expanding customer base and strengthened customer relationships in such markets, we are focusing on further developing our data center-related product offerings and increasing our presence in this segment.

BUSINESS

The table below sets out our revenue, sales volume and average selling price by our laser chip products lines during the Track Record Period:

	For the year ended December 31,								
	2023			2024			2025		
	Revenue	Sales Volume	Average Selling Price ⁽¹⁾	Revenue	Sales Volume	Average Selling Price ⁽¹⁾	Revenue	Sales Volume	Average Selling Price ⁽¹⁾
	RMB'000	'000 units	RMB per unit	RMB'000	'000 units	RMB per unit	RMB'000	'000 units	RMB per unit
Data Center Laser Chips	4,614	225	20.5	48,013	2,285	21.0	393,258	17,721	22.2
Telecommunications Laser chips	133,054	28,029	4.7	202,304	49,915	4.1	206,470	35,711	5.8

Note:

(1) Average selling price is calculated by dividing revenue by sales volume.

Data Center Laser Chips

Overview

Our portfolio of data center laser chips primarily includes (i) DFB lasers and EMLs used in non SiPh-based optical transceivers and (ii) CW laser chips that can serve as external light sources for SiPh-based optical transceivers and other integration technologies. Our solutions are engineered to seamlessly adapt to the continuously iterated demand for high-speed optical interconnections, delivering performance and reliability metrics that benchmark favorably against international counterparts.

BUSINESS

The following table sets forth our representative data center laser chips as of the Latest Practicable Date:

Product Series	Data Rate/ Output Power	Product Specifications	Major Applications
DFB Laser	25G	• CWDM4 DFB Laser • LWDM4 DFB Laser	100G optical transceivers
	50G	• CWDM4 PAM4 DFB Laser	200G optical transceivers
EML	100G	• CWDM4 PAM4 EML • Narrow LWDM PAM4 EML	400G/800G optical transceivers
	200G	• CWDM4 PAM4 (Single & Differential Drive) EML	1.6T optical transceivers
CW Laser	50mW	• 1,310nm CW Laser • CWDM4 CW Laser	400G/800G/1.6T optical transceivers
	70mW	• 1,310nm CW Laser • CWDM4 CW Laser • LWDM4 CW Laser	
	100mW	• 1,310nm CW Laser • CWDM4 CW Laser	

DFB lasers and EMLs

As a leading laser chip company, we specialize in offering a comprehensive range of DFB lasers and EMLs, designed to meet the diverse needs of high-speed optical communications. We offer DFB lasers and EMLs that cover mainstream data center interconnect data rates from 25G up to 50G, 100G and 200G per lane, and are designed mainly for medium- to long-reach fiber links. These products feature high modulation rate, high bandwidth, optimized extinction ratio and stable reliability, thereby supporting low bit-error rates and stable server switching performance within data centers.

In addition, we provide a broad range of CW lasers that can serve as light sources in SiPh-based optical interconnect solutions in data center. These CW lasers are engineered to deliver high optoelectronic conversion efficiency, high coupling efficiency, excellent optical mode stability and high reliability, thereby ensuring energy-efficient and dependable operations of equipment in data centers. The application of our CW lasers thus facilitates downstream packaging, integration and volume manufacturing by our customers.

Below we highlight our high-end data center laser chip offerings, exemplified by our 100G/200G PAM4 EMLs.

100G/200G PAM4 EML

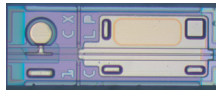
Our 100G/200G PAM4 EMLs are designed to support high-speed optical interconnects, specifically for 400G/800G/1.6T optical transceivers in data centers. These devices achieve a single-lane transmission rate of 100 Gbit/s or 200 Gbit/s, effectively doubling the modulation speed compared to previous generations.

BUSINESS

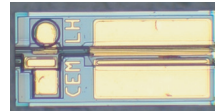
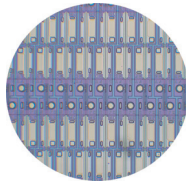
For 200G PAM4 EML, to address diverse optical transceiver designs, we offer this product series in two configurations:

- **Single-End Drive Configuration:** Compatible with conventional driving solution, supporting up to 200 Gbit/s per lane.
- **Differential-Drive Configuration:** Designed to optimize signal integrity and reduce electromagnetic interference for high-performance requirements.

Both variants are engineered to deliver the high linearity and modulation efficiency. The following graphics present our 200G PAM4 EML in a single-end drive and in a differential-drive configuration, respectively:



200G PAM4 EML in Single-end Drive

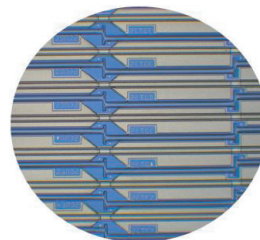


200G PAM4 EML in Differential-drive

CW Lasers

Our CW laser portfolio spans 50mW to 100mW, and stands out for its high optical power output with superior optoelectronic conversion efficiency and reliability, specifically optimized to meet the demands of the continuously iterated SiPh applications. As the demand for light power continues to increase, our products’ design power is capable to address the demand for complicated integration. These high-power CW lasers are available in 1310nm, CWDM, and LWDM configurations. They are engineered to compensate for the coupling and modulation losses inherent in SiPh applications, enabling high quality signal transmission.

All our CW lasers are capable of effectively suppressing optical back-reflection and have demonstrated the ability to pass reliability qualification under high-stress test conditions, meeting the technical requirements of hyperscale data centers for high-reliability applications. The following graphics present our 70mW/100mW CW laser:



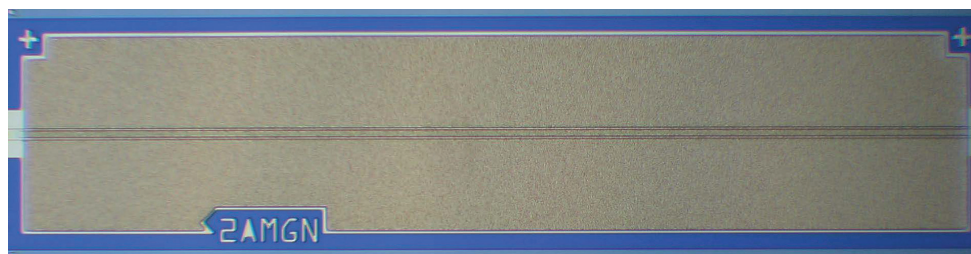
70mW/100mW CW Laser

BUSINESS

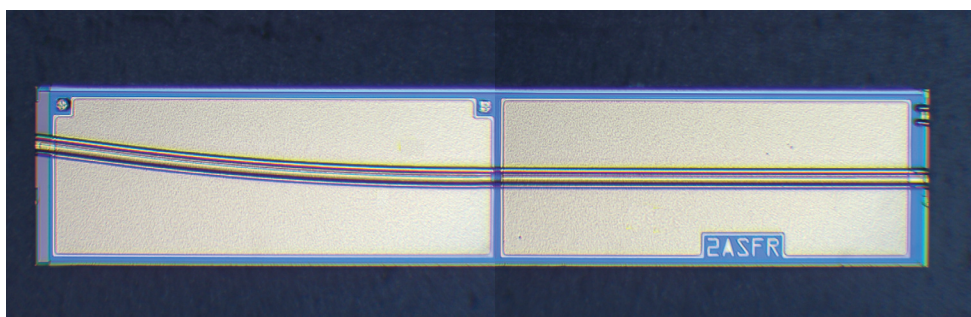
Future Trends and Our Key Development Focuses

We observed a surge in demand for data center interconnect driven by the interplay of scaling-out and scaling-up, which in turn has increased requirements for bandwidth density and emerging packaging approaches. To address these evolving architectural demands, we are earnestly advancing our next-generation product portfolio. Upon the completion of the development and launch of our 200G PAM4 EML, we have already initiated R&D on core technologies for even higher-speed EML solutions. In parallel, to capture opportunities in SiPh application integration, we specifically designed SiPh-based products based on the emerging optical interconnect packaging approaches such as NPO and CPO, ensuring that we remain at the forefront of the high-performance laser chip market for next-generation data centers.

The following graphics illustrate our 300mW high-power CW lasers:



300mW CW Laser



300mW CW Laser with SOA

Telecommunications Laser Chips

Our telecommunications laser chips are designed to meet the stringent demands of both fiber access and mobile network architectures, delivering exceptional performance, reliability, and scalability for next-generation optical networks.

Fiber Access Laser Chips

Fiber access networks, encompassing established standards like EPON, GPON and 10G PON, and emerging higher-speed 25G/50G PON architectures. Because these networks are deployed at massive scale, they demand components that deliver stable operations over a wide temperature range, offer high reliability and maintain performance consistency under harsh environments over extended periods. As fiber access networks are often deployed under complex field conditions, telecommunication operators prioritize the stability and lifespan of laser chips. As the industry

BUSINESS

transitions from legacy 2.5G and 10G systems toward next-generation 25G/50G PON and beyond, the optical physical layer faces new challenges. These advanced systems require laser chips capable of supporting significantly higher data rates without compromising the optical power budget, robust performance across wide temperature ranges or the capability for high-volume deployment.

Our Offerings

To meet the rigorous demands of the fiber access market, we provide a comprehensive portfolio of FP lasers, DFB lasers, and EMLs, meticulously engineered for multiple generations of PON standards. The following table sets forth our representative fiber access laser chips as of the Latest Practicable Date:

Product Series	Data Rate	Product Specifications	Major Applications
Fiber Access EPON	2.5G	1,310nm FP Laser	EPON transceiver/ components
Fiber Access GPON	2.5G	1,310nm DFB Laser 1,490nm DFB Laser	GPON transceiver/ components
Fiber Access 10G PON	2.5G	1,270nm DFB Laser	10G PON transceiver/ components
	10G	1,270nm DFB Laser 1,577nm DFB Laser 1,577nm EML 1,577nm w/SOA	
Fiber Access 25G/50G PON	25G	1,300nm DFB Laser 1,286nm DFB Laser 1,358nm EML 1,358nm w/SOA EML	25G/50G PON transceiver/ components
	50G	1,286/1,342nm EML 1,286/1,342nm w/SOA EML	

Our solutions span the full spectrum of deployment scenarios:

- 2.5G/10G:** For the consistent supply of mature products in the prevailing market, we offer highly competitive FP, DFB and EML solutions spanning 2.5G to 10G optimized for the actual needs of EPON, GPON and 10G PON, ensuring reliable connectivity for mass-market applications.
- 25G/50G:** For 25G/50G PON architectures, we provide high-performance DFB lasers and EMLs. Such matrix includes specialized variants integrated with semiconductor optical amplifier (“SOA”) designed to overcome the stringent optical budget and extended reach requirements of high-speed networks, and to earn market opportunities leveraging our forward-looking product portfolio.

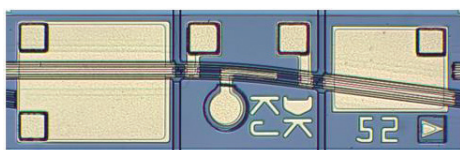
Engineered for excellence, our laser chips deliver stable output power, superior side-mode suppression ratios, and exceptional dispersion management. The reliability of our laser chips empowers telecommunications operators and equipment manufacturers to securely execute large-scale network upgrades, ensuring future-proof fiber access infrastructure.

Our 25G and 50G product lines stand among the cutting edge of the industry, representing our most advanced optical solutions for next-generation fiber access networks. To meet the soaring demand for 8K streaming, VR, and cloud gaming, we have developed industry-leading 25G and 50G laser chips that redefine internet speed.

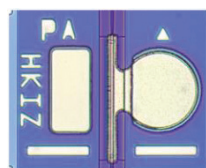
BUSINESS

We offer high-performance laser chips designed for low dispersion and high reliability, suited for standard-reach access and enterprise connections. For networks requiring broader coverage, our advanced laser chips are engineered for extended-reach applications. Through the integration of SOA to enhance the output power, we guarantee gigabit speeds for dozens of users on a single fiber line and enable long-haul transmission capabilities, allowing operators to simplify their networks by effectively bridging the gap between local access and city-wide metro networks.

The following graphics illustrate our 50G PON EML and DFB laser, respectively:



50G PON EML



50G PON DFB Laser

Future Trends and Key Development Focuses

As the global demand for higher bandwidth accelerates, the fiber access market is rapidly transitioning towards next-generation technologies. To capitalize on this trend, we are actively collaborating with leading domestic and international equipment manufacturers to strategically position our portfolio for the upcoming 25G and 50G PON era. We have successfully developed the critical DFB lasers and EMLs required for these high-speed networks and have achieved initial market entry through small-batch shipments. We are continuously optimizing our products for further enhanced performance, such as increasing output power and reducing power consumption through the integration of SOA. Leveraging early strategic positioning, we intend to secure a vital foothold in the supply chain, laying a solid foundation for capturing significant growth opportunities in the future telecommunications market.

Mobile Communications Laser Chips

Mobile network architecture, spanning the fronthaul, midhaul and backhaul segments, has evolved into a high-capacity optical transport infrastructure under the combined impact of continued large-scale deployment of 5G and 5G+ networks. To accommodate the upgraded cell bandwidth, operators are required to widely upgrade legacy transport equipment to high-speed 10G, 25G and 50G optical lanes across these segments. These advancements impose rigorous performance standards on the underlying laser chips, demanding wide-temperature resilience, and unwavering reliability over extended lifecycles.

BUSINESS

Our Offerings

We provide a comprehensive portfolio of high-performance laser chips tailored for the rigorous demands of mobile communications. The following table sets forth our representative mobile communication laser chips as of the Latest Practicable Date:

<u>Product Series</u>	<u>Data Rate</u>	<u>Product Specifications</u>	<u>Major Applications</u>
4G Mobile Communications	10G	• 1,310nm FP Laser • 1,310nm DFB Laser • 1,310nm Antireflection DFB Laser • CWD16 DFB Laser	4G front-haul transceiver
5G Mobile Communications	25G	• 1,310nm FP Laser • 10G overclock CWD6 DFB Laser • 1,270/1,330nm DFB Laser • 1,310nm DFB Laser • CWD6 DFB Laser • LWD12 DFB Laser • MWD12 DFB Laser	5G front-haul transceiver
	50G	• 1,270–1,370nm CWD6 DFB Laser	5G front-haul/mid-haul transceiver

Our solutions cover the full spectrum of front-haul and mid-haul applications across 10G, 25G, and 50G data rates:

- **For 5G/5G+ :** To enable flexible migration paths and higher capacity per fiber, we supply 25G laser chips across CWD6, LWD12, and MWD12 wavelength, which includes 10G-overclocked solutions.
- **For High-Throughput Transport:** We provide high-speed 50G CWD6 DFB lasers designed for high-bandwidth optical lanes.

Engineered for exceptional performance in outdoor and access network environments, these products feature optimized structure for high frequency performance, which ensure the robust reliability required for the large-scale deployment of base stations. Represented by our advanced 25G mobile communication laser chips, our portfolio is built to meet the intense demands of modern 5G/5G+ networks. As mobile technology evolves, networks require massive data rates, instant response times, and the ability to connect millions of devices in crowded areas. We provide a comprehensive range of solutions to solve these challenges, balancing high performance with cost-efficiency across the entire network architecture. To support cost-effective telecommunications deployments, we offer customized and cost-efficient solutions by optimizing mature, low-cost 10G hardware to deliver 25G performance.

Future Trends and Key Development Focuses

Looking toward the future era of “5G+”, the industry is rapidly shifting focus from mere coverage expansion to substantial capacity upgrades, driven by the explosion of AI applications and the need for ultra-reliable low-latency communication. To meet this trajectory, we have developed higher-rate laser chips to support the next generation of mission-critical applications, such as real-time industrial automation, autonomous vehicle infrastructure, and massive IoT ecosystems capable of connecting millions of devices per square kilometer.

BUSINESS

OUR TECHNOLOGY

After years of dedicated R&D and commercialization, we have established a comprehensive laser chip technology platform spanning epitaxial growth, wafer fabrication, chip design, monolithic integration, and high-frequency packaging and testing. We have organized our core proprietary technologies into six major technology platforms to address the growing demand from data centers, telecommunications networks and next-generation optical interconnect applications for higher speeds, higher optical output power, cost optimization and high reliability.

Advanced Epitaxial and Wafer Fabrication Platforms

High-performance laser chips rely on precise epitaxial growth processes and mature wafer fabrication capabilities. Built on years of production experience and process refinement, we have established a mature compound semiconductor epitaxy and wafer fabrication platform that provides the foundational support for the development and volume production of our full product portfolio.

In wafer fabrication, we have established the following complementary platforms:

- ***Buried heterostructure (“BH”) fabrication platform:*** This platform offers superior electro-optical conversion efficiency and is suited for high-power chips used in high-speed optical transceivers for optical access, data centers and AI applications. Its core processes include quantum-well epitaxy, current-blocking layer epitaxy, mesa etching and low-defect multiple regrowth, supported by a comprehensive reliability verification and testing system.
- ***Ridge waveguide (“RWG”) fabrication platform:*** This platform is suited for volume production of high-speed chips. By combining high-precision electron-beam grating lithography with low-defect ridge waveguide etching, it enables precise control of waveguide dimensions to support high-speed performance and efficient current injection.

On epitaxial growth, we have mastered a high-complexity heterogeneous compound semiconductor butt-joint regrowth process. The quantum-well materials used in high-speed laser chips are prone to oxidation, leading to reliability degradation. By using more stable compound semiconductor materials for butt-joint regrowth, we reduce the risk of defect formation from air exposure during processing to a great extent, effectively addressing deterioration and failure under high-temperature and high-current conditions. This advanced technology has enabled our products to be successfully adopted by leading global telecommunications equipment manufacturers and deployed in the networks of leading telecommunications operators worldwide.

Additionally, conventional holographic gratings can produce only uniform-period structures. Through our electron-beam grating tools and proprietary process development we have realized phase-shift gratings with specialized structures, significantly improving laser single-mode purity and signal-to-noise ratio. This technology has been successfully deployed across our full portfolio of chips.

High-Speed Modulation and Monolithic Integration Platforms

Driven by rising demand for high-speed data transmission in mobile networks and data centers, modulation rates in laser chips continue to advance. We have independently developed high-speed modulation technologies and leading monolithic electro-absorption modulated laser integration technologies.

BUSINESS

- **High-speed direct modulation.** We have overcome a number of technical challenges, including high-speed quantum-well design for active regions, nanometer-scale epitaxial growth control and high-frequency cavity design. These advances mitigate the impact of parasitic capacitance on chip high-speed performance and enable end-to-end capabilities from R&D to large-scale volume production of high-speed DFB lasers.
- **High-speed evolution.** We have mastered EML integration technology for the evolution of laser chips with higher rates, which combines a high-power DFB laser and a high-speed modulator on a single chip. Distinct functional regions are separately optimized to achieve both strong optical output and high modulation efficiency. Leveraging such technologies, we overcame the three major technical barriers: independent quantum-well design for the emission and modulation zones to enable separate optimization; hetero-waveguide active-region epitaxy to resolve butt-joint interface defects and crystal orientation mismatches; and high-frequency parasitic capacitance optimization with low-loss coupling between the laser and modulator sections.

High-Power Light Source and Optical Amplifier Integration Technologies

Next-generation ultra-high-speed optical transceivers increasingly adopt silicon photonics (“SiPh”) integration, which requires the optical signals emitted by laser chips to be coupled into silicon-based or related passive waveguides. This has created an urgent need for high-power light sources. We have built comprehensive capabilities around high-power laser chips and optical amplifier integration to provide the industry stable, high-performance laser chips.

- **High-power laser technology for SiPh.** We have developed a comprehensive portfolio of high-power laser chips specifically designed for SiPh applications. These chips compensate for the inherently high coupling losses of silicon waveguides and are a key enabler for next-generation optical transceivers. They provide stable, high-power output and have been adopted by leading global customers, serving as critical components for the advancement of next-generation high-speed optical transceivers.
- **Optical amplifier integration.** Drawing on years of technical expertise in discrete active-device epitaxy and process development, we have established an integrated SOA platform that enables SOA integration at either the laser output side or the receiver side. Achieving low-noise light emission, high-speed modulation and optical power amplification in a single chip requiring differentiated structures and epitaxial designs for different functional regions, which significantly increases the complexity of epitaxy and integration. Our SOA platform increases signal power in long-reach and high-split-ratio scenarios, thereby further improving lane-budget efficiency. For example, high-speed EMLs integrated with SOA can combine high-speed modulation and with high optical output power, making them well suited for applications requiring high optical power in long-reach or high-split-ratio environments.

Chip-Level Optical Path Optimization and System Adaptation Technologies

Through structural innovation at the optical-chip level, we seek to reduce overall packaging costs and reliance on imported components for downstream optical transceiver customers, while improving system-level compatibility.

BUSINESS

- ***Small divergence angle technology.*** In traditional solutions, optical transceiver manufacturers tend to rely on expensive imported coupling lenses to efficiently couple the laser output into optical fibers. We have developed a spot size converter (“SSC”) structure outside the chip’s active region. This reshapes the emitted light spot without compromising chip performance.
- ***Anti-reflection technology.*** During signal transmission, reflections at fiber interfaces or connectors can cause noise and performance degradation. Traditional solutions require additional optical isolators, whose core components often rely on expensive imported Faraday rotators, leading to increased module size, packaging complexity and costs. Our integrated anti-reflection waveguide structure at the chip’s light-emitting end performs a similar function to an optical isolator, reducing or eliminating the need for high-cost isolators, lowering packaging costs, and minimizing reliance on imported components.

These innovations provide our products with differentiated competitive advantages, reduce optical transceiver manufacturers’ dependence on imported components, and help address supply-chain security and cost challenges in large-scale optical network deployments.

Reliability Engineering Technologies for Multi-Scenario Adaptation

We have established a systematic reliability engineering framework covering demanding application scenarios, such as non-hermetic environments, high-power operation, and multi-functional integration.

- ***Non-hermetic environment reliability.*** In certain data center applications, packaging constraints lead optical transceiver manufacturers to adopt non-hermetic designs. Under such designs, optical chips are more susceptible to attack by moisture and oxygen, which may lead to performance degradation or failure. Through dedicated R&D, we have developed optical coating materials and design solutions resistant to high temperature and high humidity, and we have completed the design and integrated fabrication of multilayer optical films and passivation films, as well as simulation and test systems for laser chips operating in high-temperature, high-humidity environments. These capabilities help ensure long-term reliable operation of chips in non-hermetic environments. This technology has enabled us to achieve volume shipments to large data center customers and extend our applications into higher-speed domains.
- ***Integrated laser chip reliability.*** Different functional regions within an integrated optical chip may use different epitaxial materials, compositions and structures, making it technically challenging to ensure reliability across all regions. From the outset of design and development, we consider the differentiated characteristics of each region, including structural materials, composition, stress, doping, geometry, optoelectronic conversion and thermal distribution, and optimize performance on the premise of maintaining overall chip reliability.
- ***High-power scenario reliability.*** High-power laser chips operate for long periods under high current input and high optical output conditions, and therefore bear higher input and output energy loads than conventional laser chips. This raises the technical bar for reliability design. Through sustained investment in materials science and product reliability engineering, we have carried out dedicated development for these high-stress

BUSINESS

operating conditions over many years, systematically enhancing our capabilities for high-power optical chip reliability in terms of equipment, software, process know-how, materials expertise and specialized talent.

High-Frequency Micro-Assembly, Packaging and Testing Technologies

Beyond bare-chip manufacturing, we also possess mature packaging and testing capabilities for high-speed laser chips, enabling us to provide customers with a complete delivery solution from bare die to packaged chips. Packaging chips for high-speed modulation differs from traditional single-chip packaging because high-speed chip circuits require signal matching and interference suppression. First, substrate design is critical to effectively reduce reflection-related losses. Second, the packaging process requires the integration of multiple components such as capacitors and resistors, together with multi-chip die attach while maintaining precise assembly tolerance. Following packaging, aging and testing are performed until the finished products meet target standards for both performance and reliability.

RESEARCH AND DEVELOPMENT

We place strong emphasis on research and development to enhance our product competitiveness and respond to evolving requirements in optical interconnect and related applications. Our R&D efforts focus on improving product performance, reliability and manufacturability, while expanding our product portfolio across different data-rates, wavelength configurations and application scenarios. We believe sustained R&D capability is critical to our ability to meet customer specifications and qualification requirements.

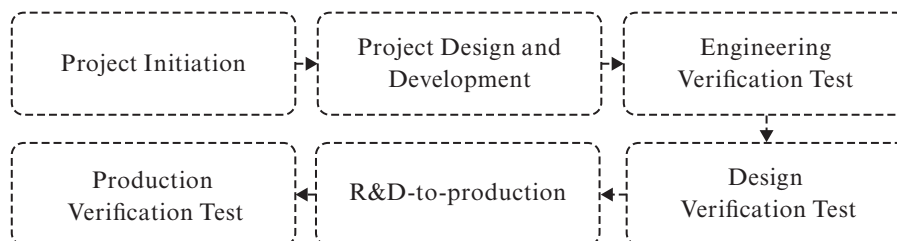
Our R&D Approach and Process

As a high-tech enterprise focused on optical chips, we have remained committed to R&D since inception and have accumulated a range of core technologies through sustained investment. For details, see “— Our Technology.” To further strengthen our capabilities, we continue to increase R&D spending, upgrade our laboratories, including materials science facilities, and acquire advanced production and testing equipment to improve our research environment. Our R&D strategy is market-oriented, and we actively adjust product iteration and technology pre-development in response to industry trends so that our solutions remain competitive. In addition, we have established a multi-layer R&D organization supported by a strong incentive mechanism that rewards contributions to product innovation, parameter improvement and patent applications. By cultivating technically strong engineering talent and actively recruiting high-quality experts, we continue to enhance our independent innovation capabilities and technical expertise.

Our R&D activities are driven by industry developments, application needs and specific R&D projects. Our new product development process is managed in accordance with the R&D Department’s “Design and Development Control Procedure.” From initiation onward, a project progresses through six stages: project initiation, project design and development, engineering verification, design verification, R&D transfer to production and production verification. A project may proceed to the next stage only after the requirements of the current stage have been satisfied.

BUSINESS

The following diagram illustrates the typical flow of our R&D process:



- Project initiation.** Our R&D process begins with a joint decision by the sales and marketing team, the R&D team and the general manager to launch a new project. For this purpose, the sales and marketing team proposes the R&D demand based on customer preferences and market demand for review. Once the project is initiated, a project leader is designated to evaluate the feasibility of the proposed R&D project through a comprehensive analysis of budget allocation, R&D risks and mitigation measures, staffing, customer feedback and technical challenges.
- Project design and development.** During this stage, the project leader prepares a set of guidance documents and specifications tailored to the relevant R&D proposal. These documents are intended to provide comprehensive control over project development and set out the target product’s technical specifications, process instructions, structural design, process-flow design, environmental impact analysis and potential issues that may arise during R&D. To address potential problems that project members may encounter, these documents also specify the corresponding control measures that are critical to the effective execution of our R&D activities.
- Engineering verification testing.** In accordance with the Design and Development Control Procedure, our R&D team conducts wafer runs and produces prototype samples based on the guidance documents and protocols established during the project design and development stage. After prototyping is completed, the samples are tested and analyzed against the customer’s required specifications. This stage includes reviews of product characteristics and abnormal process termination/scrap rates (i.e., the rate of abnormal line stoppages during manufacturing). If a prototype fails to meet customer requirements, the R&D project team reviews the engineering issues encountered, conducts analysis, proposes design changes and updates the relevant guidance documents. Upon approval, the next round of prototype wafer runs is executed. This iterative process continues until customer requirements are met, at which point the project advances to the next stage.
- Design verification testing.** Based on the volume of wafer runs, our R&D team conducts design verification testing and evaluates the product against the customer’s required specifications. This stage includes reviews of product stability and abnormal process termination/scrap rates. If, after completion of design verification testing, customer requirements are still not met, the R&D project team reviews the production issues encountered, conducts analysis, proposes design changes and updates the relevant guidance documents. The project then returns to engineering verification testing until customer requirements are satisfied and verification is passed.
- R&D transfer to production.** At this stage, our R&D team provides the Production and Operations Department with relevant materials, including process standard operating instructions, work orders, parameter comparison tables, quality inspection standards,

BUSINESS

standard labor-hour statistics and pilot-production orders. Where necessary, our R&D team also provides training and assessment for relevant manufacturing personnel. The project may proceed to the next stage only after a successful review.

- ***Production verification testing.*** After receiving the R&D transfer documents, the Production and Operations Department evaluates production-line capacity, manages equipment deployment and analyzes factors such as manpower, safety and environmental conditions. Once mass-production capability is confirmed, the department formulates and implements the production plan and allocates resources for batch validation and testing. During mass production, the R&D project team continues to review and evaluate the project until the expected objectives are achieved and verification is passed.

Our R&D Capabilities

We have established an R&D Center, comprising specialized divisions, each led by professionals with extensive R&D experience in relevant field. Our team members generally process years of relevant academic research experience, which has significantly shortened our product development cycles. The functions of these major R&D divisions are as follows:

- ***High-frequency test & development division.*** This division is composed of senior test system engineers and high-frequency circuit experts, and has accumulated extensive experience in pure optical systems, pure electrical systems, and optoelectronic co-simulation and testing systems.
- ***Materials science & reliability engineering division.*** This division is staffed by senior experts in reliability, failure analysis and materials science, with key members having more than ten years of experience in laser design and process development.
- ***Optoelectronic product technology development division.*** This team is composed of senior wafer process engineers and semiconductor equipment experts, with core members having more than ten years of professional experience in semiconductor process development.
- ***Optoelectronic product design division.*** This team is composed primarily of experts in laser and optoelectronic semiconductor design, with key members having accumulated years of experience in product simulation, theoretical analysis, and process design.

As of December 31, 2025, we had 106 R&D personnel. Headquartered in Shaanxi Province, China and committed to serving the global markets, we have successfully attracted top talent in optoelectronic semiconductors, communications electronics, physics and chemistry. Led by a founding team with extensive experience in optical chip R&D, we foster a mentorship-oriented culture in which junior employees can grow rapidly under the guidance of senior engineers. Our commitment to internal knowledge transfer and technological innovation helps sustain our R&D capabilities. Over the years, we have cultivated a substantial pool of production and technical personnel with extensive experience in optical chip manufacturing processes. Our team possesses deep expertise in optoelectronics, materials science, semiconductor devices, process engineering and reliability engineering, which supports the continuous development and upgrading of our products.

We place strong emphasis on integrating industrial resources with academic research. We actively cultivate collaborative relationships with local higher-education institutions to promote the advancement of semiconductor technology. As part of these efforts, we invite scholars from well-known universities in Xi'an to conduct specialized seminars and lectures. These activities

BUSINESS

provide a dynamic exchange platform for our core technical personnel and encourage continuous learning and professional development. By continually introducing the latest academic insights to our team, we aim to strengthen our foundational technical capabilities and drive innovation.

In 2023, 2024 and 2025, our research and development expenses amounted to RMB30.9 million, RMB54.5 million and RMB80.8 million, respectively. The continuing increase in R&D investment during the Track Record Period reflects our ongoing efforts to enhance product competitiveness and technological capabilities, thereby strengthening our ability to innovate and meet market demand in the AI era.

Future R&D Focus

Our future R&D efforts will focus on the following key directions to support the continued evolution of our laser chips toward higher integration, better performance and greater manufacturing efficiency. As demand for bandwidth continues to grow in data centers, AI infrastructure and next-generation communications networks, customers increasingly require high-density, high-reliability laser chips that can be mass-produced with consistent quality. To address these trends, we will increase R&D investment in both manufacturing-platform upgrades and product-technology expansion.

- **Manufacturing platform.** By transitioning to larger-diameter wafers, we aim to improve device uniformity and yield, reduce unit production costs and strengthen our ability to supply high-performance optical chips at scale. Specifically, we plan to invest in the design and validation of device structures and process flows suited to larger wafers, improvements in epitaxy and lithography processes, and upgrades to key production and test equipment.
- **Product development.** We plan to continue developing laser chips for next-generation high-speed optical transceivers. This includes, without limitation, high-power CW lasers for diversified optical interconnect solutions and EMLs supporting 200G per lane and beyond. As optical interconnects evolve toward higher single-lane data rates and larger-scale parallel architectures, downstream customers are placing increasing demands on laser chips in terms of output power, modulation bandwidth, wavelength accuracy and temperature stability. We will continue to invest in chip structure design, epitaxial material growth, and high-frequency packaging and testing to meet these evolving requirements for high-speed optical interconnects.

MANUFACTURING

Operating under an IDM model, we have mastered the core technologies of laser chip manufacturing, with in-house capabilities spanning chip design, wafer fabrication, chip processing and testing. Such IDM model allows us to shorten product development cycles, achieve independent and controllable laser chip manufacturing, respond quickly to customer requirements and efficiently provide corresponding solutions, thereby enabling us to react rapidly to dynamic market demand. During the Track Record Period, for portions of our laser chips, we primarily engaged qualified third parties for the packaging process to meet customers’ specific requirements, which is in line with the general market practice.

Our production activities are driven by market demand. The Production and Operations Department formulates production plans by coordinating with relevant departments based on customer orders. In accordance with our annual sales strategy, we conduct capacity assessments and

BUSINESS

maintain appropriate inventory to cope with demand peaks and alleviate production pressure. In addition, we have a highly qualified manufacturing team. As of December 31, 2025, 535 employees were in manufacturing positions.

In the future, we will also focus on enhancing our reliability engineering and pre-shipment testing capabilities. We plan to refine our accelerated aging tests, lifetime evaluations, and failure analysis to ensure long-term product stability in client applications. We will expand and upgrade our testing facilities, enhance our ability to assess chip performance, reliability, and visual quality during pre-shipment inspections. Additionally, we are increasing the scale and capabilities of our materials testing labs to conduct comprehensive composition and performance tests, ensuring the highest product quality from incoming materials to finished products.

Manufacturing Facilities

As of the Latest Practicable Date, we had two production bases in operation, both located in Shaanxi Province with an aggregated gross floor area of over 28,000 sq.m. In addition, one of these production bases is currently undergoing production expansion to accommodate additional production facilities in response to the growing demand. We also have a production base located in the U.S., which is in the initial stage of construction and has not been put into operation.

We generally adjust the schedule for our production capacity according to market demands. To accommodate the continuously rising demands for optical interconnect solutions, we plan to further expand our production capabilities through the expansion of our current facilities and the construction of new facilities. For details, see “Future Plans and [REDACTED]” in this document. During the Track Record Period, we manufactured a diversified product mix, primarily including DFB lasers, EMLs and CW lasers. Given the differences in manufacturing complexity, cycle time and equipment utilization rate among these product categories, our management monitors production volume (as converted), designed capacity (as converted) and capacity utilization on standard units calculated based on DFB lasers equivalent for comparability across product types. To maintain consistency in measurement, we assess both production volume and designed capacity at the chip testing stage, which serves as a common reference point across all product categories, as it reflects throughput and resource utilization most accurately. This measurement approach is in line with the industry norm and we believe it reflects the actual production capacity and utilization of our production facilities.

The following table sets forth our designed capacity (as converted), production volume (as converted) and utilization rate of our manufacturing facilities for the years indicated:

	For the year ended December 31,		
	2023	2024	2025
Designed capacity (as converted) (<i>in thousand standard units</i>) ⁽¹⁾	66,578	65,319	115,306
Production volume (as converted) (<i>in thousand standard units</i>) ⁽²⁾	49,381	44,474	103,934
Utilization rate (%) ⁽³⁾	74.2	68.1	90.1

BUSINESS

Notes:

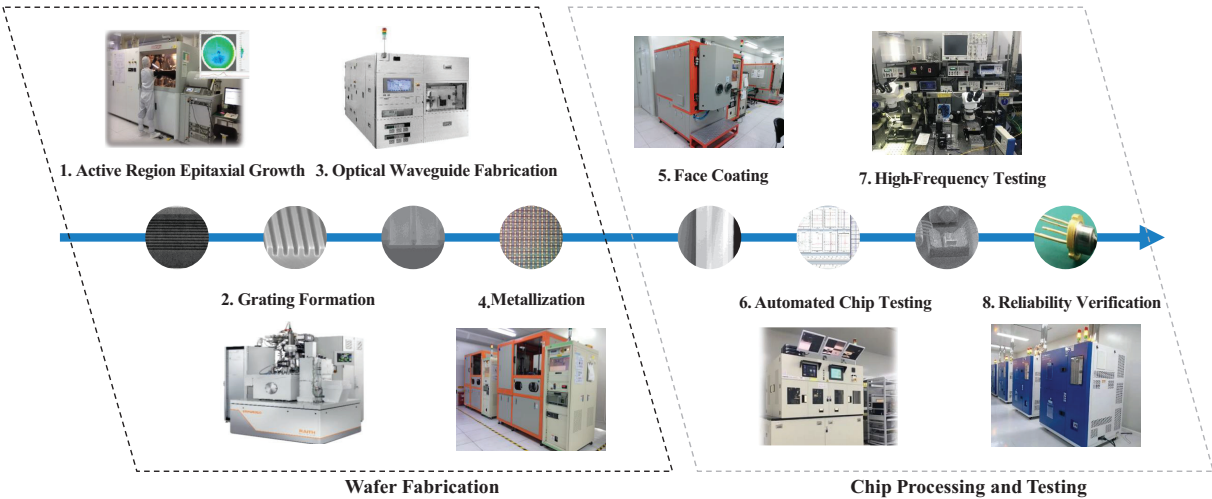
- (1) Designed capacity (as converted) represents our estimate of the annual designed production capacity of standard laser chip unit of DFB lasers equivalent that our manufacturing facilities are able to support under normal operating conditions, and is calculated based on, among others, available production lines and expected operating days/hours. Designed capacity (as converted) does not necessarily reflect actual achievable output, which may be affected by factors such as product mix, yield, planned/unplanned downtime, and scheduling. As the manufacturing process of EMLs and CW lasers are more sophisticated, the production volume (as converted) calculated based on DFB laser equivalent was higher than the aggregated production volume of DFB lasers, EMLs and CW lasers for the relevant year.
- (2) Production volume (as converted) represents the number of standard laser chip unit produced during the relevant year, and is calculated based on, among others, process complexity, production lines adopted and the actual operating days/hours for the relevant year.
- (3) Utilization rate is calculated as production volume (as converted) divided by designed capacity (as converted) for the relevant year.

Our capacity utilization rate decreased from 74.2% in 2023 to 68.1% in 2024, primarily reflecting the temporary capacity fluctuation during production line upgrades to support SiPh applications, including the establishment of CW laser production lines. Our capacity utilization rate then increased significantly from 68.1% in 2024 to 90.1% in 2025, primarily driven by the increased production volume attributable to our sales growth amid rising market demand for our products.

Manufacturing Process

Our laser chip manufacturing process is a highly integrated workflow divided into two primary stages: wafer fabrication, chip processing and testing. From the precise growth of epitaxial layers to the rigorous validation of high-frequency performance, each step is engineered to secure superior optoelectronic conversion efficiency and reliability. Furthermore, we have established a comprehensive system that allows for end-to-end traceability across all manufacturing processes, including raw material batches and specific equipment utilized. Leveraging this intelligent manufacturing system, we are able to collect testing data for each individual laser chip, and the monitoring data generated during its manufacturing processes.

The following diagram illustrates the key manufacturing steps of our laser chips:



BUSINESS

Wafer Fabrication

- **Active region epitaxial growth.** Active region epitaxial growth refers to the growth of multi-layer quantum-well epitaxial wafers through MOCVD with precisely controlled thickness and composition. It directly influences the optoelectronic conversion efficiency and performance of high-speed chip, representing the core process in the design and manufacturing of laser chips.
- **Grating formation.** The grating formation process fabricates Bragg grating structures on laser chip wafers by transferring Bragg grating masks defined using high-precision electron beam lithography through precision etching, followed by MOCVD overgrowth. This process enables single longitudinal-mode laser emission with targeted wavelengths and high spectral purity.
- **Optical waveguide fabrication.** We define micron-scale optical waveguide structures with photolithography to form light-transmission channels within the laser. This process leverages the refractive-index difference between waveguide and surrounding materials to confine and guide photons within the resonant cavity for a stable single-mode optical output.
- **Metallization.** Metallization process involves wafer thinning, customization of electrode shape and dimensions, and optimization of dielectric substance to reduce the parasitic capacitance for high-speed performances.

Chip Processing and Testing

- **Face coating.** After the wafer is cleaved into bar strips, a high-reflectivity coating will be applied on the rear facet and a high-transmittance coating on the emission facet of laser resonators. By utilizing nanoscale control over thin-film thickness to adjust the difference in facet output ratios, high-intensity single-ended laser emission can be achieved.
- **Automated chip testing.** The laser chips will undergo a full suite of automated testing to measure and evaluate key optical and electrical parameters.
- **High-frequency testing.** To assess chip performance, functionality and signal integrity at high frequencies, the laser chips are tested by our high-frequency measurement equipment covering the full range of high-speed characteristics.
- **Reliability verification.** As the last step of our manufacturing process, the laser chips are subject to comprehensive and rigorous aging tests to validate their reliability.

Automated Manufacturing

The rising demand and rapid growth for laser chip products have boosted the application of large-scale automated manufacturing equipment across our manufacturing process. Following this trend, we have advanced a series of automation initiatives that reinforce our product consistency and quality at scale while enhancing our production and operational efficiency. Leveraging the fully automated manufacturing equipment and machinery customized to our manufacturing process and certified under rigorous international acceptance standards, we deliver consistent quality, reliable performance, and robust production capacity, winning the continued trust of our customers.

BUSINESS

In the future, we plan to boost our manufacturing efficiency by further automating the wafer fabrication and chip manufacturing process. Our efforts will include upgrading existing automated production equipment and process monitoring systems to realize precise control and comprehensive monitoring of key process parameters and enhance overall production consistency, reduce human error and increasing throughput.

Manufacturing Equipment

As an important safeguard of our process quality and delivery capabilities, we are among the first in the industry to adopt the most advanced manufacturing equipment. Leveraging our advanced manufacturing equipment, we are able to consistently deliver quality and high-performance products. We purchase our manufacturing equipment from reputable equipment suppliers and we generally do not rely on any single supplier for material equipment. Our critical manufacturing equipment primarily include MOCVD epitaxial growth equipment, electrons beam lithography system for granting formation, and semiconductor chip testing equipment for the automated and reliability testing of our products.

Leveraging our real-time monitoring system, we are able to monitor and analyze critical machine performance data so as to predict potential system failures. We perform maintenance checks on the status of our manufacturing and testing equipment to maintain our delivery efficiency and consistency. During the Track Record Period, we did not experience any major production disruption due to unexpected failure of our manufacturing equipment and machinery.

PROCUREMENT AND SUPPLY CHAIN MANAGEMENT

Raw Materials and Procurement

Our raw materials primarily include substrates, gold targets, specialty gases (mainly including high-purity hydrogen, phosphine, liquid nitrogen, etc.), trimethylindium, photoresists, packaging materials (including tube caps and similar components), and other materials used in the manufacturing of our laser chips. We primarily source raw materials from reputable suppliers, with sufficient supply and available backup sources to consistently support the stability and robustness of our supply chain. For details of our supply chain management, see “— Procurement and Supply Chain Management — Supply Chain Management.” During the Track Record Period and up to the Latest Practicable Date, we had not encountered any material shortfall in the supply of raw materials that would, individually or in the aggregate, have any material adverse impact on our manufacturing plans, results of operations, financial condition or growth prospects.

At the end of each month, our Procurement Department prepares a procurement plan, including the forecast demand, based on next-month’s manufacturing schedule and safety stock provided by the Production and Operations Department and our operational needs. We then issue purchase orders to qualified suppliers accordingly. Upon receipt of these procurements, our quality control team will conduct inspections and evaluate their quality against predefined inspection items, and provides inspection results for manufacturing release.

Our Suppliers

During the Track Record Period, our suppliers primarily consisted of suppliers of raw materials, equipment and packaging services. We have established a wide network of suppliers in China, Europe and Japan. While using imported raw materials to produce high-quality chips, we have also proactively established relationships with domestic suppliers and continue to maintain a

BUSINESS

diversified supply chain. During the Track Record Period and up to the Latest Practicable Date, we did not have any disputes with our suppliers that would, individually or in the aggregate, have a material adverse impact on our results of operations, financial condition and growth prospects. In addition, we believe that adequate alternative sources for such supplies exist, and we have developed alternative sourcing strategies for these supplies. We will establish necessary relationships with alternative sources based on supply continuity risk assessment to enhance the resilience and stability of our supply chain.

The salient terms of our standard procurement agreements during the Track Record Period are set out below:

- **Duration.** Our procurement agreements with suppliers generally do not specify a fixed duration.
- **Product specification.** Our procurement for specific products is typically carried out through purchase orders under the procurement agreements. Our purchase orders typically contain the products’ specifications or service requirements, quantity, delivery schedules and payment terms, and prices, as applicable, while service requirements are generally specified in the technical specifications attached to the procurement agreements.
- **Payment.** Credit terms under our procurement agreements differ, typically 30 to 90 days after receipt of the relevant invoice.
- **Delivery.** Our suppliers are typically responsible for the transportation of products to the locations designated by us.
- **Warranty arrangements.** We usually perform on-site inspection before accepting the relevant products. Our suppliers are obliged to provide products meeting the agreed quality standards and specifications, and we are entitled to claim indemnification from the suppliers for losses suffered due to their defective products.
- **Termination.** Generally, we may terminate the contract only upon mutual agreement or in the event of *force majeure*.

In 2023, 2024 and 2025, our purchases from our five largest suppliers in each year in aggregate amounted to RMB32.4 million, RMB54.9 million and RMB83.1 million, respectively, representing 51.9%, 56.9% and 48.1% of our total purchases in the corresponding years. In 2023, 2024 and 2025, our purchases from our largest supplier in each year amounted to RMB10.7 million, RMB18.0 million and RMB20.7 million, respectively, representing 17.2%, 18.7% and 12.0% of our total purchases in the corresponding years. During the Track Record Period, we made prepayments to certain suppliers. For the suppliers that granted us credit terms, we were generally given credit periods ranging from 30 to 90 days.

BUSINESS

The following table sets forth details of our five largest suppliers in each year during the Track Record Period:

Supplier	Background	Supplies/Services Purchased	Commencement of Business Relationship (Since)	Purchase Amount (RMB'000)	% of Total Purchases (%)
<i>For the year ended December 31, 2023</i>					
Supplier A	A company headquartered in Guangdong, China, primarily engaged in the development and production of photodetector chips and intelligent sensors.	packaging services	2020	10,732	17.2
Supplier B	A company headquartered in Sichuan, China, primarily engaged in the development and manufacturing of optical interconnect components.	packaging services	2023	8,541	13.7
Supplier C	A company headquartered in Beijing, China, primarily engaged in the research, development and production of semiconductor materials.	substrates	2015	4,742	7.6
Supplier D	A company headquartered in Guangdong, China, primarily engaged in the sales and manufacturing of optoelectronic devices, power electronics components, and communication equipment.	packaging services	2023	4,608	7.4
Supplier E	A company headquartered in Shaanxi, China, primarily engaged in the sales of power electronic components.	substrates and components	2013	3,775	6.0
Total				32,398	51.9
<i>For the year ended December 31, 2024</i>					
Supplier B	A company headquartered in Sichuan, China, primarily engaged in the development and manufacturing of optical interconnect components.	packaging services	2023	18,034	18.7
Supplier F	A company headquartered in Guangdong, China, primarily engaged in the research, development and production of optical interconnect products.	packaging services	2021	12,342	12.8
Supplier A	A company headquartered in Guangdong, China, primarily engaged in the development and production of photodetector chips and intelligent sensors.	packaging services	2020	11,698	12.1
Supplier E	A company headquartered in Shaanxi, China, primarily engaged in the sales of power electronic components.	substrates and components	2013	7,066	7.3
Supplier G	A company headquartered in Guangdong, China, and listed on the Shenzhen Stock Exchange, focused on high-precision electronic components for communication, automotive, and photovoltaic applications.	packaging services	2016	5,771	6.0
Total				54,911	56.9

BUSINESS

Supplier	Background	Supplies/Services Purchased	Commencement of Business Relationship (Since)	Purchase Amount (RMB'000)	% of Total Purchases (%)
<i>For the year ended December 31, 2025</i>					
Supplier B	A company headquartered in Sichuan, China, primarily engaged in the development and manufacturing of optical interconnect components.	packaging services	2023	20,693	12.0
Supplier H	A company headquartered in Beijing, China, primarily engaged in the production and sales of rare and precious metals and related products.	gold targets	2015	17,273	10.0
Supplier E	A company headquartered in Shaanxi, China, primarily engaged in the sales of power electronic components.	substrates and components	2013	16,070	9.3
Supplier I	A company headquartered in Guangdong, China, primarily engaged in the development and production of optoelectronic chip packaging products.	packaging services	2019	15,555	9.0
Supplier C	A company headquartered in Beijing, China, primarily engaged in the research, development and production of semiconductor materials.	substrates	2015	13,525	7.8
Total				83,116	48.1

None of our Directors, their respective associates or any Shareholders who, to the best knowledge of our Directors, owned more than 5% of our issued share capital as of the Latest Practicable Date, had any interest in any of our five largest suppliers for each year during the Track Record Period.

Supply Chain Management

We have established supplier qualification and supplier management procedures. For new suppliers, we conduct qualification assessments and due diligence, verify the samples provided, and perform an approval review. Approved suppliers are then included in a list of qualified suppliers. For bulk procurement of raw materials, large-scale equipment and packaging services, where the market offers a sufficient number of suppliers, we generally adopt processes such as price comparison and a tender-based process to select suppliers and determine the procurement price. In the event of urgent and unforeseen procurement demands, we may adopt a simplified procurement process to carry out emergent procurement with relevant approval and filings to be completed subsequently.

To facilitate timely delivery, we cultivate long-term partnerships with our key suppliers and regularly assess them across the quality of products or service provided, lead time, and pricing on both monthly and annual basis. Procurement volumes are then allocated based on these assessment results. We are dedicated to continuously enhancing our supply chain resilience and delivery reliability by actively increasing procurement from reputable suppliers in China and strengthen our procurement management for key raw materials and critical equipment through in-depth collaboration with upstream suppliers. To minimize the risk of reliance on any single supplier and maintain sourcing stability and bargaining power, we generally retain multiple suppliers for our

BUSINESS

principal raw materials and equipment. In addition to our monthly procurement plans, we also maintain safety stock sufficient to cover roughly two months of manufacturing activities based on our usage patterns over the preceding six months to support our consistent supply and operation.

Inventory Management

Our inventories primarily include raw materials, work in progress and finished goods. We procure raw materials such as substrates, gold targets and specialty gases. We manufacture wafers, test and screen chips, and based on customer requirements, engage third-party packaging houses for packaging. Work in progress, which is the principal component of our inventories, includes wafers in process, wafers pending testing, and chips pending testing that have not yet reached a usable condition. Finished goods refer to finished laser chips or packaged laser chips.

We have established and consistently applied a comprehensive inventory management system to monitor our inventory levels, with our manufacturing schedule and sales performance taken into consideration. We follow a set of standardized procedures and approval process for inventory movements and stock levels, with responsibilities clearly allocated across relevant departments.

SALES AND MARKETING

Overview

As laser chips are key to optical modules, customers typically require suppliers to provide more direct and in-depth support in product performance, qualification and technical collaboration. Accordingly, we primarily adopt a direct sales model. This approach enables us to maintain and deepen strategic relationships with key customers, ensuring close collaboration and a better understanding of their evolving needs. By engaging directly, we can more effectively align our product development with customer requirements, and respond promptly to market demands. This model not only strengthens customer trust and loyalty but also positions us as a reliable long-term partner in the highly competitive optical interconnect industry. Meanwhile, we also engage in sales through distribution to expand our customer reach in an efficient manner.

We have a dedicated sales and marketing team responsible for customer development, product promotion, and customer relationship management. This experienced and highly trained sales and marketing team proactively identifies market opportunities and designs sales strategies. Based on customer demand, our sales and marketing team formulates sales plans, conveys order requirements to the Production and Operations Department, and coordinates product R&D, manufacturing, delivery, and quality services. It also handles order tracking, after-sales service, and technical support.

BUSINESS

During the Track Record Period, our sales through distribution primarily involved the sales of our telecommunications laser chips. Meanwhile, as data center laser chips are particularly critical to the performance of downstream optical transceivers, we primarily sell our data center laser chips through direct sales. For details, see “Financial Information — Description of Certain Consolidated Statements of Profit or Loss Item — Revenue — Revenue by Sales Channel.” The table below sets out a breakdown of our revenue in both absolute amount and percentage of our total revenue by sales channel for the years indicated:

	For the year ended December 31,					
	2023		2024		2025	
	<i>RMB'000</i>	%	<i>RMB'000</i>	%	<i>RMB'000</i>	%
Direct Sales	117,756	81.5	177,334	70.3	537,405	89.4
Distribution	26,648	18.5	74,839	29.7	64,030	10.6
Total	144,404	100.0	252,173	100.0	601,435	100.0

Direct Sales

Our direct sales customers primarily include optical component and optical transceiver manufacturers. In 2023, 2024 and 2025, our revenue generated from direct sales amounted to RMB117.8 million, RMB177.3 million and RMB537.4 million, respectively, representing 81.5%, 70.3% and 89.4% of our total revenue for the corresponding years. The salient terms of our standard direct sales agreements during the Track Record Period are set out below:

- **Duration.** The sales agreements entered into with our direct sales customers typically do not specify a fixed term of duration.
- **Pricing policy.** We generally determine the price of our products through negotiations with our direct sales customers and we sell our products at mutually agreed pricing terms.
- **Payment.** Our customers are typically required to prepay a predetermined percentage of the total contract value prior to shipment and settle the remaining balance within agreed-upon timeframe following the receipt or acceptance of our products or by installments. We do not provide any sales rebates to our customers.
- **Logistics and transfer of risks.** We are responsible for delivering our products to locations designated by our direct sales customers. The risks transfer to direct sales customers after they confirm receipt of our products.
- **Warranty arrangements.** We typically provide a warranty period of one to three year to direct sales customers, allowing product returns under specified conditions, such as product design defects or quality issues.
- **Termination.** Our sales agreement may be terminated upon mutual consent between our customers and us.

BUSINESS

Distributorship

We supplement our direct sales efforts through collaboration with a limited number of third-party distributors to expand our customer base with economic efficiency. Our sales through distribution primarily involved the sales of our telecommunications laser chips. We deal with our distributors on a buyer-seller basis, where our distributors take ownership of the laser chips upon delivery, assuming all associated risks, including unsold stock, and are not entitled to return the sold products unless in cases of product defects. These distributors primarily serve as channel partners that help with the maintenance and services of end-customers, and are equipped with established sales channels, skilled sales teams and support capabilities. As of December 31, 2023, 2024 and 2025, we had 11, 13 and 15 distributors, respectively. In 2023, 2024 and 2025, our revenue generated from our distributors amounted to RMB26.6 million, RMB74.8 million and RMB64.0 million, respectively, representing 18.5%, 29.7% and 10.6% of our total revenue for the corresponding years.

Distribution Network

The following table sets forth the movements in the number of our distributors during the Track Record period:

	For the year ended December 31,		
	2023	2024	2025
Number of distributors at the beginning of the year	11	11	13
Addition of new distributors ⁽²⁾	—	2	2
Termination of existing distributors ⁽³⁾	—	—	—
Net increase/(decrease) in distributors	—	2	2
Number of distributors at the end of the year	11	13	15

Notes:

- (1) The numbers of distributors in this table are calculated on entity level, without combining distributors belonging to the same group.
- (2) New distributors refer to distributors who entered into a distribution agreement with us in the relevant year and did not have any effective distribution agreement in the immediately preceding calendar year.
- (3) Terminated distributors refer to distributors who formally terminated the distribution agreement with us in the relevant year and had an effective distribution agreement in the immediately preceding calendar year.

Distributor Management

The laser chip industry is characterized by high technological barriers, as laser chips are critical components that directly impact the performance of optical interconnect solutions. Due to their importance, solution providers and even end users place significant emphasis on the performance and quality of laser chips and the credentials of their suppliers. We therefore primarily adopt the direct sales model, which is supplemented by the distribution model. We engage distributors primarily to facilitate the transaction process and ensure smooth and efficient operations. Additionally, we maintain close communication with each of our distributors to monitor their sales performance and understand the demands of their customers. Given the relatively small

BUSINESS

number of distributors we work with and the specialized nature of our business, we believe our distributor management system is effective in supporting our operations and maintaining strong relationships across the supply chain.

Terms of Distribution Agreement

We enter into distribution agreements with our distributors, while specific terms of these agreements may vary by negotiation and typically include the following:

- **Pricing policy.** We sell our products to distributors at agreed pricing terms determined through negotiations.
- **Warranty.** Our distributors are not entitled to return the sold products unless in cases of product defects.
- **Anti-corruption and anti-bribery obligations.** Both parties shall comply with applicable anti-bribery and anti-money laundering laws, avoid conflicts of interest, and refrain from offering or accepting any improper benefits. Any violation may result in immediate termination of agreements and liability for damages.
- **No sales target or minimum purchase requirement.** Our agreements with distributors generally do not specify a mandatory annual sales target or minimum annual purchase amount.
- **Termination.** We may terminate the distribution agreements in the event of any material breach by our distributors of the agreement, among other events.

During the Track Record Period, we did not engage any sub-distributors. To the best of our knowledge, during the Track Record Period, all of our distributors were Independent Third Parties and none of our distributors were wholly-owned or majority controlled by our employees. During the Track Record Period and up to the Latest Practicable Date, we did not provide any advance or financial assistance to any of our distributors.

Prevention of Channel Stuffing

We have adopted various measures to manage the sales of our distributors.

- **Demand-driven ordering.** We generally do not have mandatory sales targets for distributors, which encourages distributors to order based on actual market demand and sales forecasts.
- **Ownership transfer and return restrictions.** We adopt a sales model that transfers full ownership of goods at the time of delivery and our distributors are not entitled to return the sold products unless in cases of product defects. This model shifts the responsibility and risk of unsold inventory to distributors, incentivizing them to order based on actual sales demand to reduce holding costs and obsolescence risk.
- **Communications with distributors.** Our sales and marketing team maintains regular communication with our distributors to understand their sales performance and the demand from end customers.

BUSINESS

Based on the above, we believe we are at low risks of channel stuffing. During the Track Record Period and up to the Latest Practicable Date, we were not aware of any unusual procurements or sales activities that were inconsistent with distributors’ past practices, and we believe our distributors maintained a reasonable level of inventory of our products to avoid channel stuffing.

Pricing

We price our products based on a variety of factors, including: (i) customer demand, (ii) the competitive landscape, which takes into account our strengths and weaknesses relative to our competitors, their pricing strategies and our customers’ cost sensitivity, (iii) the costs of relevant products, which encompass production, research and development expenses and operational costs, and may vary depending on the type of products, and (iv) customer’s market position. Once we set the base prices according to these factors, we adjust the pricing on a case-by-case basis in consideration of specific requirements of our customers.

Marketing

When introducing a new product to our customers, our business development approach primarily consists of proactive outreach to customers and inbound inquiries from customers. For new product and customer introduction, given the wide range of design parameters and performance indicators in laser chip products, our R&D Department first conducts in-depth technical discussions with customers to clarify their requirements. On this basis, our R&D Department further carries out product design, material selection, and sample fabrication, followed by in-house performance and reliability testing. The samples are then sent to customers for comprehensive evaluation. Upon satisfactory results, customers typically place small-batch trial orders, and after multiple successful production runs, transition to mass procurement. After passing the customer qualification process, our standardized products will be marketed to a wider customer base.

Our mature products are primarily marketed to new customers through industry exhibitions, recommendations from existing customers, and direct business development by sales managers. In addition, we actively approach, or respond to inquiries from, potential customers to introduce our product portfolio. Through in-depth technical discussions, our professionals work closely with such potential customers to understand their application demand and assist them in selecting appropriate products for subsequent validation. This consultative, technology-driven approach allows us to effectively align our products with customer demands and supports long-term customer adoption.

CUSTOMERS

Our Customers

Our customers primarily consist of optical component and optical transceiver manufacturers as well as our distributors. During the Track Record Period, we did not experience any material disputes with our customers. In 2023, 2024 and 2025, our revenue generated from sales to our five largest customers in each year in aggregate amounted to RMB80.2 million, RMB148.9 million and RMB431.9 million, respectively, representing 55.6%, 59.1% and 71.8% of our total revenue in the corresponding years. In 2023, 2024 and 2025, our revenue generated from sales to our largest customer in each year amounted to RMB27.5 million, RMB41.3 million and RMB320.8 million, respectively, representing 19.0%, 16.4% and 53.4% of our total revenue in the corresponding year. During the Track Record Period, we typically granted our major customers in a credit period of 30 to 90 days.

BUSINESS

The following table sets forth details of our five largest customers in each year during the Track Record Period:

Customer	Background	Products Sold	Commencement of Business Relationship (Since)	Revenue (RMB'000)	% of Total revenue (%)
<i>For the year ended December 31, 2023</i>					
Customer A	A company headquartered in Guangdong, China, specializing in information and communication technology products for telecommunications and data communications.	laser chips	2019	27,501	19.0
Customer B	A company headquartered in Guangdong, China, and listed on the Shenzhen Stock Exchange, focused on high-precision electronic components for communication, automotive, and photovoltaic applications.	laser chips	2016	24,487	17.0
Customer C	A company headquartered in Shanghai, China, primarily engaged in electronics technology services and the sales of electronic components and equipment.	laser chips	2022	10,515	7.3
Customer D	A company headquartered in Sichuan, China, specializing in electronic systems, communications, and automotive electronics.	laser chips	2018	9,064	6.3
Customer E	A company headquartered in Wuhan, China, specializing in computer hardware, software, and electronic components sales.	laser chips	2020	8,658	6.0
Total				80,225	55.6
<i>For the year ended December 31, 2024</i>					
Customer F	A company headquartered in Shandong, China, and listed on the Shenzhen Stock Exchange, primarily engaged in optical interconnect transceivers and expanding into automotive intelligent systems.	laser chips	2018	41,300	16.4
Customer B	A company headquartered in Guangdong, China, and listed on the Shenzhen Stock Exchange, primarily engaged in high-precision electronic components for communication, automotive and photovoltaic applications.	laser chips	2016	35,924	14.2
Customer C	A company headquartered in Shanghai, China, primarily engaged in electronics technology services and the sales of electronic components and equipment.	laser chips	2022	25,924	10.3
Customer A	A company headquartered in Guangdong, China, specializing in information and communication technology products for telecommunications and data communications.	laser chips	2019	24,117	9.6
Customer G	A company headquartered in Guangdong, China, specializing in electronic components, communication products, and industrial equipment.	laser chips	2022	21,673	8.6
Total				148,938	59.1

BUSINESS

Customer	Background	Products Sold	Commencement of Business Relationship (Since)	Revenue (RMB'000)	% of Total revenue (%)
<i>For the year ended December 31, 2025</i>					
Customer F	A company headquartered in Shandong, China, and listed on the Shenzhen Stock Exchange, primarily engaged in optical interconnect transceivers and expanding into automotive intelligent systems.	laser chips	2018	320,847	53.4
Customer H	A company headquartered in Shanghai, China, and listed on the Shanghai and Hong Kong Stock Exchanges, primarily engaged in the business of ICT terminal equipment and high-speed optical transceivers.	laser chips	2020	39,948	6.6
Customer I	A company headquartered in Guangdong, China, and listed on the Shenzhen Stock Exchange and the Hong Kong Stock Exchange, primarily engaged in providing integrated communication solutions, including wireless base stations, core networks, and routers.	laser chips	2020	27,581	4.6
Customer E	A company headquartered in Wuhan, China, specializing in computer hardware, software, and electronic components sales.	laser chips	2020	22,332	3.7
Customer B	A company headquartered in Guangdong, China, and listed on the Shenzhen Stock Exchange, primarily engaged in high-precision electronic components for communication, automotive and photovoltaic applications.	laser chips	2016	21,148	3.5
Total				431,857	71.8

None of our Directors, their respective associates or any Shareholders who, to the best knowledge of our Directors, owned more than 5% of our issued share capital as of the Latest Practicable Date, had any interest in any of our five largest customers for each year during the Track Record Period.

Our Increased Revenue from Customer F

In 2025, our revenue from Customer F increased significantly from RMB41.3 million in 2024 to RMB320.8 million in 2025. Below sets forth the background of and reasons for our increased revenue from Customer F.

The optical interconnect industry is inherently concentrated, with a small number of leading optical transceiver manufacturers holding significant market shares, especially for optical transceivers applied in data centers. As a result, upstream laser chip suppliers like us naturally experience increased sales to leading optical transceiver manufacturers, which reflects the structural characteristics of the industry. Collaboration between leading optical transceiver manufacturers and key laser chip suppliers is a prevailing norm, and our customer composition aligns with this industry feature.

BUSINESS

Customer F, a leading optical transceiver manufacturer, was among the first to scale up the deployment of CW lasers in SiPh-based optical interconnect products. Our strategic focus on SiPh applications aligns closely with the development trends of the optical interconnect industry. Our market-leading CW laser technology, coupled with robust production capacity, has positioned us as a key supplier to meet Customer F’s growing demand during the global CW laser supply shortage. It was precisely this alignment between our technological roadmap and Customer F’s demand that drove the significant increase in revenue generated from Customer F in 2025.

Our collaboration with Customer F is mutually beneficial. As laser chips are critical components that determine the performance of optical transceivers, laser chip suppliers like us play an essential role in the value chain. The industry’s high technological barriers and production capacity constraints make leading optical transceiver manufacturers, including Customer F, reliant on trusted suppliers with proven capabilities. Our advanced product performance, scalable production capacity, and ability to meet demand ensure that we are a valued partner to Customer F and other major players in the market.

In addition to Customer F, we have successfully expanded our customers base to include other leading optical transceiver manufacturers globally. Through continuous business development efforts, we are diversifying our customer base and revenue streams. This ongoing expansion ensures that we are well-positioned to capture broader market opportunities while mitigating risks associated with over-reliance on any single customer.

The increased sales to Customer F during the Track Record Period indicated our well-established CW lasers and production capacity, together with the increasing industry demand for CW lasers used in SiPh applications from leading optical transceiver manufacturers represented by Customer F. This collaboration is market-driven and anchored in technological synergy, not dependency. With the continuous penetration of SiPh applications and our ongoing efforts to broaden our customer base, deepen relationships with end users, and align with emerging industry trends, we are confident in our ability to achieve and more diversified customer base over time.

Overlapping of Customers and Suppliers

During the Track Record Period, certain of our major suppliers also acted as our customer and *vice versa*, resulting in an overlap between our customer and supplier relationships in certain cases.

Supplier A, one of our five largest suppliers in 2023 and 2024, was also one of our customers in 2023, 2024 and 2025. Supplier A is an established provider of photodetector chips and intelligent sensors. Our purchase of packaging services from Supplier A amounted to RMB10.7 million, RMB11.7 million and RMB7.0 million in 2023, 2024 and 2025, respectively, representing 17.2%, 12.1% and 4.1% of our total purchase amount for the same years. We also generated revenue from Supplier A of RMB568.4 thousand, RMB52.1 thousand and RMB169.3 thousand in 2023, 2024 and 2025, respectively, representing less than 1% of our total revenue for the same years.

Supplier F, one of our five largest suppliers in 2024, was also one of our customers in 2023, 2024 and 2025. Our purchase from Supplier F amounted to RMB2.3 million, RMB12.3 million and RMB4.0 million in 2023, 2024 and 2025, respectively, representing 3.7%, 12.8% and 2.3% of our total purchase amount for the same years. Our revenue generated from Supplier F amounted to RMB1.9 million, RMB1.8 million and RMB11.9 million in 2023, 2024 and 2025, respectively, representing 1.3%, 0.7% and 2.0% of our total revenue for the same years.

BUSINESS

Supplier G, one of our five largest suppliers in 2024, was also one of our top five customers in each year during the Track Record Period. Our purchase from Supplier G amounted to RMB0.8 million, RMB5.8 million and RMB5.7 million in 2023, 2024 and 2025, respectively, representing 1.3%, 6.0% and 3.3% of our total purchase amount for the same years. Our revenue generated from Supplier G amounted to RMB24.5 million, RMB35.9 million and RMB21.1 million in 2023, 2024 and 2025, respectively, representing 17.0%, 14.2% and 3.5% of our total revenue for the same years.

All of Supplier A, Supplier F and Supplier G are also our customers. In these arrangements, they procure our laser chips for their own business needs while, at the same time, leveraging their in-house packaging capabilities to provide us with packaging services and therefore act as our suppliers in that respect. Such overlap reflects the specialized and collaborative nature of the laser chip industry, where participants may engage with one another in multiple capacities across different stages of the value chain. In particular, while these counterparties purchase laser chips from us as customers, they also possess packaging expertise and production capacity that can be utilized by us on an outsourced basis. Accordingly, their dual roles as both our customers and suppliers arise from distinct business needs and service scopes, rather than from the same transaction.

In addition, Customer I, one of our five largest customers in 2025, was also one of our service providers in 2024 and 2025. Customer I procured laser chips from us, which generated revenue of RMB4.7 million, RMB9.7 million and RMB27.6 million in 2023, 2024 and 2025, respectively, representing 3.2%, 3.9% and 4.6% of our total revenue for the same years. During the Track Record Period, we procured business development services from Customer I, which amounted to RMB8.4 million and RMB7.6 million in 2024 and 2025, respectively.

Our Directors confirm that (i) such overlapping customer-supplier relationships represented normal commercial arrangements in the ordinary and usual course of business, (ii) the terms of these transactions were fair and reasonable, and (iii) such arrangements did not have any adverse impact on our operational independence, pricing mechanisms or business arrangements. We are not reliant on such overlapping relationships. Save as disclosed above, to the best of our knowledge, none of our five largest suppliers during each year or period of the Track Record Period was a customer of us, and none of our five largest customers during each year or period of the Track Record Period was a supplier of us.

QUALITY CONTROL

Quality Control Measures

We remain committed to developing the essential elements of laser chip manufacturing processes across the full IDM business workflow, covering chip design, wafer fabrication, chip processing and testing. We have established a comprehensive management framework, covering the accumulation of process-technology resources, production and quality management systems, standardized production procedures and execution requirements, as well as training and assessment mechanisms. We are able to effectively manage production yield, lead times and delivery, product iteration and related risks in laser chip manufacturing.

In accordance with international management standards, we have established a comprehensive set of systems, including the ISO9001:2015 Quality Management System, the IATF16949:2016 Automotive Quality Management System, and the ANSI/ESD S20.20–2021 Electrostatic Discharge Control System. These systems facilitate a robust management process across the entire product lifecycle. Adhering to our quality policy of seeking truth from facts, prioritizing quality, scientific

BUSINESS

management, continuous improvement, and customer satisfaction, we consistently aim to enhance customer satisfaction. By continuously refining our internal processes, we ensure a guarantee for overall product quality and safety control.

Our quality control measures encompass a wide range of activities, covering R&D management, supplier quality management, production processes and customer services:

- ***R&D quality management.*** We control product quality and safety right from the design source. During the initial design phase, we utilize Design Failure Mode and Effects Analysis and Process Failure Mode and Effects Analysis to identify potential failure modes in the R&D process. By analyzing the causes and impacts of these failures, we implement necessary preventive measures to avoid or minimize risks, thereby significantly enhancing the reliability of our development process.
- ***Raw material supplier quality management.*** We have strengthened its management of suppliers, particularly regarding the control of hazardous substances (including RoHS 2.0, REACH SVHC, Halogens, etc.). We procure raw materials that meet both quality and environmental protection requirements right from the sourcing stage. This approach provides a strong guarantee for our production process.
- ***Manufacturing process management.*** We ensure manufacturing excellence through rigorous personnel and equipment management. All staff must pass pre-job training, with critical roles subject to strict stability protocols. To guarantee reliability, we track key performance indicators while performing preventive maintenance and regular calibration checks on all equipment. Furthermore, every production step adheres to clear standard operating procedures, ensuring consistent and standardized execution.
- ***Customer service quality management.*** We are committed to delivering exceptional customer service through a comprehensive after-sales management system and a dedicated support team. Our sales and marketing personnel conduct regular follow-up visits to ensure that clients can use our products with confidence and safety. Furthermore, we have established a rapid response mechanism for all customer feedback and complaints, ensuring timely resolution and guaranteeing the highest levels of customer satisfaction.

Through this holistic approach of quality management, we are dedicated to ensuring the excellence and reliability of our products. During the Track Record Period and up to the Latest Practicable Date, we did not experience any product liability claim due to quality issues that was material to our business, results of operations or financial position.

Warranty and After-Sale Services

We provide both warranty and after-sales services for our products. Our product quality assurance terms usually provide a warranty period of one to three years. Before entering into contracts with our customers, we determine the product specifications with our customers through mutual negotiation based on product attributes, specific application requirements, and industry practices. This approach allows us to accommodate the unique requirements of different customers. In the event that a product does not meet quality requirements during use, we provide appropriate warranty services to support the normal application of our products in a way that meets customer

BUSINESS

demand. Items returned by our customers under warranty are sent back to our factory for comprehensive re-testing. Following this re-evaluation, we handle the final delivery and disposition strictly in accordance with the customer’s specific requirements.

In addition to the warranty coverage, we handle after-sales requests for products identified as having quality defects. Our customers may request product returns or exchanges for such products. For product exchange, we generally provide products of equivalent quantity or value according to the agreed technical specifications.

During the Track Record Period and up to the Latest Practicable Date, we did not experience any material product returns, product recalls, or any claims from customers that materially and adversely affected our results of operations or financial position, nor did we make any provision for product liabilities during the Track Record Period.

DATA PRIVACY AND SECURITY

In the course of our business operations, we mainly collect, store and process data relating to transactions with corporate customers, such as their names, addresses, contact information and order details. As the majority of our transactions are conducted with enterprises, our activities generally do not involve the collection or processing of personal information from customers or any important data identified by the competent government authorities. In addition, we did not have any cross-border data transactions during the Track Record Period, and we are not an operator of a critical information infrastructure under the Cybersecurity Review Measures. As advised by our PRC Legal Advisors, during the Track Record Period and up to the Latest Practicable Date, we had complied with the PRC laws and regulations related to data security in all material aspects.

However, in recent years, data privacy and cybersecurity have become critical governance priorities for companies globally. This is relevant as the PRC legislature and government authorities may introduce new cybersecurity, data security and privacy laws and regulations. Consequently, our practices regarding the collection, use, storage, disclosure and transfer of various types of data may be subject to increased administrative scrutiny. See “Risk Factors — Risks Relating to Our Business and Industry in the Principal Place of our Business — Our business is subject to a variety of laws, rules, policies and other obligations regarding data protection domestically and abroad. Any losses or unauthorized access to or unauthorized releases of confidential information and personal data could subject us to significant reputational, financial, legal and operational consequences.”

COMPETITION

We operate in a competitive industry. The laser chip market is characterized by intense competition from both established international players and emerging domestic manufacturers. We face direct competition both in China and globally across our products over the laser chips industry. The competition is expected to be further intensified as new domestic entrants are currently seeking to enter into the market. Competition is expected to intensify as certain optical transceiver manufacturers increasingly develop in-house chip capabilities, to build a collaborative, full-industry-chain system that spans optical transceivers, laser chips and optical network terminals.

Moreover, technological evolution is reshaping the competitive landscape. The industry is transitioning toward laser chips with higher data rates, higher output power, and longer transmission distances. Companies with stronger R&D capabilities and faster product iteration cycles are gaining competitive advantages. For details, see “Industry Overview.”

BUSINESS

INTELLECTUAL PROPERTY

Intellectual property rights are fundamental to our business. We hold a broad portfolio of intellectual property rights related to our core technologies and dedicate substantial time and resources to their continuous development and protection. We rely on a combination of patent, trademark, copyright, domain name, trade secret and other proprietary rights protection laws in the PRC as well as confidentiality procedures and contractual provisions to protect our intellectual property rights.

As of the Latest Practicable Date, we had 36 registered patents in the PRC, and we had 11 trademarks, five copyrights, one domain name registered in the PRC. As of the same date, we also had four registered patents, three pending patent applications and one domain name overseas. For details of our material intellectual property rights, see “Appendix IV — Statutory and General Information — Further Information About Our Group — Intellectual Property Rights.”

We have used our best efforts to ensure compliance with applicable intellectual property laws. Our Directors confirm that, during the Track Record Period and as of the Latest Practicable Date, we were not involved in any intellectual property infringement actions that, individually or in the aggregate, would have a material and adverse effect on our business, financial condition and result of operations. For details, see “Risk Factors — Risks Relating to Our Industry and Business — Our business depends on our ability to protect our intellectual property rights, and we may be subject to intellectual property infringement and other claims by third parties in the PRC or other jurisdictions, which, if successful, could cause us to pay significant damages and incur other costs.”

We protect our intellectual property through strategic planning, such as submitting intellectual property registrations and applications, anti-counterfeiting mechanism, especially for trademarks and designs, and litigation mechanism to defend against any existing or potential intellectual property infringement. Despite our efforts, third parties may still obtain and misappropriate our intellectual property without authorization. As of the Latest Practicable Date, to the best of our knowledge, we did not identify any of such misappropriations of our intellectual property rights. However, unauthorized use of our intellectual property by third parties and the expenses incurred in protecting our intellectual property rights may adversely affect our business and results of operations. For details of the related risks, see “Risk Factors — Risks Relating to Our Industry and Business — Our business depends on our ability to protect our intellectual property rights, and we may be subject to intellectual property infringement and other claims by third parties in the PRC or other jurisdictions, which, if successful, could cause us to pay significant damages and incur other costs.”

EMPLOYEES

As of December 31, 2025, we had 716 employees in total, with most of them based in China. The following table sets forth the number of our employees categorized by function as of the same date:

Functions	Number of employees	Percentage
Research and Development	106	14.8
Manufacturing	535	74.7
Sales and Marketing	17	2.4
Finance	11	1.5
General Administration	47	6.6
Total	716	100.0

BUSINESS

We recruit our employees through recruitment websites, recruiters and internal referrals. In compliance with the relevant PRC laws and regulations, we enter into standard employment contracts with our employees to cover matters such as wages, benefits and grounds for termination. We also enter into standard confidentiality and non-compete agreements with key employees and departed personnels.

Recognizing the importance of talent cultivation, we offer a diverse array of training and professional development opportunities to equip our employees with the technical expertise and competence required for their respective functions, while supporting their long-term career advancement. Every new employee participates in a comprehensive onboarding program with systematic trainings tailored to their functions and responsibilities, covering corporate culture, employee rights and responsibilities, workplace safety, data security and other logistics aspects, as well as specific trainings that improve employee knowledge and expertise in certain important areas related to our business. During the course of our daily operations, we organize both regular and ad-hoc, online and offline training programs to continuously foster the professional skills for our employees at all levels.

We believe that we have maintained good working relationships with our employees, and have established a labor union to represent our employees for employee affairs. During the Track Record Period and up to the Latest Practicable Date, we did not experience any material labor disputes or strikes that may have a material and adverse effect on our business, financial condition or results of operations.

INSURANCE

We consider our insurance coverage to be adequate as we have in place all the mandatory insurance policies required by PRC laws and regulations and in accordance with the commercial practices in our industry. Our employee-related insurance consists of pension insurance, maternity insurance, unemployment insurance, work-related injury insurance and medical insurance, as required by PRC laws and regulations. We also maintain directors and officers liability insurance and property comprehensive insurance covering our manufacturing facilities and equipment.

In line with general market practices, we do not maintain any business interruption insurance or product liability insurance, which are not mandatory under PRC laws. We do not maintain key man life insurance, insurance policies covering damages to our network infrastructures or information technology systems or any insurance policies for our properties. See “Risk Factors — Risks Relating to Our Industry and Business — We may not have sufficient insurance coverage to cover our potential liability or losses and, as a result, our business, financial condition, results of operations and prospects may be materially and adversely affected should any such liability or losses arise.” During the Track Record Period, we did not make any material insurance claim in relation to our business.

BUSINESS

AWARDS AND RECOGNITIONS

During the Track Record Period, we received awards and recognitions from local governments and industry associations. The following table summarizes the major awards and recognitions we received during the Track Record Period:

Year Granted	Awards or Recognitions	Granting Authority
2025	2025 Most Influential Product Award in Optical Interconnect (2025年度光通信最具影響力產品獎)	Cordacord Industry Research Center; China Fiber Optics Online (和弦產業研究中心；光纖在線)
2025	2025 Innovative Product Award in Optical Interconnect (2025年度光通信創新產品獎)	Cordacord Industry Research Center; China Fiber Optics Online (和弦產業研究中心；光纖在線)
2024	R&D Institution Certificate for Industrial Enterprises in Shaanxi Province (陝西省工業企業研發機構)	Industry and Information Technology Department of Shaanxi Province (陝西省工業和信息化廳)

ENVIRONMENTAL, SOCIAL AND GOVERNANCE MATTERS

Environmental, Social, and Governance (“ESG”) is the cornerstone of our sustainable development strategy. We have therefore established and progressively refined our ESG policy framework, focusing on substantial matters with significant business implications. While complying with the ESG-related disclosure requirements of A-share market, we will comply with the requirements of ESG reporting and publish ESG report on an annual basis in accordance with the requirements of Appendix C2 to the Listing Rules. We will focus on ESG matters, risk management and key performance indicators that have a significant impact on our business operations as set out in Appendix C2 to the Listing Rules.

ESG Governance

We place high importance on the thorough implementation of ESG principles. To ensure the orderly implementation and efficient advancement of ESG initiatives, we will establish a three-tier ESG governance structure comprising the Board, the Strategy Committee, and the ESG Work Team. This framework is intended to guarantee effective coordination across decision-making, management, and execution levels. The Board serves as the decision-making body for ESG matters, responsible for reviewing and approving our annual ESG objectives, plans, ESG governance structure, management systems, and ESG-related disclosure reports, while overseeing the overall effectiveness of ESG initiatives. The Strategy Committee serves as the research and guiding body for ESG matters, responsible for studying our annual ESG objectives, plans, governance structure, management systems, and other related matters. It advises the Board on relevant initiatives, identifies ESG-related risks and opportunities with significant impact on our operations, and guides management in implementing appropriate responses to ESG risks and opportunities. The ESG Work Team serves as the operational body for ESG initiatives, responsible for implementing and advancing all ESG measures. It summarizes challenges and achievements in ESG work, provides timely feedback to the Strategy Committee on ESG progress, offers constructive suggestions, and facilitates effective ESG implementation across all implementing units.

BUSINESS

To establish and improve our compliance governance system, we have integrated compliance governance details into key institutional documents such as the Compliance Evaluation Control Procedures and the Identification, Evaluation, and Control Procedures for Laws, Regulations, and Other Requirements for strengthening the compliance foundation in environmental and occupational health. Meanwhile, we will closely monitor industry policy developments and regulatory requirements and conduct regular reviews and updates to our systems to ensure the timeliness and adaptability of our compliance governance system. We are committed to maintaining proactive and open communication with internal and external stakeholders, including employees, customers, suppliers, and investors. We continuously enhance the transparency and credibility of our compliance governance, actively foster a compliance culture characterized by full participation and continuous improvement, and cultivate a robust compliance governance environment.

To establish a company-wide compliance awareness system, our senior management actively participates in specialized compliance training programs, continuously enhancing compliance consciousness and governance capabilities. Additionally, we have organized ESG-related training sessions for key Directors and senior management personnel. We will further enhance ESG-related training for all employees to achieve maximum coverage of ESG awareness.

ESG Risk Identification, Assessment and Management

We attach great importance to the establishment of a risk management system, and have formulated and strictly implemented a series of internal control-related policies. We have established a set of mechanisms for risk identification, analysis, and assessment that cover the entire operation process and run through all dimensions of ESG. We rigorously enforce business ethics and compliance management while strengthening internal audit efforts, thereby providing a solid foundation for sustainable development. During the Track Record Period and up to the Latest Practicable Date, we had not incurred any criminal penalties, administrative penalties, environmental or safety incidents, or disclosure violations that would have any material adverse impact on our results of operations, financial position or growth prospects.

Major Risk Identification and Assessment Management

We have established a systematic and routine mechanism for identifying and assessing major risks to ensure the forward-looking nature and effectiveness of our risk management and control efforts. For major risks spanning all ESG dimensions, we enhance our resilience by regularly identifying and evaluating internal and external factors, developing strategies to address risks and opportunities and overseeing their implementation.

Climate Change Risks

In the course of our operations and development, we face physical risk challenges arising from climate change, which may adversely affect our operations in multiple aspects. Acute physical risks may affect the stability of our supply chain, lead to interruptions in the supply of raw materials, and ultimately trigger chain effects including increased operating costs, forced suspension of research and production activities, hidden safety hazards, impaired production capacity, delayed order delivery, and financial losses. Chronic physical risks may affect energy efficiency in production processes and increase operating costs, such as those associated with regulating workshop temperature and humidity. If such chronic environmental changes continue to intensify, they may also pose potential adverse effects on the stability of raw material supply and the adaptability of production processes, thereby indirectly affecting our normal operational rhythm and profitability.

BUSINESS

To address the risks arising from climate change, we enhance supply resilience by optimizing supply chain layout and expanding alternative suppliers across multiple regions and have formulated emergency response plans for extreme weather to safeguard production safety and business continuity. Meanwhile, we have equipped intelligent temperature and humidity control systems to enhance environmental adaptability in the production process, reduce the pressure of energy consumption costs caused by long-term climate anomalies, and ensure stable operational rhythm and profitability.

Risks of Low-Carbon Economic Transition

As regulators, investors, and customers continue to place increasing attention on ESG performance and relevant regulatory frameworks are continuously refined, compliance requirements and disclosure standards in relation to emission control, resource utilization efficiency, and maintenance of community relations are progressively raised. We will establish a regular ESG policy and regulation tracking mechanism, closely monitor changes in domestic and international environmental protection regulatory requirements and disclosure standards, promptly optimize our internal compliance management system, and ensure that our operational activities align with new regulatory rules.

Climate Change and Environmental Protection

Addressing Climate Change

We recognize the significance of climate change and its potential impact on both our business and the broader environment. We closely monitor and proactively manage our greenhouse gas (“GHG”) emissions, with the goal of reducing our negative impact on the climate. We also continue to explore energy-efficient technologies and sustainable operational practices to minimize our environmental footprint and contribute to a low-carbon future. The following table sets forth our GHG emissions during the Track Record Period:

Indicator	Unit	For the year ended December 31,		
		2023	2024	2025
Scope 1 GHG emissions ⁽¹⁾	tCO ₂ e	1,563.2	1,501.4	1,796.4
Scope 2 GHG emissions ⁽²⁾	tCO ₂ e	10,144.9	10,737.0	12,804.0
Scope 3 GHG emissions ⁽³⁾	tCO ₂ e	1,490.6	1,502.5	1,743.3
Total GHG emissions	tCO ₂ e	13,198.6	13,741.0	16,343.7

Notes:

- (1) Scope 1 emissions primarily result from the consumption of gasoline, diesel, and natural gas during production and operational processes.
- (2) Scope 2 emissions primarily stem from indirect GHG emissions associated with our purchased electricity consumption.
- (3) We are progressively expanding our measurement and accounting of GHG emissions data to cover Scope 3, including: Category 3 — Fuel- and energy-related activities not included in Scope 1 or Scope 2 emissions; Category 6 — Business travel; and Category 9 — Downstream transportation and distribution. We plan to further expand the scope of GHG emissions measurement and accounting in the future to better manage GHG emissions and enhance related information disclosure.

BUSINESS

Energy Management

In daily operations, our primary energy consumption consists of electricity and natural gas. To steadily advance the green and low-carbon transition and continuously improve energy utilization efficiency, we have proactively implemented energy-saving measures. These include introducing solar water-heating systems, prioritizing high-efficiency and energy-saving equipment at the design stage, and progressively optimizing the energy structure of operating vehicles by replacing gasoline-powered vehicles with new energy electric vehicles, thereby further reducing our reliance on fossil fuels. The following table sets forth our energy consumption during the Track Record Period:

Indicator	Unit	For the year ended December 31,		
		2023	2024	2025
Total electricity consumption	MWh	17,788.6	18,827.0	22,451.4
Total electricity consumption per unit of revenue	MWh/RMB million	123.2	74.7	37.3
Natural gas consumption	m ³	774,378.4	742,512.5	895,126.9
Natural gas consumption per unit of revenue	m ³ /RMB million	5,362.7	2,944.5	1,488.3

Water Resources Management

We have reinforced water conservation awareness among all employees by posting water conservation signs, while simultaneously advancing the construction of rainwater recycling systems to achieve circular utilization of water resources. Additionally, we have established a routine water resource management inspection mechanism, focusing on identifying potential leaks and drips within the water supply network. Any issues detected are promptly rectified and addressed to enhance water resource management. The following table sets forth our water consumption during the Track Record Period:

Indicator	Unit	For the year ended December 31,		
		2023	2024	2025
Total water consumption	Ton	117,675.0	128,126.0	186,976.0
Total water consumption per unit of revenue	Ton/RMB million	814.9	508.1	310.9

BUSINESS

Waste Management

We strictly comply with national and local pollutant discharge standards and implement refined management of wastewater, waste gas, solid waste, and noise to ensure that the discharge of all types of pollutants meets the current regulatory requirements, thereby minimizing the adverse impacts on the ecological environment and surrounding communities. We have formulated and implemented the Solid Waste Management System, establishing a full-chain management mechanism covering classification, collection, storage, and disposal of solid waste, thereby steadily advancing its reduction and hazard-free disposal. For hazardous waste, we adopt sealed collection methods and entrust its treatment to qualified third-party disposal entities. For non-hazardous waste, such as waste cardboard boxes, we transfer them to waste recycling companies for resource recycling and reuse. In 2025, we set and successfully achieved the target of 100% recycling of solid waste. The following table sets forth our waste charge during the Track Record Period:

Indicator	Unit	For the year ended December 31,		
		2023	2024	2025
Quantity of general solid waste	Ton	3.5	3.5	5.6
Quantity of hazardous waste	Ton	56.3	89.0	127.6
Total quantity of waste	Ton	59.8	92.5	133.2

Social Indicators

Diversity and Employment

We acknowledge that a diverse board membership structure brings more comprehensive perspectives, richer experience, and more flexible decision-making approaches to the us, thereby helping us maintain sustainable innovation capabilities and stable operations. The composition of our Board members reflects a diverse structure. As of December 31, 2025, our Board consisted of eight directors, including two female directors. The professional backgrounds of the Board members span material science, broadband communications, mechanical engineering, law, etc.

We consistently uphold the principle of equal employment and achieve full coverage of labor contract signing. We also adhere to the principles of fairness and equality in employment, matching diverse talents with suitable positions while ensuring the entire recruitment process remains lawful and compliant. Meanwhile, we have established a diversified talent recruitment mechanism, comprehensively utilizing integrated online and offline recruitment models to extensively attract high-potential talent and effectively fulfill our corporate social responsibility.

Caring for employees is the cornerstone of our corporate social responsibility. We are committed to respecting the dignity, individuality, privacy, and personal interests of every employee, and strive to create a positive, inclusive, and supportive work environment to foster employees’ sense of happiness, belonging, and overall well-being. In terms of employee benefits, we have continuously refined our diversified benefits system and embedded employee care into daily operations.

BUSINESS

We have established a comprehensive management mechanism for employee promotion and development, which designs distinct promotion paths for different types of talents and is complemented by scientific and standardized evaluation criteria and promotion procedures. We have also established a comprehensive, multi-tiered, and multi-channel employee training system covering several dimensions, including onboarding training for new employees, department-specific training for current employees, training for mid-to-senior-level managers, as well as exchange and learning activities through international forums.

Occupational Health and Safety

We strictly comply with the relevant laws and regulations on work safety and occupational disease prevention and control and are committed to providing employees with a healthy and safe working environment. We have formulated a series of regulatory documents, including the Safety Management System, Full-Staff Work Safety Responsibility System, Procedure for the Operation and Control of Environmental and Occupational Health and Safety, Hazardous Substances Risk Management Procedure, Procedure for the Identification, Risk Assessment, and Control of Hazardous Sources and Environmental Factors, and Emergency Preparedness and Response Control Procedure. In addition, we have established an Occupational Health and Safety Management System to minimize occupational health and safety risks and safeguard the health and safety of employees.

We conduct regular monitoring of occupational hazard factors in workplaces with occupational hazards, in accordance with relevant regulations and standards, to ensure that the working environment complies with health standards. For employees in positions with exposure to occupational hazards, we conduct regular occupational health examinations before, during, and after employment tenure to promptly identify and address potential health issues. In addition, we regularly organize employee safety training, emergency drills, and other activities to enhance employees’ safety awareness and foster a corporate culture that prioritizes health and safety.

During the Track Record Period and up to the Latest Practicable Date, we had not been involved in any occupational health and safety incidents or any claims for personal injury or property damage that would have any material adverse impact on our results of operations, financial position or growth prospects.

Supplier Management

We have established a full life cycle management system covering supplier qualification and access, dynamic performance evaluation, and exit due to red-line violations. By continuously optimizing the supply chain management mechanism, we enhance supply chain collaboration efficiency and ensure the stable and orderly conduct of production and operating activities. For details, see “— Procurement and Supply Chain Management — Supply Chain Management.”

Social Contributions

We firmly believe that social responsibility and business success are mutually reinforcing, and the sustainable development of an enterprise cannot be achieved without giving back to society. Accordingly, we actively fulfill our social responsibilities, deeply engage in rural revitalization, and contribute to improving living conditions in rural areas, thereby promoting social harmony and progress through concrete actions.

BUSINESS

We strive to address social issues, inspire positive social energy, and promote social harmony and progress through multiple dimensions, including resource conservation, employment promotion, and employee rights protection. We are deeply engaged in rural revitalization, drawing on the experience of the “Green Rural Revival Program.” In collaboration with charitable organizations, we launch rural assistance initiatives focusing on the improvement of infrastructure and other livelihood-related sectors. Through concrete actions, we help build a demonstration model for rural revitalization, showcasing our corporate social responsibility.

Governance

We have always upheld integrity in business operations and self-discipline as our core principles, committed to fostering a culture of uprightness, integrity, justice, and honesty, and adopted systematic measures to establish a robust defense line of integrity. We strictly comply with relevant laws, regulations, and provisions in preventing commercial bribery. We have also formulated the Integrity and Clean Governance Management System to ensure that we operate in strict compliance with legal and ethical standards and eliminates corruption and other misconduct at its source. To strengthen employees’ integrity awareness, we conduct annual training and education programs on integrity and anti-corruption, thereby reinforcing our commercial ethics defenses.

In addition, we have established a whistleblowing mechanism, encouraging employees, customers, suppliers, and other cooperating third parties to file complaints or report violations such as commercial bribery. During the Track Record Period and up to the Latest Practicable Date, we had not been involved in any incidents of corruption, bribery, or fraud, or any related legal proceedings that would have any material adverse impact on our results of operations, financial position or growth prospects.

PROPERTIES

Self-owned Properties

As of the Latest Practicable Date, we obtained seven real estate ownership certificates, pursuant to which we own the right to use construction land with an aggregate site area of over 25,000 sq.m. and own six buildings with an aggregate GFA of over 26,000 sq.m. These properties are primarily used as our existing and planned manufacturing facilities and office premises. See also “— Manufacturing — Manufacturing Facilities.” We hold the valid title for these parcels of land and the relevant building ownership certificates. As confirmed by our PRC Legal Advisors, we had obtained valid legal titles to these properties and land use rights for the land occupied by these buildings, and that we are entitled to legally occupy, use, benefit from, transfer, lease, pledge or otherwise dispose of these properties.

Leased Properties

As of the Latest Practicable Date, we leased three properties with a total gross floor area of over 3,500 square meters in Chinese mainland and one property of 153,710 usable square feet in the U.S. We plan to renew our leases or negotiate new terms when the existing leases expire. Except as disclosed in “Connected Transaction” in this document, as of the Latest Practicable Date, all lessors are Independent Third Parties. We did not experience any material difficulties in negotiating renewal of our leases with our landlords during the Track Record Period and up to the Latest Practicable Date. We believe that there is a sufficient supply of suitable properties in Chinese mainland to meet our current and foreseeable operational needs.

BUSINESS

As of December 31, 2025, none of the properties leased or owned by us had a carrying amount of 15% or more of our consolidated total assets. Therefore, according to Chapter 5 of the Hong Kong Listing Rules and section 6(2) of the Companies (Exemption of Companies and Prospectuses from Compliance with Provisions) Notice (Cap. 32L of the Laws of Hong Kong), this document is exempted from compliance with the requirements of section 342(1)(b) of the Companies (Winding Up and Miscellaneous Provisions) Ordinance in relation to paragraph 34(2) of the Third Schedule to the Companies (Winding Up and Miscellaneous Provisions) Ordinance which requires a valuation report with respect to all our Group’s interests in land or buildings.

LICENSES AND PERMITS

We are subject to regular inspections, examinations and audits by local regulators and are required to maintain or renew the necessary permits, licenses and certificates for our business. During the Track Record Period and up to the Latest Practicable Date, we had obtained all requisite licenses, approvals and permits from relevant authorities that are material to our operations and such licenses, permits and certifications all remain in full effect. For details regarding the laws and regulations to which we are subject, see “Regulatory Overview.”

During the Track Record Period and up to the Latest Practicable Date, we had not experienced any material difficulty in obtaining or renewing the required licenses, permits, approvals, and certificates for our business operations. We do not expect there to be any material legal impediment in renewing these licenses, permits, approvals and certificates as they expire in the future as long as we are in compliance with applicable laws, regulations, and rules.

LEGAL PROCEEDINGS AND COMPLIANCE

Legal Proceedings

During the Track Record Period and up to the Latest Practicable Date, we had not been involved in any material legal or administrative proceedings that could materially impact our operations, financial position, growth prospects, or reputation. Like all companies in our industry, we may occasionally face routine claims or proceedings arising from normal business activities. For details, see “Risk Factors — Risks Relating to our Industry and Business — We are subject to risks relating to lawsuits, claims, disputes, regulatory investigations or administrative proceedings, which could adversely affect our business, financial condition, results of operations and prospects.”

Compliance

We maintain rigorous compliance with all applicable laws and regulations governing our operations. During the Track Record Period and up to the Latest Practicable Date, we had not been and were not involved in any material non-compliance incidents that led to fines, enforcement actions or other penalties that could, individually or in the aggregate, have a material adverse effect on our business, financial condition or results of operation.

BUSINESS

RISK MANAGEMENT AND INTERNAL CONTROL

Risk Management

We are exposed to various risks in our business operations, and we believe that risk management is important to our success. Our Directors oversee and manage the overall risks associated with our operations. We have prepared written terms of reference in compliance with Rule 3.21 of the Listing Rules and the Corporate Governance Code and Corporate Governance Report as set out in Appendix C1 to the Listing Rules.

To monitor the ongoing implementation of our risk management policies and corporate governance measures after the [REDACTED], we have adopted or will continue to adopt, among other things, the following risk management measures:

- establish an Audit Committee to review and supervise our financial reporting process and internal control system,
- adopt various policies to ensure compliance with the Listing Rules, including but not limited to aspects related to risk management, connected transactions and information disclosure,
- provide anti-corruption and anti-bribery compliance training periodically to our senior management and employees to enhance their knowledge and compliance with applicable laws and regulations; and
- attend training sessions by our Directors and senior management in respect of the relevant requirements of the Listing Rules and duties of directors of companies listed in Hong Kong.

We have formulated a series of anti-bribery compliance policy in accordance with the applicable laws and regulations as part of our internal control procedure. We have established an employee code of conduct, which covers anti-bribery compliance requirements in our business operations. Our employees involved in the accounting and finance function shall be alert to any suspicious transactions and are required to report such suspected violations identified. We also encourage all employees to report any suspicious violations in this area.

Internal Control

We engaged an independent internal control consultant to perform an assessment on the effectiveness of our internal controls, to identify deficiencies in our internal control system and to furnish recommendations on enhanced internal control measures. The work scope of our internal control consultant covered both company-level and process-level internal control assessments, including control environment, risk assessment, control activities, information and communication, monitoring, sales and accounts receivable management, procurement and accounts payable management, inventory management, production and cost control, human resources and compensation, fixed assets and intangible assets management, cash and treasury management, financial reporting and disclosure, insurance management, tax management, R&D management, and general IT controls.

BUSINESS

Financial Reporting Risk Management. We have in place a set of accounting policies in connection with our financial reporting risk management, such as financial report management policies, budget management policies and financial statements preparation policies. We also provide regular training to our finance department employees to ensure that they understand our financial management and accounting policies and implement them in our daily operations.

Legal Compliance Risk Management. We have designed and adopted strict internal procedures to ensure the compliance of our business operations with the relevant rules and regulations. We have streamlined the process of application, maintenance and renewal of our licenses, permits and approvals. We continuously review the implementation of our risk management policies and measures to ensure that our policies and implementation are effective and sufficient. In addition, we strengthen our legal and compliance risk management by monitoring legal updates, including updates on the interpretation of applicable laws and regulations by relevant regulatory authorities, and accordingly updating our internal protocols and procedures in a timely manner.

Human Resources Risk Management. We provide regular and specialized training tailored to the needs of our employees across different departments. We have in place an employee handbook approved by our management and distributed to all our employees, which contains internal rules and guidelines regarding commercial practice, work ethics, fraud prevention mechanism, negligence and corruption. We also provide employees with resources for explanation on guidelines contained in the employee handbook. We also have in place an anti-corruption policy to safeguard against corruption within our Company.

Information System Risk Management. Sufficient maintenance, storage and protection of consumer data and our business data are critical to our success. We have established relevant internal procedures and controls to ensure that user data is protected and that leakage and loss of such data are avoided. We also regularly update our policies regarding our information system and engage in proactive threat monitoring and incident response.

Quality Control and Product Safety Internal Control. We have implemented quality control measures to preserve the quality of our products. Our quality control team is responsible for formulating our quality control policies to ensure compliance with all applicable PRC laws and regulations. Our quality control process generally comprises: (i) quality control on product design and development; (ii) quality control on production management; and (iii) quality control on storage and transportation.

Internal Audit and Board Oversight. We have established an internal audit team to monitor the implementation of our risk management policies across our Company on an ongoing basis to ensure that our internal control system effectively identifies, manages and mitigates risks involved in our business operations. The internal audit team is responsible for supervising our internal audit functions.

CONNECTED TRANSACTION

During the Track Record Period, we entered into certain property lease agreements (the “**Property Lease Agreements**”) with Xianyang Huahan Optoelectronic Sealing Products Co., Ltd. (咸陽華漢光電密封製品有限公司) (“**Xianyang Huahan**”), a company controlled by Mr. QIN Weixing (our non-executive Director) and Mr. QIN Yansheng (the brother of Mr. QIN Weixing), who are members of our Single Largest Group of Shareholders. Pursuant to the Property Lease Agreements, we leased three premises with an aggregate floor area of approximately 3,559.2 sq.m. located at the Northern Section of Xili Road, High-Tech Zone, Xianyang City, Shaanxi Province, the PRC, for R&D, manufacturing and office use. Such Property Lease Agreements have terms of up to approximately five years, expiring between January and July 2029. The Property Lease Agreements were entered into (i) on arm’s length basis, and (ii) on normal commercial terms with the fees being determined with reference to the prevailing market rates for similar properties in surrounding areas and the leased acreage for the properties leased.

The balance of the lease liabilities, being the present value of the lease payments recognized by our Group in relation to the Property Lease Agreements according to IFRS16 as of December 31, 2025 amounted to RMB3.6 million. For the years ended December 31, 2023, 2024 and 2025, the right-of-use assets in connection with the Property Lease Agreements were approximately RMB1.9 million, RMB4.2 million and RMB3.4 million, respectively.

We have leased the relevant premises from Xianyang Huahan during the Track Record Period. Over time, we have made certain leasehold improvements and facility configurations at such premises to facilitate our daily operations. While comparable alternative properties are readily available in the market and the transaction amounts under the Property Lease Agreements are immaterial, continuing our existing leases allows us to optimize our historical investments. Furthermore, renewing the leases with Xianyang Huahan is a commercially prudent decision that avoids unnecessary relocation expenses, time costs, and administrative efforts associated with identifying new premises and negotiating new leases with Independent Third Parties. Although we are fully capable of relocating to alternative premises without material adverse impact on our business, maintaining the current arrangements ensures seamless operational continuity.

Having considered the above factors, our Directors (including our independent non-executive Directors) are of the view that the transactions contemplated under the Property Lease Agreements have been entered into in the ordinary and usual course of business of our Group, are on normal commercial terms or better, and are fair and reasonable and in the interests of our Company and our Shareholders as a whole.

In accordance with IFRS 16, we have recognized right-of-use assets in respect of the Property Lease Agreements on our consolidated statement of financial position. Accordingly, the transactions constitute one-off acquisitions of capital assets, rather than continuing connected transactions under Chapter 14A of the Listing Rules, and are therefore exempt from the reporting, announcement, annual review, and independent shareholders’ approval requirements.

SHARE CAPITAL

OVERVIEW

Before the [REDACTED]

As of the Latest Practicable Date, the total issued share capital of our Company was RMB85,947,726, comprising 85,947,726 A Shares (including 275,169 A Shares held by our Company as treasury Shares) of nominal value of RMB1.00 each, which are all listed on the SSE STAR Market.

<u>Description of Shares</u>	<u>Number of Shares</u>	<u>Percentage of total issued share capital of our Company</u>
A Shares	85,947,726 ⁽¹⁾	100%
Total	85,947,726	100%

Note:

(1) Including 275,169 A Shares held by our Company as treasury Shares as of the Latest Practicable Date.

Upon Completion of the [REDACTED]

Immediately following the completion of the [REDACTED], the share capital of our Company will be as follows:

<u>Description of Shares</u>	<u>Number of Shares</u>	<u>Percentage of total issued share capital of our Company</u>
A Shares	85,947,726 ⁽¹⁾	[REDACTED]%
H Shares to be issued pursuant to the [REDACTED]	[REDACTED]	[REDACTED]%
Total	[REDACTED]	100%

Note:

(1) Including 275,169 A Shares held by our Company as treasury Shares as of the Latest Practicable Date.

Immediately following the completion of the [REDACTED], assuming that the [REDACTED] is fully exercised, the share capital of our Company will be as follows:

<u>Description of Shares</u>	<u>Number of Shares</u>	<u>Percentage of total issued share capital of our Company</u>
A Shares	85,947,726 ⁽¹⁾	[REDACTED]%
H Shares to be issued pursuant to the [REDACTED]	[REDACTED]	[REDACTED]%
Total	[REDACTED]	100%

SHARE CAPITAL

Note:

- (1) Including 275,169 A Shares held by our Company as treasury Shares as of the Latest Practicable Date.

Our Shares

Our H Shares in issue upon completion of the [REDACTED], and our A Shares, are ordinary Shares in our share capital and are considered as one class of Shares. Shanghai-Hong Kong Stock Connect has established a stock connect mechanism between Chinese mainland and Hong Kong. Our A Shares can be subscribed for and traded by Chinese mainland investors, qualified foreign institutional investors or qualified foreign strategic investors and must be traded in Renminbi. As our A Shares are eligible securities under the Northbound Trading Link, they can also be subscribed for and traded by Hong Kong and other overseas investors pursuant to the rules and limits of Shanghai-Hong Kong Stock Connect. Our H Shares can be [REDACTED] by Hong Kong and other overseas [REDACTED] and qualified domestic institutional [REDACTED]. If our H Shares are eligible securities under the Southbound Trading Link, they can also be [REDACTED] by Chinese mainland [REDACTED] in accordance with the rules and limits of Shanghai-Hong Kong Stock Connect or Shanghai-Hong Kong Stock Connect.

As of the Latest Practicable Date, 275,169 A Shares were held by our Company as treasury Shares, which shall be used by our Company in connection with employee equity incentive plans of our Company. These A Shares were repurchased by our Company during the period from February 7, 2024 to February 6, 2025. Pursuant to the applicable PRC laws and regulations, if such 275,169 A Shares are not utilized within three years from the announcement of the repurchase results and changes in our share capital, all of such unutilized A Shares shall be cancelled. Upon adoption of any employee equity incentive plans of our Company which will be funded by such 275,169 A Shares after [REDACTED], such 275,169 A Shares may be transferred out of treasury for the purpose of and pursuant to such share scheme(s) of our Company and our Company will comply with applicable requirements under Rule 19A.39E of the Listing Rules as and when appropriate and required.

Ranking

Our H Shares and our A Shares are regarded as one class of Shares under our Articles of Association and will rank *pari passu* with each other in all other respects and, in particular, will rank equally for all dividends or distributions declared, paid or made after the date of this document. All dividends in respect of our H Shares are to be paid by us in Hong Kong dollars whereas all dividends in respect of our A Shares are to be paid by us in Renminbi. In addition to cash, dividends may also be distributed in the form of Shares. Holders of our H Shares will receive share dividends in the form of H Shares, and holders of our A Shares will receive share dividends in the form of A Shares.

No Conversion of Our A Shares into H Shares for [REDACTED] and [REDACTED] on the Hong Kong Stock Exchange

Our A Shares and our H Shares are generally neither interchangeable nor fungible, and the market prices of our A Shares and our H Shares may be different after the [REDACTED]. The Guidelines on Application for “Full Circulation” of Domestic Unlisted Shares of H-share Companies (《H股公司境内未上市股份申请「全流通」业务指引》) announced by the CSRC are not applicable to companies dual listed in the PRC and on the Hong Kong Stock Exchange. As of the Latest Practicable Date, there were no relevant rules or guidelines from the CSRC providing that A Shareholders may convert A shares held by them into H shares for [REDACTED] on the Hong Kong Stock Exchange.

SHARE CAPITAL

Approval from Holders of A Shares Regarding the [REDACTED]

Approval from holders of A Shares is required for our Company to issue H Shares and seek the [REDACTED] of H Shares on the Hong Kong Stock Exchange. Such approval was obtained by us at the Shareholders’ general meeting of our Company held on March 23, 2026 and is subject to the following major conditions:

- (i) *Size of the [REDACTED]*. The proposed number of H Shares to be [REDACTED] shall not exceed 10% of the total issued share capital enlarged by the H Shares to be [REDACTED] pursuant to the [REDACTED] (before the exercise of the [REDACTED]). The number of H Shares to be [REDACTED] pursuant to the full exercise of the [REDACTED] shall not exceed 15% of the total number of H Shares to be [REDACTED] initially under the [REDACTED].
- (ii) *Method of [REDACTED]*. The method of [REDACTED] shall be by way of an [REDACTED] and a public [REDACTED] for [REDACTED] in Hong Kong.
- (iii) *Target [REDACTED]*. The H Shares shall be issued to [REDACTED] in Hong Kong under the [REDACTED] and international [REDACTED], qualified domestic institutional [REDACTED] in Chinese mainland and other [REDACTED] who are approved by regulatory bodies in Chinese mainland to [REDACTED] abroad in [REDACTED].
- (iv) *[REDACTED] basis*. The [REDACTED] of the H Shares will be determined by the Board and its authorized person with the authorization of the Shareholders’ general meetings, together with the [REDACTED], after full consideration of the interests of existing Shareholders and the conditions of domestic and international capital markets conditions with reference to the international practices and through demands for orders and book-building process using a market-oriented pricing method.
- (v) *Validity period*. The [REDACTED] of H Shares on the Stock Exchange shall be completed within 24 months from the date of the Shareholders’ meeting held on March 23, 2026. If the Company obtains the requisite regulatory approvals within this period, the validity period will be automatically extended to the completion date of the [REDACTED] or the expiration of the [REDACTED], whichever is later.

There are no other approved [REDACTED] plans for our Shares except the [REDACTED].

Shareholders’ General Meetings

For details of circumstance under which our shareholders’ general meeting is required, see “Summary of Articles of Association — Shareholders and Shareholders’ Meetings” in Appendix III to this document.

RELATIONSHIP WITH OUR SINGLE LARGEST GROUP OF SHAREHOLDERS

OVERVIEW

As of the Latest Practicable Date, (i) Dr. Zhang directly held 10,575,438 A Shares and controlled the voting rights attaching to 1,260,000 A Shares held by Xinxin Juyuan, our incentive platform, by serving as its general partner; (ii) Mr. QIN Weixing, a non-executive Director, directly held 4,478,859 A Shares; (iii) Mr. QIN Yansheng, the brother of Mr. QIN Weixing, directly held 4,604,859 A Shares; and (iv) Ms. Zhang, the sister of Dr. Zhang and a non-executive Director, directly held 2,944,053 A Shares.

Pursuant to the Concert Party Agreement, Ms. Zhang, Mr. QIN Weixing, and Mr. QIN Yansheng have agreed to align their votes with Dr. Zhang at our Board meetings and/or Shareholders’ meetings, details of which are set out in “History, Development and Corporate Structure — Concert Party Agreement.” As a result, Dr. Zhang, together with Ms. Zhang, Mr. QIN Weixing, Mr. QIN Yansheng and Xinxin Juyuan, constituted the Single Largest Group of Shareholders of our Company, who collectively held approximately 27.76% of the total issued share capital of our Company (including the 275,169 A Shares held by our Company as treasury Shares as of the Latest Practicable Date) and were entitled to exercise, or control the exercise of, the voting rights attaching to approximately 27.85% of our total issued shares as of the Latest Practicable Date (excluding the 275,169 A Shares held by our Company as treasury Shares as of the Latest Practicable Date). For further details of the treasury Shares, see “Share Capital — Our Shares” section in this document.

Immediately following completion of the [REDACTED] and assuming the [REDACTED] is not exercised and there are no changes in our share capital from the Latest Practicable Date to the [REDACTED], Dr. Zhang, Ms. Zhang, Mr. QIN Weixing, Mr. QIN Yansheng and Xinxin Juyuan will collectively control approximately [REDACTED]% of voting rights in our Company (excluding the 275,169 A Shares held by our Company as treasury Shares as of the Latest Practicable Date). Therefore, Dr. ZHANG, Ms. Zhang, Mr. QIN Weixing, Mr. QIN Yansheng and Xinxin Juyuan will continue being our Single Largest Group of Shareholders upon the [REDACTED].

COMPETITION

Our Single Largest Group of Shareholders confirm that as of the Latest Practicable Date, they did not have any interest in a business, apart from the business of our Group, which competes or is likely to compete, directly or indirectly, with our business that would require disclosure under Rule 8.10 of the Listing Rules.

INDEPENDENCE OF OUR BUSINESS

We believe that we are capable of carrying on our business independently from the Single Largest Group of Shareholders and/or their respective close associates upon the [REDACTED] for the following principal reasons:

Management Independence

Our business is managed and conducted by our Board and senior management. Upon the [REDACTED], our Board will consist of nine Directors comprising three executive Directors, two non-executive Director and four independent non-executive Directors. For more information, please see the section headed “Directors and Senior Management.”

RELATIONSHIP WITH OUR SINGLE LARGEST GROUP OF SHAREHOLDERS

Dr. Zhang is the chairman of our Board, an executive Director and the general manager of our Company and both of Ms. Zhang and Mr. QIN Weixing serve as our non-executive Directors. Notwithstanding their roles in our Board and senior management (where applicable), our Directors believe that our Company is capable of maintaining management independence due to the following reasons:

- (i) our Directors are aware of their fiduciary duties as a director, which require, among other things, that they act for the benefits and in the interests of our Company and all our Shareholders as a whole and do not allow any conflict between their duties as a Director and their personal interests;
- (ii) our daily management and operations are carried out by a senior management team, all of whom have substantial experience in the industry in which our Company is engaged, and will therefore be able to make business decisions that are in the best interests of our Group;
- (iii) our Board acts collectively by majority vote in accordance with our Articles of Association and applicable laws and regulations, and no single Director is able to make any decisions unless authorized by the Board;
- (iv) our Board has a balanced composition of executive, non-executive and independent non-executive Directors, which ensures the independence of the Board in making decisions affecting our Company. Our independent non-executive Directors account for more than one-third of the Board, and do not and will not take up any position within our Single Largest Group of Shareholders. All of our four independent non-executive Directors are independent from our Single Largest Group of Shareholders and have extensive experience in their respective areas of expertise. For details, see “Directors and Senior Management.” All independent non-executive Directors are appointed in accordance with the requirements under the Listing Rules, and certain matters of our Company must always be referred to the independent non-executive Directors for review, ensuring the decisions of the Board are made only after the due consideration of independent and impartial opinions;
- (v) in the event that there is a potential conflict of interest arising out of any transaction to be entered into between our Group and any member of our Single Largest Group of Shareholders or their respective associates, the interested Director(s) is required to declare the nature of such interest before voting at the relevant Board meetings of our Company in respect of such transactions and will abstain from voting at the relevant meeting in accordance with the Listing Rules; and
- (vi) as a A-share listed company, we have adopted a comprehensive internal control and management system in compliance with the relevant requirements of the rules of the Shanghai Stock Exchange to manage conflicts of interest, if any, between our Group and our Single Largest Group of Shareholders, which would support our independent management. Please see “— Corporate Governance Measures” in this section for further information.

Based on the above, our Directors believe that our Company has sufficient and effective control mechanisms to ensure that our Directors perform their respective duties properly and safeguard the interests of our Company and our Shareholders as a whole. Our Board together with our senior management team, therefore, are able to perform the managerial role in our Group independently.

RELATIONSHIP WITH OUR SINGLE LARGEST GROUP OF SHAREHOLDERS

Operational Independence

We are in possession of all technologies relating to our Group’s business all requisite qualifications and approvals for conducting all our business. Currently, we engage in our Group’s business independently, with the independent right to make operational decisions and implement such decisions.

We have independent access to customers and suppliers and, therefore, are not dependent on our Single Largest Group of Shareholders for any significant amount of our revenue, R&D, staffing or marketing and sales activities, and we have sufficient capital, equipment and employees to operate our business independently from our Single Largest Group of Shareholders. While certain properties used in our operations are currently leased from our Single Largest Group of Shareholders, details of which are set out in “Connected Transaction.”, such leasing arrangements were entered into on normal commercial terms after arm’s length negotiations and do not adversely impact our operational dependence.

We have an established and complete organizational structure comprising various separate departments, each charged with specific responsibilities, such as staffing, administration, finance, internal audit, R&D, sales and marketing, or company secretarial functions. These departments have been in operation and are expected to continue to operate separately and independently from our Single Largest Group of Shareholders and their close associates. We also maintain a set of comprehensive internal control procedures to facilitate the effective operation of our business.

Based on the above, our Directors believe that we are capable of and will continue, operating independently of our Single Largest Group of Shareholders.

Financial Independence

Our Company has established its own finance department with a team of independent financial staff responsible for discharging treasury, accounting, reporting, group credit and internal control functions independently from our Single Largest Group of Shareholders and their respective close associates, as well as a sound and independent financial system, and makes independent financial decisions according to our own business needs. Our Company maintains bank accounts independently and does not share any bank account with our Single Largest Group of Shareholders. Our Company makes tax registration and pays tax independently with its own funds. As such, our Company’s financial functions, such as cash and accounting management, invoices and bills, operate independently from our Single Largest Group of Shareholders and their respective close associates.

As of the Latest Practicable Date, there were no outstanding loans or guarantees provided by, or granted to, our Single Largest Group of Shareholders or their respective close associates.

Based on the above, our Directors are of the view that they, together with our senior management are capable of carrying on our business independently of, and do not place undue reliance on, our Single Largest Group of Shareholders or their respective close associates.

RELATIONSHIP WITH OUR SINGLE LARGEST GROUP OF SHAREHOLDERS

CORPORATE GOVERNANCE MEASURES

Our Company and our Directors are committed to upholding and implementing the highest standards of corporate governance and recognize the importance of protecting the rights and interests of all Shareholders, including those of our minority Shareholders.

We have adopted the following measures to ensure good corporate governance standards and to avoid potential conflicts of interest between our Group and our Single Largest Group of Shareholders:

- (i) under the Articles of Association, where our Company has knowledge that any Shareholder is, under the Listing Rules, required to abstain from voting on any particular resolution of our Company or restricted to vote only for or only against any particular resolution of our Company, any votes cast by or on behalf of such Shareholder in contravention of such requirement or restriction shall not be counted;
- (ii) our Company has established internal control mechanisms to identify connected transactions. Upon the [REDACTED], if our Company enters into connected transactions with our Single Largest Group of Shareholders or any of their respective close associates, our Company will comply with the applicable Listing Rules;
- (iii) our Board will consist of a balanced composition, including not less than one-third of independent non-executive Directors, to ensure that our Board is able to effectively exercise independent judgment in its decision-making process and provide independent advice to our Shareholders. Our independent non-executive Directors, individually and collectively, possess the requisite knowledge and experience. They are committed to providing experienced and professional advice to protect the interests of our minority Shareholders;
- (iv) our independent non-executive Directors will review, on an annual basis, whether there are any conflicts of interest between our Group and our Single Largest Group of Shareholders and provide impartial and professional advice to protect the interests of our minority Shareholders;
- (v) our Single Largest Group of Shareholders will provide our independent non-executive Directors with all relevant financial, operational and market and any other necessary information as required by the independent non-executive Directors for the purpose of their annual review;
- (vi) our Company will disclose decisions on matters reviewed by the independent non-executive Directors either in its interim and/or annual reports or by way of announcements as required by the Listing Rules;
- (vii) where our Directors reasonably request the advice of independent professionals, such as financial advisors, the appointment of such independent professionals will be made at our Company’s expense;
- (viii) we have appointed Maxa Capital Limited as our Compliance Advisor to provide advice and guidance to us in respect of compliance with the applicable laws and regulations, as well as the Listing Rules, including various requirements relating to corporate governance; and

RELATIONSHIP WITH OUR SINGLE LARGEST GROUP OF SHAREHOLDERS

- (ix) we have established the Audit Committee, the Nomination Committee, the Remuneration and Appraisal Committee and the Strategy and ESG Committee with written terms of reference in compliance with the Listing Rules and the Code on Corporate Governance and Corporate Governance Report in Appendix C1 to the Listing Rules.

Based on the above, our Directors are satisfied that sufficient corporate governance measures have been put in place to manage conflicts of interest that may arise between our Group and our Single Largest Group of Shareholders, and to protect our minority Shareholders’ interests after the [REDACTED].

SUBSTANTIAL SHAREHOLDERS

So far as our Directors are aware, immediately following completion of the [REDACTED] and assuming the [REDACTED] is not exercised and no other changes are made to the issued share capital of our Company from the Latest Practicable Date to the [REDACTED], the following persons will have interests or short positions (if applicable) in the Shares or underlying Shares, which would be required to be disclosed to our Company and the Stock Exchange pursuant to the provisions in Divisions 2 and 3 of Part XV of the SFO, or be interested, directly or indirectly, in 10% or more of the nominal value of any class, or be interested, directly or indirectly, in 10% or more of the nominal value of any class of share capital carrying rights to vote in all circumstances at Shareholders’ general meetings of our Company:

Name of substantial Shareholders	Nature of interest	Description of Shares	Number of Shares	Approximate % of shareholding in our total issued share capital as of the Latest Practicable Date	Approximate % of shareholding in our A shares immediately after the [REDACTED]	Approximate % of shareholding in our total issued share capital immediately after the [REDACTED]
Dr. Zhang	Beneficial owner ⁽¹⁾	A Shares	10,594,158	12.33%	[12.33]%	[REDACTED]%
	Interest of person acting in concert ⁽²⁾	A Shares	12,027,771	13.99%	[13.99]%	[REDACTED]%
	Interest of a controlled corporation ⁽³⁾	A Shares	1,260,000	1.47%	[1.47]%	[REDACTED]%
Mr. QIN Yansheng	Beneficial owner	A Shares	4,604,859	5.36%	[5.36]%	[REDACTED]%
	Interest of person acting in concert ⁽²⁾	A Shares	19,258,350	22.41%	[22.41]%	[REDACTED]%
Mr. QIN Weixing	Beneficial owner	A Shares	4,478,859	5.21%	[5.21]%	[REDACTED]%
	Interest of person acting in concert ⁽²⁾	A Shares	19,384,350	22.55%	[22.55]%	[REDACTED]%
Ms. Zhang	Beneficial owner	A Shares	2,944,053	3.43%	[3.43]%	[REDACTED]%
	Interest of person acting in concert ⁽²⁾	A Shares	20,862,996	24.27%	[24.27]%	[REDACTED]%

Notes:

- (1) Including (i) a total of 10,575,438 A Shares directly held by him and (ii) 18,720 A Shares underlying the Restricted Shares that have been granted yet unvested under the 2024 Restricted Share Incentive Scheme as of the Latest Practicable Date.
- (2) Pursuant to the Concert Party Agreement, Dr. Zhang, Mr. QIN Yansheng, Mr. QIN Weixing and Ms. Zhang are the persons acting in concert. Therefore, each of Dr. Zhang, Mr. QIN Yansheng, Mr. QIN Weixing and Ms. Zhang is deemed to be interested in the A Shares held by each other under the SFO.
- (3) Dr. Zhang is the general partner of Xinxin Juyuan, our incentive platform, with 6.21% partnership interest held. Therefore, Dr. Zhang is deemed to be interested in the 1,260,000 A Shares directly held by Xinxin Juyuan under the SFO.

DIRECTORS AND SENIOR MANAGEMENT

BOARD OF DIRECTORS

Upon the [REDACTED], our Board will consist of nine Directors, comprising three executive Directors, two non-executive Directors and four independent non-executive Directors. Pursuant to the Articles of Association, our Directors are elected and appointed by the Shareholders for a term of three years and are eligible for re-election upon expiry of their terms of office.

The following table sets forth the key information about our Directors as of the Latest Practicable Date.

Name	Age ¹	Positions	Time of joining our Group	Time of appointment as a Director	Roles and responsibilities
Dr. ZHANG XINGANG ²	[56]	Chairperson of the Board, executive Director and general manager	Founder	Founder	Providing strategic leadership and oversight of the management of the business strategy, corporate development and research and development of our Group
Mr. CHENG Shuo (程碩)	[39]	Executive Director, deputy general manager and Board secretary	December 2020	January 2024	Overseeing capital market operations, investor relations, corporate governance and information disclosure of our Group
Mr. WANG Yuxi (王昱璽)	[36]	Executive Director, deputy general manager and manager of the chip business unit	July 2013	September 2024	Overseeing the overall management of our chip business unit and production operations of our Group
Ms. ZHANG Xinying (張欣穎) ²	[53]	Non-executive Director	January 2013	September 2016	Overseeing the management and strategic development of the Group
Mr. QIN Weixing (秦衛星)	[56]	Non-executive Director	September 2015	September 2015	Overseeing the management and strategic development of the Group
Dr. ZHANG Hai (張海)	[59]	Independent non-executive Director	January 2024	January 2024	Supervising and providing independent opinion and judgment to the Board
Dr. WANG Luping (王魯平)	[63]	Independent non-executive Director	December 2020	December 2020	Supervising and providing independent opinion and judgment to the Board
Dr. LI Xiaoming (李曉鳴)	[45]	Independent non-executive Director	April 2025	April 2025	Supervising and providing independent opinion and judgment to the Board
Mr. RUAN Tim (阮添士)	[40]	Independent non-executive Director	March 2026 ⁽³⁾	March 2026 ⁽³⁾	Supervising and providing independent opinion and judgment to the Board

DIRECTORS AND SENIOR MANAGEMENT

Notes:

1. Ages are calculated based on the year of birth.
2. Ms. ZHANG Xinying is the sister of Dr. ZHANG XINGANG.
3. With effect from the [REDACTED] or such earlier date as required by the regulatory authorities.

Executive Directors

Dr. ZHANG XINGANG, aged [56], is the founder, the chairperson of our Board, an executive Director and the general manager of our Company. In March 2026, Dr. Zhang was re-designated as our executive Director. He is primarily responsible for providing strategic leadership and oversight of the management of the business strategy, corporate development and research and development of our Group.

Dr. Zhang possesses extensive experience in the semiconductor and optical chip industries, with a focus on research and development management and technological innovation, and has made significant contributions to the technological advancement and commercial development of our Company. Prior to founding and joining our Group, he served as the R&D director at Source Photonics Inc., a leading global provider of advanced technology solutions for communications and data connectivity. Source Photonics Inc. was formed through the merger of Fiberxon Inc. and LuminentOIC (an entity renamed after the acquisition of OIC by Luminent Inc).

Dr. Zhang obtained a bachelor’s degree in materials science and engineering from Tsinghua University (清華大學) in the PRC in July 1993 and later obtained both his master’s degree and Ph.D. in materials science from the University of Southern California in the United States in September 1997 and January 2001, respectively.

Mr. CHENG Shuo (程碩), aged [39], is an executive Director, deputy general manager, Board secretary and one of our joint company secretaries. He joined our Group in December 2020 and was appointed as the Board secretary with effect from March 2021. He was subsequently appointed as a Director and deputy general manager in January 2024 and was elected as an employee representative Director by our employee representative meeting in December 2025. In March 2026, Mr. Cheng was re-designated as our executive Director. He is primarily responsible for overseeing capital market operations, investor relations, corporate governance and information disclosure of our Group.

Mr. Cheng has extensive experience in corporate management. Between 2012 and 2016, he worked at several companies, including Lenovo (Beijing) Limited (聯想(北京)有限公司), a subsidiary of Lenovo Group Limited (stock code: 992.HK), Huawei Technologies Co., Ltd. (華為技術有限公司) and NewBornTown Network Technology (Beijing) Co., Ltd. (赤子城網絡技術(北京)有限公司), a wholly-owned subsidiary of Newborn Town Inc. (stock code: 9911.HK). Mr. Cheng subsequently transitioned to the financial sector, focusing on equity research in the telecommunications industry. He worked at Southwest Securities Co., Ltd. (西南證券股份有限公司) (stock code: 600369.SH) from 2017 to 2019 and at Guotai Junan Securities Co., Ltd. (國泰君安證券股份有限公司) (currently known as Guotai Haitong Securities Co., Ltd. (國泰海通證券股份有限公司), stock codes: 601211.SH and 2611.HK) as a lead analyst from 2019 until joining our Group.

Mr. Cheng obtained a bachelor’s degree in telecommunications engineering and management from Beijing University of Posts and Telecommunications (北京郵電大學) in the PRC in June 2010 and a master’s degree in broadband communications from University College London in the United Kingdom in October 2011.

DIRECTORS AND SENIOR MANAGEMENT

Mr. WANG Yuxi (王昱璽), aged [36], is an executive Director, deputy general manager and manager of the chip business unit of our Company. Mr. Wang joined our Group in July 2013 and was appointed as a deputy general manager and a Director in August 2024 and September 2024, respectively. Mr. Wang was further re-designated as an executive Director in March 2026. He is primarily responsible for overseeing the overall management of chip business unit and production operations of our Group.

Mr. Wang has over 12 years of experience in the semiconductor industry, specializing in process engineering and production management. Since joining our Group as a production process engineer in July 2013, Mr. Wang has held various positions with increasing responsibilities. He served as the head of the chip testing section from July 2015 to June 2016 and the manager of the chip fabrication from July 2016 to June 2019. From July 2019 to May 2021, he served as the head of the marketing department and the field application engineering (FAE) manager. He was subsequently promoted to the manager of the chip business unit in June 2021.

Mr. Wang obtained a bachelor's degree in physics and a bachelor's degree in electrical engineering and automation from Shandong University of Technology (山東理工大學) in the PRC in July 2013.

Non-Executive Directors

Ms. ZHANG Xinying (張欣穎), aged [53], is a non-executive Director of our Company. She is primarily responsible for overseeing the management and strategic development of the Group.

Prior to her current role in our Group, Ms. Zhang served as a teacher at Xianyang High-tech No. 1 Middle School (咸陽市高新一中) from September 1997 to February 2023.

Ms. Zhang obtained a bachelor's degree in Chinese Language and Literature from Xianyang Normal University (咸陽師範學院) in the PRC in January 2009.

Mr. QIN Weixing (秦衛星), aged [56], is a non-executive Director of our Company. He joined our Group in September 2015 and has been serving as a Director since then and was re-designated as a non-executive Director in March 2026. He is primarily responsible for overseeing the management and strategic development of the Group.

From August 2005 to January 2022, Mr. Qin served as a supervisor of Xianyang Quintai Rubber Technology Co., Ltd. (咸陽秦泰橡膠科技有限公司). He served as the executive director and general manager of Xianyang Huahan Optoelectronic Sealing Products Co., Ltd. (咸陽華漢光電密封製品有限公司) from September 2011 to July 2025, and has been serving as the executive director and deputy general manager of the company since July 2025. In addition, Mr. Qin has served as the executive director and general manager of Hainan Fengshangqing Investment Co., Ltd. (海南峰尚清投資有限公司) since April 2023.

Mr. Qin obtained a diploma in rubber processing technology from Hualin Workers' Rubber College (樺林職工橡膠學院) in the PRC in June 1989.

Independent Non-Executive Directors

Dr. ZHANG Hai (張海), aged [59], is an independent non-executive Director of our Company. Dr. Zhang joined in our Group in January 2024 as an independent Director and was later re-designated as an independent non-executive Director in March 2026. He is primarily responsible for supervising and providing independent opinion and judgment to the Board.

DIRECTORS AND SENIOR MANAGEMENT

Dr. Zhang served as an IT engineer at Quest Software Inc., a leading enterprise in technology and solutions that build the foundation for enterprise AI, from October 2000 to June 2003. Dr. Zhang has been serving at the Department of Energy and Power Engineering of Tsinghua University (清華大學) since August 2003, successively serving as a lecturer, an associate professor, and a professor since December 2010.

Dr. Zhang obtained a bachelor’s degree and a master’s degree in thermal engineering from Tsinghua University (清華大學) in the PRC in June 1988 and June 1993, respectively. He subsequently obtained a Ph.D. in mechanical engineering in August 1999 and a master’s degree in electrical engineering in August 1999 from the University of Southern California in the United States.

Dr. WANG Luping (王魯平), aged [63], is an independent non-executive Director of our Company. Dr. Wang joined in our Group in December 2020 as an independent Director and was then re-designated as an independent non-executive Director in March 2026. He is primarily responsible for supervising and providing independent opinion and judgment to the Board.

Dr. Wang has been working at the School of Management of Xi’an Jiaotong University (西安交通大學管理學院) since June 1992, primarily engaged in teaching and research in the field of accounting. He initially served as a lecturer from June 1992 and was promoted to associate professor in July 1996. In addition to his academic tenure, Dr. Wang accumulated the experiences as an independent Director in several listed companies, including: (i) Caihong Display Devices Co., Ltd. (彩虹顯示器件股份有限公司) (stock code: 600707.SH) from May 2020 to December 2023; and (ii) Shaanxi Construction Machinery Co., Ltd. (陝西建設機械股份有限公司) (stock code: 600984.SH) since February 2024.

Dr. Wang obtained a bachelor’s degree in hydraulic transmission and control in July 1985, a master’s degree in technical economics in April 1999, and a Ph.D. in management science (finance and accounting track) in December 2006, all from Xi’an Jiaotong University (西安交通大學) in the PRC.

Dr. LI Xiaoming (李曉鳴), aged [45], is an independent non-executive Director of our Company. Dr. Li joined in our Group in April 2025 as an independent Director and was then re-designated as an independent non-executive Director in March 2026. She is primarily responsible for supervising and providing independent opinion and judgment to the Board.

Dr. Li has been serving as a lecturer at the School of Law of Xi’an Jiaotong University (西安交通大學) since October 2012 and has been serving as a professor since January 2024. She also previously served as a postdoctoral researcher in business administration at the School of Management of Xi’an Jiaotong University from October 2012 to December 2016. From December 2015 to December 2016, she served as a visiting scholar at the Indiana University Robert H. McKinney School of Law, where she subsequently served as a visiting professor from August to October 2017. From June to August 2019, she served as a research professor at the Faculty of Law of the Autonomous University of Barcelona. In addition to her academic tenure, Dr. Li has been a practicing lawyer. Previously, she served as a part-time lawyer at Shaanxi Handian Law Firm (陝西漢典律師事務所) from December 2011 to June 2018 and at Guangdong Xinda (Xi’an) Law Firm (廣東信達(西安)律師事務所) from June 2018 to August 2023. She is currently a part-time lawyer at Guizhou Guida (Xi’an) Law Firm (貴州貴達(西安)律師事務所), a position she has held since August 2023.

Dr. Li obtained a bachelor’s degree in law in July 2002, a master’s degree in law in June 2006, and a Ph.D. in law in June 2012, all from Xi’an Jiaotong University (西安交通大學) in the PRC.

DIRECTORS AND SENIOR MANAGEMENT

Mr. RUAN Tim (阮添士), aged [40], was appointed as our independent (non-executive) Director in March 2026. He is primarily responsible for supervising and providing independent opinion and judgment to the Board.

Currently, Mr. Ruan has been serving as the chief financial officer and one of the joint company secretaries of Ocumension Therapeutics (stock code: 1477.HK) since January 2023 and September 2023, respectively, responsible for financial management and investor relations. Previously, he served as an executive director of the corporate finance department of Goldman Sachs (Asia) L.L.C. from November 2020 to January 2023, primarily responsible for affairs in debt and equity capital markets and M&A. From January 2018 to November 2020, he served as a vice president of the investment banking division of Morgan Stanley Asia Limited. From February 2016 to December 2017, he acted as an associate within the investment banking division of Nomura International (Hong Kong) Limited. From September 2013 to January 2016, he served as associate at Sullivan & Cromwell LLP.

Mr. Ruan graduated from The Hong Kong University of Science and Technology in November 2021 with a master’s degree of science, majoring in biotechnology. He graduated from The University of New South Wales in May 2010 with bachelor’s degree of laws and bachelor’s degree of commerce majoring in finance.

SENIOR MANAGEMENT

Our senior management is responsible for the day-to-day management of our business. The following table sets forth the key information about our senior management as of the Latest Practicable Date.

Name	Age*	Positions	Time of joining our Group	Time of appointment as senior management	Roles and responsibilities
Dr. ZHANG XINGANG	[56]	Chairperson of the Board, executive Director and general manager	Founder	Founder	Providing strategic leadership and oversight of the management of the business strategy, corporate development and research and development of our Group
Mr. CHENG Shuo (程碩)	[39]	Executive Director, deputy general manager and Board secretary	December 2020	March 2021	Overseeing capital market operations, investor relations, corporate governance and information disclosure of our Group
Mr. WANG Yuxi (王昱璽)	[36]	Executive Director, deputy general manager and manager of the chip business unit	July 2013	August 2024	Overseeing the overall management of chip business unit and production operations of our Group
Dr. PAN YEN-TING (潘彥廷)	[48]	Deputy general manager	March 2015	December 2020	Overseeing the product R&D and engineering management of our Group

DIRECTORS AND SENIOR MANAGEMENT

<u>Name</u>	<u>Age*</u>	<u>Positions</u>	<u>Time of joining our Group</u>	<u>Time of appointment as senior management</u>	<u>Roles and responsibilities</u>
Mr. CHEN Wenjun (陳文君)	[45]	Deputy general manager	May 2021	May 2021	Overseeing the product sales and marketing of our Group
Mr. CHEN Zhenhua (陳振華)	[44]	Deputy general manager and finance director	February 2021	March 2021	Overseeing the overall financial affairs of our Group

Note: Ages are calculated based on the year of birth.

Dr. ZHANG XINGANG, aged [56], is the founder, the chairperson of our Board, an executive Director and the general manager of our Company. For his biography, see “— Board of Directors — Executive Directors” in this section.

Mr. CHENG Shuo (程碩), aged [39], is an executive Director, deputy general manager, Board secretary and one of our joint company secretaries. For his biography, see “— Board of Directors — Executive Directors” in this section.

Mr. WANG Yuxi (王昱璽) aged [36], is an executive Director, deputy general manager and manager of the chip business unit of our Company. For his biography, see “— Board of Directors — Executive Directors” in this section.

Dr. PAN YEN-TING (潘彥廷), aged [48], is the deputy general manager of our Company. He joined our Company in March 2015 and has been serving as a deputy general manager since December 2020. Currently, he is primarily responsible for overseeing the product R&D and engineering management of our Group.

Prior to joining our Company, Dr. Pan completed his postdoctoral research at National Taiwan University of Science and Technology (國立台灣科技大學) from December 2008 to July 2012. He served as a research and development engineer at Source Photonics Holdings Limited (索爾思光電股份有限公司) from August 2012 to March 2015.

Dr. Pan obtained a bachelor’s degree in electrical engineering from National Taiwan Ocean University (國立台灣海洋大學) in June 2001 and further obtained his master’s degree and Ph.D. in electronic engineering from National Taiwan University of Science and Technology (國立台灣科技大學) in June 2003 and November 2008, respectively.

Mr. CHEN Wenjun (陳文君), aged [45], is the deputy general manager of our Company. He joined our Company in May 2021 and has been serving as the deputy general manager since then. He is primarily responsible for overseeing the product sales and marketing of our Group.

From August 2015 to June 2018, Mr. Chen served as the Asia-Pacific director of marketing and sales at Mellanox Technologies, Ltd. From September 2018 to April 2021, he served as the deputy general manager of Broadex Technologies Co., Ltd. (博創科技股份有限公司), currently known as EverProX Technologies Co., Ltd. (長芯博創科技股份有限公司) (stock code: 300548.SZ).

DIRECTORS AND SENIOR MANAGEMENT

Mr. Chen obtained a bachelor’s degree in electronic information engineering from Hunan University of Commerce (湖南商學院) in the PRC in June 2003 and a master’s degree in optical engineering from Huazhong University of Science and Technology (華科技大學) in the PRC in December 2017, respectively. He is currently pursuing Ph.D. in electronic information at University of Electronic Science and Technology of China (電子科技大學) in the PRC since September 2025.

Mr. CHEN Zhenhua (陳振華), aged [44], is the deputy general manager and finance director of our Company. He joined our Group in February 2021 and was appointed as finance director and deputy general manager in March 2021 and January 2024, respectively. He is primarily responsible for overseeing the overall financial affairs of our Group.

Prior to joining our Company, Mr. Chen served as a project manager at Chongqing Qianjing Investment Consulting Co., Ltd. (重慶前景投資諮詢有限公司) from October 2007 to September 2008. From June 2009 to February 2020, he worked at Xi’an Manareco New Materials Co., Ltd. (西安瑞聯新材料股份有限公司) (stock code: 688550.SH), where he successively served as a securities officer, securities supervisor, deputy manager of the finance department, and manager of the finance department and manager of the securities and legal affairs department.

Mr. Chen obtained a bachelor’s degree in accounting from Xi’an Jiaotong University (西安交通大學) in the PRC in July 2004 and a master’s degree in accounting from Chongqing University (重慶大學) in the PRC in June 2009, respectively.

OTHER INFORMATION IN RELATION TO OUR DIRECTOR AND SENIOR MANAGEMENT

In July 2024, the Company received a decision on administrative regulatory measures from the Shaanxi Bureau of the China Securities Regulatory Commission (the “**Shaanxi CSRC**”), pursuant to which the Shaanxi CSRC ordered the Company to take rectification measures and conducted regulatory interviews with Dr. ZHANG XINGANG and Mr. CHEN Zhenhua (collectively, the “**2024 Regulatory Decision**”). The 2024 Regulatory Decision was issued in relation to (i) the recognition of revenue in advance in the Company’s 2022 annual report arising from the technical judgment of the timing of revenue recognition (the “**Revenue Recognition Incident**”) and (ii) the use of the proceeds originally allocated to the 10G and 25G Optical Chip Production Line Construction Project for the payment of personnel expenses (the “**UOP Incident**”, together with the Revenue Recognition Incident, the “**Incidents**”).

The Revenue Recognition Incident and the UOP Incident primarily arose from, respectively, a technical cut-off issue and accounting judgment, and an incomplete understanding of the permissible scope of the initial working capital reserve under the proceeds framework. The 2024 Regulatory Decision itself did not contain any finding of fraud, dishonesty or intentional misconduct on the part of the Company, Dr. ZHANG XINGANG and Mr. CHEN Zhenhua.

Our PRC Legal Adviser has advised that the 2024 Regulatory Decision constitutes administrative regulatory measures aimed at supervision and correction, which does not constitute administrative penalties or public censures under PRC laws and regulations. Furthermore, given that (i) the Incidents were unintentional and did not involve any fraud, dishonesty or intentional misconduct; (ii) the Incidents have been concluded and their quantitative impact was immaterial; (iii) the Company has promptly rectified such incidents and enhanced its internal controls to prevent

DIRECTORS AND SENIOR MANAGEMENT

recurrence; and (iv) as of the Latest Practicable Date, there had not been any further regulatory request, actions, or inquiries from the Shaanxi CSRC in relation to the Company, Dr. ZHANG XINGANG or Mr. CHEN Zhenhua, our Directors are of the view that the above incidents do not impugn the integrity or suitability of Dr. ZHANG XINGANG and Mr. CHEN Zhenhua to serve as a Director and/or a senior management member of our Company.

Save as disclosed above, to the best knowledge, information and belief of our Directors having made all reasonable inquiries, there is no other information in relation to his or her appointment which is required to be disclosed pursuant to Rule 13.51(2)(h) to (v) of the Listing Rules as of the Latest Practicable Date.

Save as disclosed above, none of our Directors and senior management held any directorships in any other company listed in Hong Kong or overseas during the three years immediately preceding the date of this document.

Save as disclosed above, none of our Directors and senior management is related to other Directors and senior management.

Our Company dissolved the supervisory board in June 2025. As advised by our PRC Legal Advisors, such dissolution was made in accordance with the requirements of the PRC Company Law and relevant rules including the Notice on Transitional Arrangements for the Implementation of Supporting System Rules for the New Company Law (《關於新〈公司法〉配套制度規則實施相關過渡期安排》) issued by the CSRC on December 27, 2024, and is in compliance with applicable PRC laws and the CSRC’s regulatory requirements.

JOINT COMPANY SECRETARIES

Mr. CHENG Shuo (程碩) has been appointed as one of our joint company secretaries with the effect from the [REDACTED]. In addition, Mr. Cheng served as our executive Director, deputy general manager, Board secretary. For his biography, see “— Board of Directors — Executive Directors” in this section.

Ms. CHAN Ching Nga (陳靜雅) has been appointed as one of the joint company secretaries of our Company with effect from the [REDACTED].

Ms. Chan has over 20 years of experience in company secretarial and corporate governance fields and is currently a Senior Manager, Entity Solutions at Computershare Hong Kong Investor Services Limited. She obtained a master’s degree in corporate governance from The Hong Kong Polytechnic University in October 2012. Ms. Chan is an associate of both The Hong Kong Chartered Governance Institute and The Chartered Governance Institute in the United Kingdom.

BOARD COMMITTEES

Our Company has established four committees under the Board in accordance with the relevant laws and regulations in Chinese mainland, the Articles of Association and the code of corporate governance practices under the Listing Rules, including the Audit Committee, the Remuneration and Appraisal Committee, the Nomination Committee and the Strategy and ESG Committee.

Audit Committee

We have established an Audit Committee in compliance with Rule 3.21 of the Listing Rules and the Corporate Governance Code set out in Appendix C1 to the Listing Rules. The primary duties of the Audit Committee are to review and supervise our financial reporting process, risk management, and internal control systems, and to oversee and evaluate the internal and external audit work. The Audit Committee comprises one non-executive Director and three independent non-executive

DIRECTORS AND SENIOR MANAGEMENT

Directors, namely, Ms. ZHANG Xinying, Dr. WANG Luping, Dr. ZHANG Hai and Mr. RUAN Tim. Dr. WANG Luping is the chairperson of the Audit Committee. Mr. RUAN Tim holds the appropriate professional qualifications as required under Rules 3.10(2) and 3.21 of the Listing Rules.

Nomination Committee

We have established a Nomination Committee in compliance with the Code on Corporate Governance set out in Appendix C1 to the Listing Rules. The primary duties of the Nomination Committee are to formulate selection criteria and procedures, and to review and recommend candidates for Directors and senior management. The Nomination Committee comprises one executive Director and two independent non-executive Directors, namely, Dr. ZHANG XINGANG, Dr. ZHANG Hai and Dr. LI Xiaoming. Dr. ZHANG Hai is the chairperson of the Nomination Committee.

Remuneration and Appraisal Committee

We have established a Remuneration and Appraisal Committee in compliance with Rule 3.25 of the Listing Rules and the Corporate Governance Code set out in Appendix C1 to the Listing Rules. Its primary duties are to review and make recommendations to the Board on the remuneration packages of our Directors and senior management. The Remuneration and Appraisal Committee comprises one non-executive Director and two independent non-executive Directors, namely, Mr. QIN Weixing, Dr. ZHANG Hai and Dr. WANG Luping. Dr. ZHANG Hai is the chairperson of the Remuneration and Appraisal Committee.

Strategy and ESG Committee

We have established a Strategy and ESG Committee with its primary duties being to advise the Board on our long-term development strategies and major investments, and to review our ESG strategies, goals, and related reports. The Strategy and ESG Committee comprises one executive Director, one non-executive Director and one independent non-executive Director, namely, Dr. ZHANG XINGANG, Mr. QIN Weixing and Dr. ZHANG Hai. Dr. ZHANG XINGANG is the chairperson of the Strategy and ESG Committee.

CORPORATE GOVERNANCE CODE

We recognize the importance of incorporating elements of good corporate governance in our management structure and internal control procedures so as to achieve effective accountability. Our Company intends to comply with all code provisions in Part 2 of the Corporate Governance Code as set out in Appendix C1 to the Listing Rules after the [REDACTED] apart from code provision C.2.1 of Part 2 of the Corporate Governance Code, which provides that the roles of chairperson of the Board and chief executive should be separate and should not be performed by the same individual.

The roles of chairperson of the Board and general manager of our Company are currently performed by Dr. Zhang. In view of Dr. Zhang’s substantial contribution to our Group since our establishment and his extensive experience, we consider that having Dr. Zhang acting as both our chairperson of the Board and general manager will provide strong and consistent leadership to our Group and facilitate the efficient execution of our business strategies. We consider it appropriate and beneficial to our business development and prospects that Dr. Zhang continues to act as both our chairperson of the Board and general manager after the [REDACTED], and therefore currently do not propose to separate the functions of chairperson of the Board and general manager. While this would constitute a deviation from code provision C.2.1 of Part 2 of the Corporate Governance Code, the Board believes that this structure will not impair the balance of power and authority between the Board and the management of our Company, given that: (i) there are sufficient checks and balances in the Board, as a decision to be made by our Board requires approval by at least a

DIRECTORS AND SENIOR MANAGEMENT

majority of our Directors, and our Board comprises four independent non-executive Directors, which is in compliance with the requirement under the Listing Rules; (ii) Dr. Zhang and the other Directors are aware of and undertake to fulfill their fiduciary duties as Directors, which require, among other things, that he acts for the benefit and in the best interests of our Company and will make decisions for our Group accordingly; and (iii) the balance of power and authority is ensured by the operations of the Board which comprises experienced and high caliber individuals who meet regularly to discuss issues affecting the operations of our Company. Moreover, the overall strategic and other key business, financial, and operational policies of our Group are made collectively after thorough discussion at both Board and senior management levels. The Board will continue reviewing the effectiveness of the corporate governance structure of our Group in order to assess whether the separation of the roles of chairperson of the Board and general manager is necessary.

MANAGEMENT PRESENCE

According to Rules 8.12 and 19A.15 of the Listing Rules, we must have sufficient management presence in Hong Kong. This normally means that at least two of our executive Directors must be ordinarily resident in Hong Kong. Since the principal business operations of our Group are conducted in Chinese mainland, members of our senior management are, and are expected to continue to be, based in Chinese mainland. Further, as our executive Directors have a vital role in our Group’s operations, it is crucial for them to remain in close proximity to our Group’s central management located in Chinese mainland. Our Company does not and, for the foreseeable future, will not have a sufficient management presence in Hong Kong. We have applied for, and the Stock Exchange [has granted], a waiver from compliance with Rules 8.12 and 19A.15 of the Listing Rules. For further details, see “Waivers and Exemption — Waiver in Respect of Management Presence in Hong Kong.”

BOARD DIVERSITY POLICY

Our Board has adopted a diversity policy to support our strategic goals and sustainable growth. We value diversity in areas such as gender, age, background, experience, and skills. Director candidates are selected based on merit and their alignment with our business needs, with diversity as an important consideration. We place particular emphasis on gender diversity. After the [REDACTED], we aim to gradually increase the number of female directors by identifying and maintaining a pool of qualified female candidates with diverse expertise. We promote gender balance in mid- to senior-level recruitment to build a pipeline of future female leaders. We will provide training to high-potential female employees in areas such as operations, management, finance, and compliance, to prepare them for leadership roles. Our Nomination Committee is responsible for reviewing this policy, developing and reviewing measurable objectives to ensure its implementation, and monitoring the progress made toward achieving such measurable objectives. The Board shall review the implementation and effectiveness of this policy and the measurable objectives at least annually.

COMPLIANCE ADVISOR

We have appointed Maxa Capital Limited as our Compliance Advisor pursuant to Rule 3A.19 of the Listing Rules. The Compliance Advisor will provide us with guidance and advice as to compliance with the Listing Rules and applicable Hong Kong laws. Pursuant to Rule 3A.23 of the Listing Rules, our Compliance Advisor will advise our Company in certain circumstances including:

- (a) before the publication of any regulatory announcement, circular, or financial report;
- (b) where a transaction, which might be a notifiable or connected transaction, is contemplated, including share issues and share repurchases;

DIRECTORS AND SENIOR MANAGEMENT

- (c) where we propose to [REDACTED] of the [REDACTED] in a manner different from that detailed in this document or where the business activities, development or results of our Group deviate from any forecast, estimate or other information in this document; and
- (d) where the Stock Exchange makes an inquiry to our Company regarding unusual movements in the [REDACTED] of its [REDACTED] or any other matters in accordance with Rule 13.10 of the Listing Rules.

Pursuant to Rule 3A.24 of the Listing Rules, the Compliance Advisor will, on a timely basis, inform our Company of any amendment or supplement to the Listing Rules that are announced by the Stock Exchange. The Compliance Advisor will also inform our Company of any new or amended law, regulation or code in Hong Kong applicable to us, and advise us on the applicable requirements under the Listing Rules and laws and regulations.

The term of appointment of our Compliance Advisor shall commence on the [REDACTED] and is expected to end on the date on which we comply with Rule 13.46 of the Listing Rules in respect of our financial results for the first full financial year commencing after the [REDACTED].

REMUNERATION OF DIRECTORS AND FIVE HIGHEST PAID INDIVIDUALS

The Directors and senior management members who receive remuneration from our Company are paid in forms of fees, wages, salaries, bonuses, pension scheme contributions, and other benefits in kind. When reviewing and determining the specific remuneration packages for our Directors and members of the senior management of our Company, the Shareholders’ meetings and the Board take into account factors such as educational background, professional experience, years of service, salaries paid by comparable companies, level of responsibilities, Company’s operating conditions and desirability of performance-based remuneration. As required by the relevant PRC laws and regulations, our Company also participates in various defined contribution plans organized by relevant provincial and municipal government authorities and welfare schemes for employees of our Company, including medical insurance, injury insurance, unemployment insurance, pension insurance, maternity insurance and housing provident fund.

Under the arrangement currently in force, we estimate the total compensation before taxation to be accrued to our Directors for the year ending December 31, 2026 to be RMB6.6 million.

For the years ended December 31, 2023, 2024 and 2025, the total amount of remuneration (including fees, wages, salaries, bonuses and pension scheme contributions) and other benefits in kind (if applicable) paid to our Directors were RMB2.6 million, RMB4.4 million and RMB5.5 million, respectively. For details on the remuneration of each Director during the Track Record Period, please refer to Note 13 to the Accountants’ Report in Appendix I to this document.

For the years ended December 31, 2023, 2024 and 2025, the total emoluments paid to the five highest paid individuals (excluding one, one and one Director) by us amounted to RMB5.2 million, RMB4.6 million and RMB6.8 million, respectively. For details on the remuneration of the five highest-paid employees during the Track Record Period, please refer to Note 14 to the Accountants’ Report in Appendix I to this document.

During the Track Record Period, no remuneration was paid by our Company to, or receivable by, our Directors or the five highest paid individuals as an inducement to join or upon joining our Company or as compensation for loss of office in connection with the management positions of our Company or any of our subsidiaries.

DIRECTORS AND SENIOR MANAGEMENT

During the Track Record Period, none of our Directors waived any remuneration. Save as disclosed above, during the Track Record Period, no other amounts shall be paid or payable by us or any of our subsidiaries to our Directors or the five highest paid individuals.

CONFIRMATIONS FROM OUR DIRECTORS

Rule 3.09D of the Listing Rules

Each of our Directors confirms that he or she (i) has obtained the legal advice referred to under Rule 3.09D of the Listing Rules on March 5, 2026, and (ii) understands his or her obligations as a director of a [REDACTED] under the Listing Rules.

Rule 3.13 of the Listing Rules

Each of the independent non-executive Directors has confirmed (i) that his or her independence as regards each of the factors referred to in Rules 3.13(1) to (8) of the Listing Rules; (ii) that he or she have no past or present financial or other interest in the business of our Company or its subsidiaries or any connection with any core connected person of our Company under the Listing Rules as of the Latest Practicable Date, and (iii) that there are no other factors that may affect his or her independence at the time of his/her appointments.

Rule 8.10 of the Listing Rules

Each of our Directors (other than our independent non-executive Directors) confirms that as of the Latest Practicable Date, save as disclosed in this document, he or she did not have any interest in a business which competes or is likely to compete, directly or indirectly, with our business and requires disclosure under Rule 8.10 of the Listing Rules.

From time to time our non-executive Director and independent non-executive Directors may serve on the boards of both private and public companies within the broader semi-conductor industry. However, as these Directors are not members of our executive management team, we do not believe that their interests in such companies as a director would render us incapable of carrying on our business independently from the other companies in which such Directors may hold directorships from time to time.

FINANCIAL INFORMATION

You should read the following discussion and analysis in conjunction with our consolidated financial information, including the notes thereto, included in the Accountants’ Report set out in Appendix I to this document. Our consolidated financial information has been prepared in accordance with IFRS.

The following discussion and analysis contain forward-looking statements that reflect our current views with respect to future events and financial performance that involve risks and uncertainties. These statements are based on assumptions and analysis made by us in light of our experience and perception of historical events, current conditions and expected future developments, as well as other factors we believe are appropriate under the circumstances. Our actual results may differ materially from those anticipated in these forward-looking statements as a result of certain factors. We discuss factors that we believe could cause or contribute to these differences below and elsewhere in this document, including those set forth in “Risk Factors” and “Forward-Looking Statements” in this document.

OVERVIEW

We are a leading global provider of laser chips. Leveraging our deep expertise in optoelectronic semiconductor design and manufacturing, we provide high-reliability, high-speed laser chips at scale with consistent quality to enable advanced data interconnectivity. Our core product portfolio, including CW lasers, EMLs and DFB lasers, serves critical applications across AI data centers, 5G infrastructure and fiber access networks. According to CIC, measured by revenue from external sales in 2025, we ranked as the sixth largest laser chip provider globally and the second largest provider of laser chips for SiPh-based high-speed optical interconnect products globally.

During the Track Record Period, we experienced strong revenue growth. Our revenue increased by 74.6% from RMB144.4 million in 2023 to RMB252.2 million in 2024, and further by 138.5% to RMB601.4 million in 2025. In particular, our revenue derived from the sales of data center laser chips increased significantly from RMB4.6 million in 2023 to RMB48.0 million in 2024, and further to RMB393.3 million in 2025, primarily driven by continued growth in sales volume of data center laser chips amid increasing market demand for data center optical interconnect solutions. Our net profit and loss position fluctuated during the Track Record Period. We recorded a net profit of RMB19.5 million in 2023, a net loss of RMB6.1 million in 2024, and a net profit of RMB190.9 million in 2025. In addition, we recorded an adjusted net profit (non-IFRS measure) of RMB23.0 million in 2023, an adjusted net loss (non-IFRS measure) of RMB2.5 million in 2024, and an adjusted net profit (non-IFRS measure) of RMB223.1 million in 2025.

BASIS OF PREPARATION

Our historical financial information has been prepared based on the accounting policies which conform with IFRS Accounting Standards, a collective term that includes individual International Financial Reporting Standards, International Accounting Standards and Interpretations issued by International Accounting Standards Board (“IASB”). In addition, our historical financial information includes the applicable disclosures requirements of the Companies Ordinance and the Listing Rules. For the purpose of preparing our historical financial information, we have adopted the accounting policies which conform with all applicable new and revised IFRS Accounting Standards that are effective during the Track Record Period, consistently throughout the Track

FINANCIAL INFORMATION

Record Period. The new and amendments to IFRS Accounting Standards that have been issued but are not effective and have not been early adopted are set out in Note 3 to the Accountants’ Report set out in Appendix I to this document.

KEY FACTORS AFFECTING OUR RESULTS OF OPERATIONS

Our business and results of operations are affected by a number of general factors, including: (i) overall economic growth and conditions in China and globally; (ii) technological advancement in the industry in which we operate; (iii) geopolitical relations; and (iv) regulatory oversight and government policies.

In addition, our business and results of operations have been and will continue to be affected by company-specific factors, which primarily include the following:

Evolution of Our Product Portfolio and Product Mix

Our ability to offer a comprehensive portfolio of laser chips that addresses the evolving demand of downstream players and end users is a key factor affecting our financial condition and results of operations. We primarily offer data center laser chips and telecommunications laser chips, each of which exhibits distinct demand characteristics and pricing dynamics. Over time, we have strategically expanded our product portfolio to cover a broader range of transmission rates and application scenarios, while progressively shifting toward higher-performance and more advanced products. This deliberate evolution has been critical to our financial performance, enabling us to address an increasingly diverse set of customer requirements and use cases. By meeting the growing demand for high-speed, high-reliability laser chips across various applications, we have strengthened our market position, deepened customer relationships, and unlocked new revenue opportunities.

Our diverse product portfolio commands varying selling prices and margin profiles. These variations are driven by differences in technical complexity, manufacturing intricacies, customer specifications, competitive dynamics, and strategic product positioning. Changes in our product mix, including the relative contributions of data center and telecommunications laser chip products, as well as the adoption of higher-performance products, can have a significant impact on our overall revenue composition and profitability. For example, in 2025, our data center laser chip product line achieved an overall gross profit margin of 71.3%, significantly higher than the 25.9% gross profit margin of our telecommunications laser chip product line. As a result, shifts in revenue mix, such as increased sales of higher-margin data center laser chips, can materially influence our overall gross profit margin and financial performance. In 2023, 2024 and 2025, our revenue from the sales of data center laser chips amounted to RMB4.6 million, RMB48.0 million and RMB393.3 million, respectively, while our revenue from the sales of telecommunications laser chips amounted to RMB133.1 million, RMB202.3 million and RMB206.5 million, respectively. Driven by the significant increase in the revenue contribution from our high-margin data center laser chips, our overall gross profit margin improved substantially from 23.4% in 2024 to 55.7% in 2025.

Our product offerings may continue to evolve in response to changes in market conditions, customer preferences and technological advancements. As new products are commercialized and adopted by customers, changes in product composition may affect our results of operations and financial condition.

FINANCIAL INFORMATION

Demand from Downstream Markets and End Users

Our financial performance and business growth are closely tied to the development of the optical chip market and the demand dynamics of its downstream applications. While our direct customers are optical interconnect solution providers, our products are ultimately used in two major application areas: data centers and telecommunications. As a result, the development and growth of these sectors have a significant impact on our business.

The data center market, driven by the rapid adoption of data-intensive technologies such as AI, has shown strong growth momentum. This has created intense end-user demand for higher data transmission rates and improved connectivity performance, offering robust growth potential for high-performance optical interconnect solutions. In contrast, the telecommunications market is relatively mature, with more stabilized demand supported by ongoing network maintenance and steady infrastructure upgrades, such as fiber access networks and 5G wireless communication infrastructure.

Optical interconnects have become critical to meeting the requirements of these sectors, with optical transceivers serving as the core components. Laser chips, our core business focus, are essential to the performance and functionality of these optical transceivers. According to CIC, the global laser chip market is projected to grow from US\$2.6 billion in 2024 to US\$22.9 billion in 2030, representing a CAGR of 44.1%.

Given the strong linkage between our business and the capital expenditure cycles, network deployment plans, and technology upgrade timelines of downstream industries, any fluctuations in demand or delays in infrastructure deployment in these sectors could directly impact our customers’ procurement volumes, and consequently, our revenue and profitability.

Customer Relationships and Customer Base

Our ability to maintain stable relationships with existing customers and to expand our customer base affects our business scale, results of operations and financial condition. We have established strong relationships with leading players in the optical interconnect industry, who collectively account for significant market shares. We are committed to maintaining stable collaborations with these existing customers, as long-term customer relationships provide us with enhanced revenue visibility and more predictable demand, allowing for optimized utilization of our research and development and manufacturing capabilities. Furthermore, leveraging these deep partnerships, we gain first-hand insights into evolving technical requirements across AI computing and data center interconnect applications. Such early visibility enables us to align our product development with next-generation integration technologies. Over time, this creates a virtuous cycle in which close customer collaboration drives innovation, and our sustained technical leadership further consolidates our position as a preferred long-term partner.

Our future growth also depends on our ability to attract new customers and expand our penetration within existing markets. We seek to expand our customer base by leveraging our advanced technologies, reliable execution capabilities, proven track record in meeting stringent technical and quality standards, responsiveness to customers’ evolving requirements and increasingly demanding performance specifications, as well as our ability to continuously enhance our product offerings and customer support capabilities. We believe that strengthening ties with industry leaders while diversifying our customer base will further enhance our market position, mitigate customer concentration risks and ensure the long-term sustainability of our financial performance.

FINANCIAL INFORMATION

Production Capacity and Utilization Rate

Our production capacity and manufacturing processes directly affect our ability to meet customer demand, achieve timely volume production and support revenue growth. Operating under an IDM model, we have mastered the core technologies of laser chip manufacturing, with in-house capabilities spanning chip design, wafer fabrication, chip processing, packaging and testing. Such IDM model allows us to shorten product development cycles, achieve independent and controllable laser chip manufacturing, respond quickly to customer requirements and efficiently provide corresponding solutions, thereby enabling us to react rapidly to dynamic market demand. The utilization rate of our manufacturing facilities in 2023, 2024 and 2025 was 74.2%, 68.1%, and 90.1%, respectively. Changes in utilization rates may affect our production efficiency, cost level and overall profitability.

We expanded our production capacity during the Track Record Period. Our capital expenditures, which consisted of purchase of property, plant and equipment and intangible asset, were RMB67.2 million, RMB105.9 million and RMB409.4 million in 2023, 2024 and 2025, respectively. In response to the market growth and increasingly stringent customer requirements, we continue to enhance our manufacturing processes through automation and equipment upgrades to improve production efficiency and product quality. Given the long lead times for the procurement and installation of certain sophisticated manufacturing equipment, our ability to accurately forecast market demand and implement long-term capacity planning is critical to avoiding production bottlenecks. The success of our expansion strategy also depends on, among others, our ability to execute expansion plans, complete construction and equipment installation on schedule, maintain stable production yields, and manage capital expenditures efficiently. As we continue to expand production capacity and advance manufacturing automation, we expect to continue to incur substantial capital expenditures, which may be adjusted according to our development plans, market conditions or other factors.

Technology Innovation and Product Iteration

Our success depends on our ability to continuously develop and commercialize new products through technological innovation and product iteration. The laser chip industry is characterized by high technological barriers, intricate manufacturing process and relatively rapid technology upgrade cycles, particularly as increasing data traffic drives demand for higher transmission rates and performance levels. As such, our development of next-generation laser chips would require continuous and forward-looking R&D investment and strong execution capabilities to validate our R&D results.

Laser chip development generally involves long development cycles and significant upfront investment. During the Track Record Period, we continuously invested in the technology innovation and iteration of laser chips with higher power and transmission rates. Our research and development expenses increased by 76.2% from RMB30.9 million in 2023 to RMB54.5 million in 2024, and further by 48.3% to RMB80.8 million in 2025. We expect to continue investing significant resources in R&D activities for technological breakthroughs, and the level and effectiveness of such investments may affect our future competitiveness and operating performance.

Ability to Improve Operational Efficiency

Our profitability depends in part on our ability to enhance operational efficiency as our business scales. Our cost of sales primarily consisted of manufacturing costs, labor costs, and raw material costs, which amounted to RMB102.9 million, RMB193.3 million and RMB266.6 million in

FINANCIAL INFORMATION

2023, 2024 and 2025, respectively. The increase in cost of sales during the Track Record Period was primarily attributable to our business expansion and increased sales volume. In 2023, 2024 and 2025, we recorded gross profit of RMB41.5 million, RMB58.9 million, and RMB334.8 million, respectively. As we continue to expand our production capacity, we focus on strengthening our high-volume manufacturing capabilities, improving yields and advancing production automation. These efforts are designed to enhance throughput, improve product consistency and support competitive unit economics as our revenue grows.

We also incur operating expenses, including selling and marketing expenses, general and administrative expenses and research and development expenses. In 2023, 2024 and 2025, we recorded selling and marketing expenses of RMB8.4 million, RMB18.5 million and RMB23.8 million, respectively, representing 5.8%, 7.3% and 4.0% of our total revenue for the respective years. In the same periods, we recorded general and administrative expenses of RMB25.9 million, RMB26.1 million and RMB45.1 million, respectively, representing 18.0%, 10.3% and 7.5% of our total revenue for the respective years. For details on research and development expenses, see “—Technology Innovation and Product Iteration.”

As we continue to scale our operations, the absolute amounts of our cost of sales and operating expenses are expected to increase. Our results of operations will therefore depend in part on our ability to improve operational efficiency, manage procurement and production costs and achieve economies of scale as revenue grows.

MATERIAL ACCOUNTING POLICIES AND CRITICAL ESTIMATES

We have identified certain accounting policies that are significant to the preparation of our consolidated financial statements. Some of our accounting policies involve subjective assumptions and estimates, as well as complex judgments relating to accounting items. Estimates and judgments are continually re-evaluated and are based on historical experience and other factors, including industry practices and expectations of future events that we believe are reasonable under the circumstances. We did not change our assumptions or estimates during the Track Record Period and have not noticed any material errors regarding our assumptions or estimates. Under current circumstances, we do not expect that our assumptions or estimates are likely to change significantly in the future. When reviewing our consolidated financial statements, you should consider (i) our material accounting policies, (ii) the judgments and other uncertainties affecting the application of such policies, and (iii) the sensitivity of reported results to changes in conditions and assumptions. Our material accounting policy information and significant accounting judgments and estimates are set forth in detail in Notes 4 and 5 to the Accountants’ Report set out in Appendix I to this document.

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

FINANCIAL INFORMATION

DESCRIPTION OF CERTAIN CONSOLIDATED STATEMENTS OF PROFIT OR LOSS ITEM

The following table sets forth a summary of our consolidated statements of profit or loss for the years indicated. Our historical results presented below are not necessarily indicative of the results that may be expected for any future period.

	For the year ended December 31,					
	2023		2024		2025	
	<i>RMB'000</i>	%	<i>RMB'000</i>	%	<i>RMB'000</i>	%
Revenue	144,404	100.0	252,173	100.0	601,435	100.0
Cost of sales	(102,906)	(71.3)	(193,270)	(76.6)	(266,613)	(44.3)
Gross profit	41,498	28.7	58,903	23.4	334,822	55.7
Other income	14,054	9.7	2,182	0.9	12,041	2.0
Other gains or losses, net	9,104	6.3	3,593	1.4	(3,719)	(0.6)
Selling and marketing expenses	(8,355)	(5.8)	(18,532)	(7.3)	(23,784)	(4.0)
General and administrative expenses	(25,937)	(18.0)	(26,053)	(10.3)	(45,135)	(7.5)
Research and development expenses	(30,946)	(21.4)	(54,518)	(21.6)	(80,843)	(13.4)
Impairment losses on financial assets, net of reversal	(2,856)	(2.0)	2,829	1.1	(6,524)	(1.1)
Finance income, net	21,590	15.0	17,973	7.1	12,883	2.1
Share of results of associate	2	0.1	(1,689)	(0.7)	14,031	2.3
Profit/(Loss) before tax	18,154	12.6	(15,312)	(6.0)	213,772	35.5
Income tax (expense)/credit	1,326	0.9	9,179	3.6	(22,848)	(3.8)
Profit/(Loss) for the year	19,480	13.5	(6,133)	(2.4)	190,924	31.7

FINANCIAL INFORMATION

Non-IFRS Measure

To supplement our consolidated financial statements that are presented in accordance with IFRS, we also use adjusted net profit/(loss) (non-IFRS measure) as an additional financial measure, which is not required by, or presented in accordance with, IFRS. We define adjusted net profit/(loss) (non-IFRS measure) as profit/(loss) for the year adjusted for share-based payment expenses, which are non-cash in nature arising from the grant of share awards to employees.

We believe that this non-IFRS measure facilitates comparisons of operating performance from year to year and company to company by eliminating potential impacts of certain items and provides useful information to investors and others in understanding and evaluating our results of operations in the same manner as it helps our management. However, our presentation of adjusted net profit/(loss) (non-IFRS measure) may not be comparable to similarly titled measures presented by other companies. The use of such non-IFRS measure has limitations as an analytical tool, and you should not consider it in isolation from, or as a substitute for analysis of, our results of operations or financial condition as reported under IFRS.

The following table sets forth a reconciliation of our adjusted net profit/(loss) (non-IFRS measure) to the nearest measure prepared in accordance with IFRS, which is profit/(loss) for the year:

	For the year ended December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Profit/(Loss) for the year	19,480	(6,133)	190,924
Add:			
Share-based payment expenses	3,549	3,662	32,162
Adjusted net profit/(loss) (non-IFRS measure)	23,029	(2,471)	223,086

Revenue

While our products ultimately serve end users worldwide, we generated substantially all of our revenue from the Chinese mainland during the Track Record Period, reflecting the region’s role as a key hub for optical transceiver supply. Looking ahead, we expect our international revenue to increase gradually as we continuously expand our global operations and strengthen our globalized supply chain.

Revenue by Product Line

During the Track Record Period, we generated revenue primarily from the sales of data center laser chips and telecommunications laser chips. We also, to a much lesser extent, generated revenue from our provision of technical services and others, primarily in relation to our customized development for certain types of laser chips and contract manufacturing services. We recognize revenue from product sales upon delivery and acceptance by customers, and revenue from technical

FINANCIAL INFORMATION

services is recognized over time based on the progress of service delivery and acceptance. The following table sets forth a breakdown of our revenue by product line, both in absolute amount and as a percentage of our total revenue, for the years indicated:

	For the year ended December 31,					
	2023		2024		2025	
	RMB'000	%	RMB'000	%	RMB'000	%
Data center laser chips	4,614	3.2	48,013	19.0	393,258	65.4
Telecommunications laser chips	133,054	92.1	202,304	80.2	206,470	34.3
Technical services and others ⁽¹⁾	6,736	4.7	1,856	0.8	1,707	0.3
Total	144,404	100.0	252,173	100.0	601,435	100.0

Note:

- (1) Technical services and others primarily comprise customized development for certain type of laser chips and contract manufacturing services.

In 2023 and 2024, we derived the majority of our revenue from the sales of telecommunications laser chips, with a smaller portion generated from the sales of data center laser chips. Notwithstanding the above, revenue from the sales of data center laser chips experienced rapid growth during the Track Record Period. In 2025, revenue derived from the sales of data center laser chips surpassed that from the sales of telecommunications laser chips and accounted for 65.4% of our total revenue for the year. This shift was primarily driven by our expanded sales volume of data center laser chips, attributable to the accelerated deployment of AI computing centers and the increasing adoption of high-speed optical interconnects and SiPh applications, coupled with our deepened customer relationships in these markets. In response to these industry trends, we are continuing to enhance our data center laser chip offerings and increase our presence in this product line. In addition, our revenue from technical services and others decreased from RMB6.7 million in 2023 to RMB1.9 million in 2024, and further to RMB1.7 million in 2025. The decrease was primarily because our technical services and others mainly consist of customized development projects, which are generally project-based.

Revenue from sales of our laser chips is primarily driven by sales volume and average selling prices. The following table sets forth a breakdown of the sales volumes and average selling prices of our laser chips by product line for the years indicated:

	For the year ended December 31,					
	2023		2024		2025	
	Sales Volume	Average Selling Price ⁽¹⁾	Sales Volume	Average Selling Price ⁽¹⁾	Sales Volume	Average Selling Price ⁽¹⁾
	'000 units	RMB per unit	'000 units	RMB per unit	'000 units	RMB per unit
Data center laser chips	225	20.5	2,285	21.0	17,721	22.2
Telecommunications laser chips	28,029	4.7	49,915	4.1	35,711	5.8

Note:

- (1) Average selling price is calculated by dividing the revenue by the sale volume of such product line for a certain year.

FINANCIAL INFORMATION

The sales volume of our data center laser chips increased significantly from 0.2 million units in 2023 to 2.3 million units in 2024, and further to 17.7 million units in 2025, with the average selling price remaining relatively stable at approximately RMB20.5, RMB21.0, and RMB22.2 per unit in 2023, 2024 and 2025. The sales volume of our telecommunications laser chips experienced a fluctuation of 28.0 million units in 2023, 49.9 million units in 2024 and 35.7 million units in 2025, with average selling prices of RMB4.7, RMB4.1 and RMB5.8 per unit over the same periods.

The overall growth in sales volume of our laser chips from 2023 to 2024 was primarily driven by the recovery of demand from the telecommunications market. The overall sales volume of our laser chips remained stable between 2024 and 2025. The divergence in the sales volume between the two product lines was primarily because we proactively optimized our product portfolio and reallocated our resources to prioritize higher-value products, including our data center laser chips and our high-end telecommunications laser chips.

Revenue by Sales Channel

During the Track Record Period, we primarily marketed our laser chips through a direct sales model, supplemented by a group of distributors. Our revenue generated from sales via the distribution model increased significantly from RMB26.6 million in 2023 to RMB74.8 million in 2024, primarily due to the recovery of demand from the telecommunications market as the distribution model is mostly applied in the sales of telecommunications laser chips. Our revenue generated from distribution decreased by 14.4% from RMB74.8 million in 2024 to RMB64.0 million in 2025, primarily due to the successful market expansion of our CW lasers, which were sold to customers mostly through direct sales. The table below sets out a breakdown of our revenue in both absolute amount and percentage of our total revenue by sales channel for the years indicated:

	For the year ended December 31,					
	2023		2024		2025	
	RMB'000	%	RMB'000	%	RMB'000	%
Direct Sales	117,756	81.5	177,334	70.3	537,405	89.4
Distribution	26,648	18.5	74,839	29.7	64,030	10.6
Total	144,404	100.0	252,173	100.0	601,435	100.0

Cost of Sales

Our cost of sales primarily consists of (i) manufacturing costs, primarily including packaging fees for our laser chips and depreciation of production-related property, plant and equipment and right-of-use assets, (ii) labor costs, mainly relating to employees involved in production, (iii) raw material costs, (iv) taxes and surcharges, and (v) inventory impairment. The following table sets forth a breakdown of our cost of sales by nature, both in absolute amount and as a percentage of the total cost of sales, for the years indicated:

	For the year ended December 31,					
	2023		2024		2025	
	RMB'000	%	RMB'000	%	RMB'000	%
Manufacturing costs	57,774	56.1	120,507	62.4	139,880	52.5
Labor costs	16,588	16.1	36,838	19.1	70,953	26.6
Raw material costs	10,067	9.8	22,562	11.7	51,767	19.4
Taxes and surcharges	2,826	2.7	2,836	1.5	4,687	1.8
Inventory impairment	15,651	15.3	10,527	5.3	(674)	(0.3)
Total	102,906	100.0	193,270	100.0	266,613	100.0

FINANCIAL INFORMATION

Gross Profit and Gross Profit Margin

Our gross profit represents revenue less cost of sales, and our gross profit margin represents our gross profit as a percentage of revenue. The following table sets forth a breakdown of our gross profit and gross profit margin by product line, for the years indicated:

	For the year ended December 31,					
	2023		2024		2025	
	Gross profit	Gross profit margin	Gross profit	Gross profit margin	Gross profit	Gross profit margin
	<i>RMB'000</i>	%	<i>RMB'000</i>	%	<i>RMB'000</i>	%
Data center laser chips	1,165	25.2	29,796	62.1	280,228	71.3
Telecommunications laser chips	35,556	26.7	29,020	14.3	53,470	25.9
Technical services and others	4,777	70.9	87	4.7	1,124	65.8
Total	41,498	28.7	58,903	23.4	334,822	55.7

Our gross profit derived from data center laser chips increased significantly from RMB1.2 million in 2023 to RMB29.8 million in 2024, and further to RMB280.2 million in 2025, primarily driven by the continued growth in the sales volume of data center laser chips in response to increasing demand resulting from the expansion of data center infrastructure and the growing adoption of high-speed optical interconnect solutions. The gross profit margin of our data center laser chips increased from 25.2% in 2023 to 62.1% in 2024 and further to 71.3% in 2025, primarily reflecting the continued optimization of our product portfolio in this product line as we progressively launched and commenced volume shipments of higher-performance EMLs and CW lasers.

Our gross profit derived from telecommunications laser chips decreased from RMB35.6 million in 2023 to RMB29.0 million in 2024, primarily due to pricing pressure under prevailing market conditions, despite an increase in sales volume. Our gross profit derived from telecommunications laser chips increased from RMB29.0 million in 2024 to RMB53.5 million in 2025, primarily due to our increased sales of higher-end telecommunications laser chips. For the same reasons discussed above, the gross profit margin of the telecommunications laser chips line decreased from 26.7% in 2023 to 14.3% in 2024, and then increased to 25.9% in 2025.

The gross profit and gross profit margin of our technical services and other business fluctuated during the Track Record Period, primarily because the timing, scale, complexity, resource requirements and pricing of our technical services and others varied from project to project. In 2023, 2024 and 2025, our gross profit derived from the technical services and others line was RMB4.8 million, RMB87 thousand and RMB1.1 million, respectively, with a gross profit margin of 70.9%, 4.7% and 65.8%, respectively.

Other Income

Our other income primarily consists of (i) industrial development incentives in recognition of our contribution to local economy and/or industry, which were primarily one-off in nature. Certain incentives were unconditional, while others were subject to specific conditions. As of the Latest Practicable Date, some of such conditions had been fulfilled, while others remained outstanding; and (ii) VAT deduction income. In 2023, 2024, and 2025, we recorded other income of RMB14.1 million, RMB2.2 million, and RMB12.0 million, respectively.

FINANCIAL INFORMATION

Other Gains or Losses, Net

Our other gains or losses, net primarily consist of (i) change in fair value of financial assets at FVTPL, in connection with our structured deposits and other wealth management products we purchased for cash management purposes, (ii) net gains/losses on disposal of property, plant and equipment, (iii) net foreign exchange losses, and (iv) donations. The following table sets forth a breakdown of our other gains or losses, net for the years indicated:

	For the year ended December 31,		
	2023	2024	2025
	<i>RMB'000</i>		
Change in fair value of financial assets at FVTPL	9,115	4,337	324
Net gains/(losses) on disposal of property, plant and equipment	23	77	(16)
Net foreign exchange losses	(40)	(451)	(4,049)
Donations	—	(500)	—
Others	6	130	22
Total	9,104	3,593	(3,719)

Selling and Marketing Expenses

Our selling and marketing expenses consist of (i) business development expenses, which were incurred primarily to expand our market presence, increase market penetration and strengthen our relationships with key customers, (ii) employee expenses, which mainly include salaries and welfare of our sales and marketing staff, (iii) share-based payment expenses arising from the grant of share awards to our sales and marketing staff, (iv) advertising and marketing expenses, primarily representing expenses in connection with our participation in industry exhibitions, and (v) travel expenses. The following table sets forth a breakdown of our selling and marketing expenses, both in absolute amount and as a percentage of the total selling and marketing expenses, for the years indicated:

	For the year ended December 31,					
	2023		2024		2025	
	<i>RMB'000</i>	%	<i>RMB'000</i>	%	<i>RMB'000</i>	%
Business development expenses	833	10.0	9,464	51.1	11,965	50.3
Employee expenses	5,969	71.4	5,967	32.2	6,833	28.7
Share-based payment expenses	—	—	346	1.9	3,679	15.5
Advertising and marketing expenses	254	3.0	1,513	8.2	511	2.1
Travel expenses	913	10.9	769	4.1	418	1.8
Others ⁽¹⁾	386	4.7	473	2.5	378	1.6
Total	8,355	100.0	18,532	100.0	23,784	100.0

FINANCIAL INFORMATION

Note:

- (1) Others include sample fees, depreciation and amortization, and other miscellaneous expenses relating to our selling and marketing activities.

General and Administrative Expenses

Our general and administrative expenses primarily consist of (i) employee expenses, which mainly include salaries and welfare of our administrative and management staff, (ii) depreciation and amortization, (iii) share-based payment expenses arising from the grant of share awards to our senior management and administration staff, (iv) office expenses, (v) professional service expenses, representing primarily audit and legal expenses incurred for our operations, (vi) travel expenses, and (vii) disability support fund contributions. The following table sets forth a breakdown of our general and administrative expenses, both in absolute amount and as a percentage of the total general and administrative expenses, for the years indicated:

	For the year ended December 31,					
	2023		2024		2025	
	RMB'000	%	RMB'000	%	RMB'000	%
Employee expenses	9,479	36.5	10,920	41.9	15,607	34.6
Depreciation and amortization	6,190	23.9	6,314	24.2	9,407	20.8
Share-based payment expenses	3,549	13.7	1,936	7.4	6,158	13.6
Office expenses	1,667	6.4	1,549	5.9	4,454	9.9
Professional service expenses	1,301	5.0	2,034	7.8	3,765	8.3
Travel expenses	1,623	6.3	1,200	4.6	1,662	3.7
Disability support fund contributions	659	2.5	618	2.4	706	1.6
Others ⁽¹⁾	1,469	5.7	1,482	5.8	3,376	7.5
Total	25,937	100.0	26,053	100.0	45,135	100.0

Note:

- (1) Others include utilities expenses, hospitality expenses, bank charges, and other miscellaneous administrative expenses.

Research and Development Expenses

Our research and development expenses primarily consist of (i) material costs used in our R&D projects, (ii) employee expenses, which mainly include salaries and welfare of our R&D staff, (iii) share-based payment expenses in relation to share awards granted to our R&D staff, (iv) depreciation and amortization, (v) testing and certification expenses, which mainly include product testing, performance validation and certification fees, and (vi) outsourced R&D expenses, which primarily represent fees paid to third-party service providers for certain technical services. The increase in our research and development expenses primarily reflects our strategic efforts to advance the development of our product portfolio. Driven by the surge in AI technologies and applications and the growing demand for laser chips capable of higher rates and greater power output, we have launched a portfolio of CW lasers, EMLs and DFB lasers designed to meet these evolving

FINANCIAL INFORMATION

requirements. The following table sets forth a breakdown of our research and development expenses, both in absolute amount and as a percentage of the total research and development expenses, for the years indicated:

	For the year ended December 31,					
	2023		2024		2025	
	RMB'000	%	RMB'000	%	RMB'000	%
Material costs	13,329	43.1	27,254	50.0	42,945	53.1
Employee expenses	12,208	39.4	16,837	30.9	19,743	24.4
Share-based payment expenses	—	—	737	1.4	8,416	10.4
Depreciation and amortization	1,305	4.2	4,154	7.6	4,760	5.9
Testing and certification expenses	1,715	5.5	1,057	1.9	553	0.7
Outsourced R&D expenses	536	1.7	2,187	4.0	200	0.2
Others ⁽¹⁾	1,853	6.1	2,292	4.2	4,226	5.3
Total	30,946	100.0	54,518	100.0	80,843	100.0

Note:

(1) Others include consumables and other miscellaneous incurred for our research and development activities.

Impairment Losses on Financial Assets, Net of Reversal

Our impairment losses on financial assets, net of reversal, are incurred primarily in connection with (i) impairment losses and reversals of our trade receivables, (ii) impairment losses and reversals of notes receivables, and (iii) impairment losses and reversals of other receivables. We recorded impairment losses on financial assets, net of reversal, of RMB2.9 million and RMB6.5 million in 2023 and 2025, respectively, and reversal of impairment losses on financial assets of RMB2.8 million in 2024.

Finance Income, Net

Our net finance income primarily consists of interest income in relation to our bank deposits. In 2023, 2024 and 2025, we recorded net finance income of RMB21.6 million, RMB18.0 million and RMB12.9 million, respectively.

Share of Results of Associate

Our share of results of associate represents our proportionate share of the net profit or loss of our associate, Beijing Guanxin Guangyuan Venture Capital Fund Center (Limited Partnership) (“Guanxin Guangyuan”), during the Track Record Period. For details, see Note 18 to the Accountants’ Report set out in Appendix I to this document.

Income Tax (Expense)/Credit

Our income tax credit amounted to RMB1.3 million and RMB9.2 million in 2023 and 2024, and our income tax expenses amounted to RMB22.8 million in 2025. Our Directors confirm that during the Track Record Period, we had made all the required tax filings with the relevant tax authorities in the PRC and we are not aware of any outstanding or potential disputes with such tax authorities.

We are subject to income tax on an entity basis on profits arising in or derived from the jurisdictions in which members of our Group are domiciled and operate. Pursuant to the EIT Law and Implementation Regulation of the EIT Law, our operations in the PRC are liable to EIT at a

FINANCIAL INFORMATION

standard rate of 25%, unless otherwise specified. Our Company has been qualified as the “High and New Technology Enterprise” and is therefore entitled to a preferential tax rate of 15%. Taxation arising from other jurisdictions is calculated at the rate prevailing in the relevant jurisdictions. For details, see Note 12 to the Accountants’ Report set out in Appendix I to this document.

Profit/(Loss) for the Year

For the foregoing reasons, we recorded a net profit of RMB19.5 million in 2023, a net loss of RMB6.1 million in 2024 and a net profit of RMB190.9 million in 2025.

YEAR TO YEAR COMPARISON OF RESULTS OF OPERATIONS

Year Ended December 31, 2025 Compared to Year Ended December 31, 2024

Revenue

Our revenue increased significantly from RMB252.2 million in 2024 to RMB601.4 million in 2025, primarily due to the following reasons:

- Revenue generated from the sales of data center laser chips increased significantly from RMB48.0 million in 2024 to RMB393.3 million in 2025, primarily attributable to an increase in sales volume from 2.3 million units in 2024 to 17.7 million units in 2025, which was in turn driven by (i) strong market demand for more effective optical interconnect solutions fueled by the advancement of AI technologies and applications, and (ii) our deepened customer relationships in the data center market.
- Revenue generated from the sales of telecommunications laser chips increased from RMB202.3 million in 2024 to RMB206.5 million in 2025, as we actively optimized our product portfolio and increased the sales volume of high-end products, driving the average selling price up from RMB4.1 per unit in 2024 to RMB5.8 per unit in 2025, despite a decrease in the overall sales volume of telecommunications laser chips.

Cost of Sales

Our cost of sales increased from RMB193.3 million in 2024 to RMB266.6 million in 2025, primarily due to increases in raw material costs, labor costs and manufacturing costs driven by higher sales volume of data center laser chips.

Gross Profit and Gross Profit Margin

As a result of the changes in our revenue and cost of sales described above, our gross profit increased significantly from RMB58.9 million in 2024 to RMB334.8 million in 2025.

Our overall gross profit margin increased from 23.4% in 2024 to 55.7% in 2025, primarily attributable due to (i) the increased revenue of our data center laser chips as a percentage of our total revenue, which commanded a relatively high overall gross profit margin of 71.3% in 2025, and (ii) the increased sales of high-end telecommunications laser chips with relatively higher profit margins, which drove the overall gross profit margin of our telecommunications laser chip product line up from 14.3% in 2024 to 25.9% in 2025. In particular, the gross profit margin of our data center laser chip product line increased from 62.1% in 2024 to 71.3% in 2025, primarily reflecting the continued optimization of our product portfolio in this product line as we progressively launched and

FINANCIAL INFORMATION

commenced volume shipments of higher-performance EMLs and CW lasers. This robust performance was largely due to the strong market demand for more effective optical interconnect solutions fueled by the advancement of AI technologies and applications, and our expanded customer base.

Other Income

Our other income increased from RMB2.2 million in 2024 to RMB12.0 million in 2025, primarily attributable to (i) an increase of RMB5.2 million in industrial development incentives recognized in 2025, which is non-recurring in nature, and (ii) an increase of RMB4.6 million in VAT deduction income, mainly due to the additional 5% input VAT deduction for advanced manufacturing enterprises under the Announcement No. 43 of the Ministry of Finance and the State Administration of Taxation issued in 2023, combined with the expanded business scale in 2025 that increased the qualifying input VAT base.

Other Gains or Losses, Net

We recorded a net other gain of RMB3.6 million in 2024 and a net other loss of RMB3.7 million in 2025, primarily attributable to (i) a decrease of RMB4.0 million in change in fair value of financial assets at FVTPL, caused by lower interest rates and our reduced investment scale in wealth management products, and (ii) an increase of RMB3.6 million in net foreign exchange losses, as a result of fluctuations in exchange rates.

Selling and Marketing Expenses

Our selling and marketing expenses increased from RMB18.5 million in 2024 to RMB23.8 million in 2025, primarily attributable to (i) an increase of RMB3.3 million in share-based payment expenses, mainly because (a) the restricted share scheme adopted in August 2024 resulted in a higher amount of share-based payment expenses being recognized in 2025 compared to 2024 due to a longer recognition period, and (b) we adopted a new restricted share scheme in September 2025, and (ii) an increase of RMB2.5 million in business development expenses, primarily incurred to expand our market presence for the data center laser chip business.

General and Administrative Expenses

Our general and administrative expenses increased from RMB26.1 million in 2024 to RMB45.1 million in 2025, primarily attributable to (i) an increase of RMB4.7 million in employee expenses, mainly due to the expansion of our administrative team and adjusted salary levels, which is in line with our business growth, (ii) an increase of RMB4.2 million in share-based payment expenses, mainly because (a) the restricted share scheme adopted in August 2024 resulted in a higher amount of share-based payment expenses being recognized in 2025 compared to 2024 due to a longer recognition period, and (b) we adopted a new restricted share scheme in September 2025, (iii) an increase of RMB3.1 million in depreciation and amortization, mainly attributable to the addition of our newly leased premises, and (iv) an increase of RMB2.9 million in office expenses, mainly due to expanded operation scale.

FINANCIAL INFORMATION

Research and Development Expenses

Our research and development expenses increased from RMB54.5 million in 2024 to RMB80.8 million in 2025, primarily attributable to (i) an increase of RMB15.7 million in material costs related to our increased R&D activities, (ii) an increase of RMB7.7 million in share-based payment expenses, mainly because (a) the restricted share scheme adopted in August 2024 resulted in a higher amount of share-based payment expenses being recognized in 2025 compared to 2024 due to a longer recognition period, and (b) we adopted a new restricted share scheme in September 2025, and (iii) an increase of RMB2.9 million in employee expenses, mainly due to the recruitment of R&D personnel and the increase of the average salary level of our R&D team.

Impairment Losses on Financial Assets, Net of Reversal

We recorded impairment losses on financial assets, net of reversal of RMB6.5 million in 2025, compared to reversal of impairment losses on financial assets of RMB2.8 million in 2024, primarily because we recorded impairment losses on trade receivables of RMB5.7 million in 2025 as a result of increased trade receivables balance in line with revenue growth.

Finance Income, Net

Our net financial income decreased from RMB18.0 million in 2024 to RMB12.9 million in 2025, primarily attributable to (i) a decrease of RMB3.2 million in interest income, primarily caused by lower interest rates and our reduced investment scale in wealth management products, and (ii) an increase of RMB1.4 million in interest expense on lease liabilities, primarily because of the expansion of our leasing scale.

Share of Results of Associate

We recorded share of profits of an associate of RMB14.0 million in 2025, compared to share of losses of an associate of RMB1.7 million in 2024, primarily attributable to investment gains generated by our associate.

Income Tax (Expense)/Credit

We recorded income tax expense of RMB22.8 million in 2025, compared to an income tax credit of RMB9.2 million in 2024, primarily attributable to our turnaround from a loss before tax of RMB15.3 million in 2024 to a profit before tax of RMB213.8 million in 2025.

Profit/(Loss) for the Year

For the foregoing reasons, we recorded a net profit of RMB190.9 million in 2025, as compared to a net loss of RMB6.1 million in 2024.

FINANCIAL INFORMATION

Year Ended December 31, 2024 Compared to Year Ended December 31, 2023

Revenue

Our revenue increased from RMB144.4 million in 2023 to RMB252.2 million in 2024, primarily due to the following reasons:

- Revenue generated from the sales of data center laser chips increased significantly from RMB4.6 million in 2023 to RMB48.0 million in 2024, primarily attributable to an increase in sales volume from 0.2 million units in 2023 to 2.3 million units in 2024, driven by the successful market expansion of our CW lasers launched in 2024. This was because we capitalized on the large-scale deployment in cloud and AI data centers, which propelled downstream demand for SiPh-based optical interconnect solutions where our high-power CW lasers can serve as light sources.
- Revenue generated from the sales of telecommunications laser chips increased from RMB133.1 million in 2023 to RMB202.3 million in 2024, primarily driven by an increase in sales volume from 28.0 million units in 2023 to 49.9 million units in 2024. The expansion in sales volume of our telecommunications laser chips mainly resulted from a recovery of market demand in the telecommunications sector.

Cost of Sales

Our cost of sales increased from RMB102.9 million in 2023 to RMB193.3 million in 2024, primarily due to increases in the raw material costs, labor costs and manufacturing costs driven by our increased sales of both data center laser chips and telecommunications laser chips..

Gross Profit and Gross Profit Margin

As a result of the changes in our revenue and cost of sales described above, our gross profit increased from RMB41.5 million in 2023 to RMB58.9 million in 2024.

Our overall gross profit margin decreased from 28.7% in 2023 to 23.4% in 2024. This was primarily attributable to a decrease in the overall gross profit margin of our telecommunications laser chip product line from 26.7% to 14.3%, reflecting the downward pricing pressure on certain products within this product line as a result of intensified market competition. At the product line level, the gross profit margin of our data center laser chips increased significantly from 25.2% in 2023 to 62.1% in 2024, which has surpassed that from our telecommunications laser chips. This shift was primarily because we actively optimized our product portfolio in the data center applications by commencing volume sales of CW lasers, which command a relatively high average selling price.

Other Income

Our other income decreased from RMB14.1 million in 2023 to RMB2.2 million in 2024, primarily attributable to the recognition of a one-off incentive in 2023 in connection with our A-share listing.

FINANCIAL INFORMATION

Other Gains, Net

Our net other gains decreased from RMB9.1 million in 2023 to RMB3.6 million in 2024, primarily attributable to a decrease of RMB4.8 million in the change in fair value of financial assets at FVTPL. The decrease in fair value of financial assets at FVTPL in 2024 reflected lower returns on our wealth management products, which was in line with declining market interest rates.

Selling and Marketing Expenses

Our selling and marketing expenses increased from RMB8.4 million in 2023 to RMB18.5 million in 2024, primarily attributable to (i) an increase of RMB8.6 million in business development expenses, primarily incurred to expand our market presence, especially for the promotion of our CW lasers and telecommunications laser chips, along with deepening relationships with our key customers, and (ii) an increase of RMB1.3 million in advertising and marketing expenses, mainly due to higher spending on the participation in industry exhibitions in China and overseas.

General and Administrative Expenses

Our general and administrative expenses remained relatively stable at RMB25.9 million in 2023 and RMB26.1 million in 2024.

Research and Development Expenses

Our research and development expenses increased from RMB30.9 million in 2023 to RMB54.5 million in 2024. The increase was primarily attributable to (i) an increase of RMB13.9 million in material costs related to our increased R&D activities, (ii) an increase of RMB4.6 million in employee expenses, mainly due to the expansion of our R&D team, (iii) an increase of RMB2.8 million in depreciation and amortization, mainly due to purchases of R&D equipment to support our product development, and (iv) an increase of RMB1.7 million in outsourced R&D expenses.

Impairment Losses on Financial Assets, Net of Reversal

We recorded impairment losses on financial assets, net of reversal, of RMB2.9 million in 2023, compared to a reversal of impairment losses on financial assets of RMB2.8 million in 2024. This shift was primarily attributable to the improved aging profile of our trade receivables. In 2023, due to a market downturn of our telecommunications laser chips, we held a relatively higher balance of receivables aged over one year, which resulted in higher impairment provisions. In 2024, driven by market recovery and our enhanced collection efforts, the aging structure of our receivables was improved, leading to a reduction in the required impairment provision.

Finance Income, Net

Our net financial income decreased from RMB21.6 million in 2023 to RMB18.0 million in 2024, primarily attributable to a decrease of RMB3.5 million in interest income, reflecting lower returns on our wealth management products in line with declining market interest rates.

Share of Results of Associate

We recorded share of losses of an associate of RMB1.7 million in 2024, reflecting Guanxin Guangyuan’s initial investment activities and operating expenses.

FINANCIAL INFORMATION

Income Tax (Expense)/Credit

Our income tax credit increased from RMB1.3 million in 2023 to RMB9.2 million in 2024, which was attribute to our recorded loss before tax of RMB15.3 million in 2024, as well as an increase in super-deduction of research and development expenses.

Profit/(Loss) for the Year

For the foregoing reasons, we recorded a net loss of RMB6.1 million in 2024, while we recorded a net profit of RMB19.5 million in 2023.

DESCRIPTION OF CERTAIN KEY ITEMS OF CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

The following table sets forth a breakdown of our consolidated statements of financial position as of the dates indicated:

	As of December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Non-current assets			
Property, plant and equipment	550,678	576,011	828,777
Right-of-use assets	13,365	15,431	74,803
Intangible assets	5,445	5,142	3,317
Investments in an associate	30,002	118,313	134,373
Financial assets at fair value through other comprehensive income (“FVOCI”)	—	—	31,291
Deferred tax assets	—	4,663	40,760
Prepayments, other receivables and other assets	6,347	16,768	201,990
Total non-current assets	605,837	736,328	1,315,311
Current assets			
Inventories	140,819	122,714	133,696
Trade receivables	99,736	121,028	264,478
Notes receivables	5,154	8,720	24,336
Financial assets at FVOCI	19,408	14,110	5,211
Prepayments, other receivables and other assets	22,219	21,715	19,921
Income tax recoverable	1	1,695	22
Restricted bank deposits	—	40,160	26,379
Cash and cash equivalents	1,343,509	1,081,076	795,896
Total current assets	1,630,846	1,411,218	1,269,939

FINANCIAL INFORMATION

	As of December 31,		
	2023	2024	2025
	<i>RMB'000</i>	<i>RMB'000</i>	<i>RMB'000</i>
Current liabilities			
Trade payables	26,001	22,519	52,632
Notes payables	—	—	20,548
Other payables and accruals	66,262	28,394	98,156
Contract liabilities	2,098	1,452	1,862
Lease liabilities	908	938	4,812
Provisions	—	646	693
Total current liabilities	95,269	53,949	178,703
Net current assets	1,535,577	1,357,269	1,091,236
Total assets less current liabilities	2,141,414	2,093,597	2,406,547
Non-current liabilities			
Lease liabilities	980	3,413	62,521
Provisions	3,749	282	1,141
Deferred income	15,481	17,135	10,600
Deferred tax liabilities	4,516	—	—
Total non-current liabilities	24,726	20,830	74,262
Net Assets	2,116,688	2,072,767	2,332,285

Property, Plant and Equipment

Our property, plant and equipment primarily consist of property and buildings, machinery and equipment, motor vehicles, tools and office equipment, leasehold improvements and construction in progress. Our property and buildings primarily consist of our production facilities and office buildings. Our machinery and equipment primarily consist of our equipment used in R&D and production of our laser chip products. Our construction in progress primarily consists of production equipment and facilities under construction for our expansion strategy.

Our property, plant and equipment increased from RMB550.7 million as of December 31, 2023 to RMB576.0 million as of December 31, 2024, primarily due to an addition to machinery and equipment in 2024 to support our capacity expansion.

Our property, plant and equipment further increased from RMB576.0 million as of December 31, 2024 to RMB828.8 million as of December 31, 2025, primarily due to an addition to construction in progress and an addition to machinery and equipment in 2025 driven by our ongoing capacity expansion to meet the growing market demand, including facility expansion and continued equipment procurement and installation.

FINANCIAL INFORMATION

Right-of-Use Assets

Our right-of-use assets represent the land use rights we acquired and our leased properties. Our right-of-use assets increased from RMB13.4 million as of December 31, 2023 to RMB15.4 million as of December 31, 2024, and further to RMB74.8 million as of December 31, 2025, primarily because we entered into new lease agreements.

Investments in an Associate

Investment in an associate mainly related to our holding of equity stake in Guanxin Guangyuan. Our investments in an associate increased from RMB30.0 million as of December 31, 2023 to RMB118.3 million as of December 31, 2024, primarily due to the completion our total committed capital contribution in 2024. Our investments in an associate further increased to RMB134.4 million as of December 31, 2025, primarily due to an increase in our share of results of Guanxin Guangyuan, which was mainly driven by fair value gains arising from the appreciation in the valuations of certain investee companies held by Guanxin Guangyuan.

Prepayments, Other Receivables and Other Assets

Our prepayments, other receivables and other assets primarily consist of (i) prepayments for property, plant and equipment, which primarily represent advance payments made to equipment suppliers for the purchase of production and R&D equipment, (ii) other tax receivables, which primarily represent value-added tax recoverable in connection with our purchases of equipment and materials, (iii) prepayments to suppliers, which represent deposits paid to suppliers as advance payments, and (iv) deferred listing expenses. The following table sets forth a breakdown of our prepayments, other receivables and other assets as of the dates indicated:

	As of December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Non-current portion			
Prepayments for property, plant and equipment	6,347	16,768	201,990
Current portion			
Prepayments	677	355	1,285
Other tax receivables	18,006	14,831	2,317
Prepayments to suppliers	3,447	6,492	8,362
Deferred listing expenses	—	—	7,950
Others	89	37	7
	<u>22,219</u>	<u>21,715</u>	<u>19,921</u>
Total	<u>28,566</u>	<u>38,483</u>	<u>221,911</u>

Our prepayments, other receivables and other assets increased by from RMB28.6 million as of December 31, 2023 to RMB38.5 million as of December 31, 2024 and further to RMB221.9 million as of December 31, 2025, primarily due to an increase in the non-current portion of prepayments for property, plant and equipment, mainly reflecting advance payments made for new production equipment to support our capacity expansion, partially offset by a decrease in other tax receivables, mainly due to the reduction in deductible input VAT as our revenue continuously increased.

FINANCIAL INFORMATION

Inventories

Our inventories consist of (i) raw materials, which primarily include substrates and other purchased materials for production, (ii) work in progress, which represents wafers and chips at various stages of the manufacturing process, (iii) finished goods, which represent finished laser chips ready for delivery to customers, and (iv) goods in transit, less write-downs of inventories, which represent provisions for obsolete or slow-moving inventories. The following table sets forth the breakdown of our inventories as of the dates indicated:

	As of December 31,		
	2023	2024	2025
	<i>RMB'000</i>	<i>RMB'000</i>	<i>RMB'000</i>
Raw materials	6,042	5,676	31,939
Work in progress	77,231	89,530	66,992
Finished goods	72,903	53,680	50,223
Goods in transit	1,343	1,055	4,315
Total	157,519	149,941	153,469
Less: write-downs of inventories	(16,700)	(27,227)	(19,773)
Net amount	140,819	122,714	133,696

We actively manage our inventory to avoid under- or over-stocking. Our production schedules are largely order-oriented and, therefore, we are generally not exposed to significant over-stocking risk. Based on our production and sales progress, we review our inventory levels and adjust our raw material procurement budget plans on a regular basis to maintain our inventory of raw materials at an appropriate level. We did not experience any material shortage or accumulation of inventory during the Track Record Period.

Our inventories decreased from RMB140.8 million as of December 31, 2023 to RMB122.7 million as of December 31, 2024, primarily due to (i) a decrease of RMB19.2 million in finished goods, reflecting improved sales in line with market recovery, and (ii) an increase of RMB10.5 million in write-downs of inventories, primarily attributable to the impact of rapid technological iteration, leading to a decline in the market prices and demand of certain products. This was partially offset by an increase of RMB12.3 million in work in progress, reflecting our increased production of EMLs and CW lasers.

Our inventories increased from RMB122.7 million as of December 31, 2024 to RMB133.7 million as of December 31, 2025, primarily due to (i) an increase of RMB26.3 million in raw materials, primarily attributable to strategic stockpiling of key raw materials to support production scale-up, and (ii) a decrease of RMB7.5 million in write-downs of inventories, primarily due to the optimization of our inventory mix; partially offset by a decrease of RMB22.5 million in work in progress, primarily because (i) data center products, which generally have faster turnover, accounted for a higher proportion of our sales volume, and (ii) we continued to ship telecommunications products, which reduced the related work in progress.

FINANCIAL INFORMATION

The following table sets forth an aging analysis of our inventories as of the dates indicated:

	As of December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Within 1 year	145,859	113,627	123,011
1 to 2 years	9,474	28,897	13,159
2 to 3 years	2,080	5,460	10,166
Over 3 years	106	1,957	7,133
Total	157,519	149,941	153,469

The following table sets forth our inventory turnover days for the years indicated:

	For the year ended December 31,		
	2023	2024	2025
Inventory turnover days ⁽¹⁾	414	245	173

Note:

- (1) Calculated as the average of the beginning and ending balance of inventories for the period divided by the cost of sales for that period and multiplied by the number of days in the relevant period, which is 360 days for each year.

Our inventory turnover days decreased from 414 days in 2023 to 245 days in 2024, primarily due to our improved sales performance resulting from the recovery of market demand. Our inventory turnover days further decreased to 173 days in 2025, primarily because of (i) our optimized portfolio of laser chip products, and (ii) increased production efficiency, enabling more frequent inventory turns and better alignment with customer demand.

As of January 31, 2026, approximately RMB26.1 million, or 19.5%, of our inventories as of December 31, 2025 had been subsequently sold or utilized.

Trade Receivables

Our trade receivables primarily represent balances due from our customers for sales of our products. We typically grant our customers a credit term of 30 to 90 days from the invoice date. The extension of credit period to our customers may be granted on a discretionary basis by considering customer type, the current creditworthiness and the customer’s financial condition and payment history with us. In addition, we seek to maintain strict credit control over our outstanding receivables, and we continuously monitor and minimize our credit risk. We recognize impairment for our overdue trade receivables under the ECL model.

FINANCIAL INFORMATION

The following table sets forth the breakdown of our trade receivables as of the dates indicated:

	As of December 31,		
	2023	2024	2025
	<i>RMB'000</i>	<i>RMB'000</i>	<i>RMB'000</i>
Third parties	112,339	131,946	281,074
Related parties	1,246	—	—
Less: loss allowance for trade receivables	(13,849)	(10,918)	(16,596)
Total	99,736	121,028	264,478

Our trade receivables increased from RMB99.7 million as of December 31, 2023 to RMB121.0 million as of December 31, 2024 and further to RMB264.5 million as of December 31, 2025, which was in line with our business growth.

Our management recognizes loss allowance for trade receivables based on an assessment of the present value of all expected cash shortfalls between the contractual and expected amounts. These estimates are based on the information about past events, current conditions and forecasts of future economic conditions. Our management reassesses the loss allowance at the end of each period in the Track Record Period. As of December 31, 2023, 2024 and 2025, we had loss allowance for our trade receivables of RMB13.8 million, RMB10.9 million and RMB16.6 million, respectively.

In order to enhance the collection of trade receivables, our finance team closely monitors payment collection and prepares aging reports showing the customers' overdue amounts for management review. Our sales team also evaluates such overdue invoices on a case-by-case basis and follows up with customers to facilitate collection. For key customers, we may implement tailored collection plans to facilitate timely settlement. We generally endeavor to resolve overdue balances through friendly negotiation in order to preserve long-term customer relationships. Where collection remains challenging, we may temporarily delay or suspend further shipments until outstanding balances are resolved. If payment is not settled despite these efforts, we may pursue legal remedies to recover the outstanding balances.

The following table sets forth an aging analysis of our trade receivables based on recognition date as of the dates indicated:

	As of December 31,		
	2023	2024	2025
	<i>RMB'000</i>	<i>RMB'000</i>	<i>RMB'000</i>
Within 1 year	69,486	118,824	264,364
1 to 2 years	30,250	226	114
2 to 3 years	—	1,978	—
Total	99,736	121,028	264,478

During the Track Record Period, the majority of our trade receivables were less than one year. In the same periods, we maintained effective communication with our customers, and no recoverability issue was identified.

FINANCIAL INFORMATION

The following table sets forth our trade receivables turnover days for the years indicated:

	As of December 31,		
	2023	2024	2025
Trade receivables turnover days ⁽¹⁾	307	158	115

Note:

- (1) Trade receivables turnover days for a period equals to the average of opening and ending trade receivables balance divided by revenue for the relevant period and multiplied by the number of days in the relevant period, which is 360 days for each year.

The trade receivable turnover days indicate the average time required for us to collect payments. Our trade receivables turnover days decreased from 307 days in 2023 to 158 days in 2024, primarily due to (i) improved customer payment capabilities following the market recovery, and (ii) our strengthened credit management and collection efforts. Our trade receivables turnover days further decreased to 115 days in 2025, primarily due to (i) a higher revenue contribution from data center products, whose customers generally settle payments on a timely basis, (ii) stronger market demand for our products, which supported faster sales and collection cycles, and (iii) our strengthened credit management and collection efforts.

As of January 31, 2026, RMB89.3 million, or 31.8%, of our gross trade receivables as of December 31, 2025 had been subsequently settled.

Financial Assets at Fair Value through Other Comprehensive Income (“FVOCI”)

Our financial assets at FVOCI consist of non-current investments in an unlisted company and current bank acceptance notes for current portion. Our financial assets at FVOCI decreased from RMB19.4 million as of December 31, 2023 to RMB14.1 million as of December 31, 2024, primarily due to our enhanced liquidity management, whereby we utilized bank acceptance notes to settle trade payables through endorsement to suppliers. Our financial assets at FVOCI increased from RMB14.1 million as of December 31, 2024 to RMB36.5 million as of December 31, 2025, primarily due to our equity investments in a technology company.

Cash and Cash Equivalents

Our cash and cash equivalents primarily consisted of (i) cash and bank balance, (ii) time deposits and (iii) deposits with other financial institutions.

Our cash and cash equivalents decreased from RMB1,343.5 million as of December 31, 2023 to RMB1,081.1 million as of December 31, 2024, and further to RMB795.9 million as of December 31, 2025. The decreases primarily reflected cash outflows to support business expansion in response to growing market demand, including capital expenditures for capacity expansion and equity investments. For details, please see “— Liquidity and Capital Resources — Consolidated Statements of Cash Flows.”

FINANCIAL INFORMATION

Trade Payables

Our trade payables represent the outstanding amounts due to our suppliers. The following table sets forth the breakdown of our trade payables as of the dates indicated:

	As of December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Third parties	25,983	22,519	52,632
Related parties	18	—	—
Total	26,001	22,519	52,632

Our trade payables decreased from RMB26.0 million as of December 31, 2023 to RMB22.5 million as of December 31, 2024, primarily due to normal fluctuations in procurement activities.

Our trade payables increased from RMB22.5 million as of December 31, 2024 to RMB52.6 million as of December 31, 2025, primarily due to higher raw material procurement in line with our business growth.

In terms of payment, we are generally granted by our suppliers a credit term of 30 to 90 days. The following table sets forth an aging analysis of our trade payables based on recognition date as of the dates indicated:

	As of December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Within 1 year	23,736	22,313	52,377
1 to 2 years	2,102	20	126
2 to 3 years	4	25	18
Over 3 years	159	161	111
Total	26,001	22,519	52,632

The following table sets forth our trade payables turnover days for the years indicated:

	As of December 31,		
	2023	2024	2025
Trade payables turnover days ⁽¹⁾	97	45	51

Note:

- (1) Trade payables turnover days for a period equals to the opening and ending trade payables balance divided by cost of sales for the relevant period and multiplied by the number of days in the relevant period, which is 360 days for each year.

FINANCIAL INFORMATION

Our trade payables turnover days decreased from 97 days in 2023 to 45 days in 2024, and then increased to 51 days in 2025. The decrease in trade payables turnover days from 2023 to 2024 primarily reflects our increased cost of sales driven by our increased sales of both data center laser chips and telecommunications laser chips, while trade payables remained relatively stable as production levels were maintained. The increase in trade payables turnover days from 2024 to 2025 is primarily due to our increased procurement and stockpiling of key raw materials to ensure continuous and stable production, which led to a higher growth rate in trade payables compared to cost of sales.

As of January 31, 2026, RMB14.3 million, or approximately 27.2%, of our trade payables as of December 31, 2025 had been subsequently settled.

Other Payables and Accruals

Our other payables and accruals primarily consist of (i) salary payable, which mainly represents accrued bonus and compensation payable to employees at the period end, (ii) notes receivables endorsed and not yet matured, which represent commercial acceptance notes that we endorsed to suppliers for payment but have not yet matured, (iii) other tax payable, which mainly represents accrued value-added tax, withholding income tax and other taxes payable, and (iv) payables for property, plant and equipment, (v) services fee payable incurred during the ordinary course of business, and (vi) payables for [REDACTED].

The following table sets forth the breakdown of our other payables and accruals as of the dates indicated:

	As of December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Salary payable	6,365	9,583	19,975
Notes receivables endorsed and not matured	—	5,339	24,200
Other tax payables	1,117	929	2,909
Payables for property, plant and equipment	57,333	6,454	35,753
Services fee payable	950	5,533	6,811
Payables for [REDACTED]	—	—	7,760
Others	497	556	748
Total	66,262	28,394	98,156

FINANCIAL INFORMATION

Our other payables and accruals decreased from RMB66.3 million as of December 31, 2023 to RMB28.4 million as of December 31, 2024, primarily due to a decrease of RMB50.9 million in payables for property, plant and equipment, which was attributable to the timing of the final settlement for the construction of a company building, partially offset by (i) an increase of RMB5.3 million of notes receivables endorsed and not matured, to settle supplier payments, and (ii) an increase of RMB4.6 million of services fee payable, mainly due to increased requirements for specialized services to support our business operations.

Our other payables and accruals increased from RMB28.4 million as of December 31, 2024 to RMB98.2 million as of December 31, 2025, primarily due to (i) an increase of RMB29.3 million in payables for property, plant and equipment, which was attributable to the increased equipment procurement, (ii) an increase of RMB18.9 million in notes receivables endorsed and not matured, which was related to the timing of settlement cycles for commercial acceptance bills endorsed to suppliers, and (iii) an increase of RMB10.4 million in salary payable, which was attributable to higher year-end bonuses accrued in line with improved business performance.

As of January 31, 2026, RMB45.9 million, or 46.8%, of our other payables and accruals as of December 31, 2025 had been subsequently settled.

Deferred Income

Our deferred income represented unamortized conditional incentives related to specific projects or capital expenditures. Our deferred income increased from RMB15.5 million as of December 31, 2023 to RMB17.1 million as of December 31, 2024, primarily due to the receipt of incentives which would be recognized at a later stage. Our deferred income decreased from RMB17.1 million as of December 31, 2024 to RMB10.6 million as of December 31, 2025, primarily due to the recognition of certain incentives as other income during the year.

LIQUIDITY AND CAPITAL RESOURCES

Our primary uses of cash during the Track Record Period were to fund our operation, capital expenditure and general working capital needs. Historically, we had financed our operations and other capital requirements primarily through equity financing and cash generated from our business operations. Our anticipated cash needs primarily include costs associated with R&D activities, manufacturing activities, production capacity expansion and daily operations. We expect to fund our future working capital and other cash requirements with cash generated from our operations, the [REDACTED] from [REDACTED] and, when necessary, bank and other borrowings.

As of December 31, 2023, 2024 and 2025, we had cash and cash equivalents of RMB1,332.7 million, RMB1,077.5 million and RMB795.9 million, respectively. As of January 31, 2026, the latest practicable date for determining our indebtedness, we had cash and cash equivalent of RMB655.4 million.

FINANCIAL INFORMATION

Consolidated Statements of Cash Flows

The following table sets forth a summary of our cash flows for the years indicated:

	For the year ended December 31,		
	2023	2024	2025
	<i>RMB'000</i>	<i>RMB'000</i>	<i>RMB'000</i>
Net cash (used in)/from operating activities	(17,399)	18,960	150,236
Net cash used in investing activities	(37,777)	(231,663)	(403,923)
Net cash used in financing activities	(27,020)	(42,600)	(16,767)
Net decrease in cash and cash equivalents	(82,196)	(255,303)	(270,454)
Effect of exchange rate changes	(70)	128	(11,125)
Cash and cash equivalents at beginning of the year	1,414,916	1,332,650	1,077,475
Cash and cash equivalents at the end of the year	1,332,650	1,077,475	795,896

Net cash (used in)/from operating activities

In 2025, our net cash from operating activities was RMB150.2 million, primarily due to our profit before tax of RMB213.8 million, income tax refunded of RMB1.7 million and interest received of RMB18.6 million, as adjusted by (i) certain non-cash and non-operating items, which primarily included depreciation of property, plant and equipment of RMB58.2 million, share-based payments expenses of RMB32.2 million, share of results of associate of RMB14.0 million and finance income, net of RMB12.9 million, and (ii) changes in working capital that positively affected our cash flows, which primarily included an increase in other payables and accruals of RMB52.3 million and an increase in trade payables of RMB34.7 million; partially offset by changes in working capital that negatively affected our cash flows, which primarily included an increase in trade receivables of RMB149.1 million and an increase in notes receivables of RMB90.2 million.

In 2024, our net cash from operating activities was RMB19.0 million, primarily due to our loss before tax of RMB15.3 million, income tax paid of RMB1.7 million and interest received of RMB25.4 million, as adjusted by (i) certain non-cash and non-operating items, which primarily included depreciation of property, plant and equipment of RMB47.5 million, written down of inventories of RMB22.3 million, and finance income, net of RMB18.0 million, and (ii) changes in working capital that positively affected our cash flows, which primarily included an increase in other payables and accruals of RMB22.6 million; partially offset by changes in working capital that negatively affected our cash flows, which primarily included an increase in notes receivables of RMB43.5 million and an increase in trade receivables of RMB18.4 million.

FINANCIAL INFORMATION

In 2023, our net cash used in operating activities was RMB17.4 million, primarily due to our profit before tax of RMB18.2 million, income tax refunded of RMB0.6 million and interest received of RMB15.4 million, as adjusted by (i) certain non-cash and non-operating items, which primarily included depreciation of property, plant and equipment of RMB39.7 million, written down of inventories of RMB18.0 million, and finance income, net of RMB21.6 million; and (ii) changes in working capital that positively affected our cash flows, which primarily included a decrease in trade receivables of RMB43.6 million and an increase in other payables and accruals of RMB16.4 million; partially offset by changes in working capital that negatively affected our cash flows, which primarily included an increase in inventories of RMB62.9 million, an increase in notes receivables of RMB30.0 million and a decrease in trade payable of RMB23.8 million.

Net cash used in investing activities

In 2025, our net cash used in investing activities was RMB403.9 million, primarily due to (i) purchase of property, plant and equipment of RMB409.4 million, and (ii) purchase of financial assets at FVTPL of RMB228.2 million, partially offset by proceeds from disposal of financial assets at FVTPL of RMB228.5 million.

In 2024, our net cash used in investing activities was RMB231.7 million, primarily due to (i) purchase of financial assets at FVTPL of RMB1,205.1 million, (ii) purchase of property, plant and equipment of RMB105.4 million, and (iii) capital injection to an associate of RMB90.0 million, partially offset by proceeds from disposal of financial assets at FVTPL of RMB1,169.3 million.

In 2023, our net cash used in investing activities was RMB37.8 million, primarily due to (i) purchase of financial assets at FVTPL of RMB1,510.0 million and (ii) purchase of property, plant and equipment of RMB62.4 million, partially offset by proceeds from disposal of financial assets at FVTPL of RMB1,569.4 million.

Net cash used in financing activities

In 2025, our net cash used in financing activities was RMB16.8 million, primarily due to dividends paid to owners of our Company of RMB42.7 million, partially offset by proceeds from issues of shares, net of issuance cost of RMB29.0 million.

In 2024, our net cash used in financing activities was RMB42.6 million, primarily due to (i) repurchase of shares of RMB55.4 million and (ii) dividends paid to owners of our Company of RMB8.5 million, partially offset by proceeds from issues of shares, net of issuance cost, of RMB22.5 million.

In 2023, our net cash used in financing activities was RMB27.0 million, primarily due to (i) dividends paid to owners of our Company of RMB39.4 million and (ii) repayment of accrued share issuance expenses of RMB17.3 million, partially offset by proceeds from issues of shares, net of issuance cost, of RMB30.6 million.

FINANCIAL INFORMATION

Current Assets and Current Liabilities

The following table sets forth our current assets and current liabilities of the statements of financial position as of the respective dates indicated:

	As of December 31,			As of January 31,
	2023	2024	2025	2026
	RMB'000	RMB'000	RMB'000	RMB'000
				(Unaudited)
Current assets				
Inventories	140,819	122,714	133,696	144,100
Trade receivables	99,736	121,028	264,478	297,610
Notes receivables	5,154	8,720	24,336	22,946
Financial assets at FVOCI	19,408	14,110	5,211	2,166
Prepayments, other receivables and other assets	22,219	21,715	19,921	65,254
Income tax recoverable	1	1,695	22	1
Restricted bank deposits	—	40,160	26,379	31,222
Cash and cash equivalents	1,343,509	1,081,076	795,896	655,353
Total current assets	1,630,846	1,411,218	1,269,939	1,218,652
Current liabilities				
Trade payables	26,001	22,519	52,632	66,612
Notes payables	—	—	20,548	31,074
Other payables and accruals	66,262	28,394	98,156	73,069
Contract liabilities	2,098	1,452	1,862	1,888
Lease liabilities	908	938	4,812	5,329
Provisions	—	646	693	693
Total current liabilities	95,269	53,949	178,703	178,665
Net current assets	1,535,577	1,357,269	1,091,236	1,039,987

Our net current assets decreased from RMB1,535.6 million as of December 31, 2023 to RMB1,357.3 million as of December 31, 2024, primarily due to (i) a decrease of RMB262.4 million in cash and cash equivalents, primarily reflecting cash outflows to support business expansion in response to growing market demand, including capital expenditures for capacity expansion and equity investments, and (ii) a decrease in inventories of RMB18.1 million, primarily attributable to improved sales in line with market recovery and the impact of rapid technological iteration, leading to a decline in the market prices and demand of certain products, partially offset by a decrease in other payables and accruals of RMB37.9 million, primarily attributable to the timing of the final settlement for the construction of a company building.

Our net current assets further decreased from RMB1,357.3 million as of December 31, 2024 to RMB1,091.2 million as of December 31, 2025, primarily due to (i) a decrease of RMB285.2 million in cash and cash equivalents, primarily reflecting cash outflows to support business expansion in response to growing market demand, including capital expenditures for capacity expansion and equity investments, and (ii) an increase of RMB69.8 million in other payables and accruals, primarily attributable to the increased equipment procurement, partially offset by an increase of RMB143.5 million in trade receivables, primarily due to our business growth.

FINANCIAL INFORMATION

Our net current assets decreased from RMB1,091.2 million as of December 31, 2025 to RMB1,040.0 million as of January 31, 2026, primarily due to a decrease of RMB140.5 million in cash and cash equivalents, primarily attributable to reflecting cash outflows to support business expansion in response to growing market demand, including capital expenditures for capacity expansion, partially offset by (i) an increase of RMB45.3 million in prepayments, other receivables and other assets, primarily attributable to advance payments for equipment procurement to support our capacity expansion, and (ii) an increase of RMB33.1 million in trade receivables, primarily attributable to our business growth.

INDEBTEDNESS

The following table sets forth a breakdown of our indebtedness as of the dates indicated:

	As of December 31,			As of January 31,
	2023	2024	2025	2026
	RMB'000	RMB'000	RMB'000	RMB'000
				(Unaudited)
Lease liabilities	1,888	4,351	67,333	66,453
Total	1,888	4,351	67,333	66,453

Lease liabilities represent the present value of outstanding lease payments under our lease agreements. The following table sets forth our lease liabilities as of the dates indicated:

	As of December 31,			As of January 31,
	2023	2024	2025	2026
	RMB'000	RMB'000	RMB'000	RMB'000
				(Unaudited)
Current	908	938	4,812	5,329
Non-current	980	3,413	62,521	61,124
Total	1,888	4,351	67,333	66,453

During the Track Record Period, our lease liabilities were primarily incurred in relation to our lease of land and buildings used for manufacturing plant and office. As of December 31, 2023, 2024, 2025 and January 31, 2026, our total lease liabilities amounted to RMB1.9 million, RMB4.4 million, RMB67.3 million, and RMB66.5 million, respectively.

As of January 31, 2026, we had unutilized banking facilities of RMB34.5 million.

Except as disclosed above and as otherwise disclosed in this document, as of January 31, 2026, being our indebtedness statement date, we did not have any outstanding mortgages, charges, debentures, other issued debt capital, bank overdrafts, borrowings, liabilities under acceptance or other similar indebtedness, hire purchase commitments, guarantees or other material contingent liabilities. Our Directors have confirmed that there is no material change in our indebtedness since January 31, 2026 and up to the Latest Practicable Date.

FINANCIAL INFORMATION

KEY FINANCIAL RATIOS

The following table sets forth our key financial ratios as of and for the period indicated:

	As of/for the year ended December 31,		
	2023	2024	2025
Gross profit margin	28.7%	23.4%	55.7%
Revenue growth rate ⁽¹⁾	N/A	74.6%	138.5%
Current ratio ⁽²⁾	17.1	26.2	7.1
Quick ratio ⁽³⁾	15.6	23.9	6.4
Liability-to-asset ratio ⁽⁴⁾	5.4%	3.5%	9.8%
Net profit/(loss) margin	13.5%	(2.4%)	31.7%
Adjusted net profit/(loss) margin (non-IFRS measure) ⁽⁵⁾	15.9%	(1.0%)	37.1%

Notes:

- (1) Revenue growth rate is calculated as the year-on-year growth rate of revenue.
- (2) Current ratio equals current assets divided by current liabilities as of the relevant year end.
- (3) Quick ratio equals current assets excluding inventories divided by current liabilities as of the relevant year end.
- (4) Liability-to-asset ratio was calculated by dividing total liabilities by total assets.
- (5) Adjusted net profit/(loss) margin (non-IFRS measure) represents adjusted net profit/(loss) for the year (non-IFRS measure) divided by revenue for the same year and multiplied by 100%.

Gross Profit Margin

In 2023, 2024 and 2025, our gross profit margin was 28.7%, 23.4% and 55.7%, respectively. For details, see “— Year to Year Comparison of Results of Operations.”

Revenue growth rate

In 2024 and 2025, our revenue growth rate was 74.6% and 138.5%, respectively. For details, see “— Year to Year Comparison of Results of Operations — Year Ended December 31, 2025 Compared to Year Ended December 31, 2024 — Revenue” and “— Year to Year Comparison of Results of Operations — Year Ended December 31, 2024 Compared to Year Ended December 31, 2023 — Revenue.”

Current Ratio

Our current ratio increased significantly from 17.1 times as of December 31, 2023 to 26.2 times as of December 31, 2024, primarily because the reduction in current liabilities outpaced the changes in our current assets.

Our current ratio decreased from 26.2 times as of December 31, 2024 to 7.1 times as of December 31, 2025, primarily because the reduction in current assets outpaced the changes in our current liabilities.

FINANCIAL INFORMATION

For details on the reasons for changes in our current assets and current liabilities, see “— Description of Certain Key Items of Consolidated Statements of Financial Position.”

Quick Ratio

Our quick ratio increased significantly from 15.6 times as of December 31, 2023 to 23.9 times as of December 31, 2024. Our quick ratio decreased from 23.9 times as of December 31, 2024 to 6.4 times as of December 31, 2025. Our quick ratio generally followed the trend of our current ratio and the changes were for the same reason.

For details on the reasons for changes in our current assets and current liabilities, see “— Description of Certain Key Items of Consolidated Statements of Financial Position.”

Liability-to-asset Ratio

Our liability-to-asset ratio decreased from 5.4% in 2023 to 3.5% in 2024, primarily because the reduction in our liabilities outpaced the changes in our assets.

Our liability-to-asset ratio increased from 3.5% in 2024 to 9.8% in 2025, primarily because the reduction in our assets outpaced the changes in our liabilities.

For details on the reasons for changes in our assets and liabilities, see “— Description of Certain Key Items of Consolidated Statements of Financial Position.”

Net Profit/(Loss) Margin

We recorded net profit margin of 13.5% in 2023, net loss margin of 2.4% in 2024, and net profit margin of 31.7% in 2025. For a detailed analysis of our net profit/(loss) margin, see “— Year to Year Comparison of Results of Operations.”

Adjusted Net Profit/(Loss) Margin (Non-IFRS Measure)

We recorded adjusted net profit margin of 15.9% in 2023, adjusted net loss margin of 1.0% in 2024, and adjusted net profit margin of 37.1% in 2025. See “— Description of Certain Consolidated Statements of Profit or Loss and Other Comprehensive Income Items — Non-IFRS Measure” for details.

WORKING CAPITAL SUFFICIENCY

Our Directors are of the view that, taking into account our available resources including cash and cash equivalents on hand and the net estimated [REDACTED] from the [REDACTED], we have sufficient working capital for our present requirements and for the next 12 months from the date of this document.

FINANCIAL INFORMATION

CAPITAL EXPENDITURE AND COMMITMENTS

Capital Expenditure

Our capital expenditure during the Track Record Period primarily consisted of (i) purchase of property, plant and equipment, and (ii) purchase of intangible assets. The details of our capital expenditure during the Track Record Period are summarized as follows.

	For the year ended December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Purchase of property, plant and equipment	62,366	105,412	409,374
Purchase of intangible assets	4,863	533	45
Total	67,229	105,945	409,419

Capital Commitments

Our capital commitments primarily relate to purchase of property, plant and equipment contracted but not provided for. Our capital commitments were RMB30.2 million, RMB27.6 million and RMB488.8 million as of December 31, 2023, 2024 and 2025, respectively.

CONTINGENT LIABILITIES

As of December 31, 2023, 2024 and 2025, and January 31, 2026, being the latest practicable date for the purpose of the indebtedness statement, we did not have any material contingent liabilities. Our Directors confirmed that there had not been any material change in the contingent liabilities of our Company since January 31, 2026 and up to the Latest Practicable Date.

RELATED PARTY TRANSACTIONS

We enter into transactions with our related parties from time to time. For details about our related party transactions during the Track Record Period, see Note 45 to the Accountants' Report in Appendix I to this document.

Our Directors believe that our transactions with related parties during the Track Record Period were conducted on an arm's-length basis, and they did not distort our results of operations or make our historical results not reflective of our future performance.

FINANCIAL INFORMATION

OFF-BALANCE SHEET COMMITMENTS AND ARRANGEMENTS

As of the Latest Practicable Date, we did not have any material off-balance sheet commitments or arrangements.

RISK DISCLOSURES

We are exposed to various market risks, including credit risk, market risk, currency risk, and liquidity risk. For details of our risks associated with the financial instruments and the policies on how to mitigate these risks, please refer to Note 42 to the Accountants’ Report included in Appendix I to this document.

DIVIDENDS

During the Track Record Period, we paid dividends of RMB39.4 million, RMB8.5 million and RMB42.7 million in 2023, 2024 and 2025, respectively.

Pursuant to our Articles of Association and in accordance with the PRC Company Law and the No. 3 Guideline for the Supervision of Listed Companies — Cash Dividend Distribution of Listed Companies (2025 Revision) (上市公司監管指引第3號 — 上市公司現金分紅(2025年修訂)), we have adopted a general annual dividend policy, according to which we may declare dividend by way of cash dividends, stock dividends, or a combination of cash and stock dividends. We prioritize cash dividends. Where specific conditions are met, we shall distribute cash dividends over the past three years in an amount not less than 30% of the average annual distributable profit we realized over the same periods after making the required appropriations to statutory reserves. The aforementioned specific conditions include: (i) we have realized positive distributable profits for the relevant year; (ii) our cumulative distributable profits as of such year remain positive; (iii) our auditors are able to issue an unconditioned opinion on our financial statements for the relevant year; (iv) we have sufficient capital resources, profitability and cash flow to support our ongoing and long-term operations; (v) we do not anticipate any material investment plans or capital expenditures in the next twelve months (excluding investment of raised funds); and (vi) there are no other material circumstances that would cause our shareholders’ meeting to approve a resolution not to distribute cash dividends. However, any proposed distribution of dividends is subject to the discretion of our Board and the approval at our Shareholders’ meetings. Our Board may recommend a distribution of dividends in the future after taking into account our results of operations, financial condition, operating requirements, capital requirements, shareholders’ interests and any other conditions that our Board may deem relevant.

DISTRIBUTABLE RESERVES

As of December 31, 2025, we had retained earnings of RMB278.0 million, which were available for distribution to Shareholders.

[REDACTED]

[REDACTED] represent professional fees, [REDACTED], and other fees incurred in connection with the [REDACTED]. We estimate that our [REDACTED] will be approximately HK\$[REDACTED] (assuming an [REDACTED] of HK\$[REDACTED] per Share, being the mid-point of the indicative [REDACTED] range of HK\$[REDACTED] to HK\$[REDACTED] per Share), representing approximately [REDACTED]% of the estimated [REDACTED] from the [REDACTED] assuming no Shares are issued pursuant to the [REDACTED]. The [REDACTED]

FINANCIAL INFORMATION

consist of (i) [REDACTED]-related expenses, including [REDACTED], of approximately HK\$[REDACTED], and (ii) non-[REDACTED]-related expenses of approximately HK\$[REDACTED], comprising (a) fees and expenses of legal advisors and reporting accountants of approximately HK\$[REDACTED], and (b) other fees and expenses of approximately HK\$[REDACTED]. Approximately HK\$[REDACTED] (equivalent to approximately RMB[REDACTED]) of the estimated [REDACTED] is directly attributable to the [REDACTED] and will be accounted for as a deduction from equity upon completion of the [REDACTED]. Approximately HK\$[REDACTED] (equivalent to approximately RMB[REDACTED]) is expected to be charged in profit or loss before or upon completion of the [REDACTED]. We do not believe any of the above fees or expenses are material or are unusually high for our Group. The [REDACTED] above are the latest practicable estimate for reference only, and the actual amount may differ from this estimate.

UNAUDITED [REDACTED] STATEMENT OF ADJUSTED NET TANGIBLE ASSETS

See “Appendix II — Unaudited [REDACTED] Financial Information.”

NO MATERIAL ADVERSE CHANGE

After performing sufficient due diligence work that our Directors consider appropriate and after due and careful consideration, our Directors confirm that, up to the date of this document, there has been no material adverse change in our financial or trading position or prospects since December 31, 2025, being the latest balance sheet date of our consolidated financial statements as set out in the Accountants’ Report in Appendix I to this document, and there is no event since December 31, 2025 that would materially affect the information as set out in the Accountants’ Report in Appendix I to this document.

DISCLOSURE UNDER THE LISTING RULES

Our Directors confirm that as of the Latest Practicable Date, they were not aware of any circumstance that would give rise to a disclosure requirement under Rules 13.13 to 13.19 of the Listing Rules.

FUTURE PLANS AND [REDACTED]

FUTURE PLANS

For details of our future plans, see “Business — Growth Strategies.”

[REDACTED]

We estimate that we will receive [REDACTED] from the [REDACTED] of approximately HK\$[REDACTED], after deducting [REDACTED], fees and estimated expenses payable by us in connection with the [REDACTED], and based on an [REDACTED] of HK\$[REDACTED] per Share, being the mid-point of the indicative [REDACTED] range stated in this document, assuming that the [REDACTED] is not exercised.

We intend to apply such [REDACTED] from the [REDACTED] for the following purposes:

- Approximately [REDACTED]% of the [REDACTED], or approximately HK\$[REDACTED], will be used to strengthen our R&D and testing capabilities and to expand our production capacity of laser chips. We are in a technology-intensive industry, where sustained investment in R&D and testing capabilities is critical to secure our technological advantages in the industry. In particular,
 - o approximately [REDACTED]% of the [REDACTED], or approximately HK\$[REDACTED], will be used to procure the equipment for wafer fabrication, chip processing and testing, which is expected to enhance our R&D tape-out and testing efficiency and expand our production capacity for laser chips. Specifically, (i) approximately [REDACTED]% of the [REDACTED], or approximately HK\$[REDACTED], will be used to procure the equipment covering key processes across the laser chip manufacturing and R&D workflow, including epitaxial growth, photolithography, etching, polishing, dicing and testing; and (ii) approximately [REDACTED]% of the [REDACTED], or approximately HK\$[REDACTED], will be used to procure manufacturing auxiliary equipment to improve cost efficiency through enhanced automated and intelligent manufacturing. In addition to chip design, manufacturing know-how and yield control are also critical in building technological barriers and sustaining competitive advantages in the industry. By enhancing our equipment base to support R&D and manufacturing activities in parallel, we expect to accelerate development cycles, improve yield management and increase effective output capacity to better seize the identified market opportunities for laser chip products.
 - o approximately [REDACTED]% of the [REDACTED], or approximately HK\$[REDACTED], will be used to acquire land and construct manufacturing, R&D and ancillary facilities. In selecting potential sites for new manufacturing and R&D bases, we primarily consider:
 - (i) *production expansion and efficiency*. We prioritize locations that can support large-scale manufacturing capacity, streamline logistics and supply-chain operations, and enhance coordination between production and R&D activities;
 - (ii) *business environment*. We give preference to regions offering, among others, favorable investment incentives and tax benefits, thereby creating an overall business environment conducive to efficient operations and our long-term growth; and
 - (iii) *operating cost efficiency*. With a comprehensive evaluation of property, labor, and utility-related costs, we prioritize locations with robust infrastructure, skilled professionals, and abundant higher-education resources.

FUTURE PLANS AND [REDACTED]

These criteria together aim to ensure that our new facilities are positioned strategically, operated efficiently, and aligned with our long-term global development roadmap.

- o approximately [REDACTED]% of the [REDACTED], or approximately HK\$[REDACTED], will be used to strengthen our R&D capabilities. We will continue to purchase and upgrade software and ongoing expenditure associated with our R&D projects. These expenditures may be used to fund raw materials essential to our R&D activities, the outsourced testing and verification, and R&D-related travel expenses and office expenses. We will also maintain and expand our R&D team. We plan to recruit approximately 160 additional R&D personnel with substantial experience in the R&D of laser chips. We intend to prioritize candidates with relevant academic backgrounds and professional experience, with a view to strengthening our capabilities in the pre-research, design and mass-production introduction of laser chips for high-speed interconnect solutions for data center applications. These investments are expected to enhance our long-term innovation capacity, improve efficiency of product commercialization and iteration, and support the scalability of our high-performance laser chip portfolio.
- o approximately [REDACTED]% of the [REDACTED], or approximately HK\$[REDACTED], will be used to recruit additional manufacturing personnel to support our production capacity expansion. We expect to recruit approximately 640 manufacturing professionals and approximately 40 production management staff. These hires are intended to form a specialized and well-structured manufacturing workforce for improved manufacturing efficiency, delivery time and quality.
- Approximately [REDACTED]% of the [REDACTED], or approximately HK\$[REDACTED], will be used for strategic investments and business synergy initiatives to fully leverage the growth potential of our customer base. We plan to pursue strategic investments and acquisitions of high-quality targets in the optical transceiver and component sectors to achieve a complementary and synergistic product portfolio and to provide integrated solutions to downstream customers. As a leading provider of laser chips, we have established long-term and stable partnerships with several tier-one optical transceiver suppliers in the world. With these strong customer relationships, we enjoy natural advantages in product adoption and, through an expanded and diversified product portfolio, are well-positioned to deliver more comprehensive services, enhance customer loyalty, and consolidate our competitive edge in the industry. As of the Latest Practicable Date, we have not identified any specific investment or acquisition targets.
- Approximately [REDACTED]% of the [REDACTED], or approximately HK\$[REDACTED], will be used to expand our sales and service network and support our marketing activities. In particular,

We will continue to support our market promotion initiatives and efforts on customer relationship management. We plan to establish a sales and service network in key markets and scale up our sales and marketing team to deepen our reach into markets where AI-related products and services flourish. We intend to recruit approximately 56 sales professionals, who possess a solid understanding of our industry and extensive experience in the sales of semiconductor products. We also plan to engage senior sales talents with established industry connections to accelerate customer acquisition and strengthen our

FUTURE PLANS AND [REDACTED]

participation in the AI industry. These initiatives will bring us closer to direct and end-customers, enhance customer engagement and responsiveness, and drive the sustainable expansion of our business within and beyond China.

We will expand our office premises to accommodate the growth of our global sales and service network. We intend to purchase or lease additional properties as our office premises, which will serve as regional hubs for customer engagement, sales coordination and after-sales services, enabling us to provide more efficient and localized support to our customers. We will also continue to enhance our market presence by actively participating in leading global AI and communications industry exhibitions to raise our products’ visibility, stay abreast of industry trends, and accelerate the iteration of our products in line with customers’ evolving performance demand.

- Approximately [REDACTED]% of the [REDACTED], or approximately HK\$[REDACTED], will be used for our working capital and other general corporate purposes.

If the [REDACTED] is exercised in full, the [REDACTED] of the [REDACTED] would increase to approximately HK\$[REDACTED] (based on the [REDACTED] of HK\$[REDACTED] per Share). We intend to apply the additional [REDACTED] to the above uses in the proportion stated above.

To the extent that our [REDACTED] are not sufficient to fund the purposes set out above, we intend to finance the remaining portions through a variety of means, including operating cash flows, bank loans and other borrowings.

If the [REDACTED] of the [REDACTED] are not immediately applied to the above purposes, we will deposit the unutilized [REDACTED] into short-term interest-bearing accounts with licensed commercial banks or other authorized financial institutions, as defined under the Securities and Futures Ordinance (“SFO”) or other applicable laws and regulations, until they are used for the intended purposes.

We will issue an appropriate announcement if there is any material change to the above proposed [REDACTED].

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

[REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

[REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

[REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

[REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

[REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

[REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

[REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

[REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

[REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

[REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

STRUCTURE OF THE [REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

STRUCTURE OF THE [REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

STRUCTURE OF THE [REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

STRUCTURE OF THE [REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

STRUCTURE OF THE [REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

STRUCTURE OF THE [REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

STRUCTURE OF THE [REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

HOW TO APPLY FOR [REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

HOW TO APPLY FOR [REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

HOW TO APPLY FOR [REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

HOW TO APPLY FOR [REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

HOW TO APPLY FOR [REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

HOW TO APPLY FOR [REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

HOW TO APPLY FOR [REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

HOW TO APPLY FOR [REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

HOW TO APPLY FOR [REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

HOW TO APPLY FOR [REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

HOW TO APPLY FOR [REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

HOW TO APPLY FOR [REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

HOW TO APPLY FOR [REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

HOW TO APPLY FOR [REDACTED]

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

HOW TO APPLY FOR [REDACTED]

[REDACTED]

APPENDIX I

ACCOUNTANTS’ REPORT

The following is the text of a report set out on pages [•] to [•], received from the Company’s reporting accountants, BDO Limited, Certified Public Accountants, Hong Kong, for the purpose of incorporation in this document. It is prepared and addressed to the directors of the Company and to the Joint Sponsors pursuant to the requirements of Hong Kong Standard on Investment Circular Reporting Engagements 200, “Accountants’ Reports on Historical Financial Information in Investment Circulars” issued by the Hong Kong Institute of Certified Public Accountants.



Tel : +852 2218 8288
Fax: +852 2815 2239
www.bdo.com.hk

25th Floor Wing On Centre
111 Connaught Road Central
Hong Kong

電話 : +852 2218 8288
傳真 : +852 2815 2239
www.bdo.com.hk

香港干諾道中111號
永安中心25樓

ACCOUNTANTS’ REPORT ON HISTORICAL FINANCIAL INFORMATION TO THE DIRECTORS OF YUANJIE SEMICONDUCTOR TECHNOLOGY CO., LTD. AND GUOTAI JUNAN CAPITAL LIMITED AND GF CAPITAL (HONG KONG) LIMITED

INTRODUCTION

We report on the historical financial information of Yuanjie Semiconductor Technology Co., Ltd. (the “**Company**”) and its subsidiaries (together, the “**Group**”) set out on pages [I-3] to [I-[•]], which comprises the consolidated statements of financial position as at December 31, 2023, 2024 and 2025, and the statements of financial position of the Company as at December 31, 2023, 2024 and 2025, and the consolidated statements of profit or loss and other comprehensive income, the consolidated statements of changes in equity and the consolidated statements of cash flows for each of the years then ended December 31, 2023, 2024 and 2025 (the “**Track Record Period**”) and material accounting policy information and other explanatory information (together, the “**Historical Financial Information**”). The Historical Financial Information set out on pages [I-3] to [I-[•]] forms an integral part of this report, which has been prepared for inclusion in the document of the Company dated [Date] (the “**Document**”) in connection with the [REDACTED] of the Company on the Main Board of The Stock Exchange of Hong Kong Limited (the “**Stock Exchange**”).

DIRECTORS’ RESPONSIBILITY FOR THE HISTORICAL FINANCIAL INFORMATION

The directors of the Company are responsible for the preparation of Historical Financial Information that gives a true and fair view in accordance with the basis of preparation set out in note 2 to the Historical Financial Information, and for such internal control as the directors determine is necessary to enable the preparation of Historical Financial Information that is free from material misstatement, whether due to fraud or error.

REPORTING ACCOUNTANTS’ RESPONSIBILITY

Our responsibility is to express an opinion on the Historical Financial Information and to report our opinion to you. We conducted our work in accordance with Hong Kong Standard on Investment Circular Reporting Engagements 200 “Accountants’ Reports on Historical Financial Information in Investment Circulars” issued by the Hong Kong Institute of Certified Public Accountants (“**HKICPA**”). This standard requires that we comply with ethical standards and plan and perform our work to obtain reasonable assurance about whether the Historical Financial Information is free from material misstatement.

APPENDIX I

ACCOUNTANTS’ REPORT

Our work involved performing procedures to obtain evidence about the amounts and disclosures in the Historical Financial Information. The procedures selected depend on the reporting accountants’ judgement, including the assessment of risks of material misstatement of the Historical Financial Information, whether due to fraud or error. In making those risk assessments, the reporting accountants consider internal control relevant to the entity’s preparation of Historical Financial Information that gives a true and fair view in accordance with the basis of preparation set out in note 2 to the Historical Financial Information in order to design procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity’s internal control. Our work also included evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the Historical Financial Information.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

OPINION

In our opinion, the Historical Financial Information gives, for the purposes of the accountants’ report, a true and fair view of the financial position of the Company as at December 31, 2023, 2024 and 2025 and the consolidated financial position of the Group as at December 31, 2023, 2024 and 2025 and of the financial performance and cash flows of the Group for the Track Record Period in accordance with the basis of preparation set out in note 2 to the Historical Financial Information.

REPORT ON MATTERS UNDER THE RULES GOVERNING THE LISTING OF SECURITIES ON THE STOCK EXCHANGE OF HONG KONG LIMITED AND THE COMPANIES (WINDING UP AND MISCELLANEOUS PROVISIONS) ORDINANCE**Adjustments**

In preparing the Historical Financial Information, no adjustments to the Underlying Financial Statements as defined on page [I-3] have been made.

Dividends

We refer to note 16 to the Historical Financial Information states which contains information about the dividends paid by the Company in respect of the Track Record Period.

BDO Limited

Certified Public Accountants

[•]

Practising Certificate no. P[•]

Hong Kong

[Date]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

APPENDIX I

ACCOUNTANTS’ REPORT

I. HISTORICAL FINANCIAL INFORMATION OF THE GROUP

Preparation of Historical Financial Information

Set out below is the Historical Financial Information which forms an integral part of this accountants’ report.

The consolidated financial statements of the Group for the Track Record Period, on which the Historical Financial Information is based, were audited by BDO Limited in accordance with Hong Kong Standards on Auditing issued by the HKICPA (“**Underlying Financial Statements**”).

The Historical Financial Information is presented in Renminbi (“**RMB**”) and all values are rounded to the nearest thousand (RMB’000) except when otherwise indicated.

APPENDIX I

ACCOUNTANTS’ REPORT

CONSOLIDATED STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

		Year ended December 31,		
	Note	2023	2024	2025
		RMB'000	RMB'000	RMB'000
Revenue	6	144,404	252,173	601,435
Cost of sales		<u>(102,906)</u>	<u>(193,270)</u>	<u>(266,613)</u>
Gross profit		<u>41,498</u>	<u>58,903</u>	<u>334,822</u>
Other income	7	14,054	2,182	12,041
Other gains or losses, net	8	9,104	3,593	(3,719)
Selling and marketing expenses		(8,355)	(18,532)	(23,784)
General and administrative expenses		(25,937)	(26,053)	(45,135)
Research and development expenses		(30,946)	(54,518)	(80,843)
Impairment losses on financial assets, net of reversal	9	(2,856)	2,829	(6,524)
Finance income, net	10	21,590	17,973	12,883
Share of results of associate	18	<u>2</u>	<u>(1,689)</u>	<u>14,031</u>
Profit/(Loss) before tax	11	18,154	(15,312)	213,772
Income tax (expense)/credit	12	<u>1,326</u>	<u>9,179</u>	<u>(22,848)</u>
Profit/(loss) for the year		19,480	(6,133)	190,924
Other comprehensive income				
<i>Item that may be reclassified subsequently to profit or loss</i>				
Exchange differences on translation of foreign operations		<u>(29)</u>	<u>21</u>	<u>(7,157)</u>
<i>Item that will not be reclassified to profit or loss</i>				
Changes in the fair value of equity investments at fair value through other comprehensive income		<u>—</u>	<u>—</u>	<u>(3,709)</u>
Income tax impact		<u>—</u>	<u>—</u>	<u>556</u>
		<u>—</u>	<u>—</u>	<u>(3,153)</u>
Other comprehensive income for the year, net of tax		<u>(29)</u>	<u>21</u>	<u>(10,310)</u>
Total comprehensive income for the year		<u>19,451</u>	<u>(6,112)</u>	<u>180,614</u>
Earnings/(loss) per share for profit/(loss) attributable to owners of the Company				
Basic (RMB)	15	<u>0.268</u>	<u>(0.072)</u>	<u>2.235</u>
Diluted (RMB)	15	<u>0.265</u>	<u>(0.072)</u>	<u>2.230</u>

APPENDIX I

ACCOUNTANTS’ REPORT

CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

		As of December 31,		
	Note	2023	2024	2025
		RMB'000	RMB'000	RMB'000
Non-current assets				
Property, plant and equipment	19	550,678	576,011	828,777
Right-of-use assets	20	13,365	15,431	74,803
Intangible assets	21	5,445	5,142	3,317
Investments in an associate	18	30,002	118,313	134,373
Financial assets at fair value through other comprehensive income (“FVOCI”)	26	—	—	31,291
Deferred tax assets	35	—	4,663	40,760
Prepayments, other receivables and other assets	22	6,347	16,768	201,990
Total non-current assets		605,837	736,328	1,315,311
Current assets				
Inventories	23	140,819	122,714	133,696
Trade receivables	24	99,736	121,028	264,478
Notes receivables	25	5,154	8,720	24,336
Financial assets at FVOCI	26	19,408	14,110	5,211
Prepayments, other receivables and other assets	22	22,219	21,715	19,921
Income tax recoverable		1	1,695	22
Restricted bank deposits	27	—	40,160	26,379
Cash and cash equivalents	27	1,343,509	1,081,076	795,896
Total current assets		1,630,846	1,411,218	1,269,939
Current liabilities				
Trade payables	28	26,001	22,519	52,632
Notes payables	29	—	—	20,548
Other payables and accruals	30	66,262	28,394	98,156
Contract liabilities	31	2,098	1,452	1,862
Lease liabilities	32	908	938	4,812
Provisions	33	—	646	693
Total current liabilities		95,269	53,949	178,703
Net current assets		1,535,577	1,357,269	1,091,236
Total assets less current liabilities		2,141,414	2,093,597	2,406,547

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

APPENDIX I

ACCOUNTANTS’ REPORT

	<i>Note</i>	As of December 31,		
		2023	2024	2025
		<i>RMB’000</i>	<i>RMB’000</i>	<i>RMB’000</i>
Non-current liabilities				
Lease liabilities	32	980	3,413	62,521
Provisions	33	3,749	282	1,141
Deferred income	34	15,481	17,135	10,600
Deferred tax liabilities	35	<u>4,516</u>	<u>—</u>	<u>—</u>
Total non-current liabilities		<u>24,726</u>	<u>20,830</u>	<u>74,262</u>
Net assets		<u>2,116,688</u>	<u>2,072,767</u>	<u>2,332,285</u>
Capital and reserves				
Equity attributable to owners of the Company				
Share capital	36	84,839	85,462	85,948
Reserves		<u>2,031,849</u>	<u>1,987,305</u>	<u>2,246,337</u>
Total equity		<u>2,116,688</u>	<u>2,072,767</u>	<u>2,332,285</u>

APPENDIX I

ACCOUNTANTS’ REPORT

CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

	Share capital RMB'000 (note 36)	Capital reserve RMB'000 (note 39(a))	Treasury shares RMB'000 (note 37 and 39(b))	Translation reserve RMB'000 (note 39(d))	Surplus reserve RMB'000 (note 39(e))	Retained earnings RMB'000 (note 39(f))	Total RMB'000
Balance at January 1, 2023	60,000	1,835,178	—	—	27,444	179,840	2,102,462
Profit for the year	—	—	—	—	—	19,480	19,480
Exchange differences arising from translation of foreign operations	—	—	—	(29)	—	—	(29)
Other comprehensive income for the year	—	—	—	(29)	—	—	(29)
Total comprehensive income for the year	—	—	—	(29)	—	19,480	19,451
Exercise of share options (note 36)	599	30,016	—	—	—	—	30,615
Share-based payment expense	—	3,549	—	—	—	—	3,549
Dividend (note 16)	—	—	—	—	—	(39,389)	(39,389)
Issue of new shares upon capitalisation of capital reserve (note 36)	24,240	(24,240)	—	—	—	—	—
Appropriation to reserves	—	—	—	—	1,948	(1,948)	—
Balance at December 31, 2023	<u>84,839</u>	<u>1,844,503</u>	<u>—</u>	<u>(29)</u>	<u>29,392</u>	<u>157,983</u>	<u>2,116,688</u>
	Share capital RMB'000 (note 36)	Capital reserve RMB'000 (note 39(a))	Treasury shares RMB'000 (note 37 and 39(b))	Translation reserve RMB'000 (note 39(d))	Surplus reserve RMB'000 (note 39(e))	Retained earnings RMB'000 (note 39(f))	Total RMB'000
Balance at January 1, 2024	84,839	1,844,503	—	(29)	29,392	157,983	2,116,688
Loss for the year	—	—	—	—	—	(6,133)	(6,133)
Exchange differences arising from translation of foreign operations	—	—	—	21	—	—	21
Other comprehensive income for the year	—	—	—	21	—	—	21
Total comprehensive income for the year	—	—	—	21	—	(6,133)	(6,112)
Issue of new shares upon the exercise of share options (note 36)	623	21,832	—	—	—	—	22,455
Share-based payment expense	—	3,662	—	—	—	—	3,662
Dividend (note 16)	—	—	—	—	—	(8,506)	(8,506)
Repurchase of shares (note 37)	—	—	(55,420)	—	—	—	(55,420)
Balance at December 31, 2024	<u>85,462</u>	<u>1,869,997</u>	<u>(55,420)</u>	<u>(8)</u>	<u>29,392</u>	<u>143,344</u>	<u>2,072,767</u>

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

APPENDIX I

ACCOUNTANTS’ REPORT

	Share capital RMB'000 (note 36)	Capital reserve RMB'000 (note 39(a))	Treasury shares RMB'000 (note 37 and 39(b))	Other reserve RMB'000 (note 39(c))	Translation reserve RMB'000 (note 39(d))	Surplus reserve RMB'000 (note 39(e))	Retained earnings RMB'000 (note 39(f))	Total RMB'000
Balance at January 1, 2025	85,462	1,869,997	(55,420)	—	(8)	29,392	143,344	2,072,767
Profit for the year	—	—	—	—	—	—	190,924	190,924
Exchange differences arising from translation of foreign operations	—	—	—	—	(7,157)	—	—	(7,157)
Changes in fair value of equity investments at fair value through other comprehensive income	—	—	—	(3,709)	—	—	—	(3,709)
Income tax impact	—	—	—	556	—	—	—	556
Other comprehensive income for the year	—	—	—	(3,153)	(7,157)	—	—	(10,310)
Total comprehensive income for the year	—	—	—	(3,153)	(7,157)	—	190,924	180,614
Issue of new shares upon the exercise of share options (note 36 and 37)	486	6,845	21,692	—	—	—	—	29,023
Share-based payment expense	—	32,162	—	—	—	—	—	32,162
Tax impact of share-based payment	—	58,389	—	—	—	—	—	58,389
Dividend (note 16)	—	—	—	—	—	—	(42,699)	(42,699)
Appropriation to reserves	—	—	—	—	—	13,582	(13,582)	—
Others	—	2,029	—	—	—	—	—	2,029
Balance at December 31, 2025	<u>85,948</u>	<u>1,969,422</u>	<u>(33,728)</u>	<u>(3,153)</u>	<u>(7,165)</u>	<u>42,974</u>	<u>277,987</u>	<u>2,332,285</u>

APPENDIX I

ACCOUNTANTS’ REPORT

CONSOLIDATED STATEMENTS OF CASH FLOWS

		Year ended December 31,		
	Note	2023	2024	2025
		RMB'000	RMB'000	RMB'000
CASH FLOWS FROM				
OPERATING ACTIVITIES				
Profit/(loss) before tax		18,154	(15,312)	213,772
Adjustments for:				
Net foreign exchange losses	8	40	451	4,049
Share-based payments expenses	11	3,549	3,662	32,162
Finance income, net	10	(21,590)	(17,973)	(12,883)
Depreciation of property, plant and equipment	19	39,705	47,494	58,166
Depreciation of right-of-use assets	20	1,185	1,244	4,336
Amortisation of intangible assets	21	1,668	2,476	1,870
Change in fair value of financial assets at fair value through profit and loss (“FVTPL”)	8	(9,115)	(4,337)	(324)
Net (gains)/losses on disposal of property, plant and equipment	8	(23)	(77)	16
Share of results of associate	18	(2)	1,689	(14,031)
Written down of inventories	11	17,987	22,286	9,970
Impairment losses on financial assets, net of reversal	9	2,856	(2,829)	6,524
Operating profit before working capital changes		54,414	38,774	303,627
Change in inventories		(62,882)	(4,181)	(20,952)
Change in trade receivables		43,614	(18,361)	(149,137)
Change in notes receivables		(30,017)	(43,522)	(90,181)
Change in bank acceptance notes		(4,708)	5,298	8,899
Change in prepayments, other receivables and other assets		(8,433)	(67)	1,762
Change in trade payables		(23,815)	(3,483)	34,696
Change in notes payables		(11,222)	—	20,548
Change in other payables and accruals		16,396	22,590	52,299
Change in contract liabilities		(5,479)	(646)	410
Change in provisions		(2,549)	(2,821)	906
Change in deferred income		1,262	1,654	(6,535)
Change in restricted bank deposits		—	—	(26,379)
		(33,419)	(4,765)	129,963

APPENDIX I

ACCOUNTANTS’ REPORT

		Year ended December 31,		
	Note	2023	2024	2025
		RMB'000	RMB'000	RMB'000
Cash used in operations				
Interest received		15,448	25,419	18,600
Income tax refunded/(paid)		<u>572</u>	<u>(1,694)</u>	<u>1,673</u>
Net cash (used in)/from operating activities		<u>(17,399)</u>	<u>18,960</u>	<u>150,236</u>
CASH FLOWS FROM INVESTING ACTIVITIES				
Purchase of property, plant and equipment		(62,366)	(105,412)	(409,374)
Purchase of intangible assets		(4,863)	(533)	(45)
Purchase of financial assets at FVTPL		(1,510,000)	(1,205,101)	(228,190)
Purchase of unlisted equity investment		—	—	(35,000)
Proceeds from disposal of property, plant and equipment		38	105	12
Proceeds from disposal of financial assets at FVTPL		1,569,414	1,169,278	228,514
Capital injection to an associate		(30,000)	(90,000)	—
Release of restricted bank deposits		<u>—</u>	<u>—</u>	<u>40,160</u>
Net cash used in investing activities		<u>(37,777)</u>	<u>(231,663)</u>	<u>(403,923)</u>
CASH FLOWS FROM FINANCING ACTIVITIES				
Proceeds from issues of shares, net of issuance cost		30,615	22,455	29,023
Dividends paid to owners of the Company		(39,389)	(8,506)	(42,699)
Proceeds from borrowing		—	—	14,217
Repayment of borrowing		—	—	(14,217)
Repurchase of shares		—	(55,420)	—
[REDACTED] paid		—	—	(190)
Interest paid		—	—	(546)
Repayment of principal of lease liabilities		(911)	(941)	(785)
Repayment of interest of lease liabilities		(78)	(188)	(1,570)
Repayment of accrued share issuance expenses		<u>(17,257)</u>	<u>—</u>	<u>—</u>
Net cash used in financing activities		<u>(27,020)</u>	<u>(42,600)</u>	<u>(16,767)</u>
NET DECREASE IN CASH AND CASH EQUIVALENTS		(82,196)	(255,303)	(270,454)
Effect of exchange rate changes		(70)	128	(11,125)
CASH AND CASH EQUIVALENTS AT BEGINNING OF THE YEAR		<u>1,414,916</u>	<u>1,332,650</u>	<u>1,077,475</u>
CASH AND CAHS EQUIVALENTS AT END OF THE YEAR	27	<u><u>1,332,650</u></u>	<u><u>1,077,475</u></u>	<u><u>795,896</u></u>

APPENDIX I

ACCOUNTANTS’ REPORT

STATEMENTS OF FINANCIAL POSITION OF THE COMPANY

		As of December 31,		
	Note	2023	2024	2025
		RMB'000	RMB'000	RMB'000
Non-current assets				
Property, plant and equipment	19	550,678	576,011	827,621
Right-of-use assets	20	13,365	15,431	14,388
Intangible assets	21	5,445	5,142	3,317
Investments in subsidiaries	17	2,153	2,153	360,793
Investments in an associate	18	30,002	118,313	134,373
Financial assets at FVOCI	26	—	—	31,291
Deferred tax assets	35	—	4,663	39,688
Prepayments, other receivables and other assets	22	6,347	16,768	124,007
Total non-current assets		607,990	738,481	1,535,478
Current assets				
Inventories	23	140,819	122,714	133,696
Trade receivables	24	99,736	121,028	264,450
Notes receivables	25	5,154	8,720	24,336
Financial assets at FVOCI	26	19,408	14,110	5,211
Prepayments, other receivables and other assets	22	22,219	21,715	19,322
Income tax recoverable		1	1,695	1
Restricted bank deposits	27	—	40,160	10,274
Cash and cash equivalents	27	1,341,384	1,080,308	541,268
Total current assets		1,628,721	1,410,450	998,558
Current liabilities				
Trade payables	28	25,979	22,495	52,632
Notes payables	29	—	—	20,548
Other payables and accruals	30	66,262	28,392	97,878
Contract liabilities	31	2,098	1,452	1,862
Lease liabilities	32	908	938	1,105
Provisions	33	—	646	693
Total current liabilities		95,247	53,923	174,718
Net current assets		1,533,474	1,356,527	823,840
Total assets less current liabilities		2,141,464	2,095,008	2,359,318

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

APPENDIX I

ACCOUNTANTS’ REPORT

		As of December 31,		
	<i>Note</i>	2023	2024	2025
		<i>RMB’000</i>	<i>RMB’000</i>	<i>RMB’000</i>
Non-current liabilities				
Lease liabilities	32	980	3,413	2,520
Provisions	33	3,749	282	1,141
Deferred income	34	15,481	17,135	10,600
Deferred tax liabilities	35	<u>4,516</u>	<u>—</u>	<u>—</u>
Total non-current liabilities		<u>24,726</u>	<u>20,830</u>	<u>14,261</u>
Net assets		<u>2,116,738</u>	<u>2,074,178</u>	<u>2,345,057</u>
Capital and reserves				
Equity attributable to owners of the Company				
Share capital	36	84,839	85,462	85,948
Reserves	39	<u>2,031,899</u>	<u>1,988,716</u>	<u>2,259,109</u>
Total equity		<u>2,116,738</u>	<u>2,074,178</u>	<u>2,345,057</u>

APPENDIX I

ACCOUNTANTS’ REPORT

II. NOTES TO THE HISTORICAL FINANCIAL INFORMATION

1. GENERAL INFORMATION

Yuanjie Semiconductor Technology Co., Ltd. (the “Company”) was incorporated in Shaanxi, People’s Republic of China (the “PRC”) on January 28, 2013 as a limited liability company and was converted into a joint stock company with limited liability by shares on December 23, 2020. The Company was listed on the Science and Technology Innovation Board of the Shanghai Stock Exchange in December 2022, with the stock code of 688498. The address of its registered office and principal place of business is No. 1265 Kaiyuan Road, Fengxi New Town, Xixian New Area, Shaanxi Province, the PRC.

The Company and its subsidiaries (collectively, the “Group”), are principally engaged as a global provider of laser chips. Particular of the Company’s principal subsidiaries are set out in note 17 to the Historical Financial Information.

The Company’s ultimate controlling shareholder is XINGANG ZHANG.

2. BASIS OF PREPARATION OF HISTORICAL FINANCIAL INFORMATION

The Historical Financial Information has been prepared based on the accounting policies set out in note 4 which conform with IFRS Accounting Standards which collective term includes individual International Financial Reporting Standards, International Accounting Standards and Interpretations issued by International Accounting Standards Board (“IASB”). In addition, the Historical Financial Information includes the applicable disclosures requirements of the Hong Kong Companies Ordinance and the Rules Governing the Listing of Securities on the Stock Exchange of Hong Kong Limited (the “Stock Exchange”).

3. APPLICATION OF NEW AND REVISED IFRS ACCOUNTING STANDARDS

The IASB has issued a number of new and revised IFRS Accounting Standards. For the purpose of preparing the Historical Financial Information, the Group has adopted the accounting policies which conform with all applicable new and revised IFRS Accounting Standards that are effective during the Track Record Period, consistently throughout the Track Record Period.

At the date of this report, a number of new and amendments to IFRS Accounting Standards have been issued but are not effective and have not been early adopted by the Group:

New and amendments to IFRS Accounting Standards issued but not yet effective

Amendments to IFRS 9 and IFRS 7	Amendments to the Classification and Measurement of Financial Instruments ¹
Amendments to IFRS 9 and IFRS 7	Contracts Referencing Nature-dependent Electricity ¹
Amendments to IFRS Accounting Standards	Annual Improvements to IFRS Accounting Standards — Volume 11 ¹
IFRS 18	Presentation and Disclosure in Financial Statements ²
IFRS 19	Subsidiaries without Public Accountability: Disclosures ²
Amendments to IAS 21	Translation to a Hyperinflationary Presentation Currency ²
Amendments to IFRS 10 and IAS 28	Sale or contribution of Assets between an Investor and its Associate or Joint Venture ³

¹ Effective for annual periods beginning on or after January 1, 2026

² Effective for annual periods beginning on or after January 1, 2027

³ The amendments shall be applied prospectively to sale or contribution of assets occurring in annual periods beginning on or after a date to be determined.

The directors of the Company have assessed the effect of these new accounting standards and amendments and do not anticipate of these new accounting standards and amendments will have material impact on the Group’s consolidated financial statements and/or the disclosures to the Group’s Historical Financial Information except the following.

IFRS 18 introduces new requirements for presentation within the statements of profit or loss, including specified totals and subtotals. Entities are required to classify all income and expenses within the statements of profit or loss into one of the five categories: operating, investing, financing, income taxes and discontinued operations and to present two new defined subtotals. It also requires disclosures about management-defined performance measures in a single note and introduces enhanced requirements on the grouping (aggregation and disaggregation) and the location of information in both the primary financial statements and the notes. The new requirements are expected to impact the Group’s presentation of the consolidated statements of profit or loss and other comprehensive income and disclosures of the Group’s financial performance. So far, the Group considers that the new and amended standards are unlikely to have a significant impact on the Group’s results of operations and financial position.

4. MATERIAL ACCOUNTING POLICIES

The Historical Financial Information has been prepared on the historical cost basis except for certain financial instruments that are measured at fair values at the end of each reporting period, as explained in the accounting policies set out below.

APPENDIX I

ACCOUNTANTS’ REPORT

(a) Basis of consolidation

The Historical Financial Information incorporates the financial statements of the Company and its subsidiaries. Control is achieved when the Company:

- has power over the investee;
- is exposed, or has rights, to variable returns from its involvement with the investee; and
- has the ability to use its power to affect its returns.

The Group reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control listed above.

Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Specifically, income and expenses of a subsidiary acquired or disposed of during the year/period are included in the consolidated statements of profit or loss and other comprehensive income from the date the Group gains control until the date when the Group ceases to control the subsidiary.

All intragroup assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

(b) Investments in subsidiaries

Investments in subsidiaries are stated at cost less any identified impairment loss in the statements of financial position of the Company.

(c) Investments in an associate

An associate is an entity over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not to control or to have joint control over those policies.

The results and assets and liabilities of associates are incorporated in the Historical Financial Information using the equity method of accounting. The financial statements of associates used for equity accounting purposes are prepared using uniform accounting policies as those of the Group for like transactions and events in similar circumstances. Under the equity method, an interest in an associate is initially recognised in the consolidated statements of financial position at cost and adjusted thereafter to recognise the Group’s share of the profit or loss and other comprehensive income of the associate.

(d) Revenue recognition and other income

(i) Sales of goods

The Group specialises in the research, development, design, manufacturing, and sales of laser chips.

Revenue from the sales and distribution of products is recognised when control of the products has been transferred, being when the products are delivered to the customer. Delivery occurs when the products have been shipped to the specified location, the risks of obsolescence and loss have been transferred to the customer, and either the customer has accepted the products in accordance with the sales contract, the acceptance provisions have lapsed, or the Group has objective evidence that all criteria for acceptance have been satisfied. As receivable is recognised when the goods are delivered as this is the point in time that the consideration is unconditional because only the passage of time is required before the payment is due.

The Group provides product quality assurance for the sales of products for a period of 1–3 years and recognises corresponding provisions (note 33) in accordance with IAS 37. The Group does not provide any additional services or additional quality assurance, so the product quality assurance does not constitute a separate fulfilment obligation.

(ii) Provision of technical services

The Group provides laser chips design or development service to external parties. For those contracts that the Group does not have an enforceable right to payment until performance completed, the contract is recognised at a point in time when the services are provided and accepted by the customers.

(iii) Financing components

The consideration is payable when the goods and services are delivered, usually payable within 30–90 days after acceptance. The Group takes advantage of the practical expedient in paragraph 63 of IFRS 15 and does not adjust the consideration for any effects of a significant financing component as the period between when the Group receives consideration and transferring control of goods or services is one year or less.

APPENDIX I

ACCOUNTANTS’ REPORT

(iv) Interest income

Interest income is recognised on an accrual basis using the effective interest method by applying the rate that exactly discounts the estimated future cash receipts over the expected life of the financial instrument or a shorter period, when appropriate, to the net carrying amount of the financial asset.

(v) Contract liabilities

A contract liability is recognised when a payment is received, or a payment is due (whichever is earlier) from a customer before the Group transfers the related goods or services. Contract liabilities are recognised as revenue when the Group performs under the contract (i.e., transfers control of the related goods or services to the customer).

(e) Inventories

Inventories are stated at the lower of cost and net realisable value. Costs of inventories are determined on a weighted average method. Net realisable value represents the estimated selling price for inventories in the ordinary course of business less all estimated costs of completion and costs necessary to make the sale. Costs necessary to make the sale include incremental costs directly attributable to the sale and non-incremental costs which the Group must incur to make the sale.

(f) Leasing

The Group assesses whether a contract is or contains a lease based on the definition under IFRS 16 at inception of the contract. Such contract will not be reassessed unless the terms and conditions of the contract are subsequently change.

The Group as lessee

The Group capitalised in the consolidated statements of financial position as right-of-use assets and lease liabilities for all leases except for (i) leases which are short-term leases and/or (ii) leases for which the underlying asset is of low-value. The lease payments associated with those leases have been expensed on straight-line basis over the lease term.

Right-of-use assets

The right-of-use asset is recognised at cost and would comprise: (i) the amount of the initial measurement of the lease liability (see below for the accounting policy to account for lease liability); (ii) any lease payments made at or before the commencement date, less any lease incentives received; (iii) any initial direct costs incurred by the lessee; and (iv) an estimate of costs to be incurred by the lessee in dismantling and removing the underlying asset to the condition required by the terms and conditions of the lease, unless those costs are incurred to produce inventories. The Group measures the right-of-use assets applying a cost model. Under the cost model, the Group measures the right-to-use at cost, less any accumulated depreciation and any impairment losses, and adjusted for any remeasurement of lease liability. Depreciation is provided using the straight-line method from the commencement date over the shorter of the lease term or the useful life of the underlying asset. The useful lives, residual value and depreciation method are reviewed, and adjusted if appropriate, at the end of each reporting period. The Group presents right-of-use assets separately in the consolidated statements of financial position.

Lease liabilities

The lease liability is recognised at the present value of the lease payments that are not paid at the date of commencement of the lease. The lease payments are discounted using the interest rate implicit in the lease, if that rate can be readily determined. If that rate cannot be readily determined, which is generally the case of the Group, the Group uses the lessee’s incremental borrowing rate. The Group presents lease liability separately in the consolidated statements of financial position.

Subsequent to the commencement date, the Group measures the lease liability by: (i) increasing the carrying amount to reflect interest on the lease liability; (ii) reducing the carrying amount to reflect the lease payments made; and (iii) remeasuring the carrying amount to reflect any reassessment or lease modifications, e.g., a change in-substance in future lease payments arising from change in an index or rate, a change in the lease term, a change in the in-substance fixed lease payments or a change in assessment to purchase the underlying asset.

For a lease modification that is not accounted for as a separate lease, the Group remeasures the lease liability based on the lease term of the modified lease by discounting the revised lease payments using a revised discount rate at the effective date of the modification. The Group accounts for the remeasurement of lease liabilities by making corresponding adjustments to the relevant right-of-use asset. When the modified contract contains a lease component and one or more additional lease or non-lease components, the Group allocates the consideration in the modified contract to each lease component on the basis of the relative stand-alone price of the lease component. The associated non-lease components are included in the respective lease components.

APPENDIX I

ACCOUNTANTS’ REPORT

(g) Foreign currencies

(a) Functional and presentation currency

In preparing the financial statements of each individual group entity, transactions in currencies other than the functional currency of that entity (foreign currencies) are recorded in the respective functional currency (i.e. the currency of the primary economic environment in which the entity operates) at the rates of exchange prevailing on the dates of the transactions. At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date. Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

The Historical Financial Information is presented in RMB, which is the Company’s functional currency. Each entity in the Group determines its own functional currency and items included in the Historical Financial Information of each entity are measured using that functional currency.

(b) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuation where items are re-measured. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation of monetary assets and liabilities denominated in foreign currencies at year-end exchange rates are generally recognised in profit or loss.

Non-monetary items that are measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined. Translation differences on assets and liabilities carried at fair value are reported as part of the fair value gain or loss. For example, translation differences on non-monetary assets and liabilities such as equities held at fair value through profit or loss are recognised in profit or loss as part of the fair value gain or loss and translation differences on non-monetary assets such as equities classified as fair value through other comprehensive income are recognised in other comprehensive income.

On consolidation, income and expense items of foreign operations are translated into RMB at the average exchange rates for the period, unless exchange rates fluctuate significantly during the period, in which case, the rates ruling when the transactions took place are used. All assets and liabilities of foreign operations are translated at the rate ruling at the end of reporting period. Exchange differences arising, if any, are recognised in other comprehensive income and accumulated in equity as translation reserve.

On disposal of a foreign operation, the cumulative exchange differences recognised in the translation reserve relating to that operation up to the date of disposal are transferred to the consolidated statement of comprehensive income as part of the profit or loss on disposal.

(h) Government grants

Government grants are not recognised until there is reasonable assurance that the Group will comply with the conditions attaching to them and that the grants will be received.

Government grants are recognised in profit or loss on a systematic basis over the periods in which the Group recognises as expense the related costs for which the grants are intended to compensate. Specifically, government grants whose primary condition is that the Group should purchase, construct or otherwise acquire property, plant and equipment are recognised as deferred income in the consolidated statements of financial position and transferred to profit or loss on a systematic and rational basis over the useful lives of the related assets.

Government grants that are receivable as compensation for expenses or losses already incurred or for the purpose of giving immediate financial support to the Group with no future related costs are recognised in profit or loss in the period in which they become receivable.

(i) Retirement benefit costs

The Group contributes toward retirement income protection for its employees through the provision of defined benefit pension plans, defined contribution plans, and/or contributions to various public retirement schemes in certain jurisdictions.

The Company’s subsidiaries in the PRC participates in state-managed retirement benefit schemes, which are defined contribution schemes, pursuant to which the Group pays a fixed percentage of its staff’s wages as contributions to the plans. Payments to such retirement benefit schemes are recognised as an expense when employees have rendered service entitling them to the contributions. The Company also makes payments to other defined contribution plans and defined benefit plans for the benefit of employees employed by subsidiaries outside of the PRC.

(j) Short-term employee benefits

Short-term employee benefits are recognised at the undiscounted amount of the benefits expected to be paid as and when employees rendered the services. All short-term employee benefits are recognised as an expense unless another IFRS Accounting Standards requires or permits the inclusion of the benefit in the cost of an asset.

A liability is recognised for benefits accruing to employees (such as wages and salaries, annual leave and sick leave) after deducting any amount already paid.

APPENDIX I

ACCOUNTANTS’ REPORT

(k) Taxation

Income tax expense represents the sum of the current tax and deferred tax. Current and deferred tax is recognised in profit or loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity respectively. Where current tax or deferred tax arises from the initial accounting for a business combination, the tax effect is included in the accounting for the business combination.

Current tax

Current tax is based on the profit or loss from ordinary activities adjusted for items that are non-assessable or disallowable for income tax purposes and is calculated using tax rates that have been enacted or substantively enacted at the end of reporting period.

Deferred tax

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the Historical Financial Information and the corresponding tax bases used in the computation of taxable profits. Deferred tax liabilities are generally recognised for all taxable temporary differences. Deferred tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised. Such deferred tax assets and liabilities are not recognised if the temporary difference arises from the initial recognition (other than in a business combination) of assets and liabilities in a transaction that affects neither the taxable profits nor the accounting profit and at the time of the transaction, does not give rise to equal taxable and deductible temporary differences. In addition, deferred tax liabilities are not recognised if the temporary difference arises from the initial recognition of goodwill.

Deferred tax liabilities are recognised for taxable temporary differences arising on investments in subsidiaries or associates except where the Group is able to control the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future. Deferred tax assets arising from deductible temporary differences associated with such investments and interests are only recognised to the extent that it is probable that there will be sufficient taxable profits against which to utilise the benefits of the temporary differences and they are expected to reverse in the foreseeable future.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of each reporting period and the tax rate and tax base that are consistent with manner in which the Group expects, at the end of each reporting period, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets and liabilities and when the deferred tax balances relate to the same taxation authority.

(l) Property, plant and equipment

Property, plant and equipment other than construction in progress are stated in the consolidated statements of financial position at cost less subsequent accumulated depreciation and accumulated impairment losses, if any.

The cost of property, plant and equipment includes its purchase price and the costs directly attributable to the acquisition of the items.

Subsequent costs are included in the asset’s carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognised. All other repairs and maintenance are recognised as an expense in profit or loss during the period in which they are incurred.

Property, plant and equipment are depreciated so as to write off their cost net of expected residual value over their estimated useful lives on a straight-line basis. The useful lives, residual value and depreciation method are reviewed, and adjusted if appropriate, at the end of each reporting period. The useful lives are as follows:

Property and buildings	25 years
Machinery and equipment	10 years
Motor vehicles	5 years
Tools and office equipment others	3–5 years
Leasehold improvements	2–5 years

Construction in progress is stated at cost less impairment losses, if any. Cost comprises direct costs of construction and installation as well as borrowing costs capitalised during the periods of construction and installation. Capitalisation of these costs ceases and the construction in progress is transferred to the appropriate classes of property, plant and equipment when substantially all the activities necessary to prepare the assets for their intended use are completed. No depreciation is provided for in respect of construction in progress until it is completed and ready for its intended use.

APPENDIX I

ACCOUNTANTS’ REPORT

An asset is written down immediately to its recoverable amount if its carrying amount is higher than the asset’s estimated recoverable amount.

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the item) is included in profit or loss in the period in which the item is derecognised.

(m) Intangible assets

Intangible assets acquired separately are initially recognised at cost. Subsequent to initial recognition, intangible assets with finite useful lives are carried at cost less accumulated amortisation and any accumulated impairment losses. Amortisation is provided on a straight-line basis over their estimated useful lives as follows:

Software	3 years
Emission rights	5 years

The estimated useful lives and amortisation method are reviewed at the end of each reporting period, with the effect of any changes in estimate being accounted for on a prospective basis.

(n) Research and development expenses

Expenditure on internally developed products is capitalised if it can be demonstrated that:

- it is technically feasible to develop the product for it to be sold;
- adequate resources are available to complete the development;
- there is an intention to complete and sell the product;
- the Group is able to sell the product; and
- sale of the product will generate future economic benefits; and expenditure on the project can be measured reliably.

Development expenditure not satisfying the above criteria and expenditure on the research phase of internal projects are recognised in profit or loss as incurred.

(o) Impairment losses on non-financial assets

At the end of each reporting period, the Group reviews the carrying amounts of its non-financial assets (other than inventories and deferred tax assets) to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss, if any.

When it is not possible to estimate the recoverable amount of an individual asset, the Group estimates the recoverable amount of the cash-generating unit to which the asset belongs. Where a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual cash-generating units, or otherwise they are allocated to the smallest group of cash-generating units for which a reasonable and consistent allocation basis can be identified.

Recoverable amount is the higher of value in use and fair value less costs of disposal. In assessing value in use, the estimated future cash flows of the asset (or the cash-generating unit) are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset (or the cash-generating unit) for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or the cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or the cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss.

When an impairment loss subsequently reverses, the carrying amount of the asset (or the cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or the cash-generating unit) in prior periods. A reversal of an impairment loss is recognised immediately in profit or loss.

(p) Financial instruments

Financial assets and financial liabilities are recognised when a group entity becomes a party to the contractual provisions of the instrument.

APPENDIX I

ACCOUNTANTS’ REPORT

(i) Financial assets

A financial asset (unless it is a trade receivable without a significant financing component) is initially measured at fair value plus, for an item not at fair value through profit or loss (“FVTPL”), transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

A financial asset is measured at amortised cost, it is held within a business model whose objective is to hold assets to collect contractual cash flows; and its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest (“SPPI”) on the principal amount outstanding. These assets are subsequently measured at amortised cost under the effective interest method. The gross carrying amount is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss.

A debt instrument is measured at fair value through other comprehensive income (“FVOCI”), it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and its contractual terms give rise on specified dates to cash flows that are SPPI on the principal amount outstanding. These assets are subsequently measured at fair value. Interest income calculated under the effective interest method, foreign exchange gains and losses and impairment are recognised in profit or loss. Other net gains and losses are recognised in other comprehensive income. Dividends are recognised in profit or loss.

All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognised in profit or loss.

Impairment loss on financial assets

The Group recognises a loss allowance for expected credit loss (“ECL”) on financial assets measured at amortised cost and debt instruments measured at FVOCI. The amount of ECL is updated at the end of each reporting period to reflect changes in credit risk since initial recognition.

Lifetime ECL represents the ECL that will result from all possible default events over the expected life of the relevant instrument. In contrast, 12-month ECL (“12m ECL”) represents the portion of lifetime ECL that is expected to result from default events that are possible within 12 months after the reporting date. Assessments are done based on the Group’s historical credit loss experience, adjusted for factors that are specific to the debtors, general economic conditions and an assessment of both the current conditions at the reporting date as well as the forecast of future conditions.

The Group always recognised lifetime ECL for trade receivables and notes receivables using simplified approach. For other financial instruments, the Group measures the loss allowance equal to 12 months ECL, unless there has been a significant increase in the credit risk since initial recognition or evidence that a financial asset is credit-impaired, in which case the Group recognises lifetime ECL. The assessment of whether lifetime ECL should be recognised is based on significant increases in the likelihood or risk of a default occurring since initial recognition.

Significant increase in credit risk

In assessing whether the credit risk on a financial instrument has increased significantly since initial recognition, the Group compares the risk of a default occurring on the financial instrument as at the reporting date with the risk of a default occurring on the financial instrument as at the date of initial recognition. In making this assessment, the Group considers both quantitative and qualitative information that is reasonable and supportable, including historical experience and forward-looking information that is available without undue cost or effort. Forward-looking information considered includes the future prospects of the industries in which the Group’s debtors operate obtained from economic expert reports, financial analysts and governmental bodies, as well as consideration of various external sources of actual and forecast economic information that relate to the Group’s core operations.

In particular, the following information is taken into account when assessing whether credit risk has increased significantly:

- an actual or expected significant deterioration in the financial instrument’s external (if available) or internal credit rating;
- significant deterioration in external market indicators of credit risk for a particular financial instrument, e.g. a significant increase in the credit spread, or the credit default swap prices for the debtor;
- existing or forecast adverse changes in business, financial or economic conditions that are expected to cause a significant decrease in the debtor’s ability to meet its debt obligations;
- an actual or expected significant deterioration in the operating results of the debtor;

APPENDIX I

ACCOUNTANTS’ REPORT

- an actual or expected significant adverse change in the regulatory, economic, or technological environment of the debtor that results in a significant decrease in the debtor’s ability to meet its debt obligations.

Irrespective of the outcome of the above assessment, the Group presumes that the credit risk has increased significantly since initial recognition when contractual payments are more than 30 days past due, unless the Group has reasonable and supportable information that demonstrates otherwise.

Despite the foregoing, the Group assumes that the credit risk on a debt instrument has not increased significantly since initial recognition if the debt instrument is determined to have low credit risk at the reporting date. A debt instrument is determined to have low credit risk if, i) it has a low risk of default, ii) the borrower has a strong capacity to meet its contractual cash flow obligations in the near term and, iii) adverse changes in economic and business conditions in the longer term may, but will not necessarily, reduce the ability of the borrower to fulfil its contractual cash flow obligations. The Group considers a debt instrument to have low credit risk when it has an internal or external credit rating of “investment grade” as per globally understood definition.

The Group regularly monitors the effectiveness of the criteria used to identify whether there has been a significant increase in credit risk and revises them as appropriate to ensure that the criteria are capable of identifying significant increase in credit risk before the amount becomes past due.

Definition of default

For internal credit risk management, the Group considers an event of default to have occurred when information developed internally or obtained from external sources indicates that the debtor is unlikely to pay its creditors, including the Group, in full (without taking into account any collaterals held by the Group).

Irrespective of the above analysis, the Group considers that default has occurred when a financial asset is more than 90 days past due unless the Group has reasonable and supportable information to demonstrate that a more lagging default criterion is more appropriate.

Credit-impaired financial assets

A financial asset is credit-impaired when one or more events of default that have a detrimental impact on the estimated future cash flows of that financial asset have occurred. Evidence that a financial asset is credit-impaired includes observable data about the following events:

- (a) significant financial difficulty of the issuer or the borrower;
- (b) a breach of contract, such as a default or past due event;
- (c) the lender(s) of the borrower, for economic or contractual reasons relating to the borrower’s financial difficulty, having granted to the borrower a concession(s) that the lender(s) would not otherwise consider;
- (d) it is becoming probable that the borrower will enter bankruptcy or other financial reorganization; or
- (e) the purchase or origination of a financial asset at a deep discount that reflects the incurred losses.

Write-off policy

The Group writes off a financial asset when there is information indicating that the counterparty is in severe financial difficulty and there is no realistic prospect of recovery, e.g. when the counterparty has been placed under liquidation or has entered into bankruptcy proceedings. Financial assets written off may still be subject to enforcement activities under the Group’s recovery procedures, taking into account legal advice where appropriate. A write-off constitutes a derecognition event. Any subsequent recoveries made are recognised in profit or loss.

Measurement and recognition of ECL

Generally, the ECL is the difference between all contractual cash flows that are due to the Group in accordance with the contract and all the cash flows that the Group expects to receive, discounted at the effective interest rate determined at initial recognition. In estimating ECL on trade receivables and notes receivables, the Group use a provision matrix, taking into consideration historical credit loss experience and forward looking information that is available without undue cost or effort. In respect of other financial assets, the measurement of ECL is a function of the probability of default, loss given default (i.e. the magnitude of the loss if there is a default) and the exposure at default. The assessment of the probability of default and loss given default is based on historical data and forward-looking information. Estimation of ECL reflects an unbiased and probability-weighted amount that is determined with the respective risks of default occurring as the weights.

APPENDIX I

ACCOUNTANTS’ REPORT

Where ECL is measured on a collective basis to cater for cases where evidence at the individual instrument level may not yet be available, the financial instruments are grouped on the following basis:

- Nature of financial instruments (i.e. the Group’s trade receivables, notes receivables, other receivables and deposits paid are each assessed as a separate group.);
- Past-due status;
- Nature, size and industry of debtors; and
- External credit ratings where available.

The grouping is regularly reviewed by management to ensure the constituents of each group continue to share similar credit risk characteristics.

The Group recognises an impairment gain or loss in profit or loss for financial assets measured at amortised cost by adjusting their carrying amount through a loss allowance account. For debt instrument measured at FVOCI, the loss allowance is recognised in other comprehensive income and accumulated in FVOCI reserve.

Derecognition of financial assets

The Group derecognises a financial asset only when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another entity. If the Group neither transfers nor retains substantially all the risks and rewards of ownership and continues to control the transferred asset, the Group shall continue to recognise the financial asset to the extent of its continuing involvement and an associated liability for amounts it may have to pay. When the Group’s continuing involvement takes the form of guaranteeing the transferred asset, the extent of the entity’s continuing involvement is the lower of carrying amount of the asset and the maximum amount of the consideration received that the Group could be required to repay. If the Group retains substantially all the risks and rewards of ownership of a transferred financial asset, the Group continues to recognise the financial asset and also recognises a collateralised borrowing for the proceeds received.

On derecognition of a financial asset measured at amortised cost, the difference between the asset’s carrying amount and the sum of the consideration received and receivable is recognised in profit or loss. On derecognition of a debt instrument classified as at FVOCI, the cumulative gain or loss previously accumulated in the FVOCI reserve is reclassified to profit or loss.

(ii) Financial liabilities and equity instruments

Classification as debt or equity

Debt and equity instruments are classified as either financial liabilities or as equity in accordance with the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument.

Equity instruments

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Group are recognised at the proceeds received, net of direct issue costs.

Financial liabilities

Financial liabilities are classified as measured at amortised cost. Financial liabilities are subsequently measured at amortised cost under the effective interest method. Interest expense (unless they are eligible for capitalisation) and foreign exchange gains and losses are recognised in profit or loss.

Derecognition of financial liabilities

The Group derecognises financial liabilities when, and only when, the Group’s obligations are discharged, cancelled or have expired. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in profit or loss.

(q) Provisions and contingent liabilities

Provisions are recognised for liabilities of uncertain timing or amount when the Group has a legal or constructive obligation arising as a result of a past event, which it is probable will result in an outflow of economic benefits that can be reliably estimated.

Provisions for the expected cost of assurance-type warranty obligations under the relevant contracts with customers for sales of products are recognised at the date of sale of the relevant products, at the directors’ best estimate of the expenditure required to settle the Group’s obligation.

APPENDIX I

ACCOUNTANTS’ REPORT

Where it is not probable that an outflow of economic benefits will be required, or the amount cannot be estimated reliably, the obligation is disclosed as a contingent liability, unless the probability of outflow of economic benefits is remote. Possible obligations, the existence of which will only be confirmed by the occurrence or non-occurrence of one or more future events, are also disclosed as contingent liabilities unless the probability of outflow of economic benefits is remote.

(r) Share-based payments

The Company operates several restricted share schemes. Employees (including directors) of the Group receive remuneration in the form of share-based payments, whereby employees render services in exchange for equity instruments (“**equity-settled transactions**”). The cost of equity-settled transactions with employees is measured by reference to the fair value at the date at which they are granted. The fair value is determined by an external valuer using a Black-Scholes model, further details of which are given in note 38.

The cost of equity-settled transactions is recognised in employee benefit expense, together with a corresponding increase in equity (capital reserve), over the period in which the performance and/or service conditions are fulfilled. The cumulative expense recognised for equity-settled transactions at the end of each reporting period until the vesting date reflects the extent to which the vesting period has expired and the Group’s best estimate of the number of equity instruments that will ultimately vest. The charge or credit to the consolidated statements of profit or loss and other comprehensive income for a period represents the movement in the cumulative expense recognised as at the beginning and end of that period.

Service and non-market performance conditions are not taken into account when determining the grant date fair value of awards, but the likelihood of the conditions being met is assessed as part of the Group’s best estimate of the number of equity instruments that will ultimately vest. Market performance conditions are reflected within the grant date fair value. Any other conditions attached to an award, but without an associated service requirement, are considered to be non-vesting conditions. Non-vesting conditions are reflected in the fair value of an award and lead to an immediate expensing of an award unless there are also service and/or performance conditions.

For awards that do not ultimately vest because non-market performance and/or service conditions have not been met, no expense is recognised. Where awards include a market or non-vesting condition, the transactions are treated as vesting irrespective of whether the market or non-vesting condition is satisfied, provided that all other performance and/or service conditions are satisfied.

5. KEY SOURCES OF ESTIMATION UNCERTAINTY

In the application of the Group’s accounting policies, which are described in note 4, the directors of the Company are required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates, judgements and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an on-going basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if revision affects both current and future periods.

The following are key assumptions concerning the future, and other key sources of estimation uncertainty at the end of each reporting period that may have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next twelve-month period.

(i) Useful lives of property, plant and equipment

The Group determines the estimated useful lives, residual values and related depreciation charges for its property, plant and equipment. This estimate is based on the historical experience of the actual useful lives of property, plant and equipment of similar nature and functions. The Group will increase the depreciation charges where useful lives are less than previously estimated lives, or will write-off or write-down technically obsolete or non-strategic assets that have been abandoned or sold.

(ii) Useful lives of intangible assets

The Group’s management determines the useful lives and related amortisation charges for its intangible assets. This estimate is based on the historical experience of the actual useful lives of intangible assets of similar nature and functions and may vary significantly as a result of technical innovations and keen competitions from competitors, resulting in higher amortisation charge and/or write-off or write-down of technically obsolete assets when useful lives are less than previously estimated. The Group will increase the amortisation charges where useful lives are less than previously estimated lives, or will write-off or write-down technically obsolete or non-strategic assets that have been abandoned or sold.

(iii) Fair value measurement

A number of assets and liabilities included in the Group’s consolidated financial statements require measurement at, and/or disclosure of, fair value.

APPENDIX I

ACCOUNTANTS’ REPORT

The fair value measurement of the Group’s financial and non-financial assets and liabilities utilises market observable inputs and data as far as possible. Inputs used in determining fair value measurements are categorised into different levels based on how observable the inputs used in the valuation technique utilised are (the “**fair value hierarchy**”):

- Level 1: Quoted prices in active markets for identical items (unadjusted);
- Level 2: Observable direct or indirect inputs other than Level 1 inputs;
- Level 3: Unobservable inputs (i.e. not derived from market data).

The classification of an item into the above levels is based on the lowest level of the inputs used that has a significant effect on the fair value measurement of the item. Transfers of items between levels are recognised in the period they occur.

The Group measures certain financial instruments at fair value. The detailed information in relation to the fair value measurement of the financial instruments is disclosed in note 42.

The Group has various bank acceptance notes and equity instruments during the Track Record Period as set out in note 26. The Group accounts for these financial instruments as financial assets at FVOCI. For those investments with no quoted market prices in an active market, their fair values are estimated by using valuation techniques. These techniques include those further described in note 42 under the heading “Fair value measurement”. Should any of the estimates and assumptions be changed, it may lead to a change in the fair value of the financial assets.

(v) Provision of ECL for financial assets at amortised cost

The Group calculates ECL for trade receivables, notes receivables, other receivables and other assets, restricted bank deposits and cash and cash equivalents under IFRS 9. The provision rates are based on the Group’s historical default rates taking into consideration forward-looking information that is reasonable and supportable available without undue costs or effort. At every reporting date, the historical observed default rates are reassessed and changes in the forward-looking information are considered.

The provision of ECL is sensitive to changes in estimates. Details of the key assumptions and inputs used are set out in note 40. Changes in these assumptions and estimation could materially affect the assessment and it may be necessary to make additional loss allowance in future periods.

(vi) Recognition of deferred tax assets

Deferred income tax assets relating to certain deductible temporary differences and tax losses are recognised as management considers it is probable that future taxable profit will be available against which the temporary differences or tax losses can be utilised. Where the expectation is different from the original estimate, such differences will impact the recognition of deferred income tax assets and income tax expenses or other comprehensive income in the periods in which such estimate is changed.

(vii) Impairment of non-financial assets

The Group assesses whether there are any indicators of impairment for all non-financial assets (including property, plant and equipment, intangible assets, right-of-use assets and prepayments for property, plant and equipment) at the end of each reporting period. When impairment indicators exist, management is required to estimate the recoverable amount, which is the higher of its fair value less costs of disposal and its value in use. The calculation of the fair value less costs of disposal is based on available data from binding sales transactions in an arm’s length transaction of similar assets or observable market prices less incremental costs for disposing of the asset. When value in use calculations is undertaken, management must estimate the expected future cash flows from the asset or cash-generating unit and choose a suitable discount rate in order to calculate the present value of those cash flows.

(viii) Valuation of share-based payments

The fair value of awarded restricted share at the grant date are determined by using valuation techniques. Significant estimates on assumptions, such as risk-free interest rate, volatility, expected dividend yield and possibility on market conditions are made based on management’s best estimates. Further details are set out in note 38 to the Historical Financial Information.

(ix) Net realisable value of inventories

Net realisable value of inventories is the estimated selling price in the ordinary course of business, less estimated costs of completion and selling expenses. These estimates are based on the current market condition and the historical experience of manufacturing and selling products of similar nature. In addition, these estimates could change significantly as a result of change in customer preference, environmental goals and competitor actions in response to industry cycles. Management measures these estimates at the end of each reporting period.

APPENDIX I

ACCOUNTANTS’ REPORT

6. SEGMENT INFORMATION AND REVENUE

(i) Disaggregation of revenue from contracts with customers

	Year ended December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Revenue from contracts with customers by major products or service lines			
— Data centre laser chips	4,614	48,013	393,258
— Telecommunications laser chips	133,054	202,304	206,470
Subtotal	137,668	250,317	599,728
— Technical services and others	6,736	1,856	1,707
Total revenue	144,404	252,173	601,435
Timing of revenue recognition:			
At a point in time	144,404	252,173	601,435

(ii) Transaction price allocated to future performance obligations

IFRS 15 requires that the Group to disclose the aggregate amount of transaction price that is allocated to each performance obligation that has not yet been satisfied as at each year end during the Track Record Period. The guidance provides certain practical expedients that limit this requirement and, therefore, for the vast majority of contracts, the Group does not disclose the value of unsatisfied performance obligations for contracts with an original expected length of one year or less.

(iii) Segment information

For the purposes of assessing performance and allocating resources, the Group’s operation is regarded as one reportable operating segment which is the chips segment. The operation engages as a global provider of laser chips. The executive directors of the Company, being the chief operating decision maker, review the financial performance and position of the Group as a whole. Accordingly, no segment information is presented.

Geographical information

An analysis of the Group’s revenue from external customers, based on country in which customers reside, is presented below:

	Year ended December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Revenue from contracts with customers			
Chinese Mainland	144,219	251,935	599,520
Outside Chinese Mainland — other jurisdiction	185	238	1,915
Total revenue	144,404	252,173	601,435

Information about the Group’s non-current assets excluding deferred tax assets by geographical location of the assets are presented below:

	Year ended December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Chinese Mainland	605,837	731,665	1,134,997
United State of America (“USA”)	—	—	139,554
	605,837	731,665	1,274,551

APPENDIX I

ACCOUNTANTS’ REPORT

Information about major customers

The major customers which contributed more than 10% of total revenue of the Group for each reporting period during the Track Record Period are follows:

	Year ended December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Customer A	27,501	N/A*	N/A*
Customer B	24,487	35,924	N/A*
Customer C	N/A*	41,300	320,847
Customer D	N/A*	25,924	N/A*

* The corresponding revenue did not contribute over 10% of the total external sales of the Group.

7. OTHER INCOME

	Year ended December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Government grants*	13,887	1,994	7,240
VAT deduction income**	138	115	4,698
Others	29	73	103
Total	14,054	2,182	12,041

* The amounts represent government grants received from various PRC government authorities as incentives for the Group's industry. Out of the grants with no unfulfilled conditions, some of the grants retain unfulfilled conditions with details set out in note 34 to the Historical Financial Information.

** According to Announcement No. 43 of the Ministry of Finance and the State Administration of Taxation in 2023, the Group has recognised VAT deduction as income as some group entities, qualified as advanced manufacturing enterprises, are eligible for an additional 5% VAT deduction from 1 January 2023 to 31 December 2027.

8. OTHER GAINS OR LOSSES, NET

	Year ended December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Change in fair value of financial assets at FVTPL	9,115	4,337	324
Net gains/(losses) on disposal of property, plant and equipment	23	77	(16)
Net foreign exchange losses	(40)	(451)	(4,049)
Donations	—	(500)	—
Others	6	130	22
Total	9,104	3,593	(3,719)

9. IMPAIRMENT LOSSES ON FINANCIAL ASSETS, NET OF REVERSAL

	Year ended December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Trade receivables	(3,096)	2,931	(5,678)
Notes receivables	266	(89)	(913)
Other receivables	(26)	(13)	67
	(2,856)	2,829	(6,524)

APPENDIX I

ACCOUNTANTS’ REPORT

10. FINANCE INCOME, NET

	Year ended December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Interest income	21,668	18,161	14,999
Interest expense on borrowing	—	—	(546)
Interest expense on lease liabilities	(78)	(188)	(1,570)
	<u>21,590</u>	<u>17,973</u>	<u>12,883</u>

11. PROFIT/(LOSS) BEFORE TAX

	Year ended December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Cost of inventories	84,919	170,984	256,643
Written down of inventories	<u>17,987</u>	<u>22,286</u>	<u>9,970</u>
	<u>102,906</u>	<u>193,270</u>	<u>266,613</u>
Depreciation of property, plant and equipment	39,705	47,494	58,166
Depreciation of right-of-use assets	1,185	1,244	4,336
Amortisation of intangible assets	<u>1,668</u>	<u>2,476</u>	<u>1,870</u>
	<u>42,558</u>	<u>51,214</u>	<u>64,372</u>
Capitalised in inventories	<u>(34,549)</u>	<u>(40,206)</u>	<u>(49,569)</u>
	8,009	11,008	14,803
Auditor’s remuneration	900	900	900
Staff costs (including directors’ emoluments):			
— Salaries and other benefits	56,901	63,772	86,200
— Retirement benefits scheme contributions	10,790	11,321	12,591
— Share-based payment expenses	<u>3,549</u>	<u>3,662</u>	<u>32,162</u>
	<u>71,240</u>	<u>78,755</u>	<u>130,953</u>

12. INCOME TAX

	Year ended December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Current tax			
PRC Enterprise Income Tax (“EIT”)	—	—	—
Under provision in respect of prior year	<u>39</u>	<u>—</u>	<u>—</u>
	39	—	—
Deferred tax (note 35)	<u>(1,365)</u>	<u>(9,179)</u>	<u>22,848</u>
Total income tax expense/(credit)	<u>(1,326)</u>	<u>(9,179)</u>	<u>22,848</u>

Under the Law of the PRC on Enterprise Income Tax (the “EIT Law”) and Implementation Regulation of the EIT Law, the standard EIT rate of the PRC subsidiaries is 25%. For the PRC subsidiary approved as “High and New Technology Enterprise” by the relevant government authorities, it is subject to a preferential rate of 15%.

Taxation arising from other jurisdictions is calculated at the rate prevailing in the relevant jurisdictions.

APPENDIX I

ACCOUNTANTS’ REPORT

The income tax expense/(credit) for the Track Record Period can be reconciled to the profit/(loss) before tax per the consolidated statements of profit or loss and other comprehensive income as follows:

	Year ended December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Profit/(loss) before tax	18,154	(15,312)	213,772
Tax at the applicable tax rate of 15%	2,723	(2,297)	32,066
Effect of different tax rates of subsidiaries operating in other jurisdictions	—	(28)	(300)
Tax effect of expenses not deductible for tax purpose	144	82	2,889
Utilisation of tax losses previously not recognised	—	—	20
Effect of deductible temporary differences and tax losses not recognised as deferred tax asset	4	235	—
Effect of super deduction (<i>note (a)</i>)	(4,236)	(7,171)	(9,722)
Effect of investment income of an associate	—	—	(2,105)
Under-provision of current tax in prior year	39	—	—
Total income tax expense/(credit)	(1,326)	(9,179)	22,848

Note:

- (a) According to the relevant laws and regulations promulgated by the State Tax Bureau of the PRC that was effective from 2018 onwards, enterprises engaging in research and development activities are entitled to claim 175% and 200% of their research and development expenses incurred as tax deductible expenses when determining their assessable profits for that year (“**Super Deduction**”).

According to Public Notice 2023 No.7 promulgated by the State Tax Bureau of Chinese Mainland in March 2023, the enterprises entitled to claim 200% of their research and development expenses incurred as tax deductible expenses in determining tax assessable profits from 2023 onwards.

The Group has made its best estimate for the Super Deduction to be claimed for the Group’s entities in ascertaining their assessable profits during the years ended December 31, 2023, 2024, and 2025.

13. DIRECTORS’ AND SUPERVISORS’ EMOLUMENTS

Details of the emoluments paid or payable to the directors and supervisors of the Company for the services provided to the Group during the Track Record Period are as follows:

Year ended December 31, 2023

	Directors’ fee	Salaries and other benefits	Performance-based bonus	Social security costs and housing benefits	Share-based payment	Total
	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000
Chairman:						
ZHANG XINGANG	—	1,000	—	42	—	1,042
Executive directors:						
PAN Yanting (<i>note (e)</i>)	—	674	—	67	239	980
WANG Yonghui (<i>note (c)</i>)	—	244	—	64	30	338
YANG Bin (<i>note (d)</i>)	—	—	—	—	—	—
Non-executive directors:						
ZHANG Xinying	—	42	—	—	—	42
QIN Weixing	—	—	—	—	—	—
Independent executive directors:						
WANG Luping	60	—	—	—	—	60
LI Zhiqiang (<i>note (g)</i>)	60	—	—	—	—	60
DENG Yuanming (<i>note (h)</i>)	60	—	—	—	—	60
Supervisors:						
YUAN Bo	—	—	—	—	—	—
GENG Xue	—	79	—	22	—	101
LIN Yanyan (<i>note (j)</i>)	—	—	—	—	—	—
	180	2,039	—	195	269	2,683

APPENDIX I

ACCOUNTANTS’ REPORT

Year ended December 31, 2024

	Directors’ fee RMB’000	Salaries and other benefits RMB’000	Performance- based bonus RMB’000	Social security costs and housing benefits RMB’000	Share-based payment RMB’000	Total RMB’000
Chairman: ZHANG XINGANG	—	1,000	—	72	161	1,233
Executive directors:						
CHENG Shuo (note (b))	—	623	50	110	382	1,165
WANG Yuxi (note (k))	—	425	35	91	140	691
WANG Yonghui (note (c))	—	16	—	4	20	40
YANG Bin (note (d))	—	—	—	—	—	—
PAN Yanting (note (e))	—	695	28	73	201	997
Non-executive directors:						
ZHANG Xinying	—	42	4	—	—	46
QIN Weixing	—	—	—	—	—	—
Independent executive directors:						
ZHANG Hai (note (f))	56	—	—	—	—	56
WANG Luping	60	—	—	—	—	60
LI Zhiqiang (note (g))	60	—	—	—	—	60
DENG Yuanming (note (h))	8	—	—	—	65	73
Supervisors:						
YUAN Bo	—	—	—	—	—	—
ZHAO Xinai (note (i))	—	97	7	—	—	104
GENG Xue	—	80	6	22	—	108
LIN Yanyan (note (j))	—	—	—	—	—	—
	<u>184</u>	<u>2,978</u>	<u>130</u>	<u>372</u>	<u>969</u>	<u>4,633</u>

Year ended December 31, 2025

	Directors’ fee RMB’000	Salaries and other benefits RMB’000	Performance- based bonus RMB’000	Social security costs and housing benefits RMB’000	Share-based payment RMB’000	Total RMB’000
Chairman: ZHANG XINGANG	—	1,000	250	72	550	1,872
Executive directors:						
CHENG Shuo (note (b))	—	711	180	91	725	1,707
WANG Yuxi (note (k))	—	510	135	90	821	1,556
Non-executive directors:						
ZHANG Xinying	—	43	11	—	—	54
QIN Weixing	—	—	—	—	—	—
Independent executive directors:						
ZHANG Hai (note (f))	91	—	—	—	—	91
WANG Luping	91	—	—	—	—	91
LI Zhiqiang (note (g))	15	—	—	—	—	15
LI Xiaoming (note (l))	73	—	—	—	—	73
Supervisors:						
YUAN Bo	—	—	—	—	—	—
ZHAO Xinai (note (i))	—	—	23	—	19	42
GENG Xue (note (m))	—	—	20	—	87	107
	<u>270</u>	<u>2,264</u>	<u>619</u>	<u>253</u>	<u>2,202</u>	<u>5,608</u>

APPENDIX I

ACCOUNTANTS’ REPORT

Notes:

- (a) The executive director’s emoluments shown above were for his/her services in connection with the management of the affairs of the Company and the Group during the Track Record Period. The performance- based bonus are determined based on the duties and performances of the relevant individuals and the operating result of the Group. None of the directors of the Company waived or agreed to waive any emoluments during the Track Record Period.
- (b) CHENG Shuo was appointed as an executive director of the Company on January 24, 2024.
- (c) WANG Yonghui was resigned from an executive director of the Company on January 24, 2024.
- (d) YANG Bin was resigned from an executive director of the Company on January 24, 2024.
- (e) PAN Yanting was resigned from an executive director of the Company on January 24, 2024.
- (f) ZHANG Hai was appointed as an independent executive director of the Company on January 24, 2024.
- (g) LI Zhiqiang was resigned from an independent executive director of the Company on March 6, 2025.
- (h) DENG Yuanming was resigned from an independent executive director of the Company on January 24, 2024.
- (i) ZHAO Xinai was appointed as a supervisor of the Company on January 24, 2024 and resigned from a supervisor of the Company in June 2025.
- (j) LIN Yanyan was resigned from a supervisor of the Company on January 24, 2024.
- (k) WANG Yuxi was appointed as an executive director of the Company on September 18, 2024.
- (l) LI Xiaoming was appointed as an independent executive director of the Company on April 17, 2025.
- (m) GENG Xue was resigned from a supervisor of the Company in June 2025.

14. FIVE HIGHEST PAID INDIVIDUALS

During the years ended December 31, 2023, 2024 and 2025, the five individuals with the highest emoluments in the Group include 1, 1 and 1 director of the Company, details of whose remuneration are set out in note 13 above. The emoluments of the remaining 4, 4 and 4 individuals during the Track Record Period were as follows:

	Year ended December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Salaries and other benefits	2,456	2,544	2,834
Performance-based bonus	—	366	722
Social security costs and housing benefits	412	357	358
Share-based payment	2,351	1,347	2,908
	<u>5,219</u>	<u>4,614</u>	<u>6,822</u>

The emoluments of the remaining individuals were within the following bands:

	Number of individuals		
	Year ended December 31,		
	2023	2024	2025
Nil to HK\$1,000,000	—	1	—
HK\$1,000,001 to HK\$1,500,000	4	3	—
HK\$1,500,001 to HK\$2,000,000	—	—	4
	<u>4</u>	<u>4</u>	<u>4</u>

During the Track Record Period, no emoluments were paid by the Group to the directors of the Company or the five highest paid individuals (including directors and employees) as an inducement to join or upon joining the Group or as compensation for loss of office. None of the directors of the Company have waived any emoluments during the Track Record Period.

APPENDIX I

ACCOUNTANTS’ REPORT

15. EARNINGS/LOSS PER SHARE

(a) Basis earnings/loss per share

The calculation of the basic earnings/loss per share amount is based on the following data.

	Year ended December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Profit/(loss) attributable to owners of the Company for the purpose of calculating basic earnings/(loss) per share	19,480	(6,133)	190,924

Number of shares:

	Year ended December 31,		
	2023	2024	2025
Weighted average number of ordinary shares in issue exclude treasury share for the purpose of calculating basic earnings/(loss) per share (note)	72,618,967	85,079,828	85,418,308

Note: Treasury shares were excluded in calculating the weighted average number of ordinary shares for the purpose of basic earnings/(loss) per share.

(b) Diluted earnings/loss per share

The restricted shares granted under the restricted share schemes in 2021, 2024 and 2025 have potential dilutive effect on the earnings per share. Diluted earnings per share is calculated by adjusting the weighted average number of ordinary shares outstanding by the assumption of the conversion of all potential dilutive ordinary shares.

For the year ended December 31, 2024, the restricted shares were not included in the calculation of the diluted loss per share as the inclusion would have been anti-dilutive.

The calculation of the diluted earnings/loss per share amount is based on the following data.

	Year ended December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Profit/(loss) attributable to owners of the Company for the purpose of calculating basic earnings/(loss) per share	19,480	(6,133)	190,924

Number of shares:

	Year ended December 31,		
	2023	2024	2025
Weighted average number of ordinary shares in issue exclude treasury share for the purpose of calculating basic earnings per share	72,618,967	85,079,828	85,418,308
Effect of restricted shares	952,864	—	213,710
Weighted average number of ordinary shares in issue exclude treasury share for the purpose of calculating diluted earnings per share	73,571,831	85,079,828	85,632,018

16. DIVIDENDS

In May 2023, a dividend of RMB0.65 per share, in aggregate amount of approximately RMB39,389,000 for the year ended December 31, 2022 was approved in the annual general meeting of the Company and paid in 2023.

In May 2024, a dividend of RMB0.1 per share, in aggregate amount of approximately RMB8,506,000 for the year ended December 31, 2023 was approved in the annual general meeting of the Company and paid in 2024.

In November 2024, a dividend of RMB0.1 per share, in aggregate amount of approximately RMB8,500,000 for the year ended December 31, 2024 was approved in the extraordinary general meeting of the Company and paid in 2025.

In June 2025, a dividend of RMB0.1 per share, in aggregate amount of approximately RMB8,550,000 for the year ended December 31, 2024 was approved in the annual general meeting of the Company and paid in 2025.

APPENDIX I

ACCOUNTANTS’ REPORT

In August 2025, a dividend of RMB0.3 per share, in aggregate amount of approximately RMB25,649,000 for the year ended December 31, 2025 was approved in the board of directors of the Company and paid in 2025.

17. INVESTMENTS IN SUBSIDIARIES

(a) Investment cost

	As of December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Company			
Investments in subsidiaries			
— Unlisted shares, at cost less impairment loss	2,153	2,153	360,793

(b) Particular of the Company’s principal subsidiaries at the date of this report are as follows:

Name of subsidiaries	Date and place of incorporation establishment	Registered capital	Direct/ Indirect	Equity interests attributable to the Company as of			Principal activities
				December 31, 2023	December 31, 2024	December 31, 2025	
YUANJIE TECHNOLOGY PTE. LTD. (note (b))	June 9, 2023 Singapore	USD50,300,000	Direct Indirect	100% —	100% —	100% —	Wholesale trade and holding company
YST SEMICONDUCTOR TECHNOLOGY CORPORATION (note (c))	March 25, 2024 USA	USD50	Direct Indirect	— —	— 100%	— 100%	Production and sale of laser chips

Notes:

- All companies comprising the Group have adopted December 31, as their financial year end date.
- The statutory financial statements of the subsidiary for the years ended December 31, 2023, 2024 and 2025 were prepared in accordance with relevant accounting principles and financial regulations applicable in the relevant jurisdiction.
- No statutory audited financial statements were prepared for the entity since its date of incorporation as it is incorporated in a jurisdiction where there are no local statutory audit requirements or exempted from statutory audit requirements.

18. INVESTMENTS IN AN ASSOCIATE

	As of December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Group and Company			
Share of net assets	30,002	118,313	134,373
At the beginning of the year	—	30,002	118,313
Capital injection	30,000	90,000	—
Share of post-acquisition profit/(loss)	2	(1,689)	14,031
Others	—	—	2,029
	30,002	118,313	134,373

APPENDIX I

ACCOUNTANTS’ REPORT

The Group and Company had interests in the following associate during the Track Record Period:

Name of associates	Place of incorporation/ establishment and operation	Authorised share capital/registered capital	% of ownership interests As of December 31,			Principal activities
			2023	2024	2025	
北京觀新光源創業投資基金中心(有限合伙)	PRC	RMB300,000,000	68%	40%	40%	Investment fund

Note:

北京觀新光源創業投資基金中心(有限合伙) is a limited partnership investment fund established in the PRC. The Group and Company does not have control over the fund’s financial and operating activities, which are managed by the general partner. The Group is one of the members out of three of the investment committee of the fund. As such, the Group is considered to have significant influence over the fund during the Track Record Period and therefore is accounted for as an associate.

For the year ended December 31, 2023, the Company and other shareholders of the associate have made capital contribution to the associate of RMB30,000,000 and RMB14,000,000, respectively, changing the Company’s continuing interest to 68%. For the year ended December 31, 2024, the Company and other shareholders of the associate have made further contributions to the associate of RMB90,000,000 and RMB166,000,000, respectively, changing the Company’s continuing interest to 40%.

The following table illustrates the summarised financial information of 北京觀新光源創業投資基金中心(有限合伙), the material associate of the Group which is accounted for using equity method:

	北京觀新光源創業投資基金中心(有限合伙)		
	2023 RMB'000	2024 RMB'000	2025 RMB'000
As of 31 December,			
Current assets	44,004	218,670	149,971
Non-current assets	—	77,112	185,961
Year ended 31 December			
Revenue	—	—	—
Profit and total comprehensive income	4	(4,222)	35,077
Reconciled to the Group’s and Company interest in the associate			
Gross amount of net assets of the associate	44,004	295,782	335,932
Group’s and Company’s effective equity interest	68%	40%	40%
Group’s and Company’s share of net assets of the associate and carrying amount in the consolidated financial statements	30,002	118,313	134,373

APPENDIX I

ACCOUNTANTS’ REPORT

19. PROPERTY, PLANT AND EQUIPMENT

Group

	Property and buildings <i>RMB'000</i>	Machinery and equipment <i>RMB'000</i>	Motor vehicles <i>RMB'000</i>	Tools and office equipment <i>RMB'000</i>	Leasehold improvement <i>RMB'000</i>	Construction in progress <i>RMB'000</i>	Total <i>RMB'000</i>
Cost							
As of January 1, 2023	214,836	261,336	1,403	20,192	5,880	121,066	624,713
Additions	—	39	—	1,859	—	69,569	71,467
Transfer from construction in progress	8,014	77,111	—	286	—	(85,411)	—
Disposals	—	—	(284)	(17)	(259)	—	(560)
As of December 31, 2023 and January 1, 2024	222,850	338,486	1,119	22,320	5,621	105,224	695,620
Additions	—	—	179	669	647	71,360	72,855
Transfer from construction in progress	12,683	119,863	—	389	—	(132,935)	—
Disposals	—	—	(109)	(463)	—	—	(572)
As of December 31, 2024 and January 1, 2025	235,533	458,349	1,189	22,915	6,268	43,649	767,903
Additions	—	—	—	1,311	179	309,482	310,972
Transfer from construction in progress	23,462	170,259	—	3,022	—	(196,743)	—
Disposals	—	(120)	—	(94)	—	—	(214)
Exchange realignment	—	—	—	(12)	—	—	(12)
As of December 31, 2025	<u>258,995</u>	<u>628,488</u>	<u>1,189</u>	<u>27,142</u>	<u>6,447</u>	<u>156,388</u>	<u>1,078,649</u>
Accumulated depreciation							
As of January 1, 2023	1,922	89,261	929	8,808	4,790	—	105,710
Depreciation charged	8,383	27,495	66	3,274	487	—	39,705
Disposals	—	—	(270)	(16)	(187)	—	(473)
As of December 31, 2023 and January 1, 2024	10,305	116,756	725	12,066	5,090	—	144,942
Depreciation charged	8,699	35,112	59	3,111	513	—	47,494
Disposals	—	—	(104)	(440)	—	—	(544)
As of December 31, 2024 and January 1, 2025	19,004	151,868	680	14,737	5,603	—	191,892
Depreciation charged	9,050	45,390	62	3,064	600	—	58,166
Disposals	—	(97)	—	(89)	—	—	(186)
As of December 31, 2025	<u>28,054</u>	<u>197,161</u>	<u>742</u>	<u>17,712</u>	<u>6,203</u>	<u>—</u>	<u>249,872</u>
Carrying amount							
As of December 31, 2023	<u>212,545</u>	<u>221,730</u>	<u>394</u>	<u>10,254</u>	<u>531</u>	<u>105,224</u>	<u>550,678</u>
As of December 31, 2024	<u>216,529</u>	<u>306,481</u>	<u>509</u>	<u>8,178</u>	<u>665</u>	<u>43,649</u>	<u>576,011</u>
As of December 31, 2025	<u>230,941</u>	<u>431,327</u>	<u>447</u>	<u>9,430</u>	<u>244</u>	<u>156,388</u>	<u>828,777</u>

APPENDIX I

ACCOUNTANTS’ REPORT

Company

	Property and buildings <i>RMB'000</i>	Machinery and equipment <i>RMB'000</i>	Motor vehicles <i>RMB'000</i>	Tools and office equipment <i>RMB'000</i>	Leasehold improvement <i>RMB'000</i>	Construction in progress <i>RMB'000</i>	Total <i>RMB'000</i>
Cost							
As of January 1, 2023	214,836	261,336	1,403	20,192	5,880	121,066	624,713
Additions	—	39	—	1,859	—	69,569	71,467
Transfer from construction in progress	8,014	77,111	—	286	—	(85,411)	—
Disposals	—	—	(284)	(17)	(259)	—	(560)
As of December 31, 2023 and January 1, 2024	222,850	338,486	1,119	22,320	5,621	105,224	695,620
Additions	—	—	179	669	647	71,360	72,855
Transfer from construction in progress	12,683	119,863	—	389	—	(132,935)	—
Disposals	—	—	(109)	(463)	—	—	(572)
As of December 31, 2024 and January 1, 2025	235,533	458,349	1,189	22,915	6,268	43,649	767,903
Additions	—	—	—	260	179	309,316	309,755
Transfer from construction in progress	23,462	170,259	—	3,022	—	(196,743)	—
Disposals	—	(120)	—	(94)	—	—	(214)
As of December 31, 2025	<u>258,995</u>	<u>628,488</u>	<u>1,189</u>	<u>26,103</u>	<u>6,447</u>	<u>156,222</u>	<u>1,077,444</u>
Accumulated depreciation							
As of January 1, 2023	1,922	89,261	929	8,808	4,790	—	105,710
Depreciation charged	8,383	27,495	66	3,274	487	—	39,705
Disposals	—	—	(270)	(16)	(187)	—	(473)
As of December 31, 2023 and January 1, 2024	10,305	116,756	725	12,066	5,090	—	144,942
Depreciation charged	8,699	35,112	59	3,111	513	—	47,494
Disposals	—	—	(104)	(440)	—	—	(544)
As of December 31, 2024 and January 1, 2025	19,004	151,868	680	14,737	5,603	—	191,892
Depreciation charged	9,050	45,390	62	3,015	600	—	58,117
Disposals	—	(97)	—	(89)	—	—	(186)
As of December 31, 2025	<u>28,054</u>	<u>197,161</u>	<u>742</u>	<u>17,663</u>	<u>6,203</u>	<u>—</u>	<u>249,823</u>
Carrying amount							
As of December 31, 2023	<u>212,545</u>	<u>221,730</u>	<u>394</u>	<u>10,254</u>	<u>531</u>	<u>105,224</u>	<u>550,678</u>
As of December 31, 2024	<u>216,529</u>	<u>306,481</u>	<u>509</u>	<u>8,178</u>	<u>665</u>	<u>43,649</u>	<u>576,011</u>
As of December 31, 2025	<u>230,941</u>	<u>431,327</u>	<u>447</u>	<u>8,440</u>	<u>244</u>	<u>156,222</u>	<u>827,621</u>

As of December 31, 2023, 2024 and 2025, the Group’s and Company’s of property and buildings which the certificate of title had not been obtained were approximately RMB199,308,000, RMB205,603,000 and RMB220,406,000 respectively. The certificates of those property and buildings were obtained in 2026.

APPENDIX I

ACCOUNTANTS’ REPORT

20. RIGHT-OF-USE ASSETS

Details of the right-of-use assets recognised and movements during the years:

Group

	Land RMB'000	Buildings RMB'000	Total RMB'000
Cost			
As of January 1, 2023	12,715	6,102	18,817
Disposals	—	(1,747)	(1,747)
As of December 31, 2023 and January 1, 2024	12,715	4,355	17,070
Modifications (<i>note</i>)	—	3,310	3,310
As of December 31, 2024 and January 1, 2025	12,715	7,665	20,380
Additions	—	64,393	64,393
Exchange realignment	—	(720)	(720)
As of December 31, 2025	12,715	71,338	84,053
Accumulated depreciation			
As of January 1, 2023	950	3,317	4,267
Depreciation charged	254	931	1,185
Disposals	—	(1,747)	(1,747)
As of December 31, 2023 and January 1, 2024	1,204	2,501	3,705
Depreciation charged	254	990	1,244
As of December 31, 2024 and January 1, 2025	1,458	3,491	4,949
Depreciation charged	254	4,082	4,336
Exchange realignment	—	(35)	(35)
As of December 31, 2025	1,712	7,538	9,250
Carrying amount			
As of December 31, 2023	11,511	1,854	13,365
As of December 31, 2024	11,257	4,174	15,431
As of December 31, 2025	11,003	63,800	74,803

APPENDIX I

ACCOUNTANTS’ REPORT

Company

	Land RMB'000	Buildings RMB'000	Total RMB'000
Cost			
As of January 1, 2023	12,715	6,102	18,817
Disposals	—	(1,747)	(1,747)
As of December 31, 2023 and January 1, 2024	12,715	4,355	17,070
Modifications (<i>note</i>)	—	3,310	3,310
As of December 31, 2024 and January 1, 2025	12,715	7,665	20,380
Additions	—	212	212
As of December 31, 2025	<u>12,715</u>	<u>7,877</u>	<u>20,592</u>
Accumulated depreciation			
As of January 1, 2023	950	3,317	4,267
Depreciation charged	254	931	1,185
Disposals	—	(1,747)	(1,747)
As of December 31, 2023 and January 1, 2024	1,204	2,501	3,705
Depreciation charged	254	990	1,244
As of December 31, 2024 and January 1, 2025	1,458	3,491	4,949
Depreciation charged	254	1,001	1,255
As of December 31, 2025	<u>1,712</u>	<u>4,492</u>	<u>6,204</u>
Carrying amount			
As of December 31, 2023	<u>11,511</u>	<u>1,854</u>	<u>13,365</u>
As of December 31, 2024	<u>11,257</u>	<u>4,174</u>	<u>15,431</u>
As of December 31, 2025	<u>11,003</u>	<u>3,385</u>	<u>14,388</u>

Note: Modifications represented the renewal of lease upon the end of the previous lease term.

The leased land and buildings are used for the purpose of office and manufacturing plant. For the Group, lease contracts of land and buildings are entered into for fixed term of 50 years and 5 to 10 years. For the Company, lease contracts of land and buildings are entered into for fixed term of 50 years and 5 years. Lease terms are negotiated on an individual basis. In determining the lease term and assessing the length of the non-cancellable period, the Group and Company applies the definition of a contract and determines the period for which the contract is enforceable. The leases comprise only fixed payments over the lease terms and do not include any extension nor termination options.

As at December 31, 2023 and 2024 and 2025, the Group’s lease liabilities of approximately Nil, RMB3,310,000, and RMB64,393,000 are recognised with related right-of-use assets of approximately Nil, RMB3,310,000, and RMB64,393,000, respectively.

APPENDIX I

ACCOUNTANTS’ REPORT

21. INTANGIBLE ASSETS

Group and Company

	Software RMB'000	Emission rights RMB'000	Total RMB'000
Cost			
As of January 1, 2023	4,358	—	4,358
Additions	3,640	694	4,334
As of December 31, 2023 and January 1, 2024	7,998	694	8,692
Additions	2,173	—	2,173
As of December 31, 2024 and January 1, 2025	10,171	694	10,865
Additions	45	—	45
As of December 31, 2025	10,216	694	10,910
Accumulated amortisation			
As of January 1, 2023	1,579	—	1,579
Amortisation charged	1,580	88	1,668
As of December 31, 2023 and January 1, 2024	3,159	88	3,247
Amortisation charged	2,337	139	2,476
As of December 31, 2024 and January 1, 2025	5,496	227	5,723
Amortisation charged	1,730	140	1,870
As of December 31, 2025	7,226	367	7,593
Carrying amount			
As of December 31, 2023	4,839	606	5,445
As of December 31, 2024	4,675	467	5,142
As of December 31, 2025	2,990	327	3,317

All of the Group’s and the Company’s software and emission rights were acquired from third parties.

22. PREPAYMENTS, OTHER RECEIVABLES AND OTHER ASSETS

Group

	As of December 31,		
	2023 RMB'000	2024 RMB'000	2025 RMB'000
Non-current portion			
Prepayments for property, plant and equipment	6,347	16,768	201,990
Current portion			
Prepayments	677	355	1,285
Other tax receivables	18,006	14,831	2,317
Prepayments to suppliers	3,447	6,492	8,362
Deferred listing expenses	—	—	7,950
Others	89	37	7
	22,219	21,715	19,921
Total	28,566	38,483	221,911

APPENDIX I

ACCOUNTANTS’ REPORT

Company	As of December 31,		
	2023 RMB'000	2024 RMB'000	2025 RMB'000
Non-current portion			
Prepayments for property, plant and equipment	6,347	16,768	124,007
Current portion			
Prepayments	677	355	1,285
Other tax receivables	18,006	14,831	2,317
Prepayments to suppliers	3,447	6,492	7,763
Deferred listing expenses	—	—	7,950
Others	89	37	7
	22,219	21,715	19,322
Total	28,566	38,483	143,329
23. INVENTORIES			
Group and Company			
	As of December 31,		
	2023 RMB'000	2024 RMB'000	2025 RMB'000
Raw materials	6,042	5,676	31,939
Work in progress	77,231	89,530	66,992
Finished goods	72,903	53,680	50,223
Goods in transit	1,343	1,055	4,315
Less: write-downs of inventories	(16,700)	(27,227)	(19,773)
Total	140,819	122,714	133,696
24. TRADE RECEIVABLES			
Group			
	As of December 31,		
	2023 RMB'000	2024 RMB'000	2025 RMB'000
Third parties	112,339	131,946	281,074
Related parties	1,246	—	—
Less: loss allowance for trade receivables	(13,849)	(10,918)	(16,596)
Total	99,736	121,028	264,478
Company			
	As of December 31,		
	2023 RMB'000	2024 RMB'000	2025 RMB'000
Third parties	112,339	131,946	281,035
Related parties	1,246	—	—
Less: loss allowance for trade receivables	(13,849)	(10,918)	(16,585)
Total	99,736	121,028	264,450

APPENDIX I

ACCOUNTANTS’ REPORT

The Group and Company allows a credit period of 30 to 90 days to its customers. The following is aging analysis of trade receivables (net of allowance for impairment losses), presented based on the invoice dates, at the end of each reporting period:

Group

	As of December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Within 1 year	69,486	118,824	264,364
1 to 2 years	30,250	226	114
2 to 3 years	—	1,978	—
	<u>99,736</u>	<u>121,028</u>	<u>264,478</u>

Company

	As of December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Within 1 year	69,486	118,824	264,336
1 to 2 years	30,250	226	114
2 to 3 years	—	1,978	—
	<u>99,736</u>	<u>121,028</u>	<u>264,450</u>

Movements in lifetime ECL that have been recognised for trade receivables in accordance with the simplified approach set out in IFRS 9 for the years ended December 31, 2023, 2024 and 2025:

Group

	As of December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
At the beginning of year	10,753	13,849	10,918
Impairment losses, net of reversal	<u>3,096</u>	<u>(2,931)</u>	<u>5,678</u>
At the end of year	<u>13,849</u>	<u>10,918</u>	<u>16,596</u>

Company

	As of December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
At the beginning of year	10,753	13,849	10,918
Impairment losses, net of reversal	<u>3,096</u>	<u>(2,931)</u>	<u>5,667</u>
At the end of year	<u>13,849</u>	<u>10,918</u>	<u>16,585</u>

APPENDIX I

ACCOUNTANTS’ REPORT

25. NOTES RECEIVABLES

Group and Company

	As of December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Commercial acceptance notes	5,528	9,183	25,712
Less: loss allowance for notes receivable	(374)	(463)	(1,376)
Total	5,154	8,720	24,336

The Group’s and Company’s notes receivable, which have been endorsed but not matured yet as at the balance sheet date, are as follows:

	As of December 31,					
	2023		2024		2025	
	Derecognised	Not derecognised	Derecognised	Not derecognised	Derecognised	Not derecognised
	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000
Type						
Commercial acceptance notes	—	—	—	5,339	—	24,200

As at December 31, 2024 and 2025, the Group and the Company endorsed certain notes receivables accepted by the banks in the PRC (the “**Endorsed Bills**”) to certain of its suppliers in order to settle the trade payables and other payables. The Endorsed Bills had a maturity of one to six months at the end of each reporting period. In accordance with the Law of Negotiable Instruments in the PRC, the holders of the derecognised bills have a right to recourse against the Group if the banks default (the “**Continuing Involvement**”).

In the opinion of the directors of the Company, the Group and the Company has retained the substantial risks and rewards, which include default risks, and accordingly, it continued to recognise the carrying amounts of these Endorsed Bills and associated trade payables settled. These financial assets are measured at amortised cost in the Historical Financial Information. The related payable is presented as other payables and accruals in note 30 of the Historical Financial Information.

Movements in lifetime ECL that have been recognised for notes receivables in accordance with the simplified approach set out in IFRS 9 for the years ended December 31, 2023 and 2024 and 2025:

	As of December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
At the beginning of year	640	374	463
Impairment, net	(266)	89	913
At the end of year	374	463	1,376

26. FINANCIAL ASSETS AT FVOCI

Group and Company

	As of December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Non-current portion			
Investments in an unlisted company (note (a))	—	—	31,291
Current portion			
Bank acceptance notes (note (b))	19,408	14,110	5,211

- (a) Unlisted equity investment which are not held for trading, and which the Group and the Company has irrevocably elected at initial recognition to recognise in this category. These are strategic investments and the Group and the Company considers this classification to be more relevant. On disposal of these equity investment, any related balance within the other reserve is reclassified to retained earnings.

Information about the methods and assumptions used in determining fair value is provided in note 42.

APPENDIX I

ACCOUNTANTS’ REPORT

- (b) The Group and the Company’s bank acceptance notes measured at fair value, which have been discounted but not matured yet as at the balance sheet date, are as follows:

	As of December 31,					
	2023		2024		2025	
	Derecognised	Not derecognised	Derecognised	Not derecognised	Derecognised	Not derecognised
	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000
Bank acceptance notes	16,924	—	35,478	—	54,376	—

The Group and the Company endorsed certain notes receivables as stated in note 25.

In the opinion of the directors of the Company, the risk of the Group and the Group being claimed by the holders of the Endorsed Bills in the absence of a default of the accepted banks is remote to the extent of approximately RMB16,924,000, RMB35,478,000 and RMB54,376,000 as at December 31, 2023, 2024 and 2025 respectively, and the Group and Company have transferred substantially all risks and rewards relating to such Endorsed Bills. Accordingly, it has derecognised the carrying amounts of the Endorsed Bills of RMB16,924,000 and RMB35,478,000 and RMB54,376,000 (the “**Derecognised Bills**”) and the associated trade payables of the same amount. The maximum exposure to loss from the Continuing Involvement of the Group and the Company in the Derecognised Bills and the undiscounted cash flows to repurchase these Derecognised Bills is equal to their carrying amounts. In the opinion of the directors of the Company, the fair values of the Group’s Continuing Involvement in the Derecognised Bills are not significant. No gain or loss was recognised on the date of transfer of the Derecognised Bills, nor any gain or loss from the Continuing Involvement, both during the year or cumulatively. These financial assets are measured at FVOCI in the Historical Financial Information.

27. RESTRICTED BANK DEPOSITS AND CASH AND CASH EQUIVALENTS

Group

	Note	As of 31 December,		
		2023 RMB'000	2024 RMB'000	2025 RMB'000
Cash and bank balance	(a)	812,650	872,882	795,896
Time deposits		530,859	203,601	—
Deposits with other financial institutions		—	4,593	—
Cash and cash equivalents in the consolidated statements of financial position		1,343,509	1,081,076	795,896
Less: accrued interest arising from deposits		(10,859)	(3,601)	—
Cash and cash equivalents in the consolidated statements of cash flows		1,332,650	1,077,475	795,896
Restricted bank deposits	(b)	—	40,160	26,379

Company

	Note	As of 31 December,		
		2023 RMB'000	2024 RMB'000	2025 RMB'000
Cash and bank balance	(a)	810,525	872,114	541,268
Time deposits		530,859	203,601	—
Deposits with other financial institutions		—	4,593	—
Cash and cash equivalents in the consolidated statements of financial position		1,341,384	1,080,308	541,268
Less: accrued interest arising from deposits		(10,859)	(3,601)	—
Cash and cash equivalents in the consolidated statements of cash flows		1,330,525	1,076,707	541,268
Restricted bank deposits	(b)	—	40,160	10,274

APPENDIX I

ACCOUNTANTS’ REPORT

Notes:

- (a) At the end of each reporting period, cash and bank of the Group and Company comprised of bank balances and cash held. Bank balances carried interest at prevailing market rates which are 0.0001%–2.15%, 0.0001%–1.15%, 0.0001%–0.45% per annum as of December 31, 2023, 2024 and 2025, respectively.
- (b) As of December 31, 2024, bank deposits with balances of RMB40,160,000 was restricted and are denominated in RMB. The restrictions on bank deposits of the Group and the Company are attributable to the redemption freeze on wealth management products.
- As of December 31, 2025, the Group’s bank deposits with balances of RMB26,379,000 was restricted and are denominated in RMB and US\$. The restrictions on bank deposits of the Group are mainly attributable to guarantee for bank acceptance notes of RMB10,274,000 and letters of guarantee of RMB15,786,000.
- As of December 31, 2025, the Company’s bank deposits with balances of RMB10,274,000 was restricted and are denominated in RMB. The restrictions on bank deposits of the Company are attributable to guarantee for bank acceptance notes.
- (c) The Group and Company’s cash and bank, deposits with other financial institutions and time deposits, restricted bank deposits are mainly dominated in RMB. The conversion of the RMB denominated balances into foreign currencies is subject to the rules and regulations of foreign exchange control promulgated by the PRC Government. The Group is permitted to exchange RMB for other currencies through banks authorised to conduct foreign exchange business.

Cash at banks earns interest at floating rates based on daily bank deposit rates. Short term time deposits are made for varying periods of between one day and three months depending on the immediate cash requirements of the Group, and earn interest at the respective short term time deposit rates. The bank balances and restricted bank deposits are deposited with creditworthy banks and financial institution with no recent history of default.

28. TRADE PAYABLES

Group

	As of December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Third parties	25,983	22,519	52,632
Related parties	18	—	—
Total	<u>26,001</u>	<u>22,519</u>	<u>52,632</u>

Company

	As of December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Third parties	25,961	22,495	52,632
Related parties	18	—	—
Total	<u>25,979</u>	<u>22,495</u>	<u>52,632</u>

Payment terms with suppliers are mainly on credit ranging from 30–60 days from invoice date. The following is an aging analysis of trade payables presented based on invoice date at the end of each reporting period:

Group

	As of December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Within 1 year	23,736	22,313	52,377
1–2 years	2,102	20	126
2–3 years	4	25	18
Over 3 years	159	161	111
Total	<u>26,001</u>	<u>22,519</u>	<u>52,632</u>

APPENDIX I

ACCOUNTANTS’ REPORT

Company

	As of December 31,		
	2023 RMB'000	2024 RMB'000	2025 RMB'000
Within 1 year	23,714	22,289	52,377
1–2 years	2,102	20	126
2–3 years	4	25	18
Over 3 years	159	161	111
Total	25,979	22,495	52,632

29. NOTES PAYABLES

Group and Company

	As of December 31,		
	2023 RMB'000	2024 RMB'000	2025 RMB'000
Third parties	—	—	20,548

The following is an aging analysis of notes payables presented based on invoice date at the end of each reporting period:

	As of December 31,		
	2023 RMB'000	2024 RMB'000	2025 RMB'000
Within 1 year	—	—	20,548

As at 31 December 2025, the Group and the Company’s notes payable of approximately RMB20,548,000 were secured by certain of the Group and Company’s restricted bank deposits of approximately RMB10,274,000.

These relate to trade payables in which the Group and the Company have issued bills to the relevant suppliers for settlement of trade payables. The suppliers can obtain the invoice amounts from the bank on the maturity date of the notes. The Group and the Company continue to recognise these note payables as the Group and the Company are obliged to make payments to the relevant banks on due dates of the notes, under the same conditions as agreed with the suppliers without further extension. In the consolidated statements of cash flows, settlements of these bills by the Group and the Company are included within operating cash flows based on the nature of the arrangements.

30. OTHER PAYABLES AND ACCRUALS

Group

	As of December 31,		
	2023 RMB'000	2024 RMB'000	2025 RMB'000
Salary payable	6,365	9,583	19,975
Notes receivables endorsed and not matured (note 25)	—	5,339	24,200
Other tax payable	1,117	929	2,909
Payables for property, plant and equipment	57,333	6,454	35,753
Services fee payable	950	5,533	6,811
Payables for [REDACTED]	—	—	7,760
Others	497	556	748
	66,262	28,394	98,156

APPENDIX I

ACCOUNTANTS’ REPORT

Company	As of December 31,		
	2023 RMB'000	2024 RMB'000	2025 RMB'000
Salary payable	6,365	9,583	19,741
Notes receivables endorsed and not matured (note 25)	—	5,339	24,200
Other tax payable	1,117	929	2,909
Payables for property, plant and equipment	57,333	6,454	35,753
Services fee payable	950	5,533	6,787
Payables for [REDACTED]	—	—	7,760
Others	497	554	728
	<u>66,262</u>	<u>28,392</u>	<u>97,878</u>

31. CONTRACT LIABILITIES

Group and Company

	As of December 31,		
	2023 RMB'000	2024 RMB'000	2025 RMB'000
Contract liabilities			
Sales of goods	1,419	1,452	1,862
Provision of technical services	679	—	—
Total	<u>2,098</u>	<u>1,452</u>	<u>1,862</u>

Contract liabilities relating to sales of goods and provision of technical services primarily relate to the non-refundable deposits received from customers. These amounts will be recognised as contract liabilities until the control of the goods and technical services has been transferred to the customer, being at the point the goods and technical services are delivered to the customers.

Changes in contract liabilities primarily relate to the Group’s and the Company’s performance of goods or services under the contracts. Contract liabilities relating to sales of goods of RMB169,000, RMB80,000 and RMB26,000 as well as provision of technical services of RMB4,127,000, RMB679,000 and Nil as of December 31, 2022, 2023 and 2024 are recognised as revenue during the years ended December 31, 2023, 2024 and 2025, respectively.

The Group expects that the contract liabilities as of December 31, 2023, 2024 and 2025 will be recognised as revenue within a year.

32. LEASE LIABILITIES

The following table shows the remaining contractual maturities of lease liabilities at the end of each reporting period:

Group

	As of December 31,		
	2023 RMB'000	2024 RMB'000	2025 RMB'000
Within one year	908	938	4,812
One to two years	980	2,168	5,912
Two to five years	—	1,245	18,218
More than five years	—	—	38,391
	<u>1,888</u>	<u>4,351</u>	<u>67,333</u>
Less: Amounts due for settlement within 12 months shown under current liabilities	<u>(908)</u>	<u>(938)</u>	<u>(4,812)</u>
Amount due for settlement after 12 months shown under non-current liabilities	<u>980</u>	<u>3,413</u>	<u>62,521</u>

APPENDIX I

ACCOUNTANTS’ REPORT

Company	As of December 31,		
	2023 RMB'000	2024 RMB'000	2025 RMB'000
Within one year	908	938	1,105
One to two years	980	2,168	2,520
Two to five years	—	1,245	—
	1,888	4,351	3,625
Less: Amounts due for settlement within 12 months shown under current liabilities	(908)	(938)	(1,105)
Amount due for settlement after 12 months shown under non-current liabilities	980	3,413	2,520
33. PROVISIONS			
Group and Company			
	2023 RMB'000	2024 RMB'000	2025 RMB'000
Product warranties			
Non-current portion	3,749	282	1,141
Current portion	—	646	693
	3,749	928	1,834
			Warranty claims RMB'000
As of 1 January 2023			6,298
Charged to profit or loss			1,722
Utilised during the year			(709)
Released during the year			(3,562)
As of 31 December 2023 and 1 January 2024			3,749
Charged to profit or loss			1,433
Utilised during the year			(304)
Released during the year			(3,950)
As of 31 December 2024 and 1 January 2025			928
Charged to profit or loss			1,622
Utilised during the year			(536)
Released during the year			(180)
As of 31 December 2025			1,834

34. DEFERRED INCOME

The Group and Company received government subsidies for the capital expenditures and expansions on the high-tech development. These government subsidies were recognised as deferred income and would be amortised over estimated useful life of the underlying property, plant and equipment.

APPENDIX I

ACCOUNTANTS’ REPORT

35. DEFERRED TAX (LIABILITIES)/ASSETS

The following is a summary of the deferred tax balances of the Group and Company for financial reporting purposes:

Group

	As of December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Deferred tax assets	—	4,663	40,760
Deferred tax liabilities	(4,516)	—	—
	<u>(4,516)</u>	<u>4,663</u>	<u>40,760</u>

Company

	As of December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Deferred tax assets	—	4,663	39,688
Deferred tax liabilities	(4,516)	—	—
	<u>(4,516)</u>	<u>4,663</u>	<u>39,688</u>

Group

The movements in deferred tax assets/(liabilities) during the Track Record Period, without taking into consideration of offsetting of balances within the same jurisdiction, are as follows:

	Provision for asset impairments	Provision for impairment losses	Provisions	Tax losses	Deferred income	Accrued expense	Share- based payment	Change in fair value of financial assets and financial liabilities	Lease liabilities	Depreciation and amortisation	Expenditures for Public Welfare Donations	Right- of-use assets	Total
	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000
At of January 1, 2023	157	1,779	944	5,845	2,133	250	1,963	(195)	408	(18,748)	—	(417)	(5,881)
(Charged)/credited to profit or loss	2,348	428	(382)	(3,235)	189	(73)	533	195	(125)	1,349	—	138	1,365
As of December 31, 2023 and January 1, 2024	2,505	2,207	562	2,610	2,322	177	2,496	—	283	(17,399)	—	(279)	(4,516)
(Charged)/credited to profit or loss	1,579	(424)	(424)	5,657	248	(58)	549	—	370	1,954	75	(347)	9,179
As of December 31, 2024 and January 1, 2025	4,084	1,783	138	8,267	2,570	119	3,045	—	653	(15,445)	75	(626)	4,663
(Charged)/credited to profit or loss	(1,118)	977	137	(5,556)	(980)	(119)	1,309	—	12,696	(17,625)	—	(12,569)	(22,848)
Deferred tax credited to capital reserve during the year	—	—	—	—	—	—	58,389	—	—	—	—	—	58,389
Deferred tax credited to other comprehensive income during the year	—	—	—	—	—	—	—	556	—	—	—	—	556
As of December 31, 2025	2,966	2,760	275	2,711	1,590	—	62,743	556	13,349	(33,070)	75	(13,195)	40,760

APPENDIX I

ACCOUNTANTS’ REPORT

Company

The movements in deferred tax assets/(liabilities) during the Track Record Period, without taking into consideration of offsetting of balances within the same jurisdiction, are as follows:

	Provision for asset impairments	Provision for impairment losses	Provisions	Tax losses	Deferred income	Accrued expense	Share- based payment	Change in fair value of financial assets and financial liabilities	Lease liabilities	Depreciation and amortisation	Expenditures for Public Welfare Donations	Right- of-use assets	Total
	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000	RMB'000
At of January 1, 2023	157	1,779	944	5,845	2,133	250	1,963	(195)	408	(18,748)	—	(417)	(5,881)
(Charged)/credited to profit or loss	2,348	428	(382)	(3,235)	189	(73)	533	195	(125)	1,349	—	138	1,365
As of December 31, 2023 and January 1, 2024	2,505	2,207	562	2,610	2,322	177	2,496	—	283	(17,399)	—	(279)	(4,516)
(Charged)/credited to profit or loss	1,579	(424)	(424)	5,657	248	(58)	549	—	370	1,954	75	(347)	9,179
As of December 31, 2024 and January 1, 2025	4,084	1,783	138	8,267	2,570	119	3,045	—	653	(15,445)	75	(626)	4,663
(Charged)/credited to profit or loss	(1,118)	977	137	(6,509)	(980)	(119)	1,309	—	(109)	(17,626)	—	118	(23,920)
Deferred tax credited to capital reserve during the year	—	—	—	—	—	—	58,389	—	—	—	—	—	58,389
Deferred tax credited to other comprehensive income during the year	—	—	—	—	—	—	—	556	—	—	—	—	556
As of December 31, 2025	2,966	2,760	275	1,758	1,590	—	62,743	556	544	(33,071)	75	(508)	39,688

Note:

As at December 31, 2023, 2024 and 2025, deferred tax assets of the Group of RMB13,162,000, RMB16,071,000 and RMB46,265,000 were offset against deferred tax liabilities within the same tax jurisdictions.

As of December 31, 2023, 2024 and 2025, the Group had unused tax losses of RMB21,000, RMB1,381,000, and RMB116,000, respectively, available to offset against future profits for which no deferred tax assets had been recognised as of December 31, 2023, 2024 and 2025, respectively, as it is not probable that taxable profit will be available against which the unused tax losses can be utilised. The material unused tax losses can be carried forward indefinitely with no expiry date.

As of December 31, 2023, 2024 and 2025, there were no unused tax losses for the Company available to offset against future profits for which no deferred tax assets had been recognised.

36. SHARE CAPITAL

Group and Company

	Number of ordinary shares	Authorised capital RMB'000	Issued and paid shares RMB'000
Ordinary shares of RMB1.00 each			
As of January 1, 2023	60,000,000	60,000	60,000
Issue of new shares upon the exercise of share options (note (a))	599,000	599	599
Issue of new shares upon capitalisation of capital reserve (note (b))	24,239,600	24,240	24,240
As of December 31, 2023 and January 1, 2024	84,838,600	84,839	84,839
Issue of new shares upon the exercise of share options (note (c))	623,070	623	623
As of December 31, 2024 and January 1, 2025	85,461,670	85,462	85,462
Issue of new shares upon the exercise of share options (note (d))	486,056	486	486
As of December 31, 2025	85,947,726	85,948	85,948

APPENDIX I

ACCOUNTANTS’ REPORT

Notes:

- (a) On 12 January 2023, pursuant to the directors’ resolution, a total of 599,000 restricted shares were exercised by the eligible employees at a consideration of approximately RMB30,615,000. Consequently, share capital increased by approximately RMB559,000, with the corresponding amounts of approximately RMB30,016,000 allocated to the capital reserve. The detailed information in relation to the restricted share schemes is disclosed in note 38.
- (b) On 18 May 2023, pursuant to the directors’ resolution, based on the total share capital of 60,599,000 shares prior to the implementation of capital reserve capitalisation plan, the Company capitalised its capital reserve to issue share capital of 0.4 shares for each existing share held by all shareholders. This resulted in a total capitalisation of 24,239,600 shares. After this distribution, the Company’s total share capital amounted to 84,838,600 restricted shares.
- (c) On 8 January 2024, pursuant to the directors’ resolution, a total of 623,070 restricted shares were exercised by the eligible employees at a consideration of approximately RMB22,455,000. Consequently, share capital increased by approximately RMB623,000, with the corresponding amounts of approximately RMB21,832,000 allocated to the capital reserve. The detailed information in relation to the restricted share schemes is disclosed in note 38.
- (d) On 20 February 2025, pursuant to the directors’ resolution, a total of 486,056 restricted shares were exercised by the eligible employees at a consideration of approximately RMB17,420,000. Consequently, share capital increased by approximately RMB486,056, with the corresponding amounts of approximately RMB16,934,000 allocated to the capital reserve. The detailed information in relation to the restricted share schemes is disclosed in note 38.

37. TREASURY SHARES

Group and Company

	2023		As of December 31, 2024		2025	
	Number of shares	RMB’000	Number of shares	RMB’000	Number of shares	RMB’000
Opening balance	—	—	—	—	452,149	55,420
Repurchase of shares (note (a))	—	—	452,149	55,420	—	—
Exercise of share option (note (b))	—	—	—	—	(176,980)	(21,692)
Closing balance	—	—	452,149	55,420	275,169	33,728

Note:

- (a) During the year ended December 31, 2024, pursuant to the directors’ resolution passed on February 7, 2024, the Company has repurchased 452,149 shares of A-shares from the market. The implementation of the repurchase meets the requirements of the Company’s share repurchase plan and relevant laws and regulations.
- (b) During the year ended December 31, 2025, pursuant to the directors’ resolution passed on September 19, 2025, a total of 176,980 restricted shares were exercised to the eligible employees under 2024 Restricted Share Scheme Part 1 — Phase 1 at a consideration of approximately RMB11,603,000 with an exercise price of RMB65.56 per share. Consequently, treasury shares decreased by RMB21,692,000. The implementation of the repurchase meets the requirements of the Company’s share repurchase plan and relevant laws and regulations.

38. SHARE-BASED PAYMENT

During the Track Record Period, the Company launched and adopted restricted share schemes in 2021 (“**2021 Restricted Share Scheme**”) and in 2024 (“**2024 Restricted Share Scheme**”). The restricted share schemes are designed to provide an incentive to attract and retain employees of the Group and to align the long-term interests of employees and shareholders. Eligible employees of these restricted share schemes include directors, senior management, core technical personnel, and key staff in management, technology, and business fields of the Group. Under the schemes, eligible employees may grant restricted shares subject to vesting conditions based on revenue performance target of the Company and individual performance appraisal.

2021 Restricted Share Scheme

In June 2021, the Company adopted 2021 Restricted Share Scheme which the Company may grant up to 1,511,600 restricted shares to eligible employees to obtain ordinary shares of the Company upon vesting at price of RMB51.11 per share, which will be valid and effective for a period of 5 years. Subject to vesting conditions, 2021 Restricted Share Scheme are vested in three tranches of 40%, 30% and 30% over lockup periods of 12, 24 and 36 months respectively. In May 2023, the exercise share price changed from RMB51.11 per share to RMB36.04 per share as a result of capitalisation and dividend declared. In February 2024, the exercise share price changed from RMB36.04 per share to RMB35.84 per share as a result of dividend declared.

APPENDIX I

ACCOUNTANTS’ REPORT

Upon satisfying the vesting conditions, the eligible employees are entitled to purchase newly issued shares of the Company at the corresponding prices.

2021 Restricted Share Scheme — Phase 1

Under the 2021 Restricted Share Scheme — Phase 1, the Company may grant up to 604,600 restricted shares. On January 12, 2023, 599,000 restricted shares were exercised to 99 eligible employees at initial exercise price of RMB51.11 per share.

2021 Restricted Share Scheme — Phase 2

Under the 2021 Restricted Share Scheme — Phase 2, the Company may grant up to 453,500 restricted shares. On January 8, 2024, 623,070 restricted shares upon capitalisation (note 36) were exercised to 96 eligible employees at exercise price of RMB36.04 per share.

2021 Restricted Share Scheme — Phase 3

Under the 2021 Restricted Share Scheme — Phase 3, the Company may grant up to 453,500 restricted shares. On February 20, 2025, 486,056 restricted shares were exercised to 92 eligible employees at exercise price of RMB35.84 per share.

2024 Restricted Share Scheme

In August 2024, the Company adopted 2024 Restricted Share Scheme which the Company may initial grant (“**Part 1**”) up to 457,400 restricted shares and reserve grant (“**Part 2**”) up to 114,300 restricted shares to eligible employees to obtain ordinary shares of the Company upon vesting at price of RMB66.06 per share, which will be valid and effective for a period of 5 years. Subject to vesting conditions, Part 1 of 2024 Restricted Share Scheme are vested in three tranches of 40%, 30% and 30% over lockup periods of 24, 36 and 48 months respectively; Part 2 of 2024 Restricted Share Scheme are vested in two tranches of 50% and 50% over lockup periods of 36 and 48 months, respectively. In September 2025, the exercise share price changed from RMB66.06 per share to RMB65.56 per share as a result of dividend declared.

Upon satisfying the vesting conditions, the eligible employees are entitled to purchase newly issued shares of the Company or treasury shares at the corresponding prices.

2024 Restricted Share Scheme Part 1 — Phase 1

Under the 2024 Restricted Share Scheme Part 1 — Phase 1, the Company may grant up to 182,960 restricted shares. On September 19, 2025, 176,980 restricted shares were exercised to 163 eligible employees at initial exercise price of RMB65.56 per share.

2025 Restricted Share Scheme

In September 2025, the Company adopted 2025 Restricted Share Scheme which the Company may initial grant (“**Part 1**”) up to 507,600 restricted shares and reserve grant (“**Part 2**”) up to 126,900 restricted shares to eligible employees to obtain ordinary shares of the Company upon vesting at price of RMB149.09 per share, which will be valid and effective for a period of 6 years. Subject to vesting conditions, Part 1 of 2025 Restricted Share Scheme are vested in four tranches of 25%, 25%, 25% and 25% over lockup periods of 24, 36, 48 and 60 months respectively; Part 2 of 2025 Restricted Share Scheme are vested in three tranches of 33%, 33% and 34% over lockup periods of 24, 36 and 48 months, respectively.

Upon satisfying the vesting conditions, the eligible employees are entitled to purchase newly issued shares of the Company or treasury shares at the corresponding prices.

The Group uses the Black-Scholes valuation model to determine the estimated fair value for each of the restricted share schemes granted, with highly subjective assumptions, changes in which could materially affect the estimated fair value. Dividend yield is based on the estimate of annual dividends expected to be paid at the time of grant. Expected volatility is based on the historical volatility of the Company trading on Shanghai Stock Exchange. The risk-free interest rate used for each period presented is based on the China Bond Government Bond Yield Curve at the time of grant for the period equal to the expected life.

	2021 Restricted Share Scheme — Phase 1	2021 Restricted Share Scheme — Phase 2	2021 Restricted Share Scheme — Phase 3
Share price at date of grant of share options	RMB55.56	RMB55.56	RMB55.56
Expected volatility	9.21%	11.73%	11.76%
Expected life	1 year	2 years	3 years
Risk-free rate	2.84%	2.84%	2.84%
Expected dividend yield	—	—	—
Weighted average fair value of share options at the date of grant	RMB9.71	RMB13.97	RMB16.74

APPENDIX I

ACCOUNTANTS’ REPORT

	2024 Restricted Share Scheme Part 1 — Phase 1	2024 Restricted Share Scheme Part 1 — Phase 2	2024 Restricted Share Scheme Part 1 — Phase 3	
Share price at date of grant of share options	RMB94.61	RMB94.61	RMB94.61	
Expected volatility	30.90%	26.93%	28.35%	
Expected life	1 year	2 years	3 years	
Risk-free rate	1.52%	1.71%	1.82%	
Expected dividend yield	0.27%	0.27%	0.27%	
Weighted average fair value of share options at the date of grant	RMB30.63	RMB32.61	RMB35.53	
		2024 Restricted Share Scheme Part 2 — Phase 1	2024 Restricted Share Scheme Part 2 — Phase 2	
Share price at date of grant of share options		RMB205.20	RMB205.20	
Expected volatility		19.93%	16.92%	
Expected life		1 year	2 years	
Risk-free rate		1.38%	1.44%	
Expected dividend yield		0.08%	0.08%	
Weighted average fair value of share options at the date of grant		RMB139.99	RMB140.79	
	2025 Restricted Share Scheme Part 1 — Phase 1	2025 Restricted Share Scheme Part 1 — Phase 2	2025 Restricted Share Scheme Part 1 — Phase 3	2025 Restricted Share Scheme Part 1 — Phase 4
Share price at date of grant of share options	RMB365.10	RMB365.10	RMB365.10	RMB365.10
Expected volatility	20.05%	16.96%	15.80%	16.05%
Expected life	1 year	2 years	3 years	4 years
Risk-free rate	1.27%	1.31%	1.49%	1.58%
Expected dividend yield	0.05%	0.05%	0.05%	0.05%
Weighted average fair value of share options at the date of grant	RMB217.69	RMB219.48	RMB221.92	RMB224.37

Set out below are details of the movements of the outstanding restricted shares granted under the restricted share schemes during the Track Record Period:

	2023		As of December 31, 2024		2025	
	Weighted average exercise price RMB	Number	Weighted average exercise price RMB	Number	Weighted average exercise price RMB	Number
2021 Restricted Share Scheme — Phase 1						
Outstanding at the beginning of the year	51.11	599,400	—	—	—	—
Forfeited (note)	51.11	(400)	—	—	—	—
Exercised (note 36(a))	51.11	(599,000)	—	—	—	—
Outstanding at the end of the year	—	—	—	—	—	—
2021 Restricted Share Scheme — Phase 2						
Outstanding at the beginning of the year	51.11	451,650	36.04	628,530	—	—
Effect of capitalisation (note 36(b))	36.04	180,660	—	—	—	—
Forfeited (note)	36.04	(3,780)	36.04	(5,460)	—	—
Exercised (note 36(c))	—	—	36.04	(623,070)	—	—
Outstanding at the end of the year	36.04	628,530	—	—	—	—

APPENDIX I

ACCOUNTANTS’ REPORT

	2023		As of December 31, 2024		2025	
	Weighted average exercise price RMB	Number	Weighted average exercise price RMB	Number	Weighted average exercise price RMB	Number
2021 Restricted Share Scheme						
— Phase 3						
Outstanding at the beginning of the year	51.11	451,650	36.04	534,251	35.84	487,486
Effect of capitalisation (note 36(b))	36.04	180,660	—	—	—	—
Forfeited (note)	36.04	(98,059)	35.84	(46,765)	35.84	(1,430)
Exercised (note 36(d))	—	—	—	—	35.84	(486,056)
Outstanding at the end of the year	36.04	534,251	35.84	487,486	—	—
2024 Restricted Share Scheme						
Part 1						
— Phase 1						
Outstanding at the beginning of the year	—	—	—	—	66.06	181,300
Granted	—	—	66.06	182,960	—	—
Forfeited (note)	—	—	66.06	(1,660)	65.56	(4,320)
Exercised (note 37(b))	—	—	—	—	65.56	(176,980)
Outstanding at the end of the year	—	—	66.06	181,300	—	—
2024 Restricted Share Scheme						
Part 1						
— Phase 2						
Outstanding at the beginning of the year	—	—	—	—	66.06	136,170
Granted	—	—	66.06	137,220	—	—
Forfeited (note)	—	—	66.06	(1,050)	65.56	(3,885)
Outstanding at the end of the year	—	—	66.06	136,170	65.56	132,285
2024 Restricted Share Scheme						
Part 1						
— Phase 3						
Outstanding at the beginning of the year	—	—	—	—	66.06	136,170
Granted	—	—	66.06	137,220	—	—
Forfeited (note)	—	—	66.06	(1,050)	65.56	(3,885)
Outstanding at the end of the year	—	—	66.06	136,170	65.56	132,285
2024 Restricted Share Scheme						
Part 2						
— Phase 1						
Outstanding at the beginning of the year	—	—	—	—	—	—
Granted	—	—	—	—	66.06	57,150
Forfeited (note)	—	—	—	—	65.56	(350)
Outstanding at the end of the year	—	—	—	—	65.56	56,800

APPENDIX I

ACCOUNTANTS’ REPORT

	2023		As of December 31, 2024		2025	
	Weighted average exercise price RMB	Number	Weighted average exercise price RMB	Number	Weighted average exercise price RMB	Number
2024 Restricted Share Scheme						
Part 2						
— Phase 2						
Outstanding at the beginning of the year	—	—	—	—	—	—
Granted	—	—	—	—	66.06	57,150
Forfeited (<i>note</i>)	—	—	—	—	65.56	(350)
Outstanding at the end of the year	—	—	—	—	65.56	56,800
2025 Restricted Share Scheme						
Part 1						
— Phase 1						
Outstanding at the beginning of the year	—	—	—	—	—	—
Granted	—	—	—	—	149.09	126,900
Forfeited (<i>note</i>)	—	—	—	—	149.09	(175)
Outstanding at the end of the year	—	—	—	—	149.09	126,725
2025 Restricted Share Scheme						
Part 1						
— Phase 2						
Outstanding at the beginning of the year	—	—	—	—	—	—
Granted	—	—	—	—	149.09	126,900
Forfeited (<i>note</i>)	—	—	—	—	149.09	(175)
Outstanding at the end of the year	—	—	—	—	149.09	126,725
2025 Restricted Share Scheme						
Part 1						
— Phase 3						
Outstanding at the beginning of the year	—	—	—	—	—	—
Granted	—	—	—	—	149.09	126,900
Forfeited (<i>note</i>)	—	—	—	—	149.09	(175)
Outstanding at the end of the year	—	—	—	—	149.09	126,725
2025 Restricted Share Scheme						
Part 1						
— Phase 4						
Outstanding at the beginning of the year	—	—	—	—	—	—
Granted	—	—	—	—	149.09	126,900
Forfeited (<i>note</i>)	—	—	—	—	149.09	(175)
Outstanding at the end of the year	—	—	—	—	149.09	126,725

Note: The restricted shares were forfeited as a result of employee resignations or failure to meet the Group’s performance eligibility criteria.

The weighted average remaining contractual lives of the restricted shares outstanding at December 31, 2023, 2024 and 2025 were 0.2 years, 0.8 years and 1.7 years, respectively.

APPENDIX I

ACCOUNTANTS’ REPORT

39. RESERVES

Reserves movement of the Company

	Capital reserve RMB'000	Treasury shares RMB'000	Other reserve RMB'000	Surplus reserve RMB'000	Retained earnings RMB'000	Total RMB'000
Balance at January 1, 2023	1,835,178	—	—	27,444	179,840	2,042,462
Profit for the year	—	—	—	—	19,501	19,501
Issuance of new shares upon the exercise of share option (note 36(a))	30,016	—	—	—	—	30,016
Issuance of new shares upon capitalisation of capital reserve (note 36(b))	(24,240)	—	—	—	—	(24,240)
Share-based payment expense	3,549	—	—	—	—	3,549
Dividend	—	—	—	—	(39,389)	(39,389)
Appropriation to reserves	—	—	—	1,950	(1,950)	—
Balance at December 31, 2023 and January 1, 2024	1,844,503	—	—	29,394	158,002	2,031,899
Loss for the year	—	—	—	—	(4,751)	(4,751)
Issuance of new shares upon the exercise of share option (note 36(c))	21,832	—	—	—	—	21,832
Share-based payment expense	3,662	—	—	—	—	3,662
Dividend	—	—	—	—	(8,506)	(8,506)
Purchase of shares	—	(55,420)	—	—	—	(55,420)
Balance at December 31, 2024 and January 1, 2025	1,869,997	(55,420)	—	29,394	144,745	1,988,716
Profit for the year	—	—	—	—	195,128	195,128
Changes in fair value of equity investments at fair value through other comprehensive income	—	—	(3,709)	—	—	(3,709)
Income tax impact	—	—	556	—	—	556
Issuance of new shares upon the exercise of share option (note 36 (d) and note 37)	6,845	21,692	—	—	—	28,537
Share-based payment expense	32,162	—	—	—	—	32,162
Tax impact of share -based payment	58,389	—	—	—	—	58,389
Dividend	—	—	—	—	(42,699)	(42,699)
Appropriation to reserves	—	—	—	13,580	(13,580)	—
Others	2,029	—	—	—	—	2,029
Balance at December 31, 2025	<u>1,969,422</u>	<u>(33,728)</u>	<u>(3,153)</u>	<u>42,974</u>	<u>283,594</u>	<u>2,259,109</u>

Description of the Group’s and the Company’s reserves as below:

(a) Capital reserve

The amount represents capital contribution in excess of nominal value of share capital and share-based payment.

(b) Treasury reserve

Own equity instruments which held by the Company or the Group (treasury shares) are recognised directly in equity at cost. No gain or loss is recognised in the consolidated statements of profit or loss and other comprehensive income on the purchase, sale, issue or cancelation of the Group’s own equity instruments.

(c) Other reserve

The amount represents the fair value changes of equity investments designated at fair value through other comprehensive income.

(d) Translation reserve

The amount represents exchange differences on translating the net assets of foreign operations into presentation currency of the Group.

APPENDIX I

ACCOUNTANTS’ REPORT

(e) Surplus reserve

In accordance with the articles of association of subsidiaries established in the PRC, these subsidiaries are required to transfer 10% of the profit after taxation in accordance to China Accounting Standards for Business Enterprises to the statutory reserve until the reserve reaches 50% of the registered capital. Transfer to this reserve shall be made before distributing dividends to equity holders. The statutory reserve can be used to make up for previous years’ losses, expand the existing operations or convert into additional capital of the subsidiaries.

(f) Retained earnings

Cumulative net gains and losses recognised in profit or loss.

40. OVERVIEW OF THE GROUP’S EXPOSURE TO CREDIT RISK

Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Group. At the end of each reporting period, the Group’s maximum exposure to credit risk which cause a financial loss to the Group due to failure to discharge an obligation by the counterparties is arising from the carrying amount of the respective recognised financial assets as stated in the consolidated statements of the financial position. The Group does not hold any collateral or other credit enhancements to cover its credit risk associated with its financial assets.

In order to minimise credit risk, the Group has tasked its finance team to develop and maintain the Group’s credit risk grading to categorise exposures according to their degree of risk of default. Management uses publicly available financial information and the Group’s own historical repayment records to rate its major customers and other debtors. The Group’s exposure and the credit ratings of its counterparties are continuously monitored and the aggregate exposure is spread amongst approved counterparties.

The Group’s credit risk is primarily attributable to trade receivables, notes receivables and other receivables. Management has a credit policy in place and the exposures to these credit risks are monitored on an ongoing basis.

Trade receivables and notes receivables

For trade receivables, the Group has applied the simplified approach in IFRS 9 to measure the loss allowance at lifetime ECL. Except for trade receivables that are credit-impaired, the Group determines the ECL on these items collectively based on loss patterns as reflected in the debtors’ historical payment pattern. The Group determines the ECL on these items by using a provision matrix as of December 31, 2023, 2024 and 2025 within lifetime ECL (not credit impaired) estimated based on the financial quality of debtors and historical credit loss experience over the past 3 years under roll rate method, adjusted as appropriate to reflect current conditions and estimates of future economic conditions with reference to general macroeconomic conditions (such as gross domestic products, unemployment rate and inflation rate that may affect the ability of debtors to settle receivables. To measure the ECL, the trade receivables has been grouped into the categories based on share credit risk characteristics and the days past due.

Bank acceptance note

For bank acceptance note, management of the Group makes periodic assessment on the recoverability based on historical settlement records, past experience, and also quantitative and qualitative information that is reasonable and supportive forward-looking information. The Group measures the loss allowance equal to 12m ECL, unless when there are indicators that the financial asset is credit-impaired, the Group recognises lifetime ECL. The Group recognises lifetime ECL when there is evidence indicating (i) there has been significant increase in credit risk since initial recognition; (ii) the asset is credit-impaired but the Group has realistic prospect of recovery; or (iii) the debtor is in severe financial difficulty.

The Group accepts bank acceptance note issued or guaranteed by reputable PRC banks if trade receivables are settled by bank acceptance note and therefore the management of the Group considers the credit risk arising from bank acceptance note is insignificant and thus no loss allowance is recognised.

Other receivables

For other receivables, management of the Group makes periodic assessment on the recoverability based on historical settlement records, past experience, and also quantitative and qualitative information that is reasonable and supportive forward-looking information. The Group measures the loss allowance equal to 12m ECL, unless when there are indicators that the financial asset is credit-impaired, the Group recognises lifetime ECL. The Group recognises lifetime ECL when there is evidence indicating (i) there has been significant increase in credit risk since initial recognition; (ii) the asset is credit-impaired but the Group has realistic prospect of recovery; or (iii) the debtor is in severe financial difficulty.

In determining the ECL for other receivables, the directors of the Company have taken into account the historical default experience and the future prospects of the industries and/or considering various external sources of actual and forecast economic information, as appropriate, in estimating the probability of default of each of the financial assets that are subject to impairment occurring within their respective loss assessment time horizon, as well as the loss upon default in each case.

APPENDIX I

ACCOUNTANTS’ REPORT

Restricted bank deposits, time deposits, deposits with other financial institutions and cash and bank

For the purposes of impairment assessment, cash and bank, deposits with other financial institutions, time deposits and restricted bank deposits that are subject to impairment are considered to have low credit risk as the counterparties are reputable banks and financial institution with high credit rating assigned by international credit agencies. Accordingly, for the purpose of impairment assessment for these items’ assets, the loss allowance is measured at an amount equal to 12m ECL, by reference to information relating to probability of default and loss given default of respect credit rating grades published by external credit agency. The directors of the Company considered that the ECL allowance is insignificant as of December 31, 2023, 2024 and 2025.

The following table details the credit risk exposures of the Group and Company’s trade receivables which are subject to ECL assessment:

Group

	Average expected credit loss rate	Gross amounts RMB’000	Loss allowance RMB’000
As of December 31, 2023			
Within 1 year	5%	73,144	3,658
1 to 2 years	20%	37,812	7,562
over 3 years	100%	2,629	2,629
		<u>113,585</u>	<u>13,849</u>
As of December 31, 2024			
Within 1 year	5%	125,079	6,255
1 to 2 years	20%	282	56
2 to 3 years	50%	3,956	1,978
over 3 years	100%	2,629	2,629
		<u>131,946</u>	<u>10,918</u>
As of December 31, 2025			
Within 1 year	5%	278,279	13,915
1 to 2 years	20%	142	28
2 to 3 years	100%	24	24
over 3 years	100%	2,629	2,629
		<u>281,074</u>	<u>16,596</u>

The Group considers that there is no significant change in credit risk rating of the debtors, historical payment pattern and forward-looking information during the Track Record Period.

APPENDIX I

ACCOUNTANTS’ REPORT

Company

	Average expected credit loss rate	Gross amounts RMB'000	Loss allowance RMB'000
As of December 31, 2023			
Within 1 year	5%	73,144	3,658
1 to 2 years	20%	37,812	7,562
over 3 years	100%	<u>2,629</u>	<u>2,629</u>
		<u>113,585</u>	<u>13,849</u>
As of December 31, 2024			
Within 1 year	5%	125,079	6,255
1 to 2 years	20%	282	56
2 to 3 years	50%	3,956	1,978
over 3 years	100%	<u>2,629</u>	<u>2,629</u>
		<u>131,946</u>	<u>10,918</u>
As of December 31, 2025			
Within 1 year	5%	278,240	13,904
1 to 2 years	20%	142	28
2 to 3 years	100%	24	24
over 3 years	100%	<u>2,629</u>	<u>2,629</u>
		<u>281,035</u>	<u>16,585</u>

The following table details the credit risk exposures of the Group and Company’s notes receivables which are subject to ECL assessment:

Group and Company

	Average expected credit loss rate	Gross amounts RMB'000	Loss allowance RMB'000
As of December 31, 2023			
Within 1 year	5%	4,879	244
1 to 2 years	20%	<u>649</u>	<u>130</u>
		<u>5,528</u>	<u>374</u>
As of December 31, 2024			
Within 1 year	5%	9,157	458
1 to 2 years	20%	<u>26</u>	<u>5</u>
		<u>9,183</u>	<u>463</u>
As of December 31, 2025			
Within 1 year	5%	25,109	1,255
1 to 2 years	20%	<u>603</u>	<u>121</u>
		<u>25,712</u>	<u>1,376</u>

The Group considers that there is no significant change in credit risk rating of the debtors, historical payment pattern and forward-looking information during the Track Record Period.

APPENDIX I

ACCOUNTANTS’ REPORT

The following table below details the credit risk exposures of the Group and Company’s other receivables which are subject to ECL assessment:

Group and Company

	Average expected credit loss rate	Gross amounts RMB’000	Loss allowance RMB’000
As of December 31, 2023			
Not credit-impaired	85%	579	490
As of December 31, 2024			
Not credit-impaired	93%	540	503
As of December 31, 2025			
Not credit-impaired	98%	443	436

41. CAPITAL MANAGEMENT

The Group manages its capital to ensure that entities comprising the Group will be able to continue as going concern while maximising the return to shareholders through the optimisation of the debt and equity balance. The Group’s overall strategy remains unchanged throughout the Track Record Period.

The Group monitors its capital structure on the basis of an adjusted net debt-to-capital ratio. For this purpose, adjusted net debt is defined as total debts (which included lease liabilities) less cash and cash equivalents, capital comprises all components of equity and non-controlling interests.

Management of the Group regularly reviews the capital structure on a continuous basis taking into account the cost of capital and the risks associated with each class of capital. The Group will balance its overall capital structure through the payment of dividends, new share issues as well as the issue of new debts.

42. FINANCIAL INSTRUMENTS

Categories of financial instruments

Group

	As of December 31,		
	2023 RMB’000	2024 RMB’000	2025 RMB’000
Financial assets			
Financial assets measured at amortised cost			
— Other receivables and other assets (note 22)	89	37	7
— Trade receivables (note 24)	99,736	121,028	264,478
— Notes receivables (note 25)	5,154	8,720	24,336
— Restricted bank deposits (note 27)	—	40,160	26,379
— Cash and cash equivalents (note 27)	1,343,509	1,081,076	795,896
	1,448,488	1,251,021	1,111,096
Financial assets at FVOCI (note 26)	19,408	14,110	36,502
Financial liabilities			
Financial liabilities at amortised cost			
— Trade payables (note 28)	26,001	22,519	52,632
— Note payables (note 29)	—	—	20,548
— Other payables and accruals, excluding salary payable and tax payables (note 30)	58,780	17,882	75,272
— Lease liabilities (note 32)	1,888	4,351	67,333
	86,669	44,752	215,785

APPENDIX I

ACCOUNTANTS’ REPORT

Company

	As of December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Financial assets			
Financial assets measured at amortised cost			
— Other receivables and other assets (note 22)	89	37	7
— Trade receivables (note 24)	99,736	121,028	264,450
— Notes receivables (note 25)	5,154	8,720	24,336
— Restricted bank deposits (note 27)	—	40,160	10,274
— Cash and cash equivalents (note 27)	1,341,384	1,080,308	541,268
	<u>1,446,363</u>	<u>1,250,253</u>	<u>840,335</u>
Financial assets at FVOCI (note 26)	<u>19,408</u>	<u>14,110</u>	<u>36,502</u>
Financial liabilities			
Financial liabilities at amortised cost			
— Trade payables (note 28)	25,979	22,495	52,632
— Note payables (note 29)	—	—	20,548
— Other payables and accruals, excluding salary payable and tax payables (note 30)	58,780	17,880	75,228
— Lease liabilities (note 32)	1,888	4,351	3,625
	<u>86,647</u>	<u>44,726</u>	<u>152,033</u>

Financial risk management objectives and policies

The Group’s and Company’s major financial assets and liabilities include trade receivables, notes receivables, financial assets at FVOCI, other receivables and other assets, restricted bank deposits, time deposits, deposits with other financial institutions and cash and bank, trade payables, notes payables, other payables and accruals and lease liabilities. Details of these financial instruments are disclosed in the respective notes. The risks associated with these financial instruments and the policies on how to mitigate these risks are set out below. Management of the Group manages and monitors these exposures to ensure appropriate measures are implemented on a timely and effective manner.

Market risk

The Group’s and Company’s activities expose it primarily to currency risk, credit risk, liquidity and interest rate risk. There has been no change in the Group’s and Company’s exposure to these risks or the manner in which it managed and measured the risks during each of the reporting period.

Currency risk

Some subsidiaries of the Company have foreign currency sales, capital expenditure and cash and cash equivalents, which expose the Group to foreign currency risk.

The subsidiaries are mainly exposed to foreign currency of United States Dollars (“US\$”).

Sensitivity analysis

The following table demonstrates the Group’s and Company’s sensitivity to a reasonably possible change in RMB against US\$, the foreign currency with which the Group may have a material exposure, of the Group’s profit before tax and the Group’s equity. The sensitivity analysis uses outstanding foreign currency denominated monetary items as a base and adjusts their translation at the end of each reporting period for a 5% change in foreign currency rate.

APPENDIX I

ACCOUNTANTS’ REPORT

Group and Company

	Increase/ (decrease) by	Increase/ (decrease) in profit before tax RMB'000
As of December 31, 2023		
US\$	5%	91
US\$	(5%)	(91)
As of December 31, 2024		
US\$	5%	42
US\$	(5%)	(42)
As of December 31, 2025		
US\$	5%	8,814
US\$	(5%)	(8,814)

In the opinion of the directors of the Company, the sensitivity analysis is unrepresentative of the inherent foreign exchange risk as the year end exposure does not reflect the exposure for during the Track Record Period.

Credit risk

As of December 31, 2023, 2024 and 2025 the Group has concentration of credit risk as 12%, 23% and 37%, respectively, of the total trade receivables was due from the Group’s largest customer. The Group’s concentration of credit risk on the top five largest customers accounted for 39%, 66% and 31% of the total trade receivables as of December 31, 2023, 2024 and 2025, respectively.

The Group expects that there is no significant credit risk associated with cash deposits since they are substantially deposited at state-owned banks and other medium or large-sized listed banks. Management does not expect that there will be any significant losses from non-performance by these counterparties.

Liquidity risk

In the management of the liquidity risk, the Group monitor and maintain a level of cash and cash equivalents to finance the Group’s operations and mitigate the effects of fluctuations in cash flows.

The following table details the Group’s and the Company’s remaining contractual maturity for its non-derivative financial liabilities based on the agreed repayment terms. The table has been drawn up based on the undiscounted cash flows of financial liabilities based on the earliest date on which the Group and the Company can be required to pay. The table includes both interest and principal cash flows. To the extent that interest flows are floating rate, the undiscounted amount is derived from interest rate at the end of the reporting period.

Group

	Effective interest rate	On demand or less than one year RMB'000	One to two years RMB'000	Two years or above RMB'000	Total undiscounted cash flows RMB'000	Carrying amount RMB'000
As of December 31, 2023						
Trade payables (note 28)	N/A	26,001	—	—	26,001	26,001
Other payables and accruals, excluding salary payable and tax payables (note 30)	N/A	58,780	—	—	58,780	58,780
Lease liabilities (note 32)	4.20%	953	989	—	1,942	1,888
Total		85,734	989	—	86,723	86,669
As of December 31, 2024						
Trade payables (note 28)	N/A	22,519	—	—	22,519	22,519
Other payables and accruals, excluding salary payable and tax payables (note 30)	N/A	17,882	—	—	17,882	17,882
Lease liabilities (note 32)	4.20%	1,089	2,343	1,260	4,692	4,351
Total		41,490	2,343	1,260	45,093	44,752

APPENDIX I

ACCOUNTANTS’ REPORT

Group

	Effective interest rate	On demand or less than one year RMB'000	One to two years RMB'000	Two to five years RMB'000	Five years or above RMB'000	Total undiscounted cash flows RMB'000	Carrying amount RMB'000
As of December 31, 2025							
Trade payables (note 28)	N/A	52,632	—	—	—	52,632	52,632
Note payables (note 29)	N/A	20,548	—	—	—	20,548	20,548
Other payables and accruals, excluding salary payable and tax payables (note 30)	N/A	75,272	—	—	—	75,272	75,272
Lease liabilities (note 32)	3.50%–4.50%	7,677	8,532	24,512	42,887	83,608	67,333
Total		156,129	8,532	24,512	42,887	232,060	215,785

Company

	Effective interest rate	On demand or less than one year RMB'000	One to two years RMB'000	Two to five years RMB'000	Total undiscounted cash flows RMB'000	Carrying amount RMB'000
As of December 31, 2023						
Trade payables (note 28)	N/A	25,979	—	—	25,979	25,979
Other payables and accruals, excluding salary payable and tax payables (note 30)	N/A	58,780	—	—	58,780	58,780
Lease liabilities (note 32)	4.20%	953	989	—	1,942	1,888
Total		85,712	989	—	86,701	86,647
As of December 31, 2024						
Trade payables (note 28)	N/A	22,495	—	—	22,495	22,495
Other payables and accruals, excluding salary payable and tax payables (note 30)	N/A	17,880	—	—	17,880	17,880
Lease liabilities (note 32)	4.20%	1,089	2,343	1,260	4,692	4,351
Total		41,464	2,343	1,260	45,067	44,726
As of December 31, 2025						
Trade payables (note 28)	N/A	52,632	—	—	52,632	52,632
Note payables (note 29)	N/A	20,548	—	—	20,548	20,548
Other payables and accruals, excluding salary payable and tax payables (note 30)	N/A	75,228	—	—	75,228	75,228
Lease liabilities (note 32)	3.50%–4.50%	1,220	1,270	1,333	3,823	3,625
Total		149,628	1,270	1,333	152,231	152,033

APPENDIX I

ACCOUNTANTS’ REPORT

Fair value measurement

(i) Fair value of the Group’s and the Company’s financial assets that are measured at fair value on a recurring basis

This note provides information about how the Group and Company determines fair value of the following financial assets that are measured at fair value on a recurring basis.

Financial assets	31 December 2023 RMB’000	31 December 2024 RMB’000	31 December 2025 RMB’000	Fair value hierarchy	Valuation technique(s)	Significant unobservable inputs	Sensitivity of fair value to Input the input
Financial assets at FVOCI							
— Unlisted equity investment	—	—	31,291	Level 3	Valuation multiples	EV/Sales	12.72 10% increase/decrease in multiple would result in increase/decrease in fair value by approximately RMB3,235,000
						Discounted for lack of marketability	30.80% 5% increase/decrease in discount would result in decrease/increase in fair value by approximately RMB2,365,000
— Bank acceptance notes	19,408	14,110	5,211	Level 2	Discounted cash flows	N/A	N/A N/A

There were no transfers between level during the Track Record Period.

The fair values of unlisted equity investment designated at FVOCI have been estimated using a market-based valuation technique that are not supported by observable market prices or rates. The valuation requires the directors to determine comparable public companies (peers) based on industry, size, leverage and strategy, and to calculate an appropriate price multiple, such as enterprise multiple (“EV/Sales”), for each comparable company identified. The multiple is calculated by dividing the enterprise value of the comparable company by an earnings measure. The trading multiple is then discounted for considerations such as illiquidity and size differences between the comparable companies based on company-specific facts and circumstances. The discounted multiple is applied to the corresponding earnings measure of the unlisted equity investment to measure the fair value. The valuation also requires the directors to determine the amounts of premiums and discounts that market participants would take into account when pricing the investments. The directors believe that the estimated fair values resulting from the valuation technique, which are recorded in the consolidated statements of financial position, and the related changes in fair values, which are recorded in other comprehensive income, are reasonable, and that they were the most appropriate values at the end of the reporting period.

(ii) Fair value of financial assets and financial liabilities that are not measured at fair value

The directors of the Company consider that the carrying amount of the Group’s and the Company’s financial assets and financial liabilities recorded at amortised cost in the Historical Financial Information approximate to their fair values. Such fair values have been determined in accordance with generally accepted pricing models based on discounted cash flow analysis.

APPENDIX I

ACCOUNTANTS’ REPORT

43. RECONCILIATION OF LIABILITIES ARISING FROM FINANCING ACTIVITIES

The table below details changes in the Group’s liabilities arising from financing activities, including both cash and non-cash changes. Liabilities arising from financing activities are those for which cash flows were, or future cash flows will be, classified in the Group’s consolidated statements of cash flows as cash flows from financing activities.

	Lease liabilities RMB'000	Borrowing RMB'000	Total RMB'000
At January 1, 2023	2,717	—	2,717
Financing cash flow			
— Repayment of principal of lease liabilities	(911)	—	(911)
— Repayment of interest of lease liabilities	(78)	—	(78)
Non-cash changes			
— Interest expense recognised	78	—	78
Other change			
— Others	82	—	82
At December 31, 2023 and January 1, 2024	1,888	—	1,888
Financing cash flow			
— Repayment of principal of lease liabilities	(941)	—	(941)
— Repayment of interest of lease liabilities	(188)	—	(188)
Non-cash changes			
— Interest expense recognised	188	—	188
— Lease modification	3,310	—	3,310
Other change			
— Others	94	—	94
At December 31, 2024 and January 1, 2025	4,351	—	4,351
Financing cash flow			
— Proceeds from borrowing	—	14,217	14,217
— Repayment of principal	(785)	(14,217)	(15,002)
— Repayment of interest	(1,570)	(546)	(2,116)
Non-cash changes			
— Interest expense recognised	1,570	546	2,116
— New leases	64,393	—	64,393
Exchange realignment	(724)	—	(724)
Other change			
— Others	98	—	98
At of December 31, 2025	<u>67,333</u>	<u>—</u>	<u>67,333</u>

44. CAPITAL COMMITMENTS

At the end of each reporting period, capital commitments contracted but not provided for in the Track Record Period are as follows:

	Year ended December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Capital expenditure contracted for but not provided for purchase of property, plant and equipment	<u>30,217</u>	<u>27,603</u>	<u>488,822</u>

APPENDIX I

ACCOUNTANTS’ REPORT

45. RELATED PARTY TRANSACTION AND BALANCES

The related parties of the Group during the Track Record Period are as follows:

Names of related parties	Relationship
ZHANG XINGANG	Shareholder, chairman and general manager
CHENG Shuo	Director, deputy general manager and secretary to the board of directors
WANG Yuxi	Director
YUAN Bo	Supervisor
GENG Xue	Supervisor
DENG Yuanming	Independent non-executive directors of the Group until January 2024
CHEN Wenjun	Deputy general manager
PAN Yanting	Deputy general manager
LIRUIJUAN	The person is the immediate family member of ZHANG XINGANG
Innolight Technology (Suzhou) Ltd.	Controlled by Zhongji InnoLight Co., Ltd.**
Innolight Technology (Chengdu) Ltd.	Controlled by Innolight Technology (Suzhou) Ltd.
S.F. Holding Co., Ltd.	Lin Zheyang, a shareholder of the Group until March 2023, also serves as key management personnel
Xianyang Huahan Optoelectronic Sealing Products Co., Ltd.	Qin Weixing and Qin Yansheng, both shareholders of the Group, also serves as a key management personnel
Shanghai ChengKe Microelectronics Technology Co., Ltd.	Yuan Bo a supervisor of the Group, also serves as a key management personnel

* The English name of the related party registered in the PRC mentioned above represent the best efforts made by management of the Company to translate their Chinese names as they do not have official English names.

** Zhongji InnoLight Co., Ltd., which was an indirect shareholder of the Group, ceased to be a related party of the Group from March 10, 2024.

In addition to the transactions and balances disclosed in respective notes, the Group had the following significant transactions and balances with related parties during the Track Record Period:

(a) Related party transactions:

(i) Sales revenue from related parties

	Year ended December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Innolight Technology (Suzhou) Ltd.	—	260	—
Innolight Technology (Chengdu) Ltd.	2,212	200	—
Shanghai ChengKe Microelectronics Technology Co., Ltd.	—	—	7
	<u>2,212</u>	<u>460</u>	<u>7</u>

(ii) Cost of sales from related parties

	Year ended December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
S.F. Holding Co., Ltd.	<u>214</u>	<u>67</u>	<u>—</u>

(iii) Rental fees paid to related parties

	Year ended December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Xianyang Huahan Optoelectronic Sealing Products Co., Ltd.	<u>911</u>	<u>941</u>	<u>785</u>

APPENDIX I

ACCOUNTANTS’ REPORT

(b) Related party balances:

As at the end of each reporting period, the Group had balances with related parties as follows:

	As at December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Trade receivables			
Innolight Technology (Chengdu) Ltd.	1,184	—	—

Trade receivables from a related party represent sales of goods made in the normal course of business.

	As at December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Trade payables			
S.F. Holding Co., Ltd.	18	—	—

Trade payables to a related party represent the cost of express services rendered.

	As at December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Other payables and accruals			
ZHANG XINGANG	15	123	13
GENG Xue	1	8	1
CHENG Shuo	—	3	—
DENG Yuanming	—	5	—
CHEN Wenjun	102	31	252
PAN Yanting	—	—	3
WANG Yuxi	—	—	2
LIRUIJUAN	—	2	—
	118	172	271

Other payables and accruals due to related parties are unsecured, interest-free advances repayable on demand.

	As at December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Contract liabilities			
Shanghai ChengKe Microelectronics Technology Co., Ltd.	—	—	47

Contract liabilities to a related party represent advances received for sales of goods to be made in the normal course of business.

(c) Compensation of key management personnel:

Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the Group.

The remuneration of the directors of the Company and other members of key management of the Group during the Track Record Period were as follows:

	Year ended December 31,		
	2023	2024	2025
	RMB'000	RMB'000	RMB'000
Directors’ fee, salaries and other benefits	4,143	4,373	4,276
Performance-based bonus	—	432	1,006
Social security costs and housing benefits	482	546	425
Share-based payment	2,283	1,733	4,378
	6,908	7,084	10,085

The remuneration of key management is determined with reference to the performance of the individuals and market trends.

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

APPENDIX I

ACCOUNTANTS’ REPORT

46. SUBSEQUENT EVENTS

Other than those disclosed elsewhere in the Historical Financial Information, there are no material subsequent events undertaken by the Group after [December 31, 2025] and up to the date of this report.

47. SUBSEQUENT FINANCIAL STATEMENTS

No audited financial statements of the Group, the Company or any of its subsidiaries have been prepared in respect of any period subsequent to [December 31, 2025].

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

APPENDIX II UNAUDITED [REDACTED] FINANCIAL INFORMATION

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

APPENDIX II UNAUDITED [REDACTED] FINANCIAL INFORMATION

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

APPENDIX II UNAUDITED [REDACTED] FINANCIAL INFORMATION

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

APPENDIX II UNAUDITED [REDACTED] FINANCIAL INFORMATION

[REDACTED]

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

APPENDIX II UNAUDITED [REDACTED] FINANCIAL INFORMATION

[REDACTED]

APPENDIX III

SUMMARY OF ARTICLES OF ASSOCIATION

This appendix contains a summary of the principal provisions of the Articles of Association adopted on March 23, 2026, and shall become effective from the date on which the H shares are [REDACTED] on the Stock Exchange. The primary purpose of this appendix is to provide potential [REDACTED] with an overview of the Articles of Association. Therefore, it may not contain all information important to potential [REDACTED].

SHARES

Issue of Shares

The shares of the Company shall take the form of share certificates.

The Company shall issue shares in an open, fair and just manner, and each share of the same class has the same right. Shares issued at the same time and within the same class must be issued on the same conditions and at the same price. Any subscriber shall pay the same price for each share subscribed.

All shares issued by the Company shall have their nominal values denominated in RMB, with a par value of RMB1 per share.

Increase, Decrease and Buyback of Shares

In accordance with the needs of its business operation and development, and in compliance with laws, administrative regulations, securities regulatory rules of the place where the Company’s shares are listed, the Company may increase its capital in the following ways upon separate resolutions adopted by the shareholders’ meeting:

- (I) offer of shares to unspecified entities;
- (II) offer of shares to specified entities;
- (III) allotting bonus shares to existing shareholders;
- (IV) conversion of funds in the capital reserve to share capital;
- (V) other means stipulated by laws, administrative regulations and the securities regulatory authority of the place where the Company’s shares are listed.

The Company may reduce its registered capital. When the Company reduces its registered capital, it shall go through the procedures in accordance with the Company Law, the securities regulatory rules of the place where the Company’s shares are listed, and other relevant regulations and the provisions of the Articles of Association.

The Company shall not buy back its own shares. However, this does not apply in any of the following circumstances:

- (I) To reduce the Company’s registered capital;
- (II) To merge with another company that holds the Company’s shares;
- (III) To use the shares for an employee stock ownership plan or equity incentive;
- (IV) shareholders object to resolutions of the shareholders’ meeting concerning merger or division of the Company, requiring the Company to purchase their shares;
- (V) To use the shares to convert into the convertible corporate bonds issued by the Company;
- (VI) When it is necessary for the Company to safeguard its own value and the rights and interests of shareholders.

APPENDIX III

SUMMARY OF ARTICLES OF ASSOCIATION

The Company shall not buy back or transfer its own shares unless in the aforesaid circumstances.

The Company may buy back its own shares through public centralized trading methods or other methods recognized by laws, regulations, the China Securities Regulatory Commission (CSRC), and the securities regulatory authorities of the place where the Company’s shares are listed, and shall comply with the provisions of applicable laws, administrative regulations, and the securities regulatory rules of the place where the Company’s shares are listed.

Buyback of the Company’s shares for reasons set out in items (III), (V) and (VI) above shall be carried out through an open and centralized trading method. If the Company buys back its own shares under the circumstances specified in items (I) and (II) above, a resolution of the shareholders’ meeting shall be required. If the Company buys back its own shares under the circumstances specified in items (III), (V) and (VI) above, a resolution of a Board meeting attended by more than two-thirds of the directors is required in accordance with the securities regulatory rules of the place where the Company’s shares are listed.

The buyback of the Company’s H shares shall comply with the Hong Kong Listing Rules and other relevant laws, regulations, and regulatory requirements of the place where the Company’s H shares are listed. If the Company buys back its own shares, it shall perform its information disclosure obligations in accordance with the applicable laws and regulations such as the Securities Law and the Hong Kong Listing Rules, as well as the relevant securities regulatory rules of the place where the Company’s shares are listed.

Transfer of Shares

The shares of the Company can be transferred according to law.

All transfers of H shares shall be effected by instruments of transfer in writing in a general or ordinary form or in any other forms acceptable to the Board (including the standard transfer format or form of transfer that Hong Kong Stock Exchange may provide from time to time); the instruments of transfer may be signed by hand or (where the transferor or transferee is a corporation) by the valid corporate seal. If the transferor or the transferee is a recognized clearing house (hereinafter referred to as “Recognized Clearing House”) defined in relevant ordinances of Hong Kong laws effective from time to time or agent thereof, the instruments of transfer can be signed by hand or by print. All instruments of transfer shall be kept at the legal address of the Company or other place designated by the Board of Directors from time to time.

The Company does not accept objects pledged with its own shares.

SHAREHOLDERS AND SHAREHOLDERS’ MEETINGS

General Rules for Shareholders

The Company shall keep a share register according to the vouchers provided by the securities depository and clearing institution, which register bears adequate evidence of shareholders holding shares of the Company. The original copy of the register of H-share shareholders shall be kept in Hong Kong for shareholders to inspect. However, the Company may suspend the handling of shareholder registration procedures in accordance with the applicable laws and regulations and the securities regulatory rules of the place where the Company’s shares are listed.

The shareholders enjoy rights and fulfill obligations as per the class of the shares they hold. Shareholders holding the same class of shares shall enjoy equal rights and assume the same obligations.

APPENDIX III

SUMMARY OF ARTICLES OF ASSOCIATION

The shareholders of the Company shall be entitled to the following rights:

- (I) to receive dividends and profit distributions in any other form in proportion to the shares they hold;
- (II) to lawfully require, convene, preside over or attend shareholders’ meetings either in person or by proxy and exercise the corresponding voting right;
- (III) to supervise, present suggestions on or make inquiries about the operations of the Company;
- (IV) to transfer, give as gift or pledge their shares in accordance with the laws, administrative regulations, the securities regulatory rules of the place where the Company’s shares are listed, and the Articles of Association;
- (V) to inspect and copy the Company’s Articles of Association, share register, minutes of shareholders’ meetings, resolutions of Board meetings, and financial and accounting reports; shareholders who meet the relevant regulations may inspect the Company’s accounting books and accounting vouchers;
- (VI) in the event of the termination or liquidation of the Company, to participate in the distribution of the remaining property of the Company in proportion to the shares held by them;
- (VII) with respect to a shareholder who votes against any resolution adopted at any shareholders’ meetings on the merger or division of the Company, to request the Company to buy back the shares held by he/she/it;
- (VIII) other rights stipulated by the laws, administrative regulations, departmental rules, the securities regulatory rules of the place where the Company’s shares are listed or the Articles of Association.

Shareholders who meet the prescribed conditions and request to inspect or duplicate the accounting books or accounting vouchers of the Company or its wholly-owned subsidiaries shall submit a written request to the Company, stating their purpose.

Where the contents of a resolution of the shareholders’ meeting or the Board of the Company violate the laws or administrative regulations, the shareholders shall be entitled to petition the people’s court to declare the resolution invalid.

The shareholders of the Company shall undertake the following obligations:

- (I) to observe the laws, administrative regulations and the Articles of Association;
- (II) to make payment for shares subscribed for according to the number of shares subscribed for and the method of subscription;
- (III) not to exit shares unless in the circumstances stipulated by laws and regulations;
- (IV) not to abuse shareholder’s right to harm the interests of the Company or other shareholders; (V) not to abuse the Company’s independent status as legal person or shareholder’s limited liability to harm the interests of creditors of the Company;
- (VI) to fulfill other obligations stipulated by the laws, administrative regulations, the securities regulatory rules of the place where the Company’s shares are listed and the Articles of Association.

APPENDIX III

SUMMARY OF ARTICLES OF ASSOCIATION

Shareholders of the Company who abuse shareholders’ rights and cause damages to the Company or other shareholders shall be liable for compensation pursuant to the laws. Shareholders of the Company who abuse the independent legal person status of the Company and shareholders’ limited liability to evade debts and severely infringe upon interests of the Company’s creditors shall assume joint and several liabilities for the Company’s debts.

General Rules for the Shareholder’s Meeting

The shareholders’ meeting shall comprise all the shareholders. The shareholders’ meeting is the organ of authority of the Company, and shall exercise the following functions and powers pursuant to the law:

- (I) to elect and replace directors and to decide on matters relating to the remuneration of directors;
- (II) to consider and approve reports of the Board;
- (III) to consider and approve the Company’s profit distribution proposals and loss recovery proposals;
- (IV) to resolve on the increase or reduction of the registered capital of the Company;
- (V) to resolve on issuance of bonds of the Company;
- (VI) to resolve on merger, division, dissolution and liquidation of the Company or change of its corporate form;
- (VII) to amend the Articles of Association;
- (VIII) to resolve on the engagement and dismissal of the accounting firm that undertakes the Company’s auditing business;
- (IX) to consider and approve the matters concerning guarantees as specified in the Articles of Association;
- (X) to consider matters regarding the Company’s purchase or sale of material assets within one year in excess of 30% of the latest audited total assets of the Company;
- (XI) to consider and approve matters relating to the changes in the use of proceeds from share offerings;
- (XII) to consider equity incentive plans and employee stock ownership plans;
- (XIII) to consider other matters that should be decided by the shareholders’ meeting as stipulated by the laws, administrative regulations, departmental rules, the securities regulatory rules of the place where the Company’s shares are listed or the Articles of Association.

The shareholders’ meeting may authorize the Board of Directors to make resolutions on the issuance of corporate bonds.

The Company may issue shares or corporate bonds convertible into shares by resolution of the shareholders’ meeting or by resolution of the Board of Directors as authorized by the Articles of Association or the shareholders’ meeting. Specific implementation shall comply with the provisions of laws, administrative regulations, and the securities regulatory rules of the place where the Company’s shares are listed.

APPENDIX III

SUMMARY OF ARTICLES OF ASSOCIATION

The following external guarantees of the Company shall be considered and approved by the shareholders’ meeting:

- (I) a single guarantee whose amount exceeds 10% of the latest audited net assets of the Company;
- (II) any guarantee provided after the total amount of external guarantee provided by the Company or its holdings subsidiaries exceeds 50% of the latest audited net assets of the Company;
- (III) any guarantee provided to anyone whose liability-asset ratio exceeds 70%;
- (IV) guarantees whose cumulative amount in 12 consecutive months exceeds 30% of the latest audited total assets of the Company;
- (V) any guarantee provided after the total amount of external guarantee provided by the Company or its holdings subsidiaries exceeds 30% of the latest audited total assets of the Company;
- (VI) guarantees provided to shareholders, de facto controllers and their related persons;
- (VII) other external guarantees that should be considered by the shareholders’ meeting as stipulated by the laws, administrative regulations, normative documents, the securities regulatory rules of the place where the Company’s Shares are listed or the Articles of Association.

A transaction conducted by the Company (other than the provision of guarantees or financial assistance) that meets any of the following criteria shall be submitted to the shareholders’ meeting for deliberation:

- (I) the total asset value involved in the transaction (the higher of the book value and the assessed value as the case may be) accounts for more than 50% of the latest audited total assets of the Company;
- (II) the transaction amount accounts for more than 50% of the Company’s market value;
- (III) the net asset value of the transaction subject (e.g. equity) in the most recent fiscal year accounts for more than 50% of the Company’s market value;
- (IV) the related operating income of the transaction subject (e.g. equity) in the most recent fiscal year accounts for more than 50% of the audited operating income of the Company in such fiscal year, and exceeds RMB50 million;
- (V) the transaction profit accounts for more than 50% of the audited net profit of the Company in the most recent fiscal year, and exceeds RMB5 million;
- (VI) the related net profit of the transaction subject (e.g. equity) in the most recent fiscal year accounts for more than 50% of the audited net profit of the Company in such fiscal year, with an absolute amount of more than RMB5 million;
- (VII) other transactions that should be considered by the shareholders’ meeting as stipulated by the laws, administrative regulations, the securities regulatory rules of the place where the Company’s Shares are listed or the Articles of Association.

The shareholders’ meetings include annual shareholders’ meetings and extraordinary shareholders’ meetings. The annual shareholders’ meeting shall be convened once a year, and be held within 6 months after the end of the previous fiscal year.

APPENDIX III

SUMMARY OF ARTICLES OF ASSOCIATION

The Company shall convene an extraordinary shareholders’ meeting within two months from the date of occurrence of any of the following circumstances:

- (I) the number of directors falls short of the quorum stipulated in the Company Law or is less than 2/3 of the number specified in the Articles of Association;
- (II) the outstanding losses of the Company amount to one-third of the total share capital;
- (III) it is required by shareholder(s) individually or jointly holding more than 10% equity of the Company;
- (IV) when deemed necessary by the Board of Directors;
- (V) when proposed by the Audit Committee;
- (VI) other circumstances as stipulated by the laws, administrative regulations, departmental rules, the securities regulatory rules of the place where the Company’s shares are listed or the Articles of Association.

The venue for the Company’s shareholders’ meeting shall be the Company’s domicile or the location specified in the notice or announcement of the shareholders’ meeting.

Convening of the Shareholders’ Meeting

The Board of Directors shall convene shareholders’ meetings within the periods specified.

With the consent of more than half of all independent directors, independent directors have the right to propose to the Board of Directors to convene an extraordinary shareholders’ meeting. Where independent directors propose to convene an extraordinary shareholders’ meeting, the Board of Directors shall, in accordance with the laws, administrative regulations, the securities regulatory rules of the place where the Company’s shares are listed and the Articles of Association, reply in writing on whether or not to approve the convening of an extraordinary shareholders’ meeting within 10 days upon the receipt of the proposal. Where the Board of Directors agrees to convene an extraordinary shareholders’ meeting, a notice on the convening of the shareholders’ meeting shall be issued within 5 days after the resolution is passed by the Board of Directors; where the Board of Directors does not agree to convene an extraordinary shareholders’ meeting, it shall explain the reasons thereof and make an announcement.

When the Audit Committee proposes to the Board of Directors to convene an extraordinary shareholders’ meeting, it shall submit the proposal to the Board of Directors in writing. The Board of Directors shall, in accordance with the laws, administrative regulations, the securities regulatory rules of the place where the Company’s shares are listed and the Articles of Association, reply in writing on whether or not to approve the convening of an extraordinary shareholders’ meeting within 10 days upon the receipt of the proposal.

Where the Board of Directors agrees to convene an extraordinary shareholders’ meeting, a notice on the convening of the meeting shall be issued within 5 days after the resolution is passed by the Board of Directors, and the changes made to the original proposal in the notice shall be approved by the Audit Committee.

Where the Board of Directors does not agree to convene the extraordinary shareholders’ meeting, or fails to reply within 10 days upon the receipt of the proposal, it shall be deemed that the Board of Directors is unable or unwilling to perform the duty of convening a shareholders’ meeting, and the Audit Committee may convene and preside over such meeting on its own.

APPENDIX III

SUMMARY OF ARTICLES OF ASSOCIATION

Shareholders individually or in aggregate holding more than 10% of the Company’s shares shall have the right to request the Board of Directors to convene an extraordinary shareholders’ meeting and such request shall be made in writing to the Board of Directors. The Board of Directors shall, in accordance with the laws, administrative regulations, the securities regulatory rules of the place where the Company’s shares are listed and the Articles of Association, reply in writing on whether or not to approve the convening of an extraordinary shareholders’ meeting within 10 days upon the receipt of the request.

Where the Board of Directors agrees to convene the extraordinary shareholders’ meeting, a notice on the convening of the meeting shall be issued within 5 days after the resolution is passed by the Board of Directors, and the changes made to the original request in the notice shall be approved by relevant shareholders.

If the Board of Directors refuses to convene an extraordinary shareholders’ meeting or fails to give a response within 10 days after receiving the request, shareholders who individually or jointly hold more than 10% of the Company’s shares have the right to propose to the Audit Committee to convene an extraordinary shareholders’ meeting and shall submit such request to the Audit Committee in writing.

Where the Audit Committee agrees to convene the extraordinary shareholders’ meeting, it shall serve a notice of such meeting within 5 days after receipt of the said request, and the changes made to the original request in the notice shall be approved by relevant shareholders.

If the Audit Committee fails to serve a notice of shareholders’ meeting within the prescribed period, it shall be deemed as failing to convene and preside over the shareholders’ meeting, and the shareholders severally or jointly holding more than 10% shares of the Company for consecutively 90 days may convene and preside over the meeting by themselves.

Proposals and Notices of Shareholders’ Meetings

The content of a proposal shall fall within the scope of the shareholders’ meeting’s powers, have a clear topic and specific resolution items, and comply with relevant provisions of laws, administrative regulations, the securities regulatory rules of the place where the Company’s shares are listed, and the Articles of Association.

Where the Company convenes a shareholders’ meeting, the Board of Directors, Audit Committee, and shareholder(s) individually or jointly holding more than 1% shares of the Company may make proposals to the Company.

The convener shall notify shareholders of annual shareholders’ meeting by announcement at least 21 days in advance, and shall notify shareholders of extraordinary shareholders’ meeting by announcement at least 15 days in advance.

The notice of a shareholders’ meeting shall specify:

- (I) time, venue and duration of the meeting;
- (II) matters and proposals submitted for consideration at the meeting;
- (III) a clear statement that all ordinary shareholders, shareholders holding shares with special voting rights, and other shareholders are entitled to attend the shareholders’ meeting and appoint proxies in writing to attend and vote at such meeting and that such proxies need not be shareholders of the Company;
- (IV) the equity registration date of shareholders entitled to attend the shareholders’ meeting;
- (V) name and telephone number of the contact person of the meeting;

APPENDIX III

SUMMARY OF ARTICLES OF ASSOCIATION

(VI) where a shareholders’ meeting is held via online or other means, the voting time and voting procedure of such means;

(VII) other matters specified by laws and regulations, and the securities regulatory rules of the place where the Company’s shares are listed.

Notices or supplementary notices of shareholders’ meetings shall adequately and completely disclose the specific contents of all proposals.

After the notice of shareholders’ meeting is issued, the same meeting shall not be postponed or cancelled and the proposals set out in the notice shall not be cancelled without proper reasons. In the case of any postponement or cancellation of the meeting, the convener shall make an announcement and give the reasons therefor at least 2 workdays prior to the date on which the meeting is originally scheduled. If the securities regulatory rules of the place where the Company’s shares are listed contain special provisions regarding the procedures for postponing or canceling a shareholders’ meeting, such provisions shall be followed, provided they do not contravene domestic regulatory requirements.

Holding of Shareholders’ Meetings

The Board of Directors of the Company and other conveners shall take necessary measures to ensure the normal order of the shareholders’ meeting,

All shareholders of ordinary shares and shareholders holding shares with special voting rights registered on the equity registration date or their proxies shall be entitled to attend the shareholders’ meetings, and speak and exercise voting rights at the meeting in accordance with the relevant laws, administrative regulations, the securities regulatory rules of the place where the Company’s shares are listed and the Articles of Association (unless individual shareholders are required by the securities regulatory rules of the place where the Company’s shares are listed to waive their voting rights on particular matters).

Shareholders may attend the shareholders’ meeting in person or appoint a proxy to attend and vote on their behalf. Legal person shareholders shall be represented by their legal representative or a proxy entrusted by the legal representative to attend the meeting.

If the shareholders’ meeting requires directors and senior management members to attend the meeting as observers, the directors and senior management members shall attend and accept shareholders’ inquiries. Provided that they comply with the securities regulatory rules of the place where the Company’s shares are listed, the aforementioned individuals may attend or be present at the meeting via online platforms, video conference, telephone, or other means with equivalent effect.

The shareholders’ meeting shall be presided over by the chairman of the Board. If the chairman is unable or fails to perform his/her duties, a director jointly elected by more than half of the directors shall preside over the meeting. For shareholders’ meetings convened by the Audit Committee, the meeting shall be presided over by the convener of the Audit Committee. If the convener of the Audit Committee is unable or fails to perform his/her duties, a member of the Audit Committee jointly elected by more than half of the members of the Audit Committee shall preside over the meeting. A shareholders’ meeting convened by shareholders on their own shall be presided over by the convener or a representative appointed by him/her.

The Company shall formulate the rules of procedure for shareholders’ meetings, which shall specify in detail the procedures for convening, holding and voting of the shareholders’ meeting, including notification, registration, review of proposals, voting, vote counting, announcement of voting results, formation of meeting resolutions, meeting minutes and their signing, and announcements, as well as the principles of authorization from the shareholders’ meeting to the Board of Directors. The content of the authorization shall be clear and specific.

APPENDIX III

SUMMARY OF ARTICLES OF ASSOCIATION

The presider of the meeting shall, prior to the voting, announce the number of shareholders and proxies present at the meeting on site and the total number of shares with voting rights held. The number of shareholders and proxies present at the meeting on site and the total number of shares with voting rights held shall be based on the meeting register.

The shareholders’ meeting shall have meeting minutes, which shall be maintained by the secretary to the Board. The meeting minutes shall record the following contents:

- (I) time, venue and agenda of the meeting, and the name or title of the convener;
- (II) names of the presider of the meeting, and directors and senior management members present at the meeting;
- (III) the number of shareholders and proxies attending the meeting, the total number of shares with voting rights held and the proportion of these shares to the total number of shares of the Company;
- (IV) the review process, key points of discussion, and voting results for each proposal;
- (V) inquiries or suggestions of the shareholders, and the corresponding responses or explanations;
- (VI) names of the lawyers, vote counters and scrutineers;
- (VII) other contents that shall be recorded in the minutes in accordance with the Articles of Association.

The convener shall ensure that the contents of the meeting minutes are true, accurate and complete. Directors, the secretary to the Board, the convener or his/her representative, and the presider of the meeting attending or present at the meeting shall sign the meeting minutes. The meeting minutes shall be kept together with the signature roster of shareholders present on site, power of attorney for attendance by proxy, and valid documents of voting conducted online or through other methods, for a period of not less than 10 years.

Voting and Resolutions of Shareholders’ Meetings

Resolutions of shareholders’ meetings are divided into ordinary resolutions and special resolutions. Ordinary resolutions made at the shareholders’ meeting shall be passed by more than half of the voting rights held by shareholders present at the shareholders’ meeting. Special resolutions made at the shareholders’ meeting shall be passed by more than two-thirds of the voting rights held by shareholders present at the shareholders’ meeting.

The following matters shall be passed by ordinary resolutions at the shareholders’ meeting:

- (I) work reports of the Board of Directors;
- (II) the profit distribution plan and loss recovery plan drawn up by the Board of Directors;
- (III) the appointment and removal of members of the Board of Directors and their remuneration and payment methods;
- (IV) other matters than those required to be passed by a special resolution under laws, administrative regulations, the securities regulatory rules of the place where the Company’s shares are listed or the Articles of Association.

APPENDIX III

SUMMARY OF ARTICLES OF ASSOCIATION

The following matters shall be passed by special resolutions at the shareholders’ meeting:

- (I) the increase or decrease of the Company’s registered capital;
- (II) the division, spin-off, merger, dissolution and liquidation (including voluntary liquidation) of the Company;
- (III) amendments to the Articles of Association;
- (IV) the Company’s purchase or sale of major assets or provision of guarantees to others exceeding 30% of the Company’s latest audited total assets within one year;
- (V) equity incentive plans;
- (VI) other matters that are stipulated in laws, administrative regulations, the securities regulatory rules of the place where the Company’s shares are listed or the Articles of Association, as well as those that are determined by the shareholders’ meeting to have a significant impact on the Company through ordinary resolutions and need to be passed through special resolutions.

When the shareholders’ meeting deliberates on matters concerning related party transactions, related shareholders shall not participate in the voting. The number of shares with voting rights they represent shall not be included in the total number of valid votes. The announcement of the resolution of the shareholders’ meeting shall fully disclose the voting results of non-related shareholders.

Save for the cumulative voting system, all proposals shall be voted on one by one at the shareholders’ meeting. In the case where different proposals are made on the same matter, votes shall be cast in accordance with the sequence of the proposals presented. Unless the shareholders’ meeting is suspended or no resolution may be passed due to special reasons such as force majeure, the proposals shall not be set aside and voting shall take place at the shareholders’ meeting. No amendment shall be made to a proposal when it is considered at a shareholders’ meeting. Any amendment shall be deemed as a new proposal and shall not be voted on at the current shareholders’ meeting.

Voting at a shareholders’ meeting shall be taken by registered vote.

Before proposals are voted on at the shareholders’ meeting, two shareholder representatives shall be elected to participate in the vote counting and vote scrutiny. When a shareholder is interested in a matter under consideration, the relevant shareholder and the proxy shall not participate in the vote counting or vote scrutiny. When proposals are voted on at the shareholders’ meeting, the lawyer and shareholder representatives shall be jointly responsible for counting and scrutinizing votes and shall announce the voting results on the spot, which voting results shall be recorded in the meeting minutes. Shareholders of the Company or proxies thereof voting online or otherwise shall have the right to check their voting results via the corresponding voting system.

Shareholders attending any shareholders’ meeting shall vote for or against or abstain from voting on each proposal submitted to the meeting for voting, except where the securities registration and clearing organization, as the nominal holder of shares under the Mainland-Hong Kong Stock Connect scheme, or where a Recognized Clearing House as defined in the relevant ordinance under the Hong Kong laws in force from time to time or its agent acting as the nominal holder, submits votes according to the intention of the actual holders.

APPENDIX III

SUMMARY OF ARTICLES OF ASSOCIATION

If the presider of the meeting has any doubt as to the results of the resolutions submitted for voting, he/she may conduct a recount of the votes cast. If the presider of the meeting does not conduct a recount, any shareholder attending the meeting in person or by proxy shall have the right to request a recount immediately after the voting result is declared by the presider of the meeting if such shareholder or proxy objects to the voting result, in which case, the presider of the meeting shall immediately conduct a recount.

Resolutions of the shareholders’ meeting shall be announced in time. The announcement shall specify the number of shareholders and proxies attending the meeting, the total number of shares with voting rights held by them and the proportion of these shares to the total number of shares with voting rights of the Company, the voting method, the voting result for every proposal and the details of each of the resolutions passed.

DIRECTORS AND BOARD OF DIRECTORS

General Provisions on Directors

Directors may include executive directors, non-executive directors and independent directors (the meaning of the “independent director” is the same as that of “independent non-executive director” set out in the Hong Kong Listing Rules).

Directors of the Company shall be natural persons. Directors shall possess the qualifications required by laws, administrative regulations and rules. A person with any of the following circumstances shall not serve as a director of the Company:

- (I) having no capacity for civil conduct or limited capacity for civil conduct;
- (II) having been sentenced to a criminal penalty for embezzlement, bribery, infringement of property, misappropriation of property, or disrupting the socialist market economic order, or having had his/her political rights deprived due to a crime, and less than 5 years has elapsed since the expiration of the execution period, or if on probation, less than 2 years has elapsed since the expiration of the probation period;
- (III) having served as a director, factory director, or manager of a company or enterprise undergoing bankruptcy liquidation and being personally liable for the bankruptcy of such company or enterprise, and less than 3 years has elapsed since the completion of the bankruptcy liquidation of such company or enterprise;
- (IV) having served as the legal representative of a company or enterprise whose business license has been revoked or has been ordered to close down due to illegal activities and being personally liable, and less than 3 years has elapsed since the revocation of the business license or the order to close down of such company or enterprise;
- (V) having a large-amount debt but unpaid upon maturity and being listed as a person subject to enforcement for bad credit by the people’s court;
- (VI) having been subject to measures restricting access to the securities market by the CSRC, where the time limit has not expired;
- (VII) having been publicly designated by the stock exchange as unsuitable to serve as a director and senior management member of the listed company, where the time limit has not expired;
- (VIII) other contents stipulated by laws, administrative regulations, securities regulatory rules of the place where the Company’s shares are listed or departmental rules;

Elections and appointments or engagements of directors that violate the above provisions shall be invalid. If a director is involved in any of the aforementioned circumstances during his/her terms of office, the Company shall terminate his/her position and suspend his/her duties.

APPENDIX III

SUMMARY OF ARTICLES OF ASSOCIATION

A director shall be elected or replaced by the shareholders’ meeting, and his/her positions may be terminated by the shareholders’ meeting before the expiration of his/her terms of office, provided that such termination shall not prejudice the director’s right to claim damages under any contract. A director shall serve a term of 3 years, and may seek re-election upon expiry of the said term. Where the securities regulatory rules of the place where the Company’s shares are listed provide otherwise in respect of the reelection of directors, such provisions shall prevail. The term of office of a director shall commence from the date on which the said director assumes office to the expiry of the current session of the Board of Directors. If the term of office of a director expires but re-election is not made responsively, the said director shall continue fulfilling the duties as director pursuant to laws, administrative regulations, departmental rules, the securities regulatory rules of the place where the Company’s shares are listed and the Articles of Association until the newly elected director takes office. A senior management member may concurrently serve as a director, provided that the aggregate number of directors who concurrently serve as other senior management members and directors who are employee representatives shall not exceed one half of the total number of directors of the Company. Employee representatives on the Board of Directors shall be democratically elected by the employees of the Company through the employee representative congress, employee assembly or other forms, without requiring the deliberation by the shareholders’ meeting.

Directors shall comply with laws, administrative regulations, the securities regulatory rules of the place where the Company’s shares are listed, and the Articles of Association. They shall owe duties of loyalty to the Company, and take measures to avoid conflicts between their own interests and the Company’s interests, and shall not seek any improper interests by taking advantage of their official powers.

Directors shall owe the following duties of loyalty to the Company:

- (I) not to embezzle the property or misappropriate the funds of the Company;
- (II) not to open in their own names or in others’ names any bank account for the purpose of depositing any of the Company’s monies;
- (III) not to abuse their official powers to offer bribes or accept other unlawful income;
- (IV) not to directly or indirectly conclude a contract or conduct a transaction with the Company, without reporting to the Board of Directors or the shareholders’ meeting, or obtaining an approval by resolutions of the Board of Directors or the shareholders’ meeting according to the Articles of Association;
- (V) not to take advantage of their positions to seek any business opportunity that belongs to the Company for themselves or any other person, unless they have reported to the Board of Directors or the shareholders’ meeting and have been approved by a resolution of the shareholders’ meeting, or the Company cannot make use of the business opportunity as stipulated by laws, administrative regulations, or the Articles of Association;
- (VI) not to engage in any business that is similar to that of the Company for themselves or for any other person, without reporting to the Board of Directors or the shareholders’ meeting, or obtaining an approval by resolutions of the shareholders’ meeting;
- (VII) not to take as their own any commission for any transaction between the Company and others;
- (VIII) not to disclose the confidential information of the Company without authorization;
- (IX) not to use their related party relations to damage the interests of the Company;
- (X) other duties of loyalty as prescribed by laws, administrative regulations, departmental rules, the securities regulatory rules of the place where the Company’s shares are listed, and the Articles of Association.

APPENDIX III

SUMMARY OF ARTICLES OF ASSOCIATION

Any income obtained by a director in violation of the above provisions shall be surrendered to the Company; if losses are caused to the Company, the director shall be liable for compensation.

Directors shall comply with laws, administrative regulations, the securities regulatory rules of the place where the Company’s shares are listed, and the Articles of Association. They shall owe duties of diligence to the Company and, in performing their duties, shall exercise reasonable care that a manager would normally exercise for the best interests of the Company.

Directors shall owe the following duties of diligence to the Company:

- (I) to exercise the rights conferred by the Company with due discretion, care and diligence to ensure that the business activities of the Company comply with the national laws, administrative regulations and various national economic policy requirements, and that the business activities do not go beyond the scope of business activities specified in the business license;
- (II) to treat all shareholders fairly;
- (III) to keep abreast of the Company’s business operations and management status;
- (IV) to sign written statements confirming periodic reports of the Company, and ensure that the information disclosed by the Company is true, accurate, and complete;
- (V) to honestly provide the Audit Committee with relevant information and materials, and not to prevent the Audit Committee from exercising its functions and powers;
- (VI) other duties of diligence as prescribed by laws, administrative regulations, departmental rules, the securities regulatory rules of the place where the Company’s shares are listed, and the Articles of Association.

A director may resign before the expiration of his/her term of office. The resignation of a director shall be submitted to the Company in the form of a written resignation report. A director’s resignation shall take effect on the date the Company receives the written resignation report, and the Company shall disclose the relevant information within two trading days. The Company shall establish a management system for directors’ resignation, specifying safeguard measures for the accountability and recovery of liabilities in respect of unfulfilled public commitments and other outstanding matters. If resignation of a director takes effect or if his/her term of office expires, the said director shall go through all handover formalities with the Board of Directors. His/her obligations of loyalty to the Company and shareholders shall not terminate automatically upon expiry of his/her term of office but shall still be valid within a reasonable period specified in the Articles of Association. The liability of a director for performance of his/her duties during his/her term of office shall not be exempted or terminated upon his/her departure.

Save as specified in the Articles of Association or legally authorized by the Board of Directors, no director shall act on behalf of the Company or the Board of Directors in his/her personal name. If a director acts in his/her own name but a third party may reasonably think the said director is acting on behalf of the Company or the Board of Directors, the said director shall make a prior statement of his/her standpoint and capacity.

When a director, in the performance of his/her duties for the Company, causes damage to any other party, the Company shall bear the liability for compensation. If the director is found to have acted with intent or gross negligence, he/she shall also be liable for compensation. Where directors, in the performance of their duties to the Company, violate laws, administrative regulations, departmental rules or the Articles of Association and cause losses to the Company, they shall be liable for compensation.

APPENDIX III

SUMMARY OF ARTICLES OF ASSOCIATION

Board of Directors

The Company shall establish a Board of Directors, which shall be composed of 5 to 9 directors, including not less than one-third independent directors and one employee representative director. The Board of Directors shall have one chairman and may have a vice-chairman if necessary. Both the chairman and the vice-chairman of the Board shall be elected by more than half of all directors.

The Board of Directors shall exercise the following functions and powers:

- (I) to convene the shareholders’ meetings and report to the shareholders’ meetings on its work;
- (II) to execute resolutions of the shareholders’ meetings;
- (III) to determine the Company’s operational plans and investment plans;
- (IV) to formulate the Company’s profit distribution plans and loss recovery plans;
- (V) to formulate plans for the Company’s increase or decrease of registered capital, issuance of bonds or other securities, and listing;
- (VI) to draft plans for the Company’s major acquisitions, repurchases of the Company’s shares, mergers, divisions, dissolution, or changes in the Company’s form;
- (VII) to decide on matters such as the Company’s external investments, acquisition or disposal of assets, asset mortgages, external guarantees, entrusted wealth management, related party transactions, and external donations, within the scope authorized by the shareholders’ meeting;
- (VIII) to decide on the establishment of the Company’s internal management structure;
- (IX) to decide on appointment or dismissal of the Company’s general manager, secretary to the Board and other senior management members, and determine their remuneration and matters of reward and punishment; based on the general manager’s nomination, to decide on appointment or dismissal of the Company’s deputy general manager, chief financial officer and other senior management members, and determine their remuneration and matters of reward and punishment;
- (X) to formulate the Company’s basic management system;
- (XI) to formulate proposals for amendments to the Articles of Association;
- (XII) to manage the Company’s information disclosure matters;
- (XIII) to propose to the shareholders’ meeting the appointment or replacement of the accounting firm for the Company’s audit;
- (XIV) to listen to the work reports of the Company’s general manager and review the work of the general manager;
- (XV) to exercise other functions and powers stipulated by laws, administrative regulations, departmental rules, securities regulatory rules of the place where the Company’s shares are listed or the Articles of Association, or granted by the shareholders’ meeting.

Matters that exceed the scope of authority granted by the shareholders’ meeting shall be submitted to the shareholders’ meeting for consideration.

APPENDIX III

SUMMARY OF ARTICLES OF ASSOCIATION

The Board of Directors shall determine the authority over matters such as external investments, acquisition or disposal of assets, asset mortgages, external guarantees, entrusted wealth management, related party transactions, and external donations, and shall establish strict review and decision-making procedures. Major investment projects shall be reviewed by relevant experts and professionals and submitted to the shareholders’ meeting for approval.

Transactions (excluding provision of guarantee or financial assistance) of the Company meeting any of the following standards shall be submitted to the Board of Directors for consideration:

- (I) the total asset value involved in the transaction (the higher of the book value and the assessed value as the case may be) accounts for more than 10% of the latest audited total assets of the Company;
- (II) the transaction amount exceeds 10% of the Company’s market capitalization;
- (III) the net asset value of the object of transaction (e.g., equity) in the latest fiscal year accounts for more than 10% of the Company’s market capitalization;
- (IV) the related operating income of the object of transaction (e.g. equity) in the latest fiscal year accounts for more than 10% of the audited operating income of the Company in the latest fiscal year, with the amount of more than RMB10 million;
- (V) the transaction profit accounts for more than 10% of the audited net profit of the Company in the latest fiscal year, with the amount of more than RMB1 million;
- (VI) the related net profit of the object of transaction (e.g. equity) in the latest fiscal year accounts for more than 10% of the audited net profit of the Company in the latest fiscal year, with the amount of more than RMB1 million.

The following related party transactions of the Company shall be approved by resolution of the Board of Directors:

- (I) related party transactions between the Company and a related natural person, where the transaction amount exceeds RMB300,000 (excluding guarantees provided by the Company);
- (II) related party transactions between the Company and a related legal person, where the transaction amount exceeds RMB3 million and represents more than 0.1% of the absolute value of the latest audited total assets of the Company (excluding guarantees provided by the Company).

The chairman of the Board shall exercise the following powers and functions:

- (I) to preside over shareholders’ meetings, and convene and preside over Board meetings;
- (II) to supervise and inspect the implementation of resolutions passed by the Board of Directors;
- (III) to exercise other functions and powers conferred by the Board of Directors.

A vice-chairman of the Board shall assist in the work of the chairman. If the chairman of the Board is unable or fails to perform duties thereof, such duties shall be performed by the vice-chairman. In the event that there is no vice-chairman of the Board or the vice-chairman is unable or fails to perform duties thereof, a director shall be elected jointly by more than a half of the directors to perform such duties.

APPENDIX III

SUMMARY OF ARTICLES OF ASSOCIATION

The Board of Directors shall hold at least four regular meetings annually, which shall be convened by the chairman of the Board, with the notice of meeting sent to all the directors 14 days before the date of meeting. Extraordinary meetings may be convened upon proposal by shareholders representing more than one-tenth of the total voting rights, more than one-third of the directors, or by the Audit Committee. The chairman of the Board shall convene and preside over the Board meeting within 10 days after receipt of the proposal.

Notice for an extraordinary Board meeting shall be given to all directors at least three days prior to the meeting, by personal delivery, mail (including email) or telephone.

The notice of Board meeting shall specify:

- (I) the date and venue of the meeting;
- (II) the duration of the meeting;
- (III) the purpose and agenda items;
- (IV) the date on which the notice is sent.

A Board meeting shall be held only if more than half of the directors are present. Any Board resolution shall be subject to the approval of a majority of all the directors. Each director shall have one vote on any resolution put to vote by the Board of Directors.

Resolutions of the Board shall be voted on by way of open ballot or a show of hands, and directors voting by way of a show of hands shall sign the written resolution or minutes to confirm their voting opinions. The Board of Directors may hold meetings and adopt resolutions by means of electronic communication, provided that the directors are afforded an adequate opportunity to express their opinions, and the attending directors shall sign such resolutions or minutes.

Directors shall attend Board meetings in person. If any director cannot attend the meeting for any reason, he/she may issue a written power of attorney to authorize another director to attend the meeting on behalf thereof, which power of attorney shall specify the name of the proxy, the matters to be handled in proxy and scope and validity period of authorization, and shall bear the signature or seal of the principal. Any director attending the meeting on behalf of another director shall exercise the rights of directors within the scope of authorization. If a director fails to attend a Board meeting in person or by proxy, the said director shall be deemed as having waived his/her right to vote at the meeting.

The Board of Directors shall make minutes of decisions on the matters discussed at the meeting, and the directors present shall sign the meeting minutes. The minutes of Board meetings shall be kept as the Company’s archives for a period of not less than 10 years.

The minutes of a Board meeting shall specify:

- (I) the date and venue of the meeting and the name of the convener;
- (II) the names of the attending directors and the directors (proxies) attending the meeting on behalf of others;
- (III) the agenda of the meeting;
- (IV) key points of the speeches of directors;
- (V) the voting method and result for each resolution (the voting result shall specify the number of votes in favour, against or abstained).

APPENDIX III

SUMMARY OF ARTICLES OF ASSOCIATION

Independent Directors

Independent directors shall conscientiously perform their duties in accordance with the provisions of laws, administrative regulations, securities regulatory rules of the place where the Company’s shares are listed and the Articles of Association, play a role in participating in decision-making, exercising oversight and checks and balances, and providing professional advice in the Board of Directors, safeguard the overall interests of the Company, and protect the legitimate rights and interests of minority shareholders.

Independent directors must maintain their independence. The following persons shall not serve as independent directors:

- (I) persons who hold positions in the Company or its affiliated enterprises, and their spouses, parents, children, and major social relations;
- (II) natural person shareholders that directly or indirectly hold more than 1% of the Company’s issued shares or are among the top 10 shareholders of the Company, and their spouses, parents, and children;
- (III) persons who hold positions in shareholders directly or indirectly holding more than 5% of the Company’s issued shares or the top 5 shareholders of the Company, and their spouses, parents, and children;
- (IV) persons employed by the affiliated enterprises of the Company’s controlling shareholders or actual controllers, and their spouses, parents, and children;
- (V) persons who have significant business dealings with the Company, its controlling shareholders, its actual controllers, or their respective affiliated enterprises, or persons who hold positions in entities with significant business dealings or their controlling shareholders or actual controllers;
- (VI) persons who provide financial, legal, consulting, sponsorship, or other services to the Company, its controlling shareholders, its actual controllers, or their respective affiliated enterprises, including but not limited to all members of the project team, all levels of review personnel, signatories on reports, partners, directors, senior management members and principal responsible persons of intermediaries providing such services;
- (VII) persons who have fallen under any of the circumstances listed in the preceding six items within the last twelve months;
- (VIII) other persons who lack independence as stipulated by laws, administrative regulations, securities regulatory rules of the place where the Company’s shares are listed, business rules of the Shanghai Stock Exchange and the Articles of Association.

Independent directors must maintain their independence. The following persons shall not serve as independent directors:

- (I) persons who hold positions in the Company or its affiliated enterprises, and their spouses, parents, children, and major social relations;
- (II) natural person shareholders that directly or indirectly hold more than 1% of the Company’s issued shares or are among the top 10 shareholders of the Company, and their spouses, parents, and children;
- (III) persons who hold positions in shareholders directly or indirectly holding more than 5% of the Company’s issued shares or the top 5 shareholders of the Company, and their spouses, parents, and children;

APPENDIX III

SUMMARY OF ARTICLES OF ASSOCIATION

- (IV) persons employed by the affiliated enterprises of the Company’s controlling shareholders or actual controllers, and their spouses, parents, and children;
- (V) persons who have significant business dealings with the Company, its controlling shareholders, its actual controllers, or their respective affiliated enterprises, or persons who hold positions in entities with significant business dealings or their controlling shareholders or actual controllers;
- (VI) persons who provide financial, legal, consulting, sponsorship, or other services to the Company, its controlling shareholders, its actual controllers, or their respective affiliated enterprises, including but not limited to all members of the project team, all levels of review personnel, signatories on reports, partners, directors, senior management members and principal responsible persons of intermediaries providing such services;
- (VII) persons who have fallen under any of the circumstances listed in the preceding six items within the last twelve months;
- (VIII) other persons who lack independence as stipulated by laws, administrative regulations, securities regulatory rules of the place where the Company’s shares are listed, business rules of the Shanghai Stock Exchange and the Articles of Association.

As members of the Board, independent directors owe duties of loyalty and diligence to the Company and all shareholders, and shall prudently perform the following duties:

- (I) participating in Board decision-making and expressing clear opinions on the matters under discussion;
- (II) overseeing matters involving potential material conflicts of interest between the Company and its controlling shareholders, actual controllers, directors, and senior management members, and protecting the legitimate rights and interests of minority shareholders;
- (III) providing professional and objective recommendations for the business development of the Company and promoting improvement of Board decision-making level;
- (IV) other duties stipulated by laws, administrative regulations, securities regulatory rules of the place where the Company’s shares are listed and the Articles of Association.

Independent directors shall exercise the following special functions and powers:

- (I) independently engaging intermediaries to conduct audits, provide consulting services, or perform verification in respect of specific matters of the Company;
- (II) proposing to the Board of Directors the convening of an extraordinary shareholders’ meetings;
- (III) proposing the convening of a Board meeting;
- (IV) soliciting shareholder rights from shareholders publicly in accordance with law;
- (V) expressing independent opinions on matters that may harm the rights and interests of the Company or minority shareholders;
- (VI) other functions and powers stipulated by laws, administrative regulations, securities regulatory rules of the place where the Company’s shares are listed and the Articles of Association.

APPENDIX III

SUMMARY OF ARTICLES OF ASSOCIATION

The following matters shall be submitted to the Board of Directors for consideration after obtaining the approval of more than half of all independent directors of the Company:

- (I) discloseable related party transactions;
- (II) proposals for the amendment or waiver of undertakings by the Company and relevant parties;
- (III) decisions made and measures taken by the board of directors of the listed company subject to acquisition in relation to the acquisition;
- (IV) other matters stipulated by laws, administrative regulations, securities regulatory rules of the place where the Company’s shares are listed and the Articles of Association.

The Company shall establish a mechanism for special meetings attended solely by independent Directors. Related party transactions shall be pre-approved by the independent directors’ special meeting before being submitted to the Board of Directors for consideration. Minutes shall be made for the independent directors’ special meeting according to regulations, and shall record the opinions of independent directors. Independent directors shall sign to confirm the meeting minutes. The Company shall facilitate and support the convening of the independent directors’ special meeting.

Special Committees of the Board

The Board of Directors shall establish an Audit Committee to exercise the powers and functions of the Board of Supervisors as stipulated in the Company Law. The Audit Committee comprises three to four members who are directors and do not hold any senior management position in the Company. Independent directors shall constitute a majority of the committee members, and the convener shall be an independent director with accounting expertise.

The Audit Committee is responsible for reviewing the Company’s financial information and its disclosure, and supervising and evaluating internal and external audit work, as well as internal controls. The following matters shall be submitted to the Board of Directors for deliberation upon approval by a majority of all members of the Audit Committee:

- (I) disclosing financial information and internal control evaluation reports in financial accounting reports and periodic reports;
- (II) hiring or dismissing accounting firms conducting audit engagements for the listed company;
- (III) appointing or dismissing the chief financial officer of the listed company;
- (IV) making changes in accounting policies and estimates or correction of significant accounting errors for reasons other than changes in accounting standards;
- (V) other matters stipulated by laws, administrative regulations, securities regulatory rules of the place where the Company’s shares are listed and the Articles of Association.

Meetings of the Audit Committee shall be held at least once every quarter. An extraordinary meeting can be held upon the proposal of two or more members, or when deemed necessary by the convener. Meetings of the Audit Committee shall be held only with the presence of more than two-thirds of members. Resolutions made by the Audit Committee must be approved by a majority of all members. Resolutions of the Audit Committee shall be voted on as per “one person, one vote” system. The resolutions of the Audit Committee shall be recorded in meeting minutes in accordance with regulations, and members of the Audit Committee attending the meeting shall sign the meeting minutes. The working rules for the Audit Committee shall be formulated by the Board of Directors.

APPENDIX III

SUMMARY OF ARTICLES OF ASSOCIATION

The Board of Directors shall establish other special committees, including a Strategy and ESG (Environmental, Social and Governance) Committee, a Nomination Committee, and a Remuneration and Appraisal Committee. Each special committee shall perform its duties in accordance with the Articles of Association and the authorization granted by the Board of Directors. Proposals from the special committees shall be submitted to the Board of Directors for deliberation and decision. The working rules for special committees shall be formulated by the Board of Directors.

All members of the special committees shall be directors. For the Nomination Committee and Remuneration and Appraisal Committee, independent directors shall constitute a majority of the members, and an independent director shall serve as convener.

The Nomination Committee shall be responsible for formulating the selection standards and procedures for directors and senior management members, selecting and reviewing the candidates for directors and senior management members and their qualifications for office and making recommendations to the Board of Directors on the following matters:

- (I) the nomination, appointment or removal of directors;
- (II) the appointment or dismissal of senior management members;
- (III) other matters stipulated by laws, administrative regulations, securities regulatory rules of the place where the Company’s shares are listed and the Articles of Association.

If the Board of Directors does not adopt or fully adopt the recommendations of the Nomination Committee, the Board resolution shall record the views of the Nomination Committee and the specific reasons for non-adoption, which shall also be disclosed accordingly.

The Remuneration and Appraisal Committee shall be responsible for formulating appraisal standards for directors and senior management members, conducting appraisals, and developing and reviewing remuneration policies and plans, including the remuneration determination mechanism, decision-making processes, payment and stop-payment recourse arrangements for directors and senior management members. It shall also provide recommendations to the Board of Directors on the following matters:

- (I) the remuneration of directors and senior management members;
- (II) formulation or amendment of equity incentive plans or employee stock ownership plans, and the satisfaction of conditions for participants to receive or exercise their rights;
- (III) the arrangement of stock ownership plans for directors and senior management members in the event of a proposed spin-off of a subsidiary;
- (IV) other matters stipulated by laws, administrative regulations, securities regulatory rules of the place where the Company’s shares are listed and the Articles of Association.

If the Board of Directors does not adopt or fully adopt the recommendations of the Remuneration and Appraisal Committee, the Board resolution shall record the views of the Remuneration and Appraisal Committee and the specific reasons for non-adoption, which shall also be disclosed accordingly.

The Strategy and ESG Committee shall be primarily responsible for studying the long-term development strategies, material investment decisions and ESG-related matters of the Company and making recommendations to the Board of Directors thereon.

APPENDIX III

SUMMARY OF ARTICLES OF ASSOCIATION

Senior Management Members

The Company shall have one general manager, whose appointment and dismissal shall be determined by the Board of Directors. The Company shall have several deputy general manager, whose appointment and dismissal shall be determined by the Board of Directors.

Any person who takes an administrative role other than a director or a supervisor in an entity which is the controlling shareholder of the Company shall not serve as a senior management member of the Company. Senior management members of the Company shall receive their remuneration solely from the Company and shall not have their salaries paid by any controlling shareholder on behalf of the Company.

The general manager shall serve a term of three years and may serve consecutive terms upon re-appointment.

The general manager shall be accountable to the Board of Directors and shall exercise the following powers and functions:

- (I) to preside over the Company’s production, operation and management, organize the implementation of Board resolutions, and report to the Board on such work;
- (II) to organize the implementation of the Company’s annual business plan and investment plan;
- (III) to formulate proposals for the establishment of the Company’s internal management structure;
- (IV) to formulate the Company’s basic management systems;
- (V) to formulate the Company’s specific rules and regulations;
- (VI) to propose to the Board of Directors the appointment or dismissal of the deputy general manager, chief financial officer and other senior management members of the Company;
- (VII) to decide on the appointment or dismissal of management personnel other than those whose appointment or dismissal is required to be decided by the Board of Directors; and
- (VIII) to exercise such other powers and functions as conferred by the Articles of Association or by the Board of Directors.

The general manager shall attend Board meetings as a non-voting participant.

The general manager shall be accountable to the Board of Directors and shall exercise the following powers and functions:

- (I) to preside over the Company’s production, operation and management, organize the implementation of Board resolutions, and report to the Board on such work;
- (II) to organize the implementation of the Company’s annual business plan and investment plan;
- (III) to formulate proposals for the establishment of the Company’s internal management structure;
- (IV) to formulate the Company’s basic management systems;
- (V) to formulate the Company’s specific rules and regulations;
- (VI) to propose to the Board of Directors the appointment or dismissal of the deputy general manager, chief financial officer and other senior management members of the Company;

APPENDIX III

SUMMARY OF ARTICLES OF ASSOCIATION

(VII) to decide on the appointment or dismissal of management personnel other than those whose appointment or dismissal is required to be decided by the Board of Directors; and

(VIII) to exercise such other powers and functions as conferred by the Articles of Association or by the Board of Directors.

The general manager shall attend Board meetings as a non-voting participant.

The Company shall appoint a secretary to the Board, who shall be responsible for the preparation of shareholders’ meetings and Board meetings, the custody of relevant documents, the management of shareholder information of the Company, and the handling of information disclosure matters, among other duties. The secretary to the Board shall comply with the provisions of laws, administrative regulations, departmental rules, the securities regulatory rules of the place where the Company’s shares are listed, and the Articles of Association.

Where senior management members, in the course of performing their duties for the Company, cause losses to others, the Company shall bear the liability for compensation; where such senior management members act intentionally or with gross negligence, they shall also bear liability for compensation. Where senior management members violate laws, administrative regulations, departmental rules, the securities regulatory rules of the place where the Company’s shares are listed, or the Articles of Association in the performance of their duties, thereby causing losses to the Company, they shall be liable for compensation.

Senior management members of the Company shall faithfully perform their duties and safeguard the maximum interests of the Company and all shareholders. Where senior management members fail to faithfully perform their duties or breach their duty of good faith, thereby causing damage to the interests of the Company or public shareholders, they shall bear liability for compensation in accordance with the law.

FINANCIAL AND ACCOUNTING SYSTEM, PROFIT DISTRIBUTION AND AUDIT

Financial and Accounting System

The Company shall establish its financial and accounting system in accordance with laws, administrative regulations, and the provisions of the relevant competent state authorities. The Company’s fiscal year shall adopt the Gregorian calendar year, commencing on January 1 and ending on December 31 of each calendar year. The Company’s fiscal year shall adopt the Gregorian calendar year, commencing on January 1 and ending on December 31 of each calendar year.

Within four months after the end of each fiscal year, the Company shall submit and disclose its annual report to the local office of the CSRC and the stock exchange at the place where the Company’s shares are listed. Within two months after the end of the first half of each fiscal year, the Company shall submit and disclose its interim report to the local office of the CSRC and the stock exchange at the place where the Company’s shares are listed.

When distributing its after-tax profits for the current year, the Company shall allocate 10% of the profits to the Company’s statutory reserve fund. Where the cumulative balance of the Company’s statutory reserve fund has reached or exceeds 50% of the Company’s registered capital, further allocation is not required. If the statutory reserve fund of the Company is insufficient to cover losses incurred in previous years, the current year’s profits shall first be used to cover such losses before allocating to the statutory reserve fund in accordance with the preceding paragraph. After allocating the statutory reserve fund from after-tax profits, the Company may, upon resolution of the shareholders’ meeting, allocate discretionary reserve funds from after-tax profits. The remaining after-tax profits after covering losses and making allocations to reserve funds shall be distributed to shareholders in proportion to their respective shareholdings, except where the Articles of Association provide otherwise.

APPENDIX III

SUMMARY OF ARTICLES OF ASSOCIATION

Where the shareholders’ meeting distributes profits to shareholders in violation of the Company Law, the shareholders shall return the profits distributed in violation of the provisions to the Company; where losses are caused to the Company, the shareholders and the responsible directors and senior management members shall be liable for compensation.

Shares of the Company held by the Company itself shall not participate in profit distribution. The Company shall appoint one or more receiving agents in Hong Kong for holders of H Shares. Such receiving agent(s) shall, on behalf of the relevant H Shareholders, receive and hold dividends distributed in respect of H Shares and other monies payable by the Company in respect of such shares pending payment to such H Shareholders. The receiving agent(s) appointed by the Company shall comply with the requirements of relevant laws and regulations and the securities regulatory rules of the place where the Company’s shares are listed.

The principles for profit distribution of the Company are as follows: profit distribution shall place emphasis on providing reasonable investment returns to investors and shall be conducive to the long-term development of the Company.

Interval of profit distribution: subject to the satisfaction of the conditions for profit distribution, the Company shall in principle conduct profit distribution at least once each year. The Company may implement interim profit distribution based on its operating conditions and capital requirements, and the Board of Directors may propose interim profit distribution based on the Company’s capital position.

Forms of profit distribution: the Company may adopt cash dividends, share dividends, or a combination of cash and share dividends. Where the conditions for cash dividends are satisfied, the Company shall give priority to the distribution of dividends in cash. The Company shall maintain the continuity and stability of its dividend policy. The cumulative cash dividends distributed by the Company in the most recent three years shall not be less than 30% of the average annual distributable profits realized in the most recent three years. The target of the Company’s cash dividend policy is the residual dividend policy.

Where the Company’s operating conditions are sound and the Board of Directors considers that the Company’s share price does not match the scale of its share capital and that the distribution of share dividends is beneficial to the overall interests of all shareholders, the Company may, subject to the conditions for cash dividends as provided in the Articles of Association, propose a plan for the distribution of share dividends.

The implementation of cash dividends by the Company shall simultaneously satisfy the following conditions:

- (I) the distributable profit realized by the Company for that year (i.e., the after-tax profit remaining after covering losses and making allocations to reserve funds) is positive and the Company has sufficient cash flow, and the implementation of cash dividends will not affect the Company’s sustainable operations;
- (II) the Company’s accumulated distributable profits are positive;
- (III) the audit institution has issued a standard unqualified audit opinion on the Company’s financial report for that year;
- (IV) the Company’s normal production and operation capital requirements are satisfied and there are no major investment plans or significant cash expenditures (excluding fund-raising investment projects); and
- (V) no other special circumstances exist under which profit distribution is deemed inappropriate as confirmed by a resolution of the shareholders’ meeting.

APPENDIX III

SUMMARY OF ARTICLES OF ASSOCIATION

Within the scope of authorization granted by the shareholders’ meeting, the Board of Directors of the Company shall comprehensively consider factors such as industry characteristics, stage of development, the Company’s own business model, profitability level, and whether there are arrangements for significant capital expenditures, and distinguish among the following circumstances in proposing differentiated cash dividend policies in accordance with the procedures set out in the Articles of Association:

- (I) where the Company is at a mature stage of development and has no arrangements for significant capital expenditures, the proportion of cash dividends in the current profit distribution shall be no less than 80%;
- (II) where the Company is at a mature stage of development and has arrangements for significant capital expenditures, the proportion of cash dividends in the current profit distribution shall be no less than 40%;
- (III) where the Company is at a growth stage and has arrangements for significant capital expenditures, the proportion of cash dividends in the current profit distribution shall be no less than 20%.

The Company’s reserve funds shall be used to cover losses of the Company, expand the Company’s production and operations, or be converted into an increase of the Company’s registered capital. When reserve funds are used to cover losses of the Company, discretionary reserve funds and statutory reserve funds shall first be used; where losses still cannot be fully covered, capital reserve funds may be used in accordance with relevant provisions. Where the statutory reserve fund is converted into an increase of registered capital, the balance of such statutory reserve fund retained shall not be less than 25% of the Company’s registered capital prior to such conversion.

Internal Audit

The Company shall implement an internal audit system that clearly specifies the leadership structure, duties and authorities, staffing, funding guarantees, application of audit results, and accountability mechanisms for internal audit work.

The Company’s internal audit institution shall conduct supervision and inspection of matters including the Company’s business activities, risk management, internal control, and financial information.

The internal audit institution shall be accountable to the Board of Directors. In the course of supervising and inspecting the Company’s business activities, risk management, internal control, and financial information, the internal audit institution shall be subject to the supervision and guidance of the Audit Committee. Where the internal audit institution identifies any material issues or relevant leads, it shall report directly to the Audit Committee immediately.

Appointment of Accounting Firms

The Company shall engage an accounting firm that complies with the provisions of the Securities Law and the securities regulatory rules of the place where the Company’s shares are listed to conduct audits of the Company’s financial statements, verification of net assets, and other related consulting services. The term of engagement shall be one year and may be renewed upon expiry.

The appointment or dismissal of the accounting firm by the Company shall be decided by the shareholders’ meeting. The Board of Directors shall not appoint an accounting firm prior to a decision by the shareholders’ meeting.

The Company shall ensure that the engaged accounting firm is provided with truthful and complete accounting vouchers, accounting books, financial and accounting reports, and other accounting information, and shall not refuse to provide, conceal, or falsify such materials.

APPENDIX III

SUMMARY OF ARTICLES OF ASSOCIATION

MERGER, DIVISION, CAPITAL INCREASE, CAPITAL REDUCTION, DISSOLUTION AND LIQUIDATION

Merger, Division, Capital Increase and Capital Reduction

A merger of the Company may take the form of a merger by absorption or a merger by the establishment of a new company. In the case of a merger by absorption, one company absorbs other companies and the absorbed company or companies shall be dissolved. In the case of a merger by establishment of a new company, two or more companies merge to establish a new company, and all parties to the merger shall be dissolved.

Upon a merger of the Company, the creditor’s rights and debts of the parties to the merger shall be succeeded by the surviving company after the merger or by the newly established company. Where the Company is divided, its assets shall be divided accordingly.

Where the Company reduces its registered capital, it shall prepare a balance sheet and an inventory of assets, and shall reduce the amount of capital contribution or shares in proportion to the shares held by the shareholders, unless otherwise provided by laws or the Articles of Association.

Where the Company still has losses after making up losses in accordance with the Articles of Association, it may reduce its registered capital to cover such losses. Where registered capital is reduced to cover losses, the Company shall not distribute funds to shareholders nor exempt shareholders from their obligations to make capital contributions or pay for their shares.

Where the registered capital is reduced in violation of the Company Law or other relevant provisions, shareholders shall return the funds they have received, and where shareholders’ capital contributions have been reduced or exempted, they shall be restored to their original status. Where losses are caused to the Company, the shareholders and the responsible directors and senior management members shall bear liability for compensation.

Where the Company issues new shares to increase its registered capital, shareholders shall not have pre-emptive subscription rights, unless otherwise provided in the Articles of Association or resolved by the shareholders’ meeting granting shareholders such pre-emptive rights.

Where the Company undergoes a merger or division resulting in changes to registered matters, it shall apply for change registration with the company registration authority in accordance with the law. Where the Company is dissolved, it shall apply for cancellation registration in accordance with the law. Where a new company is established, registration for establishment shall be handled in accordance with the law. Where the Company increases or reduces its registered capital, it shall apply for change registration with the company registration authority in accordance with the law.

Dissolution and Liquidation

The Company shall be dissolved under any of the following circumstances:

- (I) where any cause for dissolution as stipulated in the Articles of Association occurs;
- (II) where a resolution for dissolution is adopted by the shareholders’ meeting;
- (III) where dissolution is required as a result of a merger or division of the Company;
- (IV) where the Company’s business license is revoked in accordance with the law, or the Company is ordered to close down or is revoked; or
- (V) where the Company encounters serious difficulties in its operation and management and its continued existence would cause substantial losses to the interests of shareholders, and such difficulties cannot be resolved through other means, in which case shareholders holding more than 10% of the voting rights of all shareholders of the Company may request the people’s court to dissolve the Company.

APPENDIX III

SUMMARY OF ARTICLES OF ASSOCIATION

Where any of the above circumstances for dissolution arises, the Company shall publicly disclose the cause of dissolution through the National Enterprise Credit Information Publicity System within 10 days.

Where the Company is dissolved pursuant to items (I), (II), (IV), or (V) above, liquidation shall be conducted. Directors shall be the persons responsible for liquidation obligations and shall form a liquidation committee within 15 days from the date on which the cause for dissolution arises to carry out liquidation. The liquidation committee shall be composed of the directors or other persons selected by resolution of the shareholders’ meeting. Where the persons responsible for liquidation fail to perform their liquidation obligations in a timely manner and cause losses to the Company or creditors, they shall bear liability for compensation.

During the liquidation period, the liquidation committee shall exercise the following powers:

- (I) to take inventory of the Company’s assets and prepare a balance sheet and an inventory of assets;
- (II) to notify and make public announcements to creditors;
- (III) to handle the Company’s outstanding business affairs related to liquidation;
- (IV) to settle outstanding taxes and taxes arising during the liquidation process;
- (V) to settle creditor’s rights and debts;
- (VI) to distribute the remaining assets of the Company after repayment of debts; and
- (VII) to represent the Company in civil litigation activities.

The liquidation committee shall notify creditors within 10 days from the date of its establishment and shall make a public announcement in newspapers or through the National Enterprise Credit Information Publicity System and the HKEXnews website of the Hong Kong Stock Exchange within 60 days. Creditors shall declare their claims to the liquidation committee within 30 days from the date of receiving the notice, or within 45 days from the date of the announcement if they have not received such notice. When declaring claims, creditors shall explain relevant matters relating to their claims and provide supporting materials. The liquidation committee shall register the claims.

After taking inventory of the Company’s assets and preparing a balance sheet and an inventory of assets, the liquidation committee shall formulate a liquidation plan and submit it to the shareholders’ meeting or the people’s court for confirmation. After the Company’s assets have been used to pay liquidation expenses, employees’ wages, social insurance expenses and statutory compensation, outstanding taxes, and the Company’s debts, the remaining assets shall be distributed to shareholders in proportion to their shareholdings. During the liquidation period, the Company shall continue to exist but shall not carry out business activities unrelated to liquidation. Before the Company’s assets are settled in accordance with the above provisions, they shall not be distributed to shareholders.

If, after taking inventory of the Company’s assets and preparing a balance sheet and an inventory of assets, the liquidation committee finds that the Company’s assets are insufficient to repay its debts, it shall apply to the people’s court for bankruptcy liquidation in accordance with the law. After the people’s court accepts the bankruptcy application, the liquidation committee shall transfer the liquidation affairs to the bankruptcy administrator designated by the people’s court.

After the completion of liquidation, the liquidation committee shall prepare a liquidation report, submit it to the shareholders’ meeting or the people’s court for confirmation, and submit it to the company registration authority to apply for cancellation of the Company’s registration. Where the Company is declared bankrupt in accordance with the law, bankruptcy liquidation shall be conducted in accordance with the relevant laws governing enterprise bankruptcy.

APPENDIX III

SUMMARY OF ARTICLES OF ASSOCIATION

AMENDMENT OF THE ARTICLES OF ASSOCIATION

The Company shall amend the Articles of Association under any of the following circumstances:

- (I) where, after amendments to the Company Law, or relevant laws, administrative regulations, or the securities regulatory rules of the place where the Company’s shares are listed, the matters stipulated in the Articles of Association conflict with the amended provisions;
- (II) where the Company’s circumstances change and become inconsistent with the matters recorded in the Articles of Association; or
- (III) where the shareholders’ meeting resolves to amend the Articles of Association.

Where amendments to the Articles of Association adopted by resolution of the shareholders’ meeting require approval by the competent authority, such amendments shall be submitted to the competent authority for approval. Where the amendments involve matters requiring company registration, change registration shall be handled in accordance with the law. Where the amendments involve information required to be disclosed under laws, regulations, or the securities regulatory rules of the place where the Company’s shares are listed, they shall be publicly announced in accordance with the relevant provisions.

APPENDIX IV

STATUTORY AND GENERAL INFORMATION

FURTHER INFORMATION ABOUT OUR GROUP

Incorporation of Our Company

Our Company was incorporated in the PRC on January 28, 2013, and was converted into a joint stock limited company on December 23, 2020. Our Company completed the listing of our A Shares on the SSE STAR Market (stock code: 688498) on December 21, 2022.

Our registered office is located at No. 1265 Kaiyuan Road, Fengxi New City, Xixian New Area, Shaanxi Province, the PRC. Our Company’s corporate structure and Articles of Association are governed by PRC laws and regulations.

The relevant PRC laws and regulations and a summary of the Articles of Association are set out in “Regulatory Overview” and “Appendix III — Summary of Articles of Association” to this document, respectively.

Our principal place of business in Hong Kong is at 46/F, Hopewell Centre, 183 Queen’s Road East, Wan Chai, Hong Kong. Our Company [has been] registered with the Registrar of Companies in Hong Kong as a non-Hong Kong company under Part 16 of the Companies Ordinance on [•]. Ms. CHAN Ching Nga has been appointed as the authorized representative of our Company for the acceptance of service of process and notices on behalf of our Company in Hong Kong. The address for the service of process is the same as our principal place of business in Hong Kong.

Changes in the Share Capital of Our Company

Save as disclosed below and in the section headed “History, Development and Corporate Structure”, there has been no other change in our total issued share capital within the two years immediately preceding the date of this document.

On February 6, 2025, our Company completed the share repurchase plan approved by our Board on February 7, 2024, upon completion of which the number of A Shares held by our Company as treasury Shares amounted to 452,149.

On October 22, 2025, 176,980 A Shares held by our Company as treasury Shares were transferred to the grantees under the 2024 Restricted Share Incentive Scheme upon the vesting of the first tranche of the Restricted Shares granted on September 26, 2024.

Changes in the Share Capital of Our Subsidiaries

Our Company’s subsidiaries are set out Note 1 in the Accountants’ Report as set out in Appendix I. Save as disclosed below, there has been no other change in our total issued share capital within the two years immediately preceding the date of this document.

On March 13, 2025, YUANJIE TECHNOLOGY PTE. LTD. increased its share capital to 50,300,000 ordinary shares.

Shareholders’ Resolutions

At the general meeting of our Company held on March 23, 2026, the following resolutions were passed by the Shareholders:

- (i) the issuance of H Shares with a nominal value of RMB1.00 each by our Company and such H Shares be [REDACTED] on the Stock Exchange;
- (ii) the number of H Shares to be issued pursuant to the [REDACTED] before the exercise of the [REDACTED] shall not exceed 10% of the enlarged share capital of our Company upon completion of the [REDACTED], and the [REDACTED] shall not exceed 15% of the above number of H Shares to be issued;

APPENDIX IV

STATUTORY AND GENERAL INFORMATION

- (iii) subject to the completion of the [REDACTED], the Articles of Association to become effective on the [REDACTED] shall be conditionally adopted, and the Board and its authorized person have been authorized to amend the Articles of Association in accordance with any comments from the relevant regulatory authorities; and
- (iv) authorization of the Board and its authorized person to handle relevant matters relating to, among other things, the [REDACTED], the issue and [REDACTED] of the H Shares.

FURTHER INFORMATION ABOUT OUR BUSINESS

Summary of Material Contract

The following contract (not being contract entered into in the ordinary course of business) has entered into by members of our Group within the two years preceding the date of this document and is or may be material:

- (i) [REDACTED].

Intellectual Property Rights

Trademarks

a. Registered Trademarks

As of the Latest Practicable Date, we had registered the following trademarks which we consider to be or may be material to our business:

No.	Trademark	Place of Registration	Registered Owner	Class	Registration Number	Expiry Date
1.		PRC	Our Company	35	53703964	September 13, 2031
2.		PRC	Our Company	35	53705613	September 6, 2031
3.		PRC	Our Company	9	53709371	September 20, 2031
4.		PRC	Our Company	9	53710937	October 20, 2031
5.		PRC	Our Company	9	53715535	December 13, 2032
6.		PRC	Our Company	42	53716941	September 20, 2031
7.		PRC	Our Company	42	53716943	September 13, 2031
8.		PRC	Our Company	35	55438007	November 20, 2031
9.		PRC	Our Company	42	55417720	November 20, 2031
10.		PRC	Our Company	9	55415784	November 20, 2031
11.		PRC	Our Company	9	77623768	December 13, 2034

APPENDIX IV STATUTORY AND GENERAL INFORMATION

b. Trademarks under Application

As of the Latest Practicable Date, we had applied for the registration of the following trademarks which we consider to be or may be material to our business:

No.	Trademark	Place of Registration	Registered Owner	Class	Registration Number	Registration Date
1.	  	Hong Kong	Our Company	9, 35, 42	307124391	December 11, 2025
2.	 	Hong Kong	Our Company	9, 35, 42	307124409	December 11, 2025
3.	  	Hong Kong	Our Company	9, 35, 42	307124418	December 11, 2025
4.	  	Hong Kong	Our Company	9, 35, 42	307124427	December 11, 2025
5.	 	Hong Kong	Our Company	9, 35, 42	307124436	December 11, 2025

Patents

a. Registered Patents

As of the Latest Practicable Date, we had registered the following patents which we consider to be or may be material to our business:

No.	Patent	Type of patent	Place of Registration	Patent Number	Owner	Application Date
1.	A Current Confinement Structure for Buried Heterojunction Lasers (一種用於掩埋型異質結激光器的電流限制結構)	Utility Model	PRC	ZL201920110028.9	Our Company	January 22, 2019
2.	A Buried Distributed Feedback Semiconductor Structure with Enhanced Current Injection (一種提高電流注入的掩埋型分佈反饋半導體結構)	Utility Model	PRC	ZL201920110029.3	Our Company	January 22, 2019

APPENDIX IV STATUTORY AND GENERAL INFORMATION

No.	Patent	Type of patent	Place of Registration	Patent Number	Owner	Application Date
3.	An Ultra-High-Power Laser for Communication Applications and Method of Manufacturing the Same (一種通訊用超大功率激光器及其製備方法)	Invention	PRC	ZL202010456300.6	Our Company	May 26, 2020
4.	An Aluminum Quantum Well Laser and Method of Manufacturing the Same (一種鋁量子阱激光器及其製備方法)	Invention	PRC	ZL202110628970.6	Our Company	June 7, 2021
5.	Method for Growing Waveguide Butt-Joint Structure, Aluminum Quantum Well Laser and Method of Manufacturing the Same (波導對接結構生長方法、鋁量子阱激光器及其製備方法)	Invention	PRC	ZL202210067480.8	Our Company	January 20, 2022
6.	An Electro-Absorption Modulated Laser Chip and Method of Manufacturing the Same (一種電吸收調製激光器芯片及其製備方法)	Invention	PRC	ZL202210498033.8	Our Company	May 9, 2022
7.	An Electro-Absorption Modulated Laser Chip and Method of Manufacturing the Same (一種電吸收調製激光器芯片及其製備方法)	Invention	United States	US 11831124B1	Our Company	March 27, 2023
8.	An Electro-Absorption Modulated Laser Chip (一種電吸收調製激光器芯片)	Utility Model	PRC	ZL202321316552.4	Our Company	May 29, 2023
9.	A Photonic Integrated Chip Structure and Method of Manufacturing the Same (一種光子集成芯片結構及其製作方法)	Invention	PRC	ZL202411260880.6	Our Company	September 10, 2024
10.	A Semiconductor Laser for Non-Hermetic Applications (一種非氣密應用的半導體激光器)	Invention	PRC	ZL202410819308.2	Our Company	June 24, 2024
11.	A High-Power Anti-Reflection Semiconductor Laser (一種大功率抗反射半導體激光器)	Invention	PRC	ZL202410862794.6	Our Company	June 28, 2024

APPENDIX IV

STATUTORY AND GENERAL INFORMATION

No.	Patent	Type of patent	Place of Registration	Patent Number	Owner	Application Date
12.	A Photonic Integrated Chip Structure and Method of Manufacturing the Same (一種光子集成芯片結構及其製作方法)	Invention	United States	US 12366704B1	Our Company	March 14, 2025
13.	A Photonic Integrated Chip Structure and Method of Manufacturing the Same (一種光子集成芯片結構及其製作方法)	Invention	Japan	特願 2025-037499	Our Company	March 10, 2025

b. Patent under Application

As of the Latest Practicable Date, we had applied for the registration of the following patents which we consider to be or may be material to our business:

No.	Patent	Type of patent	Place of Registration	Application Number	Applicant	Application Date
1.	A Structure of Photonic Integrated Chip and Method for Manufacturing the Same (一種光子集成芯片結構及其製作方法)	Invention	Taiwan, China	114109702	Our Company	March 14, 2025

Copyrights

As of the Latest Practicable Date, we had registered the following copyrights which we consider to be or may be material to our business:

No.	Name of Work	Place of Registration	Registered Owner	Registration Number	Date of Initial Announcement
1.	YJ	PRC	Our Company	國作登字-2021-F-00105967	January 1, 2021
2.	源杰半導體	PRC	Our Company	國作登字-2021-F-00105968	January 1, 2021
3.	origin of excellence	PRC	Our Company	國作登字-2021-F-00110853	January 1, 2021
4.	源杰半導體 YJ Origin of Excellence	PRC	Our Company	國作登字-2021-F-00193018	January 1, 2021

APPENDIX IV

STATUTORY AND GENERAL INFORMATION

Domain Names

As of the Latest Practicable Date, we owned the following domain name, which we consider to be or may be material to our business:

No.	Domain Name	Registration Owner	Registration date	Expiry Date
1.	yj-semitech.com	Our Company	October 10, 2015	October 10, 2028

Save as aforesaid, as of the Latest Practicable Date, there were no other trade or service marks, patents, intellectual or industrial property rights that were material in relation to our business.

FURTHER INFORMATION ABOUT OUR DIRECTORS, CHIEF EXECUTIVE AND SUBSTANTIAL SHAREHOLDERS

Disclosure of Interests of Our Directors or Chief Executive

Interests and Short Positions in the Shares, Underlying Shares and Debentures of Our Company and Our Associated Corporation

To the best knowledge of our Directors, saved as disclosed in “Substantial Shareholder” and as below, immediately following the completion of the [REDACTED] (assuming (i) the [REDACTED] is not exercised; and (ii) no other changes are made to the issued share capital of our Company between the Latest Practicable Date and the [REDACTED]), none of our Directors or chief executive has any interests or short positions in the Shares, underlying Shares and debentures of our Company or any associated corporations (within the meaning of Part XV of the SFO) which will have to be notified to our Company and the Stock Exchange pursuant to Divisions 7 and 8 of Part XV of the SFO (including interests and short positions which they are taken or deemed to have under such provisions of the SFO) or which will be required, pursuant to Section 352 of the SFO, to be recorded in the register referred to therein or which will be required to be notified to our Company and the Stock Exchange pursuant to the Model Code for Securities Transactions by Directors of Listed Companies contained in the Listing Rules:

Name	Nature of interest	Number and description of Shares	Approximate % of the A Shares immediately before the [REDACTED] ⁽¹⁾	Approximate % of the issued Shares immediately after the [REDACTED] ⁽¹⁾⁽²⁾
Mr. CHENG Shuo (程碩)	Beneficial interests ⁽³⁾	330,325 A Shares	0.38%	[REDACTED]%
Mr. WANG Yuxi (王昱璽)	Beneficial interests ⁽⁴⁾	95,850 A Shares	0.11%	[REDACTED]%

Notes:

- (1) Including 275,169 A Shares held by our Company as treasury Shares as of the Latest Practicable Date.
- (2) Assuming the [REDACTED] is not exercised.
- (3) Including (i) 308,625 A Shares directly held by him and (ii) 21,700 A Shares underlying the Restricted Shares that have been granted yet unvested under the Incentive Schemes as of the Latest Practicable Date.
- (4) Including (i) 72,850 A Shares directly held by him and (ii) 23,000 A Shares underlying the Restricted Shares that have been granted yet unvested under the Incentive Schemes as of the Latest Practicable Date.

APPENDIX IV

STATUTORY AND GENERAL INFORMATION

Particulars of Service Contracts

Pursuant to Rules 19A.54 and 19A.55 of the Listing Rules, our Company [has entered into] a service agreement with each of the Directors which contains provisions in relation to, among other things, compliance of relevant laws and regulations, observations of Articles of Association and provisions on arbitration.

The principal particulars of these service agreements are: (a) each of the agreements is for a term of [three] years following his/her respective effective date of his/her respective effective date of his/her appointment; (b) each of the agreements is subject to termination in accordance with their respective terms.

Save as disclosed above, our Company has not entered, and does not propose to enter, into any service contracts with any of the Directors in their respective capacities as Directors (other than contracts expiring or determinable by the employer within one year without the payment of compensation (other than statutory compensation)).

Directors’ remuneration

For details of the Directors’ remuneration, see “Directors and Senior Management — Remuneration of Directors and Five Highest Paid Individuals.” and Note 13 to the Accountants’ Report as set out in Appendix I.

Disclosure of Interests of Substantial Shareholders

Save as disclosed in the section headed “Substantial Shareholders” in this document, as of the Latest Practicable Date, our Directors were not aware of any persons who would, immediately following the completion of the [REDACTED] (assuming the [REDACTED] is not exercised), having or be deemed or taken to the beneficial interests or short position in our Shares or underlying Shares which would fall to be disclosed to our Company under the provisions of 2 and 3 of Part XV of the SFO, or directly or indirectly be interested in 10% or more of the issued voting shares of our Company or had option in respect of such capital.

Disclaimers

Save as disclosed in this document, none of our Directors or any of the parties listed in “— Other Information — Consents of Experts” below is:

- (i) interested, directly or indirectly, in our promotion, or in any assets which, within the two years immediately preceding the date of this document, have been acquired or disposed of by or leased to us, or are proposed to be acquired or disposed of by or leased to our Company; or
- (ii) materially interested in any contract or arrangement subsisting at the date of this document which is significant in relation to our business.

INCENTIVE SCHEMES

The following is a summary of the principal terms of the 2024 Restricted Share Incentive Scheme and 2025 Restricted Share Incentive Scheme, under which there were outstanding Restricted Shares as of the Latest Practicable Date. The terms of the Incentive Schemes are not subject to the provisions of Chapter 17 of the Listing Rules as no further Restricted Shares will be granted under the Incentive Schemes after [REDACTED]. Save as otherwise disclosed, the terms of each of the Incentive Schemes are substantially similar and are summarized below.

APPENDIX IV

STATUTORY AND GENERAL INFORMATION

Purpose

The Incentive Schemes are designed to enhance our Group’s corporate governance and establish a sustainable long-term incentive mechanism, with a view to attracting and retaining management and key personnel, motivating their performance, and strengthening the cohesion and competitiveness of our core team. By aligning the interests of Shareholders, our Group and Eligible Participants (as defined below), the Incentive Schemes aim to support the long-term development of our Group and facilitate the achievement of its strategic and operational objectives.

Eligible Participants

The eligible participants of the Incentive Schemes (the “**Eligible Participants**”) include Directors (excluding independent (non-executive) Directors), senior management members and key personnels of our Group who have a direct impact on our Group’s business operation and future development and serve as employees of our Group.

Administration

The Incentive Schemes are subject to the approval of the Shareholders’ meeting and the administration of the Board.

Source and maximum number of the Incentive Schemes

The Shares underlying the Incentive Schemes are A Shares repurchased by our Company from the secondary market and/or A Shares issued by our Company to the Eligible Participants.

The maximum number of A Shares underlying the Restricted Shares under the Incentive Schemes is as follows:

<u>Incentive Scheme</u>	<u>Maximum number of A Shares underlying the Restricted Shares</u>
2024 Restricted Share Incentive Scheme	571,700
2025 Restricted Share Incentive Scheme	634,500

Term

The term of each Incentive Scheme shall commence on the date of its first grant. Each of the 2024 Restricted Share Incentive Scheme and the 2025 Restricted Share Incentive Scheme shall remain in effect until all Restricted Shares granted thereunder have either vested or been lapsed, and in any event for no longer than 60 months and 72 months, respectively.

Vesting schedule and vesting of Restricted Shares

Restricted Shares granted under the Incentive Schemes shall vest in tranches at the prescribed percentages upon satisfaction of the applicable vesting conditions, commencing no earlier than 12 months from the relevant grant date. Each grant is subject to several vesting periods, during which the corresponding Restricted Shares shall vest to such grantee upon the payment of the prescribed consideration. Each vesting date shall fall on a trading day within the term of the Incentive Schemes.

Purchase Price

The purchase price to be paid before the vesting of each Restricted Share under the Incentive Schemes is subject to adjustments in the event of changes in our capital structure, including but not limited to capitalization issues, dividend distributions, and share subdivisions. No consideration is required to be paid for the grant of the Restricted Shares under the Incentive Schemes.

APPENDIX IV

STATUTORY AND GENERAL INFORMATION

Outstanding Restricted Shares

As of the Latest Practicable Date, Restricted Shares representing 1,206,200 A Shares were grantable under the Incentive Schemes, among which, (i) 884,030 Restricted Shares had been granted to aggregate of 326 grantees (including three Directors and three senior management members) and remained outstanding, (ii) 176,980 Restricted Shares had vested, (iii) 18,290 Restricted Shares had lapsed pursuant to the Incentive Schemes and (iv) 126,900 Restricted Shares remained reserved for further grant (the “**Reserved Grant**”) which will be completed or lapsed before [REDACTED].

If (i) the Reserved Grant is completed before [REDACTED] and restricted Shares under the Reserved Grant fully vest and are satisfied by issuance of A Shares; (ii) all outstanding Restricted Shares granted but not yet vested under the Incentive Schemes (the “**Outstanding RSs**”) fully vest and are satisfied by issuance of A Shares; (iii) the [REDACTED] is not exercised; and (iv) there are no changes to our share capital between the Latest Practicable Date and the [REDACTED], (A) the number of A Shares to be issued to satisfy the vesting of the Outstanding RSs and the Restricted Shares under the Reserved Grant will be 1,010,930 (representing [REDACTED]% of our share capital immediately following the [REDACTED]); (B) our share capital following the [REDACTED] will be diluted by approximately [REDACTED]%; and (C) the dilutive effect on our earnings per Share will be approximately [REDACTED]%.

The following table sets forth the details of Outstanding RSs granted to all grantees under the Incentive Schemes as of the Latest Practicable Date.

THIS DOCUMENT IS IN DRAFT FORM, INCOMPLETE AND SUBJECT TO CHANGE AND THAT THE INFORMATION MUST BE READ IN CONJUNCTION WITH THE SECTION HEADED “WARNING” ON THE COVER OF THIS DOCUMENT.

APPENDIX IV

STATUTORY AND GENERAL INFORMATION

									Approximately % of the issue Shares immediately after the
Name	Position	Address	Involved	Date of grant	Number of	Number of	Purchase	Vesting	
			Incentive Scheme ⁽¹⁾		Restricted Shares granted				
Directors									
Dr. Zhang	Chairperson of the Board, executive Director and general manager	No. 1265, Kaiyuan Road Fengxi New City Xixian New Area Shaanxi Province PRC	2024	September 26, 2024	31,200	18,720	65.56	(Note 3)	[REDACTED]%
Mr. CHENG Shuo	Executive Director, deputy general manager and Board secretary	No. 14 Xitaiping Lane Xicheng District Beijing PRC	2024	September 26, 2024	19,500	11,700	65.56	(Note 3)	[REDACTED]%
			2025	September 15, 2025	10,000	10,000	149.09	(Note 5)	[REDACTED]%
Mr. WANG Yuxi	Executive Director, deputy general manager and manager of the chip business unit	East Unit, 5th Floor, Gate 3, Building 2 No. 4 Chezhan North Road Ganting Town Hu County Xi'an Shaanxi Province PRC	2024	September 26, 2024	15,000	9,000	65.56	(Note 3)	[REDACTED]%
			2024	July 28, 2025	4,000	4,000	65.56	(Note 4)	[REDACTED]%
			2025	September 15, 2025	10,000	10,000	149.09	(Note 5)	[REDACTED]%
Senior management members									
Mr. PAN YEN-TING	Deputy general manager	No. 1265 Kaiyuan Road Fengxi New Town Xixian New Area Shaanxi Province PRC	2024	September 26, 2024	19,500	11,700	65.56	(Note 3)	[REDACTED]%
			2025	September 15, 2025	10,000	10,000	149.09	(Note 5)	[REDACTED]%
Mr. CHEN Wenjun	Deputy general manager	Room 1102, 11th Floor, Unit 1, Building 13 No. 108 Laifeng 2nd Road Wuhou District Chengdu Sichuan Province PRC	2024	September 26, 2024	19,500	11,700	65.56	(Note 3)	[REDACTED]%
			2025	September 15, 2025	10,000	10,000	149.09	(Note 5)	[REDACTED]%
Mr. CHEN Zhenhua	Deputy general manager and finance director	Room 11001, Building 28, Block K Ziwei Tianyuan Dushi Xinxing Industrial Park, High-Tech Zone Xi'an Shaanxi Province PRC	2024	September 26, 2024	19,500	11,700	65.56	(Note 3)	[REDACTED]%
			2025	September 15, 2025	10,000	10,000	149.09	(Note 5)	[REDACTED]%
Employees									
			2024	September 26, 2024	316,350	189,810	65.56	(Note 3)	[REDACTED]%
			2024	July 28, 2025	109,600	109,600	65.56	(Note 4)	[REDACTED]%
			2025	September 15, 2025	456,100	456,100	149.09	(Note 5)	[REDACTED]%
Total					1,060,250	884,030			[REDACTED]%

Notes:

- (1) 2024 and 2025 in this column refer to 2024 Restricted Share Incentive Scheme and 2025 Restricted Share Incentive Scheme, respectively.
- (2) Including 275,169 A Shares held by our Company as treasury Shares as of the Latest Practicable Date and assuming no exercise of the [REDACTED] and no changes to our share capital between the Latest Practicable Date and the [REDACTED].

APPENDIX IV

STATUTORY AND GENERAL INFORMATION

- (3) The Restricted Shares granted on September 26, 2024 under the 2024 Restricted Share Incentive Scheme shall vest in three tranches of 40%, 30% and 30% during the one-year periods commencing on the first, second and third anniversaries of the grant date, respectively.
- (4) The Restricted Shares granted on July 28, 2025 under the 2024 Restricted Share Incentive Scheme shall vest in two equal tranches during the one-year periods commencing on the first and second anniversaries of the grant date, respectively.
- (5) The Restricted Shares granted on September 15, 2025 under the 2025 Restricted Share Incentive Scheme shall vest in four equal tranches during the one-year periods commencing on the first, second, third and fourth anniversaries of the grant date, respectively.

The table below sets out the details of the Restricted Shares granted to other grantees that are not set out above under the Incentive Schemes as of the Latest Practicable Date:

Range of Restricted Shares	Total number of grantees	Involved Incentive Scheme ⁽¹⁾	Date of grant	Number of Restricted Shares granted	Number of Outstanding RSs	Purchase price (RMB)	Vesting Schedule	Approximately % of the issue Shares immediately after the [REDACTED] ⁽²⁾
1–1,000	83	2024	September 26, 2024	70,670	42,402	65.56	(Note 3)	[REDACTED]%
	171	2024	July 28, 2025	75,800	75,800	65.56	(Note 4)	[REDACTED]%
	204	2025	September 15, 2025	137,500	137,500	149.09	(Note 5)	[REDACTED]%
1,001–10,000	70	2024	September 26, 2024	213,200	127,920	65.56	(Note 3)	[REDACTED]%
	17	2024	July 28, 2025	33,800	33,800	65.56	(Note 4)	[REDACTED]%
	112	2025	September 15, 2025	318,600	318,600	149.09	(Note 5)	[REDACTED]%
10,001–above	2	2024	September 26, 2024	32,480	19,488	65.56	(Note 3)	[REDACTED]%
Total	320			882,050	755,510			[REDACTED]%

Notes:

(1)-(5) See notes to the table above.

OTHER INFORMATION

Estate Duty

Our Directors have been advised that no material liability for estate duty is likely to fall on our Company or any of our subsidiaries.

Litigation

As of the Latest Practicable Date, we were not aware of any litigation or arbitration proceedings of material importance pending or threatened against any member of our Group that could have a material adverse effect on our financial condition or results of operations.

Joint Sponsors

The Joint Sponsors have applied to the Stock Exchange for the [REDACTED], and permission to [REDACTED], our H Shares to be [REDACTED] pursuant to the [REDACTED]. All necessary arrangements have been made enabling the H Shares to be admitted into [REDACTED]. The Joint Sponsors satisfy the independence criteria applicable to sponsors set out in Rule 3A.07 of the Listing Rules.

APPENDIX IV

STATUTORY AND GENERAL INFORMATION

The Joint Sponsors will be paid by our Company a fee of US\$700,000 to act as sponsors to our Company in connection with the [REDACTED].

Compliance Advisor

Our Company has appointed Maxa Capital Limited as our Compliance Advisor in compliance with Rule 3A.19 of the Listing Rules.

Preliminary Expenses

We have not incurred any material preliminary expenses in relation to the incorporation of our Company.

Taxation of Holder of H Shares

The sale, purchase and transfer of H Shares are subject to Hong Kong stamp duty if such sale, purchase and transfer are effected on the H Share register of members of our Company, including in circumstances where such transaction is effected on the Stock Exchange. The current rate of Hong Kong stamp duty for such sale, purchase and transfer is a 0.1% of the consideration or, if higher, the fair value of the H Shares being sold or transferred.

Consents of Experts

The following experts have each given and have not withdrawn their respective written consents to the issue of this document with copies of their reports, letters, opinions or summaries of opinions (as the case may be) and the references to their names included herein in the form and context in which they are respectively included.

<u>Name</u>	<u>Qualification</u>
Guotai Junan Capital Limited	A licensed corporation to conduct Type 6 (advising on corporate finance) of the regulated activity as defined under the SFO
GF Capital (Hong Kong) Limited	A licensed corporation to conduct Type 6 (advising on corporate finance) of the regulated activity as defined under the SFO
King & Wood	PRC legal advisor to our Company
China Insights Industry Consultancy Limited	Independent industry consultant
BDO Limited	Certified Public Accountants under Professional Accountant Ordinance (Chapter 50 of the Laws of Hong Kong) and Registered Public Interest Entity Auditor under Accounting and Financial Reporting Council Ordinance (Chapter 588 of the Laws of Hong Kong)

As of the Latest Practicable Date, save in connection with the [REDACTED], none of the experts named above had any shareholding interest in our Company or any of our subsidiaries or the right (whether legally enforceable or not) to [REDACTED] or to nominate persons to [REDACTED] securities in any member of our Group.

APPENDIX IV

STATUTORY AND GENERAL INFORMATION

Promoters

The promoters of our Company are as follows:

No.	Name of promoters of our Company
1	Dr. Zhang
2	Mr. QIN Yansheng
3	Mr. QIN Weixing
4	Ningbo Chuangzeyun Investment Partnership (Limited Partnership) (寧波創澤雲投資合夥企業(有限合夥))
5	Hangzhou Hanjing Xicheng Venture Capital Partnership (Limited Partnership) (杭州漢京西成創業投資合夥企業(有限合夥))
6	Beijing Gazelle Jinshi Equity Investment Center (Limited Partnership) (北京瞪羚金石股權投資中心(有限合夥))
7	Ms. Zhang
8	Hubble Technology Venture Capital Co., Ltd. (哈勃科技創業投資有限公司)
9	Shaanxi Xiandao Optoelectronic Integration Technology Investment Partnership (Limited Partnership) (陝西先導光電集成科技投資合夥(有限合夥))
10	SDIC (Ningbo) Technology Achievement Transformation Venture Capital Fund Partnership (Limited Partnership) (國投(寧波)科技成果轉化創業投資基金合夥企業(有限合夥))
11	Qingdao Jinshi Haorui Investment Co., Ltd. (青島金石灝納投資有限公司)
12	Hangzhou Ruiheng Chuangying Venture Capital Partnership (Limited Partnership) (杭州瑞衡創業投資合夥企業(有限合夥))
13	China Development Bank Manufacturing Transformation and Upgrading Fund (Limited Partnership) (國開製造業轉型升級基金(有限合夥))
14	Li Hong (李洪)
15	Beijing Zhongchuang Huiying Investment Management Center (Limited Partnership) (北京中創匯盈投資管理中心(有限合夥))
16	Suzhou Beste Electronics Technology Co., Ltd. (蘇州貝斯泰電子科技有限公司)
17	Shaanxi Xinxin Juyuan Management Consulting Partnership (Limited Partnership) (陝西欣芯聚源管理顧問合夥(有限合夥))
18	Beijing Gongda Kechuang Equity Investment Partnership (Limited Partnership) (北京工大科創股權投資合夥企業(有限合夥))
19	Jiaxing Jingze Investment Partnership (Limited Partnership) (嘉興景澤投資合夥企業(有限合夥))
20	CITIC Securities Investment Co., Ltd. (中信證券投資有限公司)
21	Wu Hongjie (吳鴻傑)
22	Zhao Chunhui (趙春暉)
23	CDB Science & Technology Venture Capital Co., Ltd. (國開科技創業投資有限責任公司)
24	Gongqingcheng Yuanjing Yicheng Investment Partnership (Limited Partnership) (共青城遠景億城投資合夥企業(有限合夥))
25	Pingtian Liyong Equity Investment Partnership (Limited Partnership) (平潭立湧股權投資合夥企業(有限合夥))
26	Li Yongfei (李永飛)
27	Guangfa Qianhe Investment Co., Ltd. (廣發乾和投資有限公司)
28	Shanghai Chaoyue Moore Equity Investment Fund Partnership (Limited Partnership) (上海超越摩爾股權投資基金合夥企業(有限合夥))
29	Ningbo Fengze Yuanhua Venture Capital Partnership (Limited Partnership) (寧波豐澤源華創業投資合夥企業(有限合夥))
30	Chengdu Ruiyang Enterprise Management Center (Limited Partnership) (成都蕊揚企業管理中心(有限合夥))
31	Huang Yun (黃雲)

APPENDIX IV

STATUTORY AND GENERAL INFORMATION

No.	Name of promoters of our Company
------------	---

32	Yang Bin (楊斌)
33	Feng Huawei (馮華偉)

Within the two years immediately preceding the date of this document, no cash, securities, amount or benefit has been paid, allotted or given, or has been proposed to be paid, allotted or given, to any of the promoters named above in connection with the [REDACTED] or the related transactions described in this document.

Bilingual Document

The English language and Chinese language versions of this document are being published separately in reliance upon the exemption provided by section 4 of the Companies Ordinance (Exemption of Companies and Prospectuses from Compliance with Provisions) Notice (Chapter 32L of the Laws of Hong Kong).

Binding Effect

This document shall have the effect, if any application is made pursuant hereto, of rendering all persons concerned bound by all the provisions (other than the penal provisions) of sections 44A and 44B of the Companies (Winding Up and Miscellaneous Provisions) Ordinance so far as applicable.

No Material Adverse Change

Our Directors confirm that there has been no material adverse change in our financial, business position or prospects since December 31, 2025, being the date of our consolidated financial statements as set out in the Accountants’ Report as set out in Appendix I to this document, and up to the date of this document.

Miscellaneous

Save as disclosed in the section headed “Financial Information” and this Appendix, in connection with the [REDACTED] or otherwise waived from disclosure pursuant to the waivers disclosed in the section headed “Waivers and Exemption”,

- (i) Save as disclosed in this Appendix, “History, Development and Corporate Structure” and in connection with the [REDACTED], within the two years immediately preceding the date of this document:
 - (a) no share or loan capital of our Company or any of our subsidiaries has been issued nor agreed to be issued fully or partly paid either for cash or for a consideration other than cash;
 - (b) no commissions, discounts, brokerage fee or other special terms have been granted in connection with the issue or sale of any share or loan capital of our Company or any of our subsidiaries;
 - (c) no share or loan capital of our Company or any of our subsidiaries is under option or is agreed conditionally or unconditionally to be put under option; and
 - (d) no commission has been paid or is payable for subscribing or agreeing to subscribe, or procuring or agreeing to procure the subscriptions of any share in our Company or any of our subsidiaries.
- (ii) There are no founder, management or deferred shares nor any debentures in our Company or any of our subsidiaries.

APPENDIX IV

STATUTORY AND GENERAL INFORMATION

- (iii) There are no arrangements under which future dividends are waived or agreed to be waived.
- (iv) There are no procedures for the exercise of any right of pre-emption or transferability of subscription rights.
- (v) There have been no interruptions in our business which may have or have had a significant effect on our financial position in the last 12 months immediately preceding the date this document.
- (vi) There are no restrictions affecting the remittance of profits or repatriation of capital by us into Hong Kong from outside Hong Kong.
- (vii) Save as disclosed in “History, Development and Corporate Structure”, no part of the equity or debt securities of our Company, if any, is currently listed on or dealt in on any stock exchange or trading system, and no such listing or permission to list on any stock exchange other than the Stock Exchange is currently being or agreed to be sought.
- (viii) Our Company has no outstanding convertible debt securities or debentures.

APPENDIX V DOCUMENTS DELIVERED TO THE REGISTRAR OF COMPANIES AND AVAILABLE ON DISPLAY

DOCUMENTS DELIVERED TO THE REGISTRAR OF COMPANIES IN HONG KONG

The documents attached to the copy of this document and delivered to the Registrar of Companies in Hong Kong for registration were, among other documents:

- (a) the written consents referred to in “Appendix IV — Statutory and General Information — Other Information — Consents of Experts;” and
- (b) a copy of the material contract referred to in “Appendix IV — Statutory and General Information — Further Information about Our Business — Summary of Material Contract.”

DOCUMENTS AVAILABLE ON DISPLAY

Copies of the following documents will be available on display on the Stock Exchange’s website at www.hkexnews.hk and our Company’s website at www.yj-semitech.com during a period of 14 days from the date of this document:

- (a) the Articles of Association;
- (b) the Accountants’ Report from BDO Limited, the text of which is set out in Appendix I to this document;
- (c) the consolidated audited financial statements of our Group for the three years ended December 31, 2025;
- (d) the report on unaudited [REDACTED] financial information of our Group from BDO Limited, the text of which is set out in Appendix II to this document;
- (e) the legal opinions issued by King & Wood, our PRC Legal Advisors in respect of certain matters of our Group in the PRC;
- (f) the industry report prepared by CIC, the summary of which is set forth in “Industry Overview;”
- (g) a copy of each of the PRC Company Law, the PRC Securities Law, and the Overseas Listing Regulations together with their unofficial English translation;
- (h) the material contract referred to in “Appendix IV — Statutory and General Information — Further Information about Our Business — Summary of Material Contract;”
- (i) the written consents referred to in “Appendix IV — Statutory and General Information — Other Information — Consents of Experts;” and
- (j) the service contracts referred to in “Appendix IV — Statutory and General Information — Further Information about Our Directors and Substantial Shareholders — Disclosure of Interests of Our Directors or Chief Executive — Particulars of Service Contracts.”

DOCUMENTS AVAILABLE FOR INSPECTION

A copy of the full list of all the grantees under the Incentive Schemes, containing all the details as required under Rule 17.02(1)(b) of and paragraph 27 of Appendix D1A to the Listing Rules and paragraph 10 of Part I of the Third Schedule to the Companies (Winding Up and Miscellaneous Provisions) Ordinance, will be available for inspection at the office of Kirkland & Ellis, 26/F, Gloucester Tower, The Landmark, 15 Queen’s Road Central, Hong Kong during normal business hours up to and including the date which is 14 days from the date of this document.